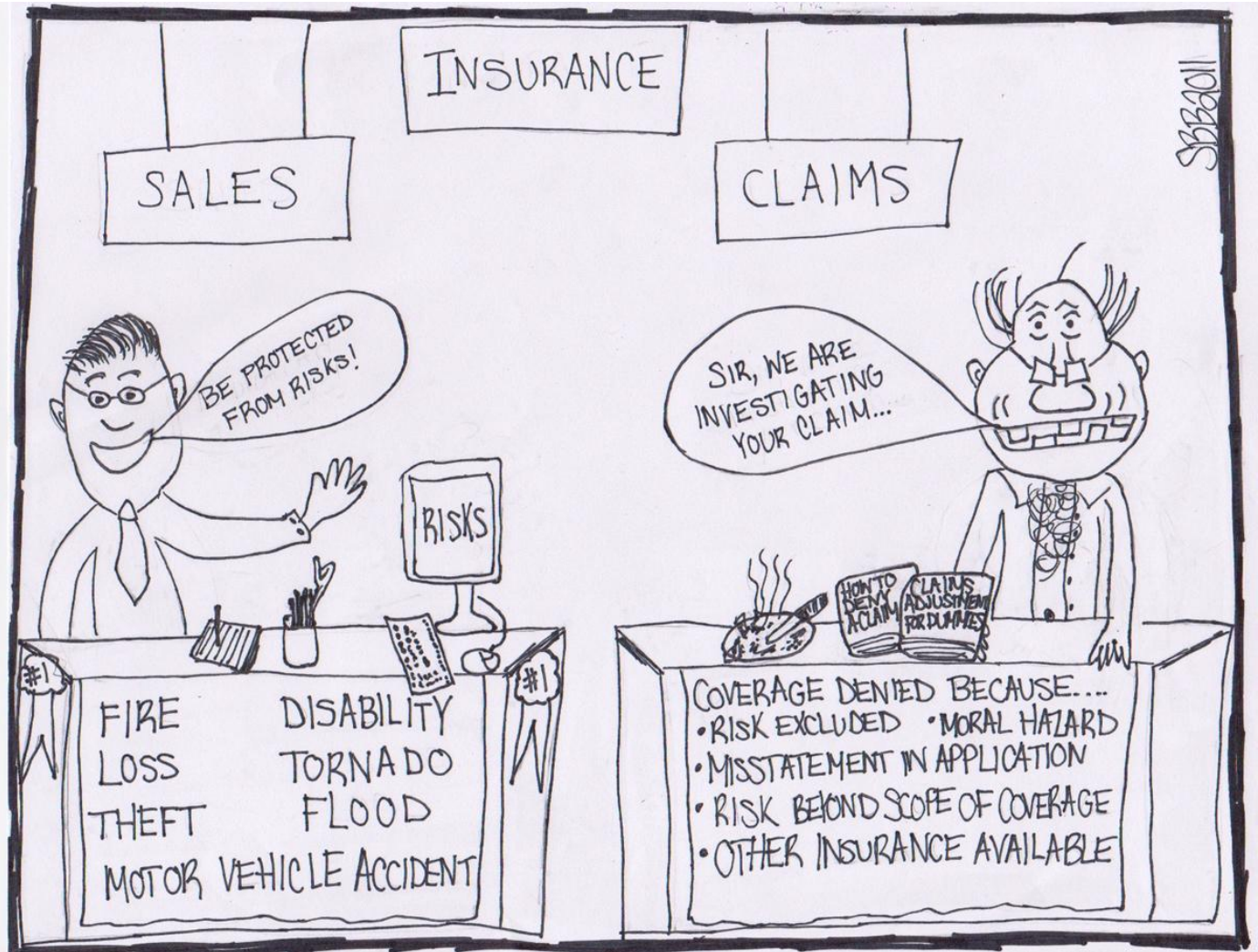


South Dakota Insurance Law



Law 851

Professor Roger M. Baron
University of South Dakota School of Law
Spring, 2012

Law 851 - Insurance

The materials in this supplement will be utilized in a number of ways. Some of this material is “informational” only and may serve to facilitate class discussion. Some of the materials will be made part of class assignments and will be studied in great detail.

Generally speaking, the materials in this supplement are presented in the order in which we will be taking them up in class. There are some exceptions to this. For example, there is a 14 page CLE handout that was prepared in 1994 in conjunction with a presentation for the State Bar of South Dakota. This handout presents South Dakota case law on “interpretation of insurance policies” as well as cases on coverage for “punitive damages” and “intentional torts.” This entire handout is reproduced at one location, but information set forth in this handout may be referenced at various times throughout the course.

We will be integrating many important facets of automobile insurance very early in the course. We now have significant South Dakota case law relevant to many of the issues which we will discuss. These cases and other materials are found within the first 60 pages of this supplement. A study of these materials should enable the student to come to an understanding of the various automobile coverages, how they have come into being, and the extent to which they are limited.

The student should bring this supplement to class each day and be prepared to cross-reference the appropriate pages of this supplement in the student’s note-taking efforts.

On the following pages is a Table of Contents for these materials. The page numbering, for identification of material in conjunction with the Table of Contents, is the bottom center location. You may find other page numbers on some of the materials – these other numbers usually reflect the page numbers from the original source. For purposes of organization in this Supplement, however, you should look to the bottom center of each page.

Finally, I wish to thank Stephannie Bonaiuto for her assistance in helping me convert much of this material into word processing documents.

Roger M. Baron
December, 2011

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I. The Concepts of Insurance and Insurance Regulation

INSURANCE TERMS

collateral source rule (a/k/a collateral benefits rule)

premium

pure premium

actuary

risk distribution

reinsurance

self-insurance (a/k/a risk retention)

adverse selection

reciprocal insurance

CDW

surety

all risks policy

block policy

CGL

claims made policy

third party insurance

first party insurance

15-30-5

omnibus clause

McCarran Act (a/k/a McCarran Ferguson Act)

co-insurance

CQV

excepted clauses v. exclusions

floater

incontestability clause

subrogation

loan receipt clause

stacking

surplus lines insurance (surplus lines brokers)

term insurance

umbrella policy

UM coverage

UIM coverage

NAIC

uberrimae fidei

territorial rating

moral hazard clause

The “Collateral Source Rule”

2000 and 2009 Challenges

The plaintiff in *Jurgensen v. Smith*, 2000 SD 73, 611 N.W.2d 439, obtained a jury verdict for \$310,000 and was awarded a judgment for that amount. Defendant appealed, asserting error for the trial court to not allow evidence that the plaintiff has received benefits from collateral sources – subsidy (through state programs) made available for rent, college tuition and other expenses, plus the plaintiff received \$17,623 from his union and \$32,453 in income from his employer. Defendant, while recognizing the basic premise of the collateral source rule, urged that there be an exception permitting this evidence where the plaintiff’s attorney makes references to the financial condition of the plaintiff. Here the plaintiff’s attorney argued something to the effect that “he was fighting for 3 years to make ends meet.”

The SD Supreme Court affirmed the \$310,000 award, rejecting defendant’s argument in a 3-2 decision. Justices Amundson and Gilbertson dissented – they would have allowed evidence of the money received by plaintiff from the collateral sources.

In *Cruz v. Groth*, 2009 SD 19, 763 N.W.2d 810, the defendant sought to introduce evidence that plaintiff had medical insurance coverage which was payable as to some of his expenses. The trial court did not allow such evidence, thereby upholding the “collateral source rule.” The defendant appealed arguing that this case presented an “exception” to the rule -- namely that evidence of medical insurance may be introduced to rebut and impeach aspects of the plaintiff’s testimony. (Here plaintiff’s attorney argued that he did not seek medical treatment because he was worried about the cost of the medical bills. At trial plaintiff testified that he couldn’t afford to seek medical help.) The SD Supreme Court upheld the trial court’s ruling on this issue in a 3-2 decision with the Court’s opinion being authored by Justice Konenkamp. Justice Zinter filed a dissenting opinion in which Chief Justice Gilbertson agrees.

“Through its holding, the South Dakota Supreme Court correctly showed that the rule still has value in this state.” Meghan K. Woster, “*Cruz v. Groth*: The Exceptional Collateral Source Rule Remains Exception-Free in South Dakota,” 55 S.D.L.Rev. 134, 163 (2010).

What Constitutes “Insurance?” (In South Dakota)

See generally cases digested under West’s Key Digest “Insurance,” key no. 2.

South Dakota case law:

Lundeen v. Schumacher, 216 N.W. 883 (S.D. 1927) (recognizing that a sheriff’s bond is a form of insurance)

FDIC v. Western Surety Co., 285 N.W. 909 (S.D. 1939) (recognizing that the bond on an assistant bank cashier is a form of insurance)

State Div. of Ins. v. Norwest, 1998 SD 61, 581 N.W.2d 158 (holding that “Title Option Plus” (or “TOP”) being sold as alternative to Lender’s title insurance policy is a form of insurance to be regulated – note, South Dakota Land Title Association intervened as co-plaintiff along with the SD Division of Insurance (this case cites the Illinois case involving Griffin Systems).

About Vehicle Protection Plans:

They are generally considered to be insurance unless they are in the nature of “warranties” by the seller or manufacturer.

In South Dakota, SDCL 58-1-3(3) specifically excludes motor vehicle service contracts from regulation.

58-1-2. Definition of terms. Terms used in this title mean:

- (1) "Alien insurer," one formed under the laws of any country or jurisdiction other than the United States of America, its states, districts, territories, and commonwealths;
- (2) "Authorized insurer," one authorized, by a subsisting certificate of authority issued by the director, to engage in the insurance business in this state;
- (3) "Certificate of authority," permission granted to an insurer to issue policies or make contracts of insurance in this state;
- (4) "Director," the director of the Division of Insurance;
- (5) "Division," the Division of Insurance of the Department of Revenue and Regulation;
- (6) "Domestic insurer," one formed under the laws of this state;
- (7) "Foreign insurer," one formed under the laws of any jurisdiction other than this state; except where distinguished by context, foreign insurer includes an alien insurer;
- (8) "Insurance," a contract whereby one undertakes to indemnify another or to pay or provide a specified or determinable amount or benefit upon determinable contingencies;
- (9) "Insurance business," includes the transaction of all matters pertaining to a contract of insurance, both before and after the effectuation of that contract, and all matters arising out of that contract or any claim thereunder;
- (10) "Insurer," every person engaged as indemnitor, surety, or contractor in the business of entering into contracts of insurance;
- (11) "License," permission granted to an agent or broker to engage in those activities permitted by such persons under this title;
- (12) Repealed by SL 2001, ch 263, § 1.
- (13) "Mechanical breakdown insurance," any contract or agreement, issued by an authorized insurer, to perform or indemnify for a specific duration the repair, replacement, or maintenance of property for operational or structural failure due to a defect in materials, workmanship, or normal wear and tear;
- (14) "Person," an individual, insurer, company, association, organization, Lloyds, society, reciprocal or inter-insurance exchange, partnership, syndicate, business trust, corporation, and any other legal entity;
- (15) "Principal office" or "principal place of business," the office or regional home office from which the business affairs of the insurer are directed and managed;
- (16) "Producer," any person required to be licensed under the laws of this state to sell, solicit, or negotiate insurance. The term also means an insurance agent;
- (17) "State," when used in context signifying a jurisdiction other than the State of South Dakota, a state, the District of Columbia, a territory, commonwealth, or possession of the United States of America, or a province of the Dominion of Canada; and
- (18) "Unauthorized insurer," one which does not hold a subsisting certificate of authority issued by the director to engage in the insurance business in this state.

Source: SL 1966, ch 111, ch 1, § 2; SL 1982, ch 350; SL 1988, ch 387, § 1; SL 2000, ch 233, § 2; SL 2001, ch 263, §§ 1, 2, ch 286, § 56; SL 2003, ch 272, § 27; SL 2004, ch 295, § 1.

58-1-3. Application of title as to particular types of insurers. No provision of this title applies with respect to:

- (1) Fraternal benefit societies, except as stated in chapter 58-37A;
- (2) Bail bondsmen, other than corporate sureties and their agents, except as stated in chapter 58-22;
- (3) Motor vehicle service contracts which are contracts or agreements to perform or indemnify for a specific duration the repair, replacement, or maintenance of motor vehicles for operational or structural failure due to a defect in materials, workmanship, or normal wear and tear, with or without additional provisions for incidental payment of indemnity under limited circumstances, including towing, rental, and emergency road service. Consideration for a motor vehicle service contract shall be stated separately from the price of the motor vehicle;
- (4) Service agreements or extended warranty plans for which the primary purpose is to provide service, repair, or replacement on consumer goods or products including appliances, merchandise, or equipment, or mechanical/electrical systems in single or multiple-family dwellings. Incidental indemnity payments under such plans where service, repair, or replacement is not feasible or economical does not void this exemption;
- (5) Any person, trust, or other entity proven to be under the exclusive regulatory authority of the federal government or another state agency;
- (6) Any agreement to provide liability protection entered into pursuant to chapter 1-24 is exempt from the regulatory requirements of Title 58, except to forms of insurance coverage provided by an insurer otherwise subject to the insurance laws of this state;
- (7) Any church plan, as defined in section 414(e) of the Internal Revenue Code of 1986, as amended through December 31, 1999, and section (3)(33)(C)(i) of the Employee Retirement Income Security Act of 1974 (29 U.S. C. § 1002(33)(C)(i)); or any church benefits board, as described in section 414(e)(3)(A) of the Internal Revenue Code of 1986, as amended through December 31, 1999, and section (3)(33)(C)(i) of the Employee Retirement Income Security Act of 1974 (29 U.S.C. § 1002(33)(C)(i));
- (8) Any debt cancellation contract or debt suspension contract as defined by subdivisions 51A-1-2(10) and (11);
- (9) Any damage guarantee program for renters administered by a nonprofit corporation that is recognized as an exempt organization under § 501(c)(3) of the Internal Revenue Code and whose mission is to increase the availability of affordable housing to low and moderate income tenants.

Source: SL 1966, ch 111, ch 1, § 3; SL 1980, ch 348, § 2; SL 1983, ch 370, § 1; SL 1987, ch 75, § 4; SL 1998, ch 286, § 1; SL 2000, ch 232, § 1; SL 2000, ch 233, § 1; SL 2001, ch 263, § 3; SL 2004, ch 290, § 3; SL 2004, ch 296, § 1; SL 2006, ch 249, § 1.

Argus Leader

Friday, Jan. 18, 2008

Sioux Falls, SD

Page 1A

Firm's failure may wreck warranties

6,000 Dakotans might lose auto coverage

By Jonnie Tate Finn

The extended warranties on thousands of used cars and trucks bought in South Dakota are potentially worthless after the Ohio company that backed the contracts folded.

The downfall of Ultimate Warranty Corp. leaves nearly 6,000 South Dakotans in the ditch.

The responsibility for covering the warranties probably falls to the dealers where the vehicles were sold, according to officials dealing with the fallout. But it's unclear whether those dealers — who also made money on the warranty purchase — must honor those deals.

Jon Little of Mitchell is one of an estimated 135,000 consumers nationwide and 5,750 South Dakotans who hold unexpired warranties. Little learned earlier this week that the policy he purchased two years ago from Ultimate Warranty is defunct, even though it's supposed to be good through 2015.

Little said he paid about \$2,100 for the extended warranty on the 2005 Yukon XL Denali. The SUV's factory warranty expires this fall. After that, he's not sure where coverage will come from.

"How come we the consumer didn't know of this?" said Little, who filed a complaint with the South Dakota Division of Consumer Protection against Ultimate Warranty. He is one of 18 people to do so since 2004. "It appears to me, at this point, no one is representing the consumer."

Monitoring complaints

Sara Rabern with the South Dakota Attorney General's Office, which oversees the consumer protection division, said there's not much her agency can do right now.

* * *

'Spinning our heads'

The owner of Frankman Motor Co., which has four locations in Sioux Falls, said she's not sure dealers can take on those kinds of costs.

"Everybody sold these warranties, and we're all spinning our heads. These are our customers we're talking about. We want to take care of them, but the amount of money owed is astronomical, and I don't know if any dealers could carry the load," said Brenda Frankman.

Frankman said her company stopped offering the Capital Assurance-insured Ultimate Warranty to customers last fall when she heard about the company's collapse. She said there's another Ultimate Warranty available insured by Florida-based United Service Protection Corp., and those warranties are reliable.

"We'll hold our breath until we know what to do next," she said. "We can't do anything until we're told what to do. Whatever the law says to do in South Dakota, that's what we'll go by."

State remedies

Hartz said plans are in the works to establish task forces with each state's attorney general's office to handle complaints concerning Ultimate Warranty.

If dealers don't commit to covering consumer repair costs, Hartz said authorities would send letters to warranty holders with the names of their auto dealers, along with how much of the warranty price they pocketed. Authorities are considering giving dealers a deadline to commit to coverage before those letters are mailed.

In the meantime, Hartz cautioned warranty holders against canceling their policies. "They should hold onto their warranties and try to have their dealers cover the repairs."

Sioux Falls Dealer Signs Up for Hyundai Assurance Program

SIOUX FALLS, SD, JANUARY 8, 2009

Fostering Certainty in Uncertain Times

Billion Hyundai in Sioux Falls has joined the efforts of Hyundai Motor America to launch the "Hyundai Assurance Program." Effective immediately, when a consumer finances or leases a new Hyundai vehicle, and if in the next year they lose their income, the Hyundai Assurance Program will allow the consumer to return the vehicle. This revolutionary program is the first of its kind to be offered and fully backed by an automobile manufacturer.

The Hyundai Assurance Program is designed to continue Hyundai's efforts to provide buyers with confidence in purchasing their product. Now in addition to "America's Best Warranty" Hyundai Motor America and its partners, like Billion Hyundai, are offering this new program to show the faith we have in our buyers.

This program is available on all new Hyundai models sold through Billion Hyundai and comes with no pre-qualifying restrictions of age, health, or employment history. The program is effective for the first 12 months of ownership and is no cost to the buyer.

The Hyundai Assurance Program also covers up to \$7,500.00 in negative equity which may exist so early in a financed purchase. The program protects the consumer who becomes "involuntary unemployed" and therefore can no longer afford their payments.



HYUNDAI

Hyundai and its partners like Billion Hyundai understand that these are uncertain times but the

need for high quality, high value automobiles is more important than ever. We want our customers to feel as secure and worry free as possible in their purchase and ownership of their new vehicle.

Billion Hyundai is a full service dealer specializing in the Hyundai brand. We are locally owned and committed to fostering positive relationships through great customer service throughout the purchase and ownership cycle of your automobile. For more information please visit <http://www.billionauto.com> or at 3405 S Westport Ave, Sioux Falls, SD 57106.

*Contact Billion Hyundai for additional details and restrictions: 605-361-1818.

Thursday, Jan. 8, 2009

From: Randy.Moses@state.sd.us [mailto:Randy.Moses@state.sd.us]
Sent: Thursday, January 14, 2010 11:03 AM
To: Baron, Roger
Subject: RE: Hyundai Assurance

No we haven't taken any position on it so far.

-----Original Message-----

From: Baron, Roger [mailto:Roger.Baron@usd.edu]
Sent: Thursday, January 14, 2010 9:44 AM
To: Moses, Randy
Subject: Hyundai Assurance
Hi Randy,

I will be talking about the Hyundai Assurance Plan today in my Insurance class – only briefly.
(see attached).

Did you guys ever take a position as to whether or not this sort of thing falls under your
regulatory jurisdiction?

My facebook profile: <http://www.facebook.com/profile.php?id=1079378232>

Any views which I express on pending legislation or any other public or private matter are my
views as an individual and do not reflect the views of the University of South Dakota.

--

Roger Baron
(605) 677-6349
School of Law
University of South Dakota

"Men wish to be saved from the mischief of their vices, but not from their vices."

Ralph Waldo Emerson

Senate votes to require proof of liability insurance

By CHET BROKAW
Associated Press

PIERRE — South Dakotans should be required to prove they have liability insurance before they can register their vehicles each year, the state Senate decided Wednesday.

State law requires that drivers have liability insurance or some other proof that they can cover damages from accidents. Insurance cards or other forms of proof must be kept in vehicles.

However, the current law does not require anyone to prove they have insurance until after an accident, Sen. Jim Thompson, R-Watertown, said.

When drivers who do not carry liability insurance are at fault in an accident, other people involved in such crashes are unable to recover damages from the driver at fault. Most drivers carry insurance to protect them in the event they are damaged by an uninsured driver.

Thompson said people in his

district want the Legislature to do something to reduce the number of drivers without liability insurance.

"I think we have a chance to show we respond to what the public asks," Jim Thompson said.

Thompson's bill would require that when people register their vehicles they must present proof they have liability insurance or some other way to cover damages in accidents they cause.

Sen. Charlie Flowers, D-Iroquois, said he sponsored a similar measure last year. The Senate passed that bill, but the House killed it after county treasurers opposed it, he said.



Flowers said he has changed his mind on the issue because requiring proof of insurance at the time vehicles are registered could cause problems for some people. Some farmers have a lot of vehicles, and they could face a delay in registering some of those vehicles if they forget to take some of their insurance cards to the county courthouse, he said.

Thompson said people already must remember to take along some paperwork when they register their vehicles.

People who forget insurance cards probably could quickly get new ones from their insurance agents because the agents in most cases would be located in the same cities as county courthouses, he said.

The bill is SB84.

Angus leader Thurs, Jan. 23, 1997

Press & Dakotan

Legislation To Require Proof Of Insurance Killed

PIERRE (AP) — The Senate Transportation Committee killed a bill Wednesday that would have required vehicle owners to present proof of liability insurance when they register their vehicles each year.

HB1120 would also have made falsifying insurance information to get through registration punishable by up to a \$1,000 fine and a year in jail.

The Legislature has killed a number of similar measures over the years.

The bill's sponsor, Rep. Maurice LaRue, R-Sturgis, said the measure was intended simply to make people show proof of insurance or financial responsibility for their vehicles.

The bill was opposed by Mike Shaw, a lobbyist for the Property Casualty Insurers Association of America, who said drivers without insurance would find ways to get around the law.

"They might buy it for one day to get their car registered," he said.

Shaw said about 7 percent of the state's drivers are uninsured, giving South Dakota the nation's second best rate. He said some people simply refuse to get insurance.

South Dakota law requires that people have their vehicles insured or have proof they have the financial capability to cover liability. When law officers stop people for traffic offenses, they ask for proof of insurance.

LaRue said it would make sense to have people give proof of insurance each year when they register their vehicles.

Deb Hillmer, director of the state Division of Motor Vehicles, opposed the bill because people can register their vehicles by mail as well as by going to the county treasurer's office. The requirement also could cause problems as officials move to a paperless, computerized registration system, she said.

Auto insurance proof bill killed

The state Senate ditched a measure Thursday that would have forced drivers to prove they have auto insurance when they register vehicles each year.

SB104 also would have ordered insurance companies to submit monthly updates of their customers to a database of insured drivers kept by the state Division of Motor Vehicles. County treasurers would have used the information to verify that drivers have insurance before issuing new registrations.

The Senate rejected SB104 on an 18-15 vote.

Uninsured Iowa drivers often off the hook

THE ASSOCIATED PRESS

DES MOINES — A state lawmaker is asking questions about the number of drivers caught driving without proof of insurance in Iowa who are not convicted.

More than half of the nearly 48,000 drivers who were caught last year ended up with a wrist-slap or less. Judges often dismiss charges under a 1998 law. Rather than issue fines, judges let defendants off if they agree to buy auto coverage.

Rep. Clyde Bradley, R-Camanache, who drafted the law, said it's not being properly applied.

"Unfortunately, the enforcement of it seems to be a judgment of the officer or the county attorney or the judges. I don't think it's being uniformly enforced across

Lawmaker unhappy judges dismiss so many charges

the state," Bradley said. "If a lot of them are being dismissed, how do the judges know if they've been through the system when they come back again?"

Of the 47,651 tickets written to motorists in Iowa last year for failure to prove financial liability coverage, 25,426 resulted in dismissal or acquittal.

A review of state records found that of the 1,122 tickets written in Wapello County, 710 were dismissed. In Appanoose County, 323 tickets were written, with 251 dismissed.

In some counties, most of the tickets resulted in convictions. Of the 178 tickets written in Sioux County, 131 ended in

convictions. Records show 109 tickets written in Union County and 85 convictions.

Dyla Bolkema, a court clerk in Sioux County, said people who drive without insurance typically end up being fined. They are not allowed to buy insurance, come back and get the ticket dismissed. "Some of them have no driver's license and no insurance, and some of them tend to be repeat offenders," Bolkema said. "Some of them think it's cheaper to pay the fines and take the risk."

The fine is \$250, with a surcharge of \$75 and court costs of \$15. If there's an accident involved, the fine is \$500, and the

total penalty comes to \$665.

In Polk County last year, 2,730 of the 7,586 motorists charged with failure to have coverage were convicted. District Associate Judge William Price said that if a driver buys coverage or makes things right with the other driver after an accident, he usually dismisses the charge.

Law enforcement officers, court officials and insurance-industry representatives say the number of dismissals is irrelevant to the spirit of the law.

"The law encourages people to keep up their coverage. Some deadbeats will never get insurance, but I think the rest of

society is very supportive" of how the law is enforced, said Ken Runde, chief deputy in Dubuque County, where 1,765 violations of the law were filed in 2001. Records show that 1,017 tickets either were dismissed or ended in acquittal.

The numbers represent many drivers "who were charged with something else, and they pled to one thing and had the other, the insurance, dismissed," Runde explained.

Although it is illegal in most states to drive without insurance, there's no proof that mandatory laws work, according to the Insurance Industry Research Council. A 1998 study found that states with higher auto insurance costs don't necessarily have higher proportions of uninsured motorists.

32-35-113. Maintenance of financial responsibility–Violation as misdemeanor. Every driver or owner of a motor vehicle shall at all times maintain in force one of the forms of financial responsibility on the motor vehicle by one of the following methods:

- (1) Having in force on the motor vehicle an owner's policy of liability insurance as provided in § 32-35-70;
- (2) Having in force a bond as provided in § 32-35-83;
- (3) Having a certificate of deposit of money or securities as provided in § 32-35-87, but in the amount of fifty thousand dollars; or
- (4) Having a certificate of self-insurance, as provided in §§ 32-35-90 and 32-35-91, supplemented by an agreement by the self-insurer that, with respect to accidents occurring while the certificate is in force, he will pay the same amounts that an insurer would have been obligated to pay under an owner's motor vehicle liability policy if it had issued such a policy to said self-insurer.

Failure to maintain financial responsibility is a Class 2 misdemeanor.

Source: SL 1986, ch 269, § 1.

32-35-70. Conditions of owner's policy – Coverage and amount – Filing and form requirements – Date of compliance. An owner's policy of liability insurance referred to in § 32-35-68 shall insure the person named therein and any other person as insured, using any insured vehicle or vehicles with the express or implied permission of the name insured, against loss from the liability imposed by law for damages arising out of the ownership, maintenance, or use of the vehicle or vehicles within the United States of America or the Dominion of Canada, subject to limits exclusive of interests and costs, with respect to each insured vehicle, as follows: twenty-five thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, fifty thousand dollars because of bodily injury to or death of two or more persons in any one accident, and twenty-five thousand dollars because of injury to or destruction of property of others in any one accident. If the policy complies with the filing and form requirements of Title 58 and has been approved by the Division of Insurance, the driver and owner has complied with this chapter. The policy may exclude liability coverage if the policyholder certifies in writing that the vehicle will not be operated during the policy period. The policy may exclude or limit coverage pursuant to § 58-11-9.3, or for a relative residing in the named insured's household. Policies issued after January 1, 1987, and owners who have purchased such policies are in compliance with this chapter. Date of compliance does not affect any pending litigation.

Source: SL 1957, ch 212, § 51; SDC Supp 1960, § 44.03A51 (2) (b); SL 1970, ch 186; SL 1985, ch 266, § 3; SL 1989, ch 279, § 1; SL 1992, ch 232; SL 1992, ch 233, § 1.

Selected provisions of Chapter 58-24 (on rate making)

Chapter 58-24

FIRE, MARINE, CASUALTY, AND SURETY INSURANCE RATES AND RATING ORGANIZATIONS

58-24.1 Purpose of chapter. The purpose of this chapter is to promote the public welfare by regulating insurance rates to the end that they shall not be excessive, inadequate or unfairly discriminatory, and to authorize and regulate cooperative action among insurers in rate-making and in other matters within the scope of this chapter. Nothing in this chapter is intended to prohibit or discourage reasonable competition, or to prohibit or encourage, except to the extent necessary to accomplish the aforementioned purpose, uniformity in insurance rates, rating systems, rating plans, or practices. This chapter shall be liberally interpreted to carry into effect the provisions hereof.

Source: SL 1966, ch 111, ch 15, § 1.

58-24-2. Application of chapter. This chapter applies to all forms of casualty insurance, including fidelity, surety, and guaranty bonds, to all forms of property, fire, marine, and inland marine insurance, workers' compensation, and to any combination of any of the foregoing, on risks or operations in this state. Inland marine insurance shall be deemed to include insurance now or hereafter defined by statute, or by interpretation thereof, or if not so defined or interpreted, by ruling of the director, or as established by general custom of the business, as inland marine insurance.

Source: SL 1966, ch 111, ch 15, § 2.

58-24-5. Excessive, inadequate, or discriminatory rates prohibited. Rates shall not be excessive, inadequate, or unfairly discriminatory.

Source: SL 1966, ch 111, ch 15, § 3 (1) (a).

58-24-6. Making of rates – Matters considered. To determine whether rates are excessive, inadequate, or unfairly discriminatory, the director may consider:

- (1) Past and prospective loss experience within this state;
- (2) Conflagration and catastrophic hazards;
- (3) Reasonable margin for the underwriting profit and contingencies;
- (4) Dividends, savings, or unabsorbed premium deposits allowed or returned by insurers to their policyholders, members, or subscribers;
- (5) Past and prospective expenses specially applicable to this state; and
- (6) All other relevant factors within and outside this state.

The loss experience shall be on at least the most recent five-year period for which such experience is available. If South Dakota data are not adequate because of insufficient sample size, the director shall consider the loss experience or the expense data, or both, outside this state.

Source: SL 1966, ch 111, ch 15, § 3 (1) (b); SL 1990, ch 400, § 1.

Appendix A

BASIC STANDARD FIRE POLICY

In Consideration of the Provisions and Stipulations Herein or Added Hereto and of the Premium Specified, this Company, for the Policy term specified in item 2 of the Declarations from inception date shown at 12:01 a.m. (Standard Time) to expiration date shown at 12:01 a.m. (Standard Time) at location of property involved, to an amount not exceeding the limit of liability specified, does insure the Insured named in item 1 of the Declarations and legal representatives, to the extent of the actual cash value of the property at the time of loss, but not exceeding the amount which it would cost to repair or replace the property with material of like kind and quality within a reasonable time after such loss, without allowance for any increased cost of repair or reconstruction by reason of any ordinance or law regulating construction or repair, and without compensation for loss resulting from interruption of business or manufacture, nor in any event for more than the interest of the Insured, against all LOSS BY FIRE, LIGHTNING AND OTHER PERILS INSURED AGAINST IN THIS POLICY INCLUDING REMOVAL FROM PREMISES ENDANGERED BY THE PERILS INSURED AGAINST IN THIS POLICY, EXCEPT AS HEREINAFTER PROVIDED, to the property described herein while located or contained as described in this policy, or pro rata for five days at each proper place to which any of the property shall necessarily be removed for preservation from the perils insured against in this policy, but not elsewhere.

Assignment of this policy shall not be valid except with the written consent of this Company.

This policy is made and accepted subject to the foregoing provisions and stipulations and those hereinafter stated, which are hereby made a part of this policy, together with such other provisions, stipulations and agreements as may be added hereto, as provided in this policy.

[C4381]

1 **Concealment, fraud.** This entire policy shall be void if, whether
2 before or after a loss, the insured has willfully concealed or mis-
3 represented any material fact or circumstance concerning this
4 insurance or the subject thereof, or the interest of the insured
5 therein, or in case of any fraud or false swearing by the insured
6 relating thereto.

7 **Uninsurable and excepted property.** This policy shall not cover
8 accounts, bills, currency, deeds, evidences of debt, money or
9 securities; nor, unless specifically named hereon in writing,
10 bullion or manuscripts.

11 **Perils not included.** This Company shall not be liable for loss by
12 fire or other perils insured against in this policy caused, directly
13 or indirectly, by: (a) enemy attack by armed forces, including
14 action taken by military, naval or air forces in resisting an actual
15 or an immediately impending enemy attack; (b) invasion;
16 (c) insurrection; (d) rebellion; (e) revolution; (f) civil war;
17 (g) usurped power; (h) order of any civil authority except acts
18 of destruction at the time of and for the purpose of preventing the
19 spread of fire, provided that such fire did not originate from any
20 of the perils excluded by this policy; (i) neglect of the insured to
21 use all reasonable means to save and preserve the property at
22 and after a loss, or when the property is endangered by fire in
23 neighboring premises; (j) nor shall this Company be liable for
24 loss by theft.

25 **Other insurance.** Other insurance may be prohibited or the
26 amount of insurance may be limited by endorsement attached
27 hereto.

28 **Conditions suspending or restricting insurance.** Unless otherwise
29 provided in writing added hereto this Company shall not be liable
30 for loss occurring (a) while the hazard is increased by any
31 means within the control or knowledge of the insured; or (b)
32 while a described building, whether intended for occupancy by
33 owner or tenant, is vacant or unoccupied beyond a period of
34 60 consecutive days; or (c) as a result of explosion or riot,
35 unless fire ensue, and in that event for loss by fire only.

36 **Other perils or subjects.** Any other peril to be insured against
37 or subject of insurance to be covered in this policy shall be by
38 endorsement in writing hereon or added hereto.

39 **Added provisions.** The extent of the application of insurance
40 under this policy and of the contribution to be made by this Com-
41 pany in case of loss, and any other provision or agreement not in-
42 consistent with the provisions of this policy, may be provided for
43 in writing added hereto, but no provision may be waived except
44 such as by the terms of this policy or by statute is subject to
45 change.

46 **Waiver provisions.** No permission affecting this insurance shall
47 exist, or waiver of any provision be valid, unless granted herein
48 or expressed in writing added hereto. No provision, stipulation
49 or forfeiture shall be held to be waived by any requirement or
50 proceeding on the part of this Company relating to appraisal or
51 to any examination provided for herein.

52 **Cancellation of policy.** This policy shall be canceled at any time
53 at the request of the insured, in which case this Company shall,
54 upon demand and surrender of this policy, refund the excess of
55 paid premium above the customary short rates for the expired
56 time. This policy may be canceled at any time by this Company
57 by giving to the insured a five days' written notice of cancellation
58 with or without tender of the excess of paid premium above the
59 pro rata premium for the expired time, which excess, if not ten-
60 dered, shall be refunded on demand. Notice of cancellation
61 shall state that said excess premium (if not tendered) will be
62 refunded on demand.

63 **Mortgage interests and obligations.** If loss hereunder is made
64 payable, in whole or in part, to a designated mortgagee not
65 named herein as the insured, such interest in this policy may be
66 canceled by giving to such mortgagee a 10 days' written notice
67 of cancellation.

68 If the insured fails to render proof of loss such mortgagee, upon
69 notice, shall render proof of loss in the form herein specified
70 within sixty (60) days thereafter and shall be subject to the pro-
71 visions hereof relating to appraisal and time of payment and of
72 bringing suit. If this Company shall claim that no liability existed
73 as to the mortgagor or owner, it shall, to the extent of payment
74 of loss to the mortgagee, be subrogated to all the mortgagee's
75 rights of recovery, but without impairing mortgagee's right to
76 sue, or it may pay off the mortgage debt and require an assign-
77 ment thereof and of the mortgage. Other provisions relating to
78 the interests and obligations of such mortgagee may be added
79 hereto by agreement in writing.

In Witness Whereof, this Company has executed and attested these presents; but this policy shall not be valid unless countersigned
by the duly authorized Agent of this Company at the agency hereinbefore mentioned.

80 **Pro rata liability.** This Company shall not be liable for a
81 greater proportion of any loss than the amount hereby insured
82 shall bear to the whole insurance covering the property against
83 the peril involved, whether collectible or not.

84 **Requirements in case loss occurs.** The insured shall give writ-
85 ten notice to this Company of any loss without unnecessary de-
86 lay, protect the property from further damage, forthwith sepa-
87 rate the damaged and undamaged personal property, put it in
88 the best possible order, furnish a complete inventory of the de-
89 stroyed, damaged and undamaged property, showing in detail
90 quantities, costs, actual cash value and amount of loss claimed;
91 and within 60 days after the loss, unless such time is extended
92 in writing by this Company, the insured shall render to this Com-
93 pany a proof of loss, signed and sworn to by the insured, stating
94 the knowledge and belief of the insured as to the following: the
95 time and origin of the loss, the interest of the insured and of all
96 others in the property, the actual cash value of each item thereof
97 and the amount of loss thereto, all encumbrances thereon, all
98 other contracts of insurance, whether valid or not, covering any
99 of said property, any changes in the title, use, occupation, loca-
100 tion, possession or exposures of said property since the issuing of
101 this policy, by whom and for what purpose any building herein
102 described and the several parts thereof were occupied at the
103 time of loss and whether or not it then stood on leased ground,
104 and shall furnish a copy of all the descriptions and schedules in
105 all policies and, if required and obtainable, verified plans and
106 specifications of any building, fixtures or machinery de-
107 stroyed or damaged. The insured, as often as may be reason-
108 ably required, shall exhibit to any person designated by this
109 Company all that remains of any property herein described, and
110 submit to examinations under oath by any person named by this
111 Company, and subscribe the same; and, as often as may be rea-
112 sonably required, shall produce for examination all books of
113 account, bills, invoices and other vouchers, or certified copies
114 thereof if originals be lost, at such reasonable time and place as
115 may be designated by this Company or its representative, and
116 shall permit extracts and copies thereof to be made.

117 **Appraisal.** In case the insured and this Company shall fail to
118 agree as to the actual cash value or the amount of loss, then, on
119 the written demand of either, each shall select a competent and
120 disinterested appraiser and notify the other of the appraiser
121 selected within 20 days of such demand. The appraisers
122 shall first select a competent and disinterested umpire; and fail-
123 ing for 15 days to agree upon such umpire, then, on request of
124 the insured or this Company, such umpire shall be selected by a
125 judge of a court of record in the state in which the property cov-
126 ered is located. The appraisers shall then appraise the loss,
127 stating separately actual cash value and loss to each item; and,
128 failing to agree, shall submit their differences, only, to the um-
129 pire. An award in writing, so itemized, of any two when filed
130 with this Company shall determine the amount of actual cash
131 value and loss. Each appraiser shall be paid by the party
132 selecting him and the expenses of appraisal and umpire shall
133 be paid by the parties equally.

134 **Company's options.** It shall be optional with this Company to
135 take all, or any part, of the property at the agreed or appraised
136 value, and also to repair, rebuild or replace the property
137 destroyed or damaged with other of like kind and quality
138 within a reasonable time, on giving notice of its intention so to
139 do within 30 days after the receipt of the proof of loss herein
140 required.

141 **Abandonment.** There can be no abandonment to this Com-
142 pany of any property.

143 **When loss payable.** The amount of loss for which this Com-
144 pany may be liable shall be payable 60 days after proof of
145 loss, as herein provided, is received by this Company and ascer-
146 tainment of the loss is made either by agreement between the
147 insured and this Company expressed in writing or by the filing
148 with this Company of an award as herein provided.

149 **Suit.** No suit or action on this policy for the recovery of any
150 claim shall be sustainable in any court of law or equity unless
151 all the requirements of this policy shall have been complied
152 with, and unless commenced within 12 months next after
153 inception of the loss.

154 **Subrogation.** This Company may require from the insured
155 an assignment of all right of recovery against any party for
156 loss to the extent that payment therefor is made by this
157 Company.

Auto-insurance rates for S.D. third lowest

Rural status helps, trade group says

By **STEVE YOUNG**
Argus Leader Staff

South Dakotans paid the third-lowest auto-insurance rates in the nation during 1993, a national insurance trade association says.

The National Association of Independent Insurers showed an annual average premium of \$484.96 in South Dakota for private passenger vehicles. That trailed only North Dakota and Iowa.

New Jersey motorists were at the other end of the spectrum, spending an average of \$1,094.56 a year on their premiums.

David Smolensky, a spokesman for the national group, said the range is explained by a number of factors, most notably South Dakota's status as a rural state.

"Because there are more rural areas where you live, there are less accidents. That's a big thing," Smolensky said.

There are a lot of other factors that keep the state's rates down, too, he said:

- Low theft rates.
- Lower body-repair costs.
- Lower hospitalization costs.
- Lower lawyer fees.

Insurance agents also say rates are low because hundreds of companies compete for South Dakotans' insurance business, which historically is profitable.

"There are definite differences from state to state," Smolensky said. "New Jersey, for example, has a high auto-theft crime rate. So their probability for loss is much greater."

But at least one Sioux Falls insurance agent is convinced that the city's rates will increase steadily as its population continues to grow.

"How many cars are stolen out of Sioux Falls that aren't retrieved? I think we'll see more of it as time

Low auto insurance rates in South Dakota

Here is a look at the five lowest and highest states in 1993:

■ Lowest	
North Dakota	\$448
Iowa	467
South Dakota	485
Nebraska	495
Idaho	513

■ Highest	
New Jersey	\$1,095
Hawaii	1,078
Rhode Island	1,034
Massachusetts	1,010
Connecticut	1,003

Source: National Association of Independent Insurers

Linda Smith/Argus Leader

goes on, more carjackings and theft," said Charles Elhoff of the Elhoff Insurance Agency. "And rates will go up because of it."

Indeed, South Dakota ranked just behind North Dakota in 1992, Smolensky said. But the average premium here increased 8 percent from 1992 to 1993 — compared with a 3 percent increase nationwide — the insurance association said.

It cited increased costs for auto-body repair, medical care and legal services for the 8 percent jump.

Elhoff said the best way to keep premiums low is to drive smart. That means not speeding, running red lights, cutting other drivers off or tailgating.

"Most everything that happens to us is self-inflicted, and that includes insurance premiums," he said. "By the way we drive, we bring a lot of things on ourselves. And I'm just as guilty."

Two SD Cases Dealing With Claims Against Agents

Aesoph v. Kusser, 498 N.W.2d 654 (S.D. 1993) – This case recognizes a cause of action against an insurance agent for negligent misrepresentation. The agent allegedly told the plaintiffs that they “were not eligible” for federal crop insurance. In fact, they were eligible. The trial court dismissed the plaintiffs’ suit against the agent, but the SD Supreme Court reversed, recognizing that South Dakota was one of the first states to recognize a cause of action for negligent misrepresentation. The agent was under no obligation to tell the plaintiffs whether they were or were not eligible, but when the agent chose to provide an answer (saying they were not eligible), his relationship changed and he was under a duty to exercise care.

Kobbeman v. Oleson, 1998 SD 20, 574, N.W.2d 633 – The insured-tortfeasor had liability insurance of \$100,000 but was supposed to also have a \$1,000,000 umbrella policy. The insured-tortfeasor had paid the agent money for the premium for the umbrella policy, but the agent had not secured the policy. The insured-tortfeasor settled the claim by the victim through payment of the \$100,000 primary policy limit and by making an assignment to the tort victim of his cause of action against the insurance agent. The SD Supreme Court acknowledged that there was a cause of action by the insured against the agent. The Court also approved of the notion that an insured-tortfeasor could indeed assign a cause of action against an insurance agent (for failure to secure umbrella coverage insurance) to the tort victim in exchange for a covenant not to sue, despite the fact that the tort victim’s claim had not been reduced to judgment. Noting that such an assignment would be inappropriate for a 3rd party bad faith claim, the Court stated as follows:

“In bad faith refusal to settle cases, a rule mandating post-judgment assignment is more imperative because, in most instances, no cause of action solidifies until judgment is rendered against an insured.” *Id.* at 638.

The insurance agent ultimately won in this case, however, because the statute of limitations had run on the tort victim’s underlying claim against the insured-tortfeasor. [Justice Sabers dissented on the s/l defense, noting that this was similar to a “case within a case” as seen in legal malpractice situations ... just because the lawyer missed the s/l doesn’t mean that the client cannot sue the lawyer for malpractice ... here the tort victim ought to be able to pursue the agent (through the assignment) despite the fact the s/l had expired on the claim against the insured-tortfeasor.]

North Star v. Rasmussen

In *North Star v. Rasmussen*, 2007 SD 55, 734 N.W.2d 352, the insured sought to have both primary liability coverage and umbrella coverage for his boat. This boat was listed on his primary liability policy, but not on the umbrella policy. After an accident in which the insured's son sustained serious injuries, the agent requested the umbrella insurer (North Star) to add the boat to the umbrella coverage. The insurer did so and billed the insured for a premium which would cover a year's period – and this included the date when the accident occurred. One of the issues in this case is the alleged negligence of the agent who failed to secure umbrella coverage for the boat at the same time primary liability coverage was secured. The trial court granted summary judgment for North Star, the umbrella insurer and the SD Supreme Court affirmed in a unanimous opinion authored by former Chief Justice Robert Miller, sitting for Justice Sabers, disqualified. The Court rejected the argument that the policy was ambiguous and did in fact extend coverage for the boat which was not specifically listed on the declarations page. (Encompassed in the resolution of this issue is the resolution of whether or not "retroactive insurance" was provided when the insurer charged and collected a premium for the time period encompassing the accident.)

The South Dakota Supreme Court also rejected the argument that the agent was the agent for the insurer and therefore the insurer was, accordingly, responsible for the agent's negligence. The agent had the ability to select umbrella coverage from six different insurers. The agent had authority from this insurer (North Star) to solicit insureds, but did not have the authority to "bind" this insurer to umbrella coverage. The Court held that the agent, under the facts presented in this case, was the agent for the insured, not the insurer.

In the process of addressing the arguments set forth by the insured, the Court rejected the insured's contention that SDCL 58-30-142(1) and 58-30-176, enacted in 2001, applied. These statutes went into effect before the accident but were not in effect in 2000 when the agent failed to have the boat included in the umbrella coverage. But, the Court did not rest its decision solely upon the non-application of the 2001 statutes. The Court further held that under "the general laws of agency" under the facts of this case, the agent served as the agent of the insured, not the insurer. The Court made this holding "even assuming these [2001] statutes do control." The Court also stated, "Whether an insurance broker is the agent of the insurer or of the insured depends on the facts of the particular case." ¶ 47.

S.D. Division Of Insurance Helps Consumers In Fiscal Year 2006

PIERRE — Nearly 1,100 insurance consumers were assisted by the South Dakota Department of Revenue and Regulation, Division of Insurance during fiscal year 2006, according to figures released by the division.

Fiscal year end statistics show the Division of Insurance helped 1,087 consumers who had written the agency requesting assistance. The division successfully recovered \$1,720,091.76 for consumers this past fiscal year. Whether people have a specific insurance problem or simply need information, Division Director Merle Scheiber says his staff is ready to help.

"The calls and letters we get from consumers range from just general questions about insurance coverage to specific situations where people are having difficulties with their insurance provider," Scheiber said. "We take all inquiries we receive seriously and do our best to get the consumer the help they need. They are always encouraged to utilize the division's services, no matter what the situation."

People wanting to contact the South Dakota Division of Insurance with questions or for assistance may do so by mail at 445 East Capitol Avenue, Pierre, SD 57501; by phone at 605.773.3563; or via their web site at www.state.sd.us/drr2/reg/insurance.

II. Automobile Insurance

Coverage Issues

Authorities in Support of Liability Insurance Discussion – Prof. Roger Baron

On the notion of “direct action” and the general prohibition against “direct action” against a liability insurer, one may wish to see the following: *Trouten v. Heritage Mutual Insurance Co.*, 2001 SD 106, 632 N.W.2d 856 (08/15/01) [Holding that injured pedestrian may **not** maintain action directly against the property owner’s liability insurer – “As a general rule there is no privity between an injured person and the tortfeasor’s liability insurer, and the injured person has no right of action at law against the insurer[.]” 44 AmJr2d *Insurance* § 1445(1982).” 632 N.W.2d at 858, ¶ 11. *See generally* discussion in ¶¶ 10 - 24. The court also derives support for this conclusion from SDCL 58-23-1 which authorizes direct action only after judgment has been entered and execution thereon is returned unsatisfied.] *See also, White v. Goodville Casualty Co.*, 696 P.2d 1229 (Kan. 1979).

The requirement of the “omnibus clause” coverage in automobile liability insurance is mandated by SDCL 32-35-70

Allowing one to drive one’s vehicle does not, by itself, generate liability on the part of the owner for the permissive user’s negligence.¹ *Stover v. Critchfield*, 510 N.W.2d 681 (S.D. 1994).

Authorities recognizing a cause of action for “negligent entrustment”

Stover v. Critchfield, 510 N.W.2d 681 (S.D. 1994) at 683-84; *Arbach v. Gruba*, 232 N.W.2d 842 at [4], p. 846, holding that allowing an unlicensed driver to drive one’s car is negligence *per se*; *Estate of Trobaugh v. Farmers Ins. Exchange, et al.*, 2001 SD 37, 623 N.W.2d 497 (03/21/01) Holding that evidence was sufficient to support “negligent entrustment” claim against car owner when his daughter let negligent driver (daughter’s husband) operate car, despite previous verbal instruction that husband was not permitted to drive car; *Wilson v. Lewno*, 2001 SD 37, 623 N.W.2d 494 (03/21/01). Holding that evidence was sufficient to show “implied permission” by owner of car to support “negligent entrustment” when owner’s unlicensed son (who had his driver’s license suspended for 25 years) was permitted to drive vehicle.

Omnibus Clause Coverage not provided where TF operates insured vehicle without consent of owner. *State Farm v. Ragatz*, 1997 SD 123, 571 N.W.2d 155. Father gave son permission to drive his ‘76 Chevy pick-up truck but repeatedly told son **not** to let others drive the pick-up. Son let his roommate/tortfeasor drive pick-up and he had accident. Insurer sued roommate/tortfeasor and passengers in truck for declaratory judgment as to coverage under omnibus clause for permissive users. Trial court ruled for insurer and this was affirmed on appeal. Supporting facts are that father had given admonitions to son for 15 years to “not allow” anyone else to drive the truck.

¹ Some states have passed statutes which do indeed impose this liability on owners. *See eg., Iowa Code Ann.* §§ 321.493 (West 1985) which states in part that, “In all cases where damage is done by any motor vehicle by reason of negligence of the driver, and driven with the consent of the owner, the owner of the motor vehicle shall be liable for such damage.”

PIERRE

Court says man can't sue business' insurance firm

BY CHET BROKAW
Associated Press

A man who claims he was injured in a fall outside a Sioux Falls business cannot directly sue the business' insurance company, a split South Dakota Supreme Court ruled Thursday.

State law says an injured person cannot sue an insurance company unless that person has first obtained a judgment against the person or company covered by that liability insurance policy, the high court said in a 3-2 decision.

Courts in some states have ruled that injured people can sue insurance companies because they are third-party beneficiaries under the portion of liability policies that pays medical expenses regardless of fault.

But the South Dakota Supreme Court said the Legislature has prohibited such direct legal action against an insurance company unless an injured person first has been unable to collect on a judgment against the person or company covered by the policy.

The high court said it would not create such a right itself because that could lead to more lawsuits. Injured people might sue both the insurance company and the policyholder, the justices said.

G. Robert Trouten alleges that he slipped and fell on a sidewalk next to Rock Bottom Liquidators in Sioux Falls on June 30, 1999.

The company had liability insur-

ance with Heritage Mutual Insurance Co. that provided up to \$5,000 for medical expenses for any injury caused by an accident. The coverage applied regardless of fault.

Heritage denied Trouten's claim for medical and hospital expenses. Court documents say the parties dispute whether the fall actually occurred and, if it did, where it occurred and whether it caused the injuries claimed by Trouten.

Trouten sued Heritage, seeking compensatory damages for breach of contract and punitive damages for bad-faith breach of the insurance policy.

Heritage sought to have the suit thrown out, but Circuit Judge Glen Severson of Sioux Falls ruled Trouten could continue his lawsuit.

The Supreme Court's decision requires that the lawsuit be thrown out.

Trouten had argued that since the policy will pay medical expenses for injured people regardless of fault, he is a designated beneficiary entitled to sue to collect such a payment.

The dissenting justices said they believe Trouten is a third-party beneficiary of the portion of the policy that covers medical expenses.

He should be allowed to sue to recover those expenses regardless of whether he ever sues the property owner, they said.

Trouten v. Heritage
Mutual Ins.,

2001 S.D. 106

632 NW2 856

(8/15/01)



Note

Grounded in public policy considerations, State legislation and regulation have significantly affected the terms of auto policies. One requirement for automobile insurance policies commonly mandated by State law is the so-called "omnibus" or "permission" clause. When a State legislature has required such a provision and defined what it is supposed to cover, what should be done with a clause that differs from the requirements? The next case takes up this issue.

METZ v. UNIVERSAL UNDERWRITERS INSURANCE CO.

Supreme Court of California, 1973.

10 Cal.3d 45, 109 Cal.Rptr. 698, 513 P.2d 922.

[Metz was run into by Hamlin driving a car leased to him by National. After recovering from Hamlin's insurers the limit of the policies they had issued (\$100,000), Metz sought to recover the balance of his judgment claim against Hamlin (\$154,593.74) from Universal, the company which had issued a liability policy to Hamlin's lessor, National. Metz won. One contention made by Universal was that its policy excluded from coverage cars "while rented to others". State statutes required auto liability policies to extend coverage to "permissive users".] The court said: (10 Cal.3d 50-54).

2. *The policy's exclusion of vehicles "while rented to others" conflicts with the mandatory coverage of permissive users, imposed, as of the policy date, by Insurance Code section 11580.1, subdivision (d).*

In *Wildman v. Government Employees' Ins. Co.*, (1957) 48 Cal.2d 31, 307 P.2d 359, we held that the required coverage of permissive users "must be made a part of every policy of insurance issued by an insurer since the public policy of this state is to make owners of motor vehicles financially responsible to those injured by them in the operation of such vehicles. * * * [F]or an insurer to issue a policy of insurance which does not cover an accident which occurs when a person, other than the insured, is driving with the permission and consent of the insured, is a violation of the public policy of this state." (48 Cal.2d at p.39, 307 P.2d at p. 364.)

Although Universal's policy provides coverage for permissive users, it unambiguously excludes automobiles "while rented to others." The issue before us thus must be whether this exclusion conflicts with Insurance Code section 11580.1, subdivision (d). Universal concedes that a provision excluding coverage of renters would be an exclusion of a class of permissive users and hence void. * * * It maintains, however, that its policy does not exclude a class of users, but a class of automobiles, namely, those rented to persons other than the named insured.

Universal points out that no statute or public policy requires an insurer to cover all vehicles

owned by the named insured. * * * It may agree to insure a car used principally by the named insured, while excluding another car rented by the insured to another person. (See *Pacific Indem. Co. v. Liberty Mut. Ins. Co.* (1969) 269 Cal.App.2d 793, 796, 75 Cal.Rptr. 559.) The insurer, moreover, may agree to insure a vehicle for ordinary use, but refuse coverage of extraordinary use. (See *All state Ins. Co. v. Normandie Club* (1963) 221 Cal.App.2d 103, 34 Cal.Rptr. 280 [exclusion of "any automobile while used as a public or livery conveyance."])

The right of the insurer to limit its coverage of automobiles, however, does not go so far as to permit the insurer by adroit wording to evade the statutory requirement for coverage of permissive users. (See *Bonfils v. Pacific Auto. Ins. Co.* (1958) 165 Cal.App.2d 152, 156, 331 P.2d 766.) For example, a policy which excluded automobiles "when operated by a permissive user" would be clearly seen as an exclusion of persons, not vehicles and void under section 11580.1, subdivision (d). Thus in *Clark v. Universal Underwriters Ins. Co.* (1965) 233 Cal.App.2d 746, 43 Cal.Rptr. 822 and *Pacific Indem. Co. v. Universal underwriters Ins. Co.* (1965) 232 Cal.App.2d 541, 43 Cal.Rptr. 26, in which the policy provision offered coverage to permissive users only while the insured automobile "is operated by the named insured," the courts had no difficulty finding the provision an impermissible exclusion of permissive users.

The case most closely resembling the present one is *Republic Indem. Co. v. Employers Liab. Assur. Co.* (1968) 267 Cal.App.2d 121, 72 Cal.Rptr. 718, in which a policy issued to an automobile repair shop provided that "such insurance as is afforded by this policy does not apply to any automobile used by the insured for the purpose of loaning to customers." The insurer contended that its policy excluded *automobiles*, not *permissive users*—essentially the same argument as that presented by Universal in the present case. The court rejected this contention and held that "The endorsement is a restriction against permissive users such as has been continually held to be violative of public policy." (267 Cal.App.2d at p. 126, 72 Cal.Rptr. at p. 721.)

The exclusion of automobiles "while rented to others" in the instant case parallels the exclusion of cars "loaned to customers" held invalid in *Republic Indemnity*. In both cases the policies spoke superficially of excluding only a class of automobiles. But in both cases the definitive characteristic of the excluded class of vehicles lies in the fact that they are operated by a class of permissive users; hence, in practical effect the exclusion denies coverage to this class of permissive users.

We have uniformly held that "the entire automobile financial responsibility law must be liberally construed to foster its main objective of giving 'monetary protection to that ever changing and tragically large group of persons who while lawfully using the highways themselves suffer grave injury through the negligent use of those highways by others.'" (*Interinsurance Exchange v. Ohio Cas. Ins. Co.* (1962) 58 Cal.2d 142, 153, 23 Cal.Rptr. 592, 598, 373 P.2d 640, 646; *Barrera v. State Farm Mut. Automobile Ins. Co.* (1969) 71 Cal.2d 659, 671, 79 Cal.Rptr. 106, 456 P.2d 674.) Applying this principle of construction, we conclude that section 11580.1, subdivision (d), did not merely proscribe policy provisions which by their

terms exclude coverage for permissive users, but also invalidated provisions which, by defining a class of excluded vehicles in terms of their operation by permissive users, serves effectively to deny coverage to those users. We hold that Universal's exclusion of automobiles "while rented to others" conflicts with Insurance Code section 11580.1, subdivision (d), and is therefore ineffective to limit coverage of Hamlin.

[The remaining portions of the opinion are omitted.]

Notes

1. Although the complicated subjects of "excess" and "primary" coverage will be given attention in this book, students ought to realize at this point that more than one insurance policy may be applicable to a case involving the driver of a rented car. At a minimum, his own policy and the lessor's policy may apply, except, of course, as the law may restrict that result.

Automobile Insurance Also Extends to Non-Owned Automobiles

An automobile policy must insure all permissive users, in accordance with the omnibus clause requirements of SDCL 32-25-70. In addition to this, however, an automobile policy must extend coverage to non-owned automobiles operated by the insured by virtue of SDCL 32-35-71 which follows:

32-35-71. Conditions of operator's policy – Nonowned vehicles – Limits of liability.

An operator's policy of liability insurance referred to in § 32-35-68 shall insure the person named as insured therein against loss from the liability imposed upon him by law for damages arising out of the use by him of any motor vehicle not owned by him, within the territorial limits described in § 32-35-70 and subject to the limits of liability set forth in § 32-35-70 with respect to an owner's policy of liability insurance.

So, the question becomes as between the auto owner's policy and the driver's policy "which policy is primary?" Or, which policy pays first?

This question was posed to Randy Moses, a VERY smart/knowledgeable insurance person at the South Dakota Division of Insurance and he was gracious enough to give an answer by way of an e-mail message dated September 2, 1997 (thanks, Randy!):

"Under the question dealing with a claim while operating a nonowned auto with permission, there is no statutory provision which sets forth which policy is excess. However, standard policy language which has been in place for a long time makes the owner's policy primary and the driver's policy excess. The phrase under the other insurance clause in the 1988 ISO form for example states that 'However, any insurance we provide for a vehicle you do not own shall be excess over any other collectible insurance.'"

This rule is different if the owner of the vehicle is "anyone engaged in the business of selling, repairing, servicing, storing or parking motor vehicles."² In such case, SDCL 58-23-4(2) places primary coverage on the driver's policy and makes the owner's policy excess. This statute provides extra protection to insurers which provide insurance to those engaged in the business of selling, repairing, servicing, storing or parking automobiles.

The case of *National Farmers Union v. Universal*, 534 N.W.2d 63 (S.D. 1995), deals with a situation in which the tortfeasor was driving a car owned by an automobile dealership at the time of the accident. The dispute was between the insurer of the tortfeasor's father and the car dealer's insurer. In this case, the auto dealer's insurer was held to be primarily and solely responsible because of a Driver Restriction Endorsement which excluded the son from coverage. No coverage at all existed for the son by virtue of the driver restriction endorsement which is permitted under SDCL 58-11.9.3. Had there been coverage for the son, then that coverage would have been primary by virtue of SDCL 58-23-4(2).

² This language is taken from the introductory sentence of SDCL 58-23-4.

Auto-Owners Ins. Co. v. Enterprise Rent-A-Car Co.

South Dakota Supreme Court

2003 SD 52, 663 N.W.2d 237

GILBERTSON, Chief Justice

[¶1.] Auto-Owners Insurance Company (Auto-Owners) is the insurer of the operator of a rental car that was involved in a collision. Auto-Owners brought a declaratory judgment action to determine whether it or Enterprise Rent-A-Car (Enterprise) had the duty to provide primary coverage on a vehicle that was operated by one of Enterprise's customers. The circuit court determined Enterprise had the primary obligation to defend and indemnify. Enterprise appeals and we affirm.

FACTS AND PROCEDURE

[¶2.] Enterprise is an automobile rental company, which is licensed and authorized to conduct business in the state of South Dakota. It is registered as a foreign corporation in this state. Enterprise is self-insured and has filed a Certificate of Self-Insurance in the state of South Dakota.

[¶3.] William Leopard (Leopard), a resident of South Dakota, rented an automobile from Enterprise on August 17, 2000 in Omaha, Nebraska. Leopard signed a rental agreement that contained the following clause:

Owner does not provide, extend, or afford any insurance coverage to renter, passenger or authorized operator through this agreement. Owner's financial responsibility is expressly limited to those applicable provisions of the motor vehicle financial responsibility laws of the state in which the vehicle is operated. Renter assumes full responsibility for any damage to, destruction, or loss of property transported by or in the rented vehicle. If there is other valid and collectible automobile liability protection or insurance on any basis available to renter or any other person, and if such protection or insurance satisfies the financial responsibility laws, then no liability protection is afforded by owner. However, if renter is in compliance with the terms and conditions of this agreement and if owner is determined by law to provide liability protection to any renter or authorized driver, such liability protection shall be limited to the minimum financial responsibility limits of the state in which the vehicle is operated.

[¶4.] The rental agreement also contained a "Renters Indemnity Provision." This provision stated:

Upon demand from owner, renter agrees to defend, indemnify and hold owner harmless from all losses, liabilities, damages, injuries, claims, demands, costs and expenses incurred by owner in any manner from this rental transaction or from the use, operation of the rental car by any party, including claims of, or liabilities to, third parties, and agrees to present such a claim to their insurance carrier for all such expenses. If renter has no insurance to cover such events or losses, renter agrees to pay owner for such losses.

[¶5.] Ten days later, while Leopard was driving the rental car in Sioux Falls, South Dakota, he was involved in a car accident. A civil action for personal injuries was brought against Leopard by the occupants of the other car.

[¶6.] Leopard has automobile insurance with Auto-Owners. In the policy that Auto-Owners issued to Leopard, was a clause that provided that liability coverage extended to damages assumed in a "private passenger automobile lease or rental agreement." Auto-Owners ultimately provided the defense to the civil action after Enterprise denied coverage. Thereafter, a declaratory action was brought by Auto-Owners against Enterprise to determine whether a Certificate of Self-Insurance on a motor vehicle owned by Enterprise requires Enterprise to provide defense and indemnification to Leopard. Both parties filed motions for summary judgment. The circuit court granted Auto-Owners' motion, finding that despite the language of the rental agreement, Enterprise was responsible for the minimum limits of \$25,000/\$50,000 as a self-insurer. Therefore, Enterprise owed the primary duty to defend and indemnify Leopard. Enterprise appeals raising the following issue:

Whether Enterprise's rental agreement, which states it does not have the primary duty to defend and indemnify, violates South Dakota's insurance statutes.

STANDARD OF REVIEW

[¶7.] The trial court's legal conclusions regarding insurance contract interpretation and statutory construction are reviewed under the de novo standard. *Auto-Owners Ins. Co. v. Hansen Housing, Inc.*, 2000 SD 13, ¶10, 604 NW2d 504, 509 (citing *National Farmers Union Property and Cas. Co. v. Universal Underwriters Ins. Co.*, 534 NW2d 63, 64 (SD 1995)). When an insurance company relies on a contract exclusion to foreclose coverage, "the insurer has the burden of proving that the exclusion applies." *Auto-Owners*, 2000 SD 13, ¶10, 604 NW2d at 509 (citation omitted).

ANALYSIS AND DECISION

[¶8.] Enterprise first argues that since the rental agreement was executed in Nebraska, that state's law should apply. However, the rental contract, which was prepared by Enterprise, explicitly states:

Owner's financial responsibility is expressly limited to those applicable provisions of the motor vehicle financial responsibility laws of the state in which the vehicle is operated.
(Emphasis added.)

It is undisputed that the auto accident occurred in South Dakota. Therefore, under the plain words of the rental agreement, South Dakota's law applies.

[¶9.] The next step in our analysis is looking to the applicable state statutes. SDCL 32-35-70 was enacted in 1986 and requires all motor vehicle owners to maintain proof of financial responsibility. This statute provides:

An owner's policy of liability insurance referred to in § 32-35-68 shall insure the person named therein and any other person as insured, using any insured vehicle or vehicles with the express or implied permission of the named insured, against loss from the liability imposed by law for damages arising out of the ownership, maintenance, or use of the vehicle or vehicles within the United States of America or the Dominion of Canada,

subject to limits exclusive of interests and costs, with respect to each insured vehicle, as follows: twenty-five thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, fifty thousand dollars because of bodily injury to or death of two or more persons in any one accident, and twenty-five thousand dollars because of injury to or destruction of property of others in any one accident. If the policy complies with the filing and form requirements of Title 58 and has been approved by the Division of Insurance, the driver and owner have complied with this chapter. The policy may exclude liability coverage if the policyholder certifies in writing that the vehicle will not be operated during the policy period. The policy may exclude or limit coverage pursuant to § 58-11-9.3, or for a relative residing in the named insured's household. Policies issued after January 1, 1987, and owners who have purchased such policies are in compliance with this chapter. Date of compliance does not affect any pending litigation.

This statute clearly requires that an automobile owner provide coverage for those who use the vehicle with either express or implied permission. It is undisputed that Leopard entered into a rental agreement for the use of one of Enterprise's vehicles in exchange for a fee.

[¶10.] Moreover, Enterprise as a self-insured company, pursuant to SDCL 32-35-90, filed a self-insurance certificate with the State of South Dakota. We stated in *National Farmers Union Property and Casualty Co. v. Bang*, 516 NW2d 313, 317 (SD 1994);

The sole purpose of self-insurance is to relieve self-insurers of the burden of expending their assets on insurance premiums; self-insurance is not a means by which self-insurers may avoid the claims of those individuals for whose protection the insurance laws have been enacted.

(quoting *Modesta v. Southeastern Pa. Transp. Auth.*, 503 Pa 437, 441-42, 469 A2d 1019, 1022 (1983)). Furthermore, under SDCL 32-35-113, South Dakota's financial responsibility statute, if a company receives a certificate of self-insurance, it "will pay the same amounts that an insurer would have been obligated to pay under an owner's motor vehicle liability policy if it had issued such a policy to said self-insurer."

[¶11.] Auto-Owners assert that the use of the words "owner's policy" in the above statute "clearly contemplates the requirements of an owner's policy" as defined in SDCL 32-35-70. Under that statute, Enterprise would be primarily responsible for coverage for a permissive user of one of its automobiles. We agree with Auto-Owners' argument. As we stated in *Bang*, because those who self-insure are obligated to pay the same amount it would be obligated to pay under a motor vehicle liability policy, "self-insurers in South Dakota must provide ... coverage for motor vehicle liability." 516 NW2d at 317.

[¶12.] Enterprise next argues that the language of its rental agreement is valid and not contrary to South Dakota's public policy. In *Cimarron Insurance Co. v. Croyle*, we held that a "household exclusion" clause in an automobile insurance policy, which conflicted with SDCL 32-35-70, was void to the extent of the mandated minimum coverage. 479 NW2d 881, 885 (SD 1992). After we issued that decision, the legislature immediately amended SDCL 32-35-70 to allow insurance companies to issue liability policies with "household exclusions." See, e.g., *DeSmet Ins. Co. of South Dakota v. Gibson*, 1996 SD 102, ¶6, 552 NW2d 98, 99.

[¶13.] The above statutes support a strong public policy consideration. We have previously

stated:

We note that placing primary coverage on the owner's insurer is nothing new. In fact, the general rule is that primary liability is placed with the insurer of the owner of the vehicle involved in an accident, rather than on the insurer of the operator. [The Insurer] cannot claim an overriding public policy to the contrary.

Union Ins. Co. v. Farmland Ins. Co., 389 NW2d 820, 822 (SD 1986) (internal citations omitted). In Hertz Corp. v. State Farm Mutual Insurance Co., 573 NW2d 686, 691 (Minn 1998), the Minnesota Supreme Court held that Hertz, the rental car company's insurance was primary to the operator's insurance. That court stated, "Hertz's self-insurance must provide liability coverage for damages caused by the use of vehicles it owns and offers for rent." Id. Likewise, we hold that Enterprise is responsible for insuring its rental vehicles.

[¶14.] If we were to hold that Enterprise could validly contract itself out of providing insurance for the vehicles that it rents, this would in effect mean that the rules that apply to other owners of automobiles regarding liability would not apply to Enterprise. Enterprise enjoys self-insured status in South Dakota and as such, does not have to pay premiums for insurance, like other auto-owners. South Dakota has made clear that those who choose to self-insure are held to the same duties as those who do not.

[¶15.] For the foregoing reasons, we hold that Enterprise must provide primary liability coverage for its vehicles that it owns and leases to customers. In accord with SDCL 32-35-70, Enterprise is responsible for coverage up to the mandatory minimum amounts. Affirmed.

[¶16.] SABERS, KONENKAMP, ZINTER, and MEIERHENRY, Justices, concur.

State Farm v. Bottger,

2011 S.D. 2, 793 N.W.2d 389

FACTS (quoting ¶2 and ¶3 of opinion) :

[¶2.] Most of the facts are not in dispute ... The events leading up to Kosinski's injury started in a corn field in Union County, South Dakota, where Ludwig, Kosinski, and Darci Irwin attended a high school drinking party. Ludwig drove her car to the party but needed a sober driver to drive the car back to her residence in Elk Point, South Dakota. The three young women asked Bottger if he was sober and capable of driving them to Elk Point in Ludwig's car. Bottger assured them he was sober enough to drive. Relying on his claim of sobriety, Ludwig allowed Bottger to drive her car. The young women soon realized that Bottger was intoxicated and that his fast and erratic driving on the gravel road was placing them in danger. Ludwig directed Bottger to "pull the car over and stop." Kosinski and Irwin also "yell[ed] at [him] from the back seat to slow down or pull over." Bottger disregarded their requests. He continued speeding, missed a turn at a T-intersection, and crashed into a steep ditch.

[¶3.] No one was injured from the crash, but the car was wedged and stuck. All the passengers,

except Bottger, got out of the car. Ludwig angrily demanded Bottger get of the car. Kosinski, who was standing in front of the vehicle, also told Bottger to get out of the vehicle. Even so, Bottger remained behind the wheel in an attempt to dislodge the vehicle by rocking it back and forth. Ludwig and Irwin climbed out of the ditch onto the road where Ludwig used her cell phone to contact someone to help remove the car from the ditch. A few minutes later, Bottger got the car to move forward, but in doing so, pinned Kosinski under the car.

SUMMARY of HOLDING:

Owner's insurance policy is "at play" under the omnibus clause coverage mandated by SDCL 32-35-70. Tortfeasor's insurance policy is "at play" under the provision which extends coverage to "driving other vehicles." The trial court determined facts and found that the owner's omnibus clause coverage did not apply because consent had been revoked. The trial court also found that the failure of permission rendered the tortfeasor's policy inapplicable. The SD Supreme Court affirmed as to the determination of omnibus clause coverage, holding that the owner's policy did not provide coverage because consent had been revoked. But, the SD Supreme Court reversed and remanded as to the issue of coverage under the tortfeasor's policy, relying upon policy language excluded coverage only if tortfeasor "did not have a reasonable belief" that he had permission. The case is remanded for a factual determination as to whether or not the tortfeasor "had a reasonable belief that he was entitled to drive the car at the time the accident occurred." This is a unanimous decision authored by Justice Meierhenry.

NOTE: This opinion addresses the public policy arguments associated with SDCL 32-35-70 in connection with the omnibus clause, but there is no mention of the public policy found in connection with SDCL 32-35-71 which mandates coverage for non-owned automobiles. Apparently, the matter of SDCL 32-35-71 and the public policy considerations associated therewith were not raised. It is conceivable that the exclusion relied upon by the tortfeasor's insurer is violative of SDCL 32-35-71.

Clark v. Regent Insurance Company
South Dakota Supreme Court
270 N.W.2d 26 (S.D. 1978)

ZASTROW, Justice (on reassignment).

This is an appeal from the circuit court granting a declaratory judgment to the defendants. Originally, the plaintiff served upon the defendants a summons and complaint and brought this action against the defendant insurers under the uninsured motorist provisions of certain automobile insurance policies of the defendants. Upon the plaintiff's application, the trial court entered its order for service by publication on John Doe, defendant, the unidentified driver of an unidentified motor vehicle. The insurance companies served and duly filed answers to the complaint. The parties entered into and filed a stipulation of facts, including the default of the unidentified driver, praying that the trial court issue a declaratory judgment, pursuant to SDCL 21-24, declaring the rights and status of the parties under the insurance contracts at issue. The trial court issued a declaratory judgment in favor of the defendants, from which the plaintiff appeals. We reverse.

According to the stipulation of facts, on June 27, 1975, the plaintiff, Joni M. Clark, was a passenger in a vehicle owned and operated by Connie Peterson. The Peterson vehicle was traveling in a westerly direction on U.S. Highway 14-A in Lawrence County, South Dakota, between the cities of Sturgis and Deadwood. The Peterson vehicle was traveling in the right lane of traffic and was forced to swerve to the right in order to avoid a head-on collision with an unidentified motor vehicle driven by an unidentified driver, traveling in the opposite direction.

The incident occurred in close proximity to a curve in the highway, and Peterson's evasive action caused her vehicle to leave the highway and roll. The plaintiff was seriously injured; the proximate cause of her injuries being the negligence of the unidentified driver in failing to keep his vehicle in the proper lane of travel on the highway, according to the stipulation.

The plaintiff was a named insured under the Regent Insurance Company (Regent) policy issued to John Clark, and was likewise covered by the Milbank Mutual Insurance Company (Milbank) policy issued to Connie Peterson. As required by SDCL 58-11-9,¹ each policy provided uninsured motorist coverage which is applicable to "hit-and-run motor vehicles." However, each policy contains a definition of a hit-and-run vehicle which is not contained in the statute.

¹ SDCL 58-11-9 provides: "No policy insuring against loss resulting from liability imposed by law for bodily injury or death suffered by any person arising out of the ownership, maintenance or use of a motor vehicle shall be delivered or issued for delivery in this state with respect to any motor vehicle registered or principally garaged in this state unless coverage is provided therein or supplemental thereto in limits for bodily injury or death set forth in § 32-35-70, or if requested by the insured in limits not exceeding the coverage provided by such policy for bodily injury and death, for the protection of persons insured thereunder who are legally entitled to recover damages from owners or operators of uninsured motor vehicles and hit-and-run motor vehicles because of bodily injury, sickness or disease, including death, resulting therefrom."

The Regent policy provides the definition:

'[H]it-and-run automobile' means an automobile which causes bodily injury to an insured arising out of physical contact of such automobile with the insured or with an automobile which the insured is occupying at the time of the accident, * * * .

The Milbank policy provides a similar definition:

'[H]it-and-run vehicle' means a highway vehicle which causes bodily injury to an insured arising out of physical contact of such vehicle with the insured or with an automobile which the insured is occupying at the time of the accident, * * * .

All fifty states require insurance carriers to provide uninsured motorist coverage with every automobile liability insurance policy either as an option or a mandatory provision. However, there are three different types of uninsured motorist statutes. The first and most prevalent variety requires coverage for only "uninsured motorists," but does not define the term. The second type includes coverage for "hit-and-run vehicles" in the uninsured motorist statutes, but does not define the term, e.g., SDCL 58-11-9. Finally, there are those states which statutorily define a "hit-and-run vehicle" to require a physical contact between the insured vehicle and the unidentified vehicle.²

The rationale for the physical contact requirement in automobile insurance policies is to prevent fraudulent claims, ostensibly by providing objective evidence that a vanishing motorist had in fact been involved in the accident. This theory has been upheld in twenty states as a reasonable requirement and a proper contract provision under the uninsured motorist statutes.³ See

² See Collins, 'The Uninsured Motorist Statute and the Phantom Vehicle,' Insurance Counsel Journal, July 1976, p. 358; Comment, Creighton Law Review, Vol. 11, p. 222.

³

Arizona:	Gardner v. Aetna Cas. & Sur. Co. (1977) 114 Ariz. 123, 559 P.2d 679;
Arkansas:	Ward v. Consolidated Underwriters (1976) Ark., 535 S.W.2d 830;
Connecticut:	Rosnick v. Aetna Cas. & Sur. Co. (1977) 172 Conn. 416, 374 A.2d 1076;
Georgia:	State Farm Mutual Automobile Ins. Co. V. Carlson (1973) 130 Ga.App. 27, 202 S.E.2d 213;
Illinois:	Prosk v. Allstate Ins. Co. (1967) 82 Ill.App.2d 457, 226 N.E.2d 498;
Indiana:	Ely v. State Farm Mutual Automobile Insurance Co. (1971) 148 Ind.App. 586, 268 N.E.2d 316;
Kentucky:	Jett v. John Doe (Ky.1977) 551 S.W.2d 221;
Louisiana:	Collins v. New Orleans Pub. Ser. Inc. (La.App.1970) 234 So.2d 270;
Michigan:	Citizens Mutual Insurance Company v. Jenks (1971) 37 Mich. App. 378, 194 N.W.2d 728;
Minnesota:	Lener v. St. Paul Fire & Marine Ins. Co. (1978) Minn., 263 N.W.2d 389 (applying Wisconsin law);
Mississippi:	Aetna Casualty & Surety Company v. Head (Miss.1970) 240 So.2d 280;
Missouri:	Ward v. Allstate Ins. Co. (Mo.1974) 514 S.W.2d 576;
Nebraska:	Grace v. State Farm Mutual Automobile Ins. Co. (1976) 197 Neb. 118, 246 N.W.2d 874;
New York:	Smith v. Great American Insurance Company (1971) 29 N.Y.2d 116, 324 N.Y.S.

However, twelve jurisdictions have rejected the physical contact requirement contained in the standard form policy definition of a "hit-and-run vehicle."⁴ These decisions are based upon the premise that physical contact is not a statutory requirement and such provisions are a violation of the public policy and general purpose of the uninsured motorist statutes. We find these recent decisions a more persuasive and logical approach to the "phantom vehicle" problem.

The purpose of the uninsured motorist statutes is to provide the same insurance protection to the insured party who is injured by an *uninsured or unknown* motorist that would have been available to him had he been injured as a result of the negligence of a motorist covered by the minimum amount of liability insurance.⁵ To accomplish that purpose, the provisions of the

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| No. Carolina: | 15, 272 N.E.2d 528;
Hendricks v. United States Fidelity & Guaranty Co. (1969) 5 N.C.App. 181, 167 S.E.2d 876; |
| Ohio: | Buckeye Union Ins. Co. v. Cooperman (1972) 33 Ohio App.2d 152, 62 O.O.2d 248, 293 N.E.2d 293; |
| So. Carolina: | Spaulding v. State Farm Mutual Insurance Co. (1974) 262 S.C.95, 202 S.E.2d 653; |
| Tennessee: | Smith v. Allstate Insurance Company (1970) 224 Tenn. 423, 456 S.W.2d 654; |
| Texas: | Phelps v. Twin City Fire Insurance Company (Tex.Civ.App. 1972) 476 S.W.2d 419; |
| Wisconsin: | Amidzich v. Charter Oak Fire Insurance Co. (1969) 44 Wis.2d 45, 170 N.W.2d 813. |
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| Alabama: | State Farm Fire & Casualty Company v. Lambert (1973) 291 Ala.645, 285 So.2d 917; |
| Colorado: | Farmers Insurance Exchange v. McDermott (1974) 34 Colo.App. 305, 527 P.2d 918; |
| Delaware: | Abramowicz v. State Farm Mut. Auto. Ins. Co. (Del.Super.1977) 369 A.2d 691;
O'Hanlon v. Hartford Acc. & Indem. Co. (D.C.Del.1977) 439 F.Supp. 377; |
| Florida: | Brown v. Progressive Mutual Insurance Company (Fla..1971) 249 So.2d 429; |
| Hawaii: | DeMello v. First Insurance Company of Haw. Ltd. (1974) 55 Haw.519, 523 P.2d 304; |
| New Hampshire: | Soule v. Stuyvesant Insurance Company (N.H.1976) 364 A.2d 883; |
| New Jersey: | Conklin v. Heymann (1973) 124 N.J.Super.227, 305 A.2d 820; Commercial Union Assur. Companies v. Kaplan (1977) 152 N.J.Super.273, 377 A.2d 957; |
| New Mexico: | Montoya v. Dairyland Insurance Company (D.C.N.M.1975) 394 F.Supp. 1337; |
| Oklahoma: | Biggs v. State Farm Mut. Auto. Ins. Co. (1977) Okl., 569 P.2d 430; |
| Pennsylvania: | Webb v. United Services Auto. Assn. (1974) 227 Pa.Super.508, 323 A.2d 737; |
| Virginia: | Doe v. Brown (1962) 203 Va.508, 125 S.E.2d 159; |
| Washington: | Hartford Accident and Indemnity Co. v. Novak (1974) 83 Wash.2d 576, 520 P.2d 1368. |

⁵ *Higgins v. Nationwide Mutual Insurance Co.*, 50 Ala.App. 691, 282 So.2d 295, affirmed 291 Ala. 462, 282 So.2d 301; *Brown v. Progressive Mut. Ins. Co.*, Fla., supra; *Barnes v. Powell* (1971) 49 Ill.2d 449, 275 N.E.2d 377; *Indiana Insurance Company v. Noble* (1970) 148 Ind.App. 297, 265 N.E.2d 419; *Sullivan v. Doe* (1972) 159 Mont. 50, 495 P.2d 193.

uninsured motorist statutes are construed liberally in favor of coverage.⁶

The respondents argue that the physical contact requirement is necessary to prevent fraudulent claims. The decisions of the other courts have adequately dealt with fallacy of such reasoning. In *Webb v. United Services Automobile Ass'n*, 1974, 227 Pa.Super. 508, 520, 323 A.2d 737, 743, the court explained:

While it would certainly eliminate the possibility of fraud to hold the physical contact clause valid, it would also eliminate any hope of recovery in cases clearly involving another negligent motorist who has avoided liability by getting away. This latter situation is surely within the contemplation of the Uninsured Motorist Coverage Act, and the possibility of fraud can be mitigated by the burden of proof placed on the claimant.

* * *

The contention that the physical contact requirement prevents fraudulent claims appears to be of dubious merit. We have not found any signs of a flood of "phantom vehicle" claims in the states rejecting the requirement, nor have the legislatures of those states found it necessary to enact a physical contact requirement to their uninsured motorist statutes. We perceive no sound reason to deprive an injured insured of recompense for a valid claim to prevent the "flood of fraudulent claims" which has not materialized in other states.

The defendant's contention that the term "hit"⁷ presumes a physical contact is adequately explained by Justice Griffith of the New Hampshire Supreme Court in *Soule v. Stuyvesant Insurance Company* (1976 N.H.) 364 A.2d 883, 884-885:

The defendant urges us to adopt an interpretation of the statute that ascribes to the phrase 'hit-and-run' an intention to limit required statutory coverage to accidents involving physical contact with 'hit-and-run' automobiles. The defendant points out that the word 'hit' is synonymous with physical contact and therefore a 'hit-and-run' vehicle must refer to a vehicle that has had physical contact with the insured. *Ferega v. State Farm Mut. Auto. Ins.*, 58 Ill.2d 109, 317 N.E.2d 550 (1974); *Prosk v. Allstate Ins. Co.*, 82 Ill.App.2d 457, 226 N.E.2d 498 (1967) and *Hendricks v. Guaranty Co.*, 5 N.C.App. 181, 167 S.E.2d 876 (1969), which are cited by the defendant, accepted this approach and held that the policy provisions did not conflict with compulsory statutory coverage. We cannot adopt this interpretation, and note at the outset that, if it were correct, the definition defendant inserted in its policy would be superfluous.

The fallacy in interpreting the phrase from the literal meaning of the word 'hit' lies

⁶ *Palisbo v. Hawaiian Insurance & Guaranty Co., Ltd.* (Haw.1976) 547 P.2d 1350; *Forrester v. State Farm Mutual Automobile Ins. Co.*, 213 Kan. 442, 517 P.2d 173; *Brake v. MFA Mutual Insurance Company* (Mo.App.1975) 525 S.W.2d 109; *Emery v. State Farm Mut. Auto. Ins. Co.* (1976) 195 Neb. 619, 239 N.W.2d 798.

⁷ Although "hit" (as used in "hit and run vehicle") has been given a strict interpretation by some courts, "run" has not, e.g., where the injured party fails to secure the other motorist's identity, *Riemenschneider v. Motor Veh. Acc. Indem. Corp.*, 47 Misc.2d 549, 262 N.Y.S.2d 950; *McKay v. M.V.A.I.C.*, 56 Misc.2d 777, 290 N.Y.S.2d 234. The "hit and run vehicle" was satisfied where the driver gave a fictitious or incorrect identification name, *Powell v. Hendon*, La.App., 308 So.2d 851; and where hospital and police personnel failed to obtain the identity of the driver, *Jones v. Unsatisfied Claims and Judgment Fund Board*, 261 Md.62, 273 A.2d 418.

in the fact that it ignores the commonly accepted meaning of the entire phrase. 'In a majority of jurisdictions, statutes have been enacted imposing a duty upon an individual operating or in control of a motor vehicle involved in an accident causing personal injury or property damage, to stop, give certain information, and to render aid to those who have been injured. [These are] [f]amiliarly known as 'hit-and-run statutes . . . ' Annot. 23 A.L.R.3d 497, 500 (1969); 61A C.J.S. *Motor Vehicles* § 674(1) (1970); 7Am.Jr.2d *Automobiles and Highway Traffic* § 246 (1963). 'The use of the term "hit-and-run" . . . is synonymous with a car involved in an accident causing damages where the driver flees from the scene.' *Hartford Accident v. Novak*, 83 Wash.2d 576, 585, 520 P.2d 1368, 1374 (1974).

We also note that the policy provision requires that the physical contact must be with the person of the insured or with the vehicle the insured is occupying. However, courts in states upholding the "physical contact" requirement have found coverage where there was none with the insured or the automobile occupied by him, but with a third car, the so-called "indirect physical contact."⁸ In *Barfield v. Insurance Company of North America* (1968) 59 Tenn.App. 631, 443 S.W.2d 482, the court held that a "physical contact" requirement was satisfied when the rear wheels of an unidentified vehicle propelled a rock through a claimant's windshield causing a severe injury.⁹

The term "hit-and-run" is a baseball colloquialism¹⁰ which was used to describe violations of the motor vehicle code requirement that a driver involved in an accident must stop, render aid and leave his identification as required by SDCL 32-34-3 to 32-34-9. Although the term "hit-and-run" is not used in the body of those statutes, the compilers have consistently used it in the captions, and this court has referred to them as "hit-and-run" statutes (see *State v. Minkel*, S.D., 230 N.W.2d 233 (1975)) even though there is no statutory requirement of a physical contact, only that the automobile be "involved in an accident."¹¹ It appears that it was the legislature's intention

⁸ See, e.g., *State Farm Mutual Automobile Ins. Co. v. Carlson*, 130 Ga.App.27, 202 S.E.2d 213; *Louthian v. State Farm Mutual Insurance Company* (4th Cir. 1973) 493 F.2d 240; *Springer v. Government Employees Ins. Co., Inc.* (La.App.1975) 311 So.2d 36; *Ray v. DeMaggio* (La.App.1975) 313 So.2d 251; *Latham v. Mountain States Mutual Casualty* (Tex.Civ.App.1972) 482 S.W.2d 655; *State Farm Mutual Automobile Insurance Co. v. Spinola* (1967) 5th Cir., 374 F.2d 873; *Lord v. Auto-Owners Insurance Company* (1970) 22 Mich.App. 669, 177 N.W.2d 653.

⁹ Although subsequently reversed, ice and snow falling from an unidentified truck which struck the insured's windshield causing serious cuts, was held to satisfy the physical contact requirement under New York's statutory language. *Smith v. Great American Insurance Company*, 62 Misc.2d 1015, 310 N.Y.S.2d 762, rev. 29 N.Y.2d 116, 324 N.Y.S.2d 15, 272 N.E.2d 528.

¹⁰ See Webster's New International Dictionary (2nd ed. 1934) p. 1183. The Ohio courts have referred to the unidentified motorist as "hit-and-skip" drivers. See *State v. Kirchner* (1968) 15 Ohio Misc. 154, 236 N.E.2d 236.

¹¹ Similar "hit-and-run" statutes have been construed not to require physical contact, *People v. Bammes* (1968) 265 Cal.App.2d 626, 71 Cal.Rptr. 415; *State v. Petersen* (1974) 17 Or.App. 478, 522 P.2d 912; *Baker v.*

in using the term "hit-and-run" in SDCL 58-11-9 to refer to any motorists involved in an accident who failed to comply with SDCL 32-34-3 through 32-34-9, without a requirement of physical contact.

The judgment is reversed.

WOLLMAN and MORGAN, JJ., concur.

DUNN, C. J., and TICE, Sr., Retired Circuit Judge, dissent.

TICE, Sr., Retired Circuit Judge, sitting for PORTER, J., disqualified.

DUNN, Chief Justice (dissenting).

The insurance company clarified what may or may not have been an ambiguity in the statute as to the meaning of "hit and run" by requiring *physical contact* in its contract before accepting liability. There is nothing in the statute forbidding the company to so limit its coverage.

I join in the dissent of Judge TICE.

TICE, Circuit Judge (dissenting).

I respectfully dissent from the majority opinion.

Appellant has urged and the majority of this court has accepted that the term "hit-and-run" has some other meaning, such as "cause-and-run", and does NOT require physical contact. I am forced, therefore, to dissent from this decision.

* * *

A requirement in an automobile insurance policy that there be physical contact of a hit-and-run vehicle with the insured vehicle as a condition precedent to the assertion of a claim under the hit-and-run clause of the uninsured motorist provision is valid and reasonable. It is not a limitation or restriction on the insurance coverage required by SDCL 58-11-9 nor is it in conflict with the beneficial public policy of that statute. The term "hit-and-run" means exactly what it says and cannot be translated into "cause-and-run" where clear statutory and contract terms are involved and require physical contact.

I would affirm the trial court.

I am authorized to state that Chief Justice DUNN joins in this dissent.

Fletcher (1948) 191 Misc. 40, 79 N.Y.S.2d 580.

Recent (2001) SD Supreme Court Decisions on UM and UIM Coverage

Is UM ("uninsured motorist") coverage available for a victim who is shot and killed in a drive-by shooting? There is authority from a 1987 Minnesota Supreme Court decision (involving an injury, not death) which indicates there is coverage. The SD Supreme Court decided otherwise, however, in *Farm & City Insurance v. Estate of Davis*, 2001 SD 71 629 N.W.2d 586, a case where the TF's girlfriend was tragically killed from a shotgun blast intended for another person. The TF used his vehicle to speed up and come alongside the vehicle in which the victim was riding. The SD Supreme Court's unanimous opinion was authored by Chief Justice Miller and is premised on the lack of a "casual connection" between the operation of the vehicle and the death. Additionally, the Court found that the usage of the vehicle in this fact setting was not "normal" usage intended for transportation, but rather it was utilized to stalk and assault another.

In *Westfield Insurance Co. v. Rowe*, 2001 SD 87, 631 N.W.2d 175, two insureds (presumably husband and wife) were killed by a TF driving a tractor trailer. The insureds were in their motor home, traveling in Arizona at the time of the accident. The TF's insurer paid the policy limit of \$750,000 to the estates of the insureds, being apportioned \$375,000 to each estate. The insureds had a UIM policy limit of \$500,000 for "any one auto accident." The policy did not make a "per person" distinction. The estates sought \$125,000 each from UIM insurer, arguing that each insured had \$500,000 UIM coverage and that \$375,000 should be subtracted off of each, leaving coverage of \$125,000 for each. The SD Supreme Court held for the UIM insurer. The Court noted that SDCL 58-11-9.5 did not preclude the claims because the statute refers to "party" not "parties." Nonetheless, the policy language itself effectively protected the insurer because it limited the total UIM coverage to \$500,000 per accident "regardless of the number of insureds [or] claims made ..." (paragraph 10 of opinion.)

Unfortunately for the estates in the *Westfield* case described in the preceding paragraph, not only was there a denial of UIM coverage, but the same insurer was permitted to collect reimbursement of \$144,660.69 for its previous payment on property damage to the motor home. With very little discussion in the opinion, the SD Supreme Court rejected the argument by the estates that subrogation (reimbursement in this case) should not be permitted until the insureds have first been made whole.

Cimarron Insurance Company v. Croyle

South Dakota Supreme Court

479 N.W.2d 881 (S.D. 1992)

(Opinion handed down January 8, 1992)

MILLER, Chief Justice (on reassignment).

This is an appeal dealing with the validity of a "household exclusion" in an automobile insurance policy. The trial court held that the exclusion is invalid and unenforceable for claims up to the limits mandatorily required by the state's financial responsibility law, but valid and enforceable for claims in excess thereof, irrespective of the policy limits. We affirm.

FACTS

On or about November 9, 1988, Allen Paul Croyle, Jr. (Croyle) was driving his father's 1973 Oldsmobile in Rapid City, South Dakota, when he collided with a vehicle driven by Jeanette St. Peter. Croyle was accompanied in the vehicle by his sister Nonanna. As a result of the collision, St. Peter died¹ and Nonanna suffered personal injuries.

At the time of the accident, the automobile was insured by Cimarron Insurance Company (Cimarron) under a policy purchased by Croyle's father (insured). The insurance policy provided liability coverage in the amount of \$300,000. Additionally, the policy provided both uninsured and underinsured coverage, each in the amount of \$300,000. The policy also contained a household liability coverage exclusion, which stated: "We do not provide liability coverage for any person for bodily injury to you or any family member." The policy defined a family member as a person related by blood, marriage, or adoption, who is a resident of the insured's household. Likewise, the underinsured portion of the policy stated an "underinsured motor vehicle" does not include any vehicle "owned by or furnished or available for the regular use of you or any family member."

Nonanna filed a claim against Cimarron based upon her brother's negligence. Cimarron advised Croyle that insurance coverage would not be provided under insured's policy; however, Cimarron agreed to defend Croyle, reserving any rights it had to deny coverage based upon the policy's exclusions.

Subsequently, Cimarron filed a declaratory judgment action against Nonanna, Croyle, and insured. After the amended complaint was answered, cross motions for summary judgment were filed. Nonanna alleged the household exclusion contained in the liability portion of the policy was rendered void when the South Dakota Legislature adopted a mandatory financial

¹ Croyle was subsequently convicted of vehicular homicide.

responsibility law for all vehicles. See SDCL 32-35-113 and SDCL 32-35-70. Cimarron argued the household exclusion was not void or, in the alternative, it was void only to the extent of the mandatory limits required by the financial responsibility law (\$25,000).

The trial court held that the household exclusion contained in the liability portion of the policy was void and unenforceable up to the \$25,000 coverage required by statute. However, the trial court held that the household exclusion was valid and enforceable for the amount of coverage exceeding the \$25,000 statutory minimum. In other words, the trial court held Cimarron liable for Nonanna's injuries up to \$25,000.

* * *

Prior to 1986, South Dakota's Financial Responsibility Law required proof of financial responsibility only after a motorist was involved in an accident or convicted of certain motor vehicle offenses. See SDCL 32-35-43; *Novak v. State Farm Mut. Auto. Ins. Co.*, 293 N.W.2d 452 (S.D.1980). However, in 1986, the South Dakota Legislature mandated that all owners and operators of motor vehicles maintain proof of financial responsibility for future events. Pursuant to SDCL 32-35-113:

Every driver or owner of a motor vehicle shall at all times maintain in force one of the forms of financial responsibility on the motor vehicle by one of the following methods:
(1) Having in force on the motor vehicle an owner's policy of liability insurance as provided in § 32-35-70[.]²

SDCL 32-35-70 provides, in pertinent part:

An owner's policy of liability insurance . . . shall insure the person named therein and any other person as insured, using any insured vehicle or vehicles with the express or implied permission of the named insured, against loss from the liability imposed by law for damages arising out of the ownership, maintenance, or use of the vehicle or vehicles...subject to limits exclusive of interests and costs, with respect to each insured vehicle, as follows: twenty-five thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, fifty thousand dollars because of bodily injury to or death of two or more persons in any one accident, and twenty-five thousand dollars because of injury to or destruction of property of others in any one accident[.]

In *Novak*, we acknowledged our willingness to void household exclusions where maintaining automobile liability insurance was mandated by statute: "[T]he mandatory requirements of SDCL 32-35-70 ... *would eliminate the policy defense of household exclusion[.]*" 293 N.W.2d at 454 (emphasis added). At the time *Novak* was decided, the provisions of SDCL 32-35-70 were not mandatory.

The above statutes create a strong public policy favoring monetary protection and

compensation for the benefit of those injured through the negligent operation of a vehicle. Cimarron's household exclusion effectively renders Nonanna, and others like her, uninsured and thus unprotected, in violation of public policy. These exclusions are:

[P]articularly disturbing when viewed in light of the fact that this class of victims is the one most frequently exposed to the potential negligence of the named insured. Typical family relations require family members to ride together on the way to work, church, school, social functions, or family outings. Consequently, there is no practical method by which the class of persons excluded from protection by this provision may conform their activities so as to avoid exposure to the risk of riding with someone who, as to them, is uninsured.

Mutual of Enumclaw Ins. Co. v. Wiscomb, 97 Wash.2d 203, ----, 643 P.2d 441, 444 (1982).

The vast majority of jurisdictions hold such household exclusions invalid under similar statutory schemes. See, e.g., *Arceneaux v. State Farm Mutual Automobile Ins. Co.*, 113 Ariz. 216, 550 P.2d 87 (1976); *Stevens v. State Farm Mutual Automobile Ins. Co.*, 21 Ariz.App. 392, 519 P.2d 1157 (1974); *DeWitt v. Young*, 229 Kan. 474, 625 P.2d 478 (1981); *Bishop v. Allstate Ins. Co.*, 623 S.W.2d 865 (Ky. 1981); *State Farm Mut. Auto. Ins. Co. v. Traycik*, 86 Mich.App. 285, 272 N.W.2d 629 (1979); *State Farm Mut. Auto. Ins. Co. v. Sivey*, 404 Mich. 51, 272 N.W.2d 555 (1978); *Transamerica Ins. Co. v. Royle*, 202 Mont. 173, 656 P.2d 820 (1983); *Estate of Neal v. Farmers Ins. Exch.*, 93 Nev. 348, 566 P.2d 81 (1977); *Estep v. State Farm Mut. Auto. Ins. Co.*, 103 N.M. 105, 703 P.2d 882 (1985); *Allstate Ins. Co. v. Anzalone*, 119 Misc.2d 222, 462 N.Y.S.2d 738 (1983); *Hughes v. State Farm Mut. Auto. Ins. Co.*, 236 N.W.2d 870 (N.D.1975); *Jordan v. Aetna Casualty & Surety Company*, 264 S.C. 294, 214 S.E.2d 818 (1975); *Mutual of Enumclaw*, *supra*; *Farmers Ins. Exchange v. Call*, 712 P.2d 231 (Utah 1985). See generally, Annotation, *Validity, under insurance statutes, of coverage exclusion for injury to or death of insured's family or household members*, 52 A.L.R.4th 18 (1987).

We hereby declare Cimarron's household exclusion in the liability portion of the policy invalid as violative of South Dakota public policy.

Having found that Cimarron's household exclusion violates public policy, we must now determine the extent to which the exclusion is void. Nonanna argues the exclusion is invalid as to the full amount of liability coverage provided by the policy (\$300,000). Cimarron contends its liability should be limited to \$25,000, the minimum coverage required by SDCL 32-35-70. The trial court held the exclusion invalid as to the \$25,000 statutory minimum, but valid and enforceable with respect to the excess coverage under the policy. We agree.

There is a split among the jurisdictions which have addressed this issue. The majority position holds such exclusions void only as to the minimum coverages required by statute. Thus, where the policy limits exceed the statutory minimum, *the insurer's liability is limited to the coverage required by statute*. *Arceneaux*, *supra*; *Stepho v. Allstate Ins. Co.*, 259 Ga. 475, 383 S.E.2d 887 (1989); *DeWitt*, *supra*; *Bishop*, *supra*; *State Farm Mut. v. Nationwide Mut.*, 307 Md.

631, 516 A.2d 586 (1986); *State Farm Mutual Auto. Ins. Co. v. Shelly*, 394 Mich. 448, 231 N.W.2d 641 (1975); *Estate of Neal, supra*; *State Farm Mut. Auto. Ins. v. Mastbaum*, 748 P.2d 1042 (Utah 1987); *Allstate Ins. Co. v. Wyoming Ins. Dept.*, 672 P.2d 810 (Wyo.1983). See generally 7 Am.Jr.2d *Automobile Insurance* § 30 (1980).

In contrast, a minority of jurisdictions hold that where the household exclusion is held invalid as violative of public policy, the limits of the insurer's liability are those provided by the policy, rather than the lesser limits required by statute. *Meyer v. State Farm Mut. Auto. Ins. Co.*, 689 P.2d 585 (Colo.1984); *State Farm Mut. Auto. Ins. Co. v. Wagamon*, 541 A.2d 557 (Del.1988); *Kish v. Motor Club of America Insurance Company*, 108 N.J.Super. 405, 261 A.2d 662 (1970).

The South Dakota Legislature specifically addressed the matter of excess or additional insurance coverage in SDCL 32-35-75, which provides:

Any policy which grants the coverage required for a motor vehicle liability policy may also grant any lawful coverage in addition to the coverage specified for a motor vehicle liability policy *and such excess or additional coverage shall not be subject to the provisions of this chapter*. With respect to a policy which grants such excess or additional coverage the term 'motor vehicle liability policy' shall apply only to that part of the coverage which is required by § 32-35-0 or 32-35-71. (Emphasis added.)

By the statute's plain language, excess coverage is not subject to the provisions of this state's statutes on financial responsibility of motorists! Therefore, we *must* follow the majority rule and hold that the insurer's liability is limited to the coverage required by statute. As clearly stated by the trial court in its Conclusion of Law V:

The clear legislative intent expressed by this statute is that an insurance company is free to provide liability coverage in excess of the mandatory limits now required by SDCL 32-35-70 and SDCL 32-35-113(1). However, the legislature, by enacting SDCL 32-35-75 *specifically stated that such additional coverage is not subject to the provisions of the financial responsibility act*. As a result, Defendant Nonanna A. Croyle cannot argue that the financial responsibility statute expresses any public policy with regard to this additional coverage. *In fact, such additional coverage is specifically excluded from the provisions of the financial responsibility act*. (Emphasis added.)

The insurance industry is highly regulated in South Dakota. There are extensive statutes and regulations prescribed and promulgated by the state legislature and insurance department. In *Petition of Famous Brands, Inc.*, 347 N.W.2d 882, 884 (S.D.1984), this court stated the basic controlling constitutional theory:

While it may be elementary, it behooves us to acknowledge that as a result of constitutional provisions distributing the powers of government among three departments, the legislative, executive, and judicial, *courts have no legislative authority, and should avoid judicial legislation, a usurpation of legislative powers, or any entry into the legislative field*. Thus it has been said that whatever its opinion may be as to the wisdom

of a statute or the necessity for further legislation, the duty of the court is to apply the law objectively as found, and not to revise it.

It is for the legislature to change the laws. This court has no authority to do so, despite results which may appear to be unjust. As stated earlier, the legislature has clearly spoken on this issue.

Therefore, we must adhere to the policy established, in clear and unambiguous language, by the legislative branch of government.

* * *

We have considered the other issues raised by Croyle and find them to be lacking in merit.

SABERS and AMUNDSON, JJ., concur.

WUEST and HENDERSON, JJ., concur in part and dissent in part.

WUEST, Justice (concurring in part and dissenting in part).

The majority decision is a great victory for the insurance companies, but a sad day for the people of South Dakota. In 1978, the guest statute was repealed by our legislature. The insurance companies responded with the household exclusion. This exclusion negates liability coverage for the insured to the people who are most often his passengers and most likely to be injured—his family.

If the insured is judgment proof, the injured members of the family are left without any resource for their injuries. If the family exclusion clause is valid, a majority of South Dakotans do not have adequate liability coverage although they are paying for it.

The majority decision holds the family exclusion clause void up to \$25,000.00. I agree. Where I disagree with the majority is limiting the void portions to \$25,000.00. It should be the policy limits. If the exclusion is void, it is void. If it is dead it is dead. If an apple has a rotten spot, it is still a rotten apple.

* * *

HENDERSON, Justice (specially concurring in part; dissenting in part).

I.

I specially concur in approximately one-half of the majority opinion, i.e., declaring Cimarron's household exclusion in the liability portion of the policy invalid as being violative of this state's public policy.

II.

Joining our immediate past Chief Justice's dissent in toto on the balance of the majority opinion, I likewise dissent to limiting the family exclusion clause "void"—up to \$25,000.00. Where is the magic in the figure \$25,000 when discussing public policy?

The (rather prompt) legislative
Response to Cimarron Ins Co.
V. CROYLE, 479 N.W.2d 881
(S.O. 1992).

32-35-70. Conditions of owner's policy — Coverage and amount — Filing and form requirements — Date of compliance. An owner's policy of liability insurance referred to in § 32-35-68 shall insure the person named therein and any other person as insured, using any insured vehicle or vehicles with the express or implied permission of the named insured, against loss from the liability imposed by law for damages arising out of the ownership, maintenance, or use of the vehicle or vehicles within the United States of America or the Dominion of Canada, subject to limits exclusive of interests and costs, with respect to each insured vehicle, as follows: twenty-five thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, fifty thousand dollars because of bodily injury to or death of two or more persons in any one accident, and twenty-five thousand dollars because of injury to or destruction of property of others in any one accident. If the policy complies with the filing and form requirements of Title 58 and has been approved by the division of insurance, the driver and owner has complied with this chapter. The policy may exclude liability coverage if the policyholder certifies in writing that the vehicle will not be operated during the policy period. The policy may exclude or limit coverage pursuant to § 58-11-9.3, or for a relative residing in the named insured's household. Policies issued after January 1, 1987, and owners who have purchased such policies are in compliance with this chapter. Date of compliance does not affect any pending litigation.

Source: SL 1957, ch 212, § 51; SDC Supp 1960, § 44.03A51 (2) (b); SL 1970, ch 186; 1985, ch 266, § 3; 1989, ch 279, § 1; 1992, ch 232; 1992, ch 233, § 1.

substituted "does" for "shall" after "Date of compliance."

Amendments.

The 1992 amendment by ch 232 added the third sentence beginning "The policy may exclude liability."

The 1992 amendment by ch 233, § 1 added the fourth sentence; and, in the last sentence,



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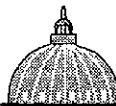
LEGISLATIVE UPDATE

January 20, 1995

SENATE BILLS

- 68 - Requires an insurance carrier to offer motor vehicle liability coverage for a relative residing in the insured's household when requested by the insured.
Referred to Commerce

Argus Leader, Sioux Falls, South Dakota, Thursday, Jan. 26, 1995 **3A**



**South Dakota
1995 Legislature**



Associated Press

Insurance liability bill defeated

Sen. Mel Olson, D-Mitchell, speaks Wednesday in Pierre against a Senate bill that would have required insurance carriers to offer motor vehicle liability coverage for a relative. The bill was defeated 25-8.

Epilogue to the 1992 amendment permitting the Household Exclusion

Brandenburg v. Allstate Ins. Co., 93 F.3d 1438 (8th Circuit 1994). H & W in vehicle driven by H. One-vehicle accident killing H, leaving W with injuries. W is excluded from recovery on liability portion of Allstate policy because of household exclusions ... BUT, W asserts claim under UM (Uninsured Motorist) coverage because she was injured by a motorist (H) who was uninsured as to her. Insurance Policy language in UM coverage did not do a very good job of excluding W from making a claim. Trial Court (Judge Bogue) ruled for Insurer. 8th Circuit Court of Appeals reversed! The insurance policy language did not support the exclusion of W from UM coverage. [The insurer argued that an "insured" vehicle under the policy cannot also be an "uninsured" vehicle.] NOTE: This decision rested entirely upon the language of the insurance policy and was not premised on "public policy." ALSO NOTE: Insurers have done a much better job now in making sure that a person precluded from recovery under the liability portion because of the household exclusion is also excluded from recovery under the UM coverage.

DeSmet Insurance Co. v. Gibson, 1996 SD 102, 552 N.W.2d 98. 3 brothers in car. Driver killed. Can survivors collect? No, under liability portion because of the household exclusion. What about UM coverage? No, the policy language also validly excludes the brothers from UM coverage. "Turnabout" by an excluded family member is not allowed. The back door is shut. This 5-0 opinion looks at the public policy found in the 1992 post-*Cimarron* amendment.

Colonial Insurance Co. v. Lundquist, 539 N.W.2d 871 (S.D. 1995). 5-0 opinion authored by Circuit Judge Rusch, sitting for Justice Amundson who disqualified himself. Involves an exclusion similar to the household exclusion. This exclusion excludes liability coverage to any person who is insured under the policy. Here an insured permitted a 14 year old who had been drinking to drive the insured jeep. She rolled the jeep and killed herself. Since she was a permissive user, she was "insured" under the policy. But, this claim was against the insured (not the permissive user) for "negligent entrustment." Trial Judge denied insurer's motion for summary judgment and the SD Supreme Court affirmed. Judge Rusch's opinion finds that the insurer has a duty to defend the "negligent entrustment" claim. Under SDCL 32-25-70, coverage exists for acts arising out of "ownership" of a vehicle, as well as acts arising out of maintenance and use of a vehicle. The "negligent entrustment" cause of action is an action arising out of "ownership."

(approved by State Bar 6/24/01)
RESOLUTION NO. _____
OF SOUTH DAKOTA BAR ASSOCIATION

The following Resolution was adopted by the Board of South Dakota Bar and request passage by the membership:

RESOLUTION

WHEREAS: The South Dakota Legislature has adopted SDCL §32-35-70 and SDCL §58-11-9.3 which permit exclusion of household members from the liability coverage of any driver from the household;

WHEREAS: The household exclusion is offered or required in numerous states to permit a driver to protect members of the driver's household from his or her negligence;

WHEREAS: Insurers in South Dakota refuse, with minor exceptions, to offer South Dakota citizens household liability coverage offered to the citizens of other states without legislative requirements.

Be it resolved that the South Dakota Legislature enact legislation requiring all automobile liability insurance companies to grant an option for South Dakota Citizens to purchase household coverage similar to coverage either offered or required in other states.

Dated this _____ day of June, 2001.

Member _____ moved for the adoption of the foregoing Resolution.

Said motion was seconded by Member _____ and upon vote being taken the following voted AYE:

and the following voted NAY:

whereupon said motion was declared duly passed and adopted, and was signed and attested by the
_____ and _____.

President

ATTEST:

MGA Insurance v. Goodsell
(The *Cimarron* rationale lives on!)

MGA Insurance v. Goodsell, 2005 SD 118, 707 N.W.2d 483. Permissive driver and her son were living with brother of the named insureds (H & W) who had purchased policy from MGA Insurance. Brother's residence (in a mobile home) was different from the named insureds' residence. H, one of the named insureds, gave permission to permissive driver to borrow insured car for the weekend. During this time, the permissive driver was allegedly trying to elude the pursuit of a highway patrol officer (near Sisseton) and caused the car to collide with another vehicle, killing herself and seriously injuring her son. Insurer brought DJ action claiming it was no duty to defend nor to provide liability coverage to son of permissive driver by virtue of its Household Exclusion which extended the exclusion to "any member of the family of any other insured person residing in the same household as that insured." The insurer's argument was that since the permissive user was an "insured" under the policy, the household exclusion extends to her son who was living with her in the same home as the brother of the H & W who bought the policy. Trial court ruled against insurer on motion for summary judgment and the SD Supreme Court affirmed in a 5-0 opinion authored by Justice Sabers.

The language of the 1992 amendment to SDCL 32-35-70 only extends to "named insureds." Accordingly the public policy of the Financial Responsibility Law of SD, which is to "favor...monetary protection and compensation for the benefit of those injured through the negligent operation of a vehicle" controls here. [quoted language, which is from the *Cimarron* opinion is found in ¶ 10.]

Concerning *Cimarron* and the 1992 amendment to SDCL 32-25-70, the Court stated, "The effect the amendment had on our decision in *Cimarron* is to preclude a similar result in future cases. Policies that exclude coverage for relatives residing in the named insured's household are not contrary to public policy. While the result in *Cimarron* is no longer obtainable, the rationale remains alive and well. South Dakota's Financial Responsibility Law continues to mandate coverage for those injured." ¶ 14.

UIM (Underinsurance) Statutes and various UIM/UM statutory provisions in SD

58-11-9.4. Policy forms -- Underinsured motorist coverage to be available with liability policies -- Limitation of coverage -- Exception. No motor vehicle liability policy of insurance may be issued or delivered in this state with respect to any motor vehicle registered or principally garaged in this state, except for snowmobiles, unless underinsured motorist coverage is provided therein at a face amount equal to the bodily injury limits of the policy. However, the coverage required by this section may not exceed the limits of one hundred thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, three hundred thousand dollars because of bodily injury to or death of two or more persons in any one accident, unless additional coverage is requested by the insured. Any policy insuring government owned vehicles may not be required to provide underinsured motorist coverage.

58-11-9.5. Policy forms--Underinsured motorist--Uncollected judgment--Payment to insured--Limits. Subject to the terms and conditions of such underinsured motorist coverage, the insurance company agrees to pay its own insured for uncompensated damages as its insured may recover on account of bodily injury or death arising out of an automobile accident because the judgment recovered against the owner of the other vehicle exceeds the policy limits thereon. Coverage shall be limited to the underinsured motorist coverage limits on the vehicle of the party recovering less the amount paid by the liability insurer of the party recovered against.

58-11-9.6. Policy forms--Subrogation of insurer--Assignment of judgment--Liability issuer allowed to pay limits under policy. The issuer of the underinsured motorist coverage is subrogated to any amounts the insurer so pays and, upon payment, has an assignment of the judgment against the other party to the extent of the money paid. Refusal of the issuer of the underinsured motorist coverage to waive its statutory right of subrogation does not constitute bad faith. A liability insurer may pay the limits of the liability policy it issued without obtaining a complete release on behalf of its insured. Such payment does not abrogate any continuing duty to defend and does not constitute bad faith.

58-11-9.7. Policy forms--Adding of insured's uninsured and underinsured motorist coverage limits prohibited--Exception. In no case may an insured's uninsured motorist coverage limits and underinsured motorist coverage limits be added together to determine the limit of insurance coverage available to an injured person for any one accident. However, this provision does not preclude recovery under both an insured's underinsured and uninsured coverages where two or more separate motor vehicle operators, one uninsured and the other underinsured, are determined to be liable.

58-11-9.8. Policy forms--Adding of uninsured motorist coverage limits for multiple vehicles prohibited. Regardless of the number of policies involved, vehicles involved, persons covered, claims made, vehicles or premiums shown on the insured's policy, or premiums paid, in no event may the limit of liability for uninsured motorist coverage for two or more of the insured's motor vehicles be added together to determine the limit of insurance coverage available to an injured person for any one accident.

58-11-9.9. Policy forms--Adding of underinsured motorist coverage limits for multiple vehicles prohibited. Regardless of the number of policies involved, vehicles involved, persons covered, claims made, vehicles or premiums shown on the insured's policy, or premiums paid, in no event may the limit of liability for underinsured motorist coverage for two or more of the insured's motor vehicles be added together to determine the limit of insurance coverage available to an injured person for any one accident.

UIM (Underinsured Motorist) Coverage Issues

P is seriously injured by TF. P's damages exceed \$300,000. P has UIM (underinsured motorist) coverage of \$100,000 for bodily injury or death of one person. The TF has a liability insurance policy with a limit of \$50,000.

If P collects the \$50,000 from TF, how much coverage is available to P on the UIM (underinsured motorist) coverage? Can P collect \$100,000 on the UIM coverage? Or, is P limited to \$50,000 on the UIM coverage? See SDCL 58-11-9.5.

What should P do if TF tenders \$50,000 and seeks a release from P? If P releases TF for \$50,000, then P will have destroyed the right of subrogation which P's UIM insurer would have, thereby nullifying any UIM coverage. This is a complicated issue, but the proper resolution of this issue from P's standpoint involves the tendering of this offer to the UIM insurer and allowing the UIM insurer to either waive its subrogation rights or to substitute its draft for \$50,000 in order to allow P the benefit of the tendered policy limits and then preserve its subrogation rights against the TF. This procedure is prescribed by *Schmidt v. Clothier*, 338 N.W.2d 256 (Minn. 1983) and has generally been followed in South Dakota and has been approved by at least one Circuit Court in SD, however the SD Supreme Court has not yet had an opportunity to specifically endorse this procedure which has come to be known as the "*Schmidt v. Clothier* Release."

Following up on the 1st set of questions posed above, consider the extreme situation seen in *Friesz v. Farm & City Ins.*, 2000 SD 152, 619 N.W.2d 677, where the UIM coverage was only \$25,000. The insured was killed by TF and insured's estate collected the policy limit of \$25,000 from TF's insurer. Next, the estate sought to collect on the insured's UIM coverage. The trial court allowed the estate to collect \$25,000, accepting the argument that to allow the deduction of the TF's payment of \$25,000 be made would result in only "illusory coverage" in a situation involving "underinsurance." The SD Supreme Court reversed, in a 5-0 opinion, following the precise language of SDCL 58-11-9.5 which states, "Coverage shall be limited to the underinsured motorist coverage limits on the vehicle of the party recovering *less the amount paid by the liability insurer of the party recovered against.*" (Emphasis added here.)

Stacking of UIM coverages is disallowed by SDCL 58-11-9.7 and 58-11-9.8. This can produce some very harsh results for plaintiffs who are seriously injured and for whom separate UIM coverages have been paid for. See, e.g., *Union Insurance Co. v. Stanage*, 454 N.W.2d 736 (S.D. 1990) and *Nickerson v. American States Insurance*, 2000 SD 121, 616 N.W.2d 468. [In the *Nickerson* case, Justice Amundson dissented in a very well-reasoned opinion, arguing that "stacking" should only be a concern with more than one on the insured's own policies. In this case, the insured who was a passenger in another's car should be allowed UIM coverage of both the driver's policy (the primary insurer) and her own own policy.]

Phen v. Progressive Northern Insurance Company

2003 SD 133, 672 N.W.2d 52

SABERS, Justice.

[¶1.] Connie Phen made a claim against an uninsured motorist provision in her contract of insurance with Progressive Northern Insurance Company (Progressive). Progressive denied the claim and Phen brought suit to force payment of the claim. Phen also alleged that Progressive acted in bad faith when it denied her claim. After hearing cross motions for summary judgment, the circuit court granted 1) Phen's motion and directed Progressive to pay the \$25,000 limit under its uninsured motorist provision. The circuit court denied 2) Progressive's motion for summary judgment on the bad faith issue finding that there was sufficient evidence to put the question before a jury. * * * We affirm Issue 1 and reverse Issue 2.

FACTS

[¶2.] The parties have stipulated to the facts. On July 4, 2001, Connie Phen was seriously injured when the motorcycle she was on was struck by a vehicle. The motorcycle was owned and driven by Guy Koppinger. Lynne Peterson was driving the other vehicle and her negligence was the proximate cause of Phen's injuries. Peterson was uninsured. Koppinger's motorcycle was insured by Financial Indemnity Company (Financial) and in October 2001, Financial paid Phen its uninsured motorist policy limit of \$25,000.

[¶3.] Phen's injuries led to approximately \$100,000 in medical bills. She sustained injuries to her leg, internal organs and her back. Phen was in the hospital for almost two months and missed over two months of work. After recovering \$25,000 from Financial, Phen made a claim for the \$25,000 policy limit under her uninsured motorist benefit with Progressive. Progressive denied the claim based on an exclusion under the policy's "Part III Uninsured/Underinsured Motorist Coverage," Exclusion 1.e. Under the exclusion, coverage is not provided for injury sustained by any person while using or occupying:

a vehicle, other than a covered vehicle, if uninsured motorist coverage or underinsured motorist coverage applicable to such vehicle is available.

A "covered vehicle" is defined as a vehicle owned by Phen. This type of "other insurance" clause was deemed void as against public policy in *Westphal v. Amco Inc. Co.*, 87 S.D. 404, 209 N.W.2d 555 (1973). The policy also included an "anti-stacking" clause which provided:

The Limits of Liability under this Part III shall not be added to or stacked upon any uninsured motorist coverage or underinsured motorist coverage applying to other motor vehicles to determine the amount of coverage available to an insured person who sustains bodily injury in any one accident.

[¶4.] Phen brought suit to determine whether the policy exclusions violate public policy and are therefore void. Phen also argued that Progressive acted in bad faith when it denied her claim. The court granted Phen's motion for summary judgment on the policy exclusion and directed Progressive to pay \$25,000. The court denied Progressive's summary judgment motion on Phen's claim of bad faith. Progressive appeals raising two issues:

1. Whether Progressive's "other insurance" clause violates public policy.
2. Whether the circuit court properly denied Progressive's motion for summary judgment on Phen's claim of bad faith.

We affirm the circuit court on Issue 1 and reverse on Issue 2.

STANDARD OF REVIEW

[¶5.] The standard of review for summary judgment is well established. We determine whether a genuine issue of material fact exists and whether the circuit court correctly applied the law. *Nickerson v. American States Insurance*, 2000 SD 121, ¶ 7, 616 N.W.2d 468, 470 (quoting *Manuel v. Wilka*, 2000 SD 61, ¶ 17, 610 N.W.2d 458, 462 (additional citations omitted)).

[¶6.] Because an insurance policy is a contract, the parties are bound to its terms and insurance companies are allowed, subject to statutory constraints, to limit their liability and impose conditions upon their obligation to pay. *Miller v. Queen City Fire Ins. Co.*, 47 S.D. 379, 383-84, 199 N.W. 455, 456 (1924) (quoting *Powers v. Travelers Ins. Co.*, 186 N.C. 336, 119 S.E. 481 (1923)). However, the conditions and limitations imposed by the insurance company must be consistent with public policy and the insurance company is liable if it acts in bad faith in denying claims.

[¶7.]

1. WHETHER PROGRESSIVE'S "OTHER INSURANCE" CLAUSE VIOLATES PUBLIC POLICY.

[¶8.] Progressive contends that the Court should prohibit Phen from "stacking" her uninsured motorist benefits atop those she has already collected from Financial. Phen counters that 1) in proceeding under both policies she is not stacking the policies and 2) the "other insurance" clause in her policy with Progressive is void because it violates public policy.

[¶9.] The term "stacking," in insurance law has varying definitions, but for the purposes of this case, stacking,

arises where the same claimant and the same loss are covered under multiple policies, or under multiple coverages contained in a single policy, and the amount available under one policy is inadequate to satisfy the damages alleged or awarded. In essence, stacking describes the phenomenon of insureds or claimants against them adding all available

policies together to create a greater pool in order to satisfy their actual loss.¹² Lee R. Russ & Thomas F. Segalla, *Couch on Insurance* § 169:4 (3d Ed 1999).³ Phen is attempting to collect coverage for the same claimant and the same loss from two different policies and therefore, contrary to her contention, this case involves the stacking of insurance claims or policies.

[¶10.] The trial court relied on this Court's decision in *Westphal* in granting summary judgment to Phen on the ground that the other insurance clause is void because it violates public policy. In *Westphal*, this Court adopted the holding of *Safeco Insurance Company of America v. Jones*, which provided:

We hold that our statute sets a minimum amount for recovery, but it does not place a limit on the total amount of recovery so long as that amount does not exceed the amount of actual loss; that where the loss exceeds the limits of one policy, the insured may proceed under other available policies; and that where the premiums have been paid for uninsured motorist coverage, we cannot permit an insurer to avoid its statutorily imposed liability by its insertion into the policy of a liability limited clause which restricts the insured from receiving that coverage for which the premium has been paid.

Westphal, 87 S.D. at 410-411, 209 N.W.2d at 559 (quoting *Blakeslee v. Farm Bureau Mutual Ins. Co. of Mich.*, 388 Mich. 464, 475, 201 N.W.2d 786, 792 (1972) (quoting *Safeco Insurance Company of America v. Jones*, 286 Ala. 606, 614, 243 So.2d 736, 742 (1971))).

[¶11.] Progressive argues that *Westphal* no longer represents the public policy of this state because the Legislature has never codified the holding and because the Legislature subsequently enacted anti-stacking laws. Progressive failed to show that *Westphal* no longer represents public policy. We affirm the trial court on this issue and hold that the "other insurance" clause of the policy is void in this circumstance.

[¶12.] This Court has consistently noted that the *Westphal* holding remains sound. See *Nickerson*, 2000 SD 121, 18, 616 N.W.2d at 473, n5; *Union Insurance Co. v. Stanage*, 454 N.W.2d 736, 739 (S.D.1990); *Cunningham v. Western Cas. Sur. Co.*, 90 S.D. 530, 532, 243 N.W.2d 172, 173 (1976). However, since *Westphal*, the uninsured motorist statute has been amended. The version of SDCL 58-11-9 at issue in *Westphal* provided:

No policy insuring against loss resulting from liability imposed by law for bodily injury or death suffered by any person arising out of the ownership, maintenance or use of a motor vehicle shall be delivered or issued for delivery in this state with respect to any motor vehicle registered or principally garaged in this state unless coverage is provided thereon or supplemental thereto in limits for bodily injury or death set forth in 32-35-17, for the protection of persons insured thereunder who are legally entitled to recover damages from

³ There are other forms of stacking in insurance law and by defining stacking this way for the purpose of this case, we do not intend to restrict the definition so that it does not apply in other contexts.

owners or operators of uninsured motor vehicles ... because of bodily injury, sickness or disease, including death, resulting therefrom; provided, *that the named insured shall have the right to reject such coverage*[.]

(Emphasis supplied.) SDCL 58-11-9 now provides in pertinent part:

No policy insuring against loss resulting from liability imposed by law for bodily injury or death suffered by any person arising out of the ownership, maintenance, or use of a motor vehicle may be delivered or issued for delivery in this state with respect to any motor vehicle registered or principally garaged in this state, except for snowmobiles, unless coverage is provided therein or supplemental thereto in limits for bodily injury or death equal to the coverage provided by such policy for bodily injury and death, for the protection of persons insured thereunder who are legally entitled to recover damages from owners or operators of uninsured motor vehicles and hit-and-run motor vehicles because of bodily injury, sickness, or disease, including death, resulting therefrom. *However, the coverage required by this section may not exceed the limits of one hundred thousand dollars because of bodily injury to or death of one person in any one accident and, subject to the limit for one person, three hundred thousand dollars because of bodily injury to or death of two or more persons in any one accident, unless additional coverage is requested by the insured.*

SDCL 58-11-9 (emphasis supplied). As the emphasized language suggests, there have been two relevant changes in the statute since *Westphal* was decided. First, uninsured motorist coverage is now mandatory whereas before the insured had the option of rejecting coverage. Second, the coverage required by the statute cannot exceed \$100,000 unless the insured specifically requests additional coverage. Progressive asserts that these changes remove the underpinnings of the *Westphal* decision. However, this Court's writings have taken these modifications into account and do not appear to have changed the holding of *Westphal*. * * *

[¶15.] This Court's interpretation of the uninsured motorist statute in *Westphal* and subsequent decisions appears to be that an insured is allowed to stack insurance policies up to the \$100,000 statutory maximum unless the insured has requested greater coverage. However, the insured may not collect an amount greater than his or her actual loss. See *Westphal*, 87 S.D. at 410, 209 N.W.2d at 558-559; *Union Ins. Co.*, 454 N.W.2d at 739; *Nickerson*, 2000 SD 121, 18, 616 N.W.2d at 473, n5. Therefore, according to our cases discussing uninsured motorist insurance, *Westphal* is still sound and Phen is entitled to stack her \$25,000 policy limit in her contract with Progressive onto the \$25,000 she has received from Financial.

[¶16.] As Progressive correctly asserts, the Legislature has created several anti-stacking statutes since 1973. However, not one of these statutes addresses our holding in *Westphal*. For example, when the Legislature enacted the under insured motorist provision in 1975, it specifically limited the amount the insured could recover to the difference of the policy limits on the vehicle of the party recovering or such smaller limits as he may select less the amount paid by the liability insurer of the party recovered against. 1975 Session Laws, ch 315-2. The statute has been modified but

retains specific language limiting the amount of recovery in an underinsured motorist claim to the limits on the vehicle of the party recovering less the amount paid by the liability insurer of the party recovered against. SDCL 58-11-9.5. It is significant that there is no parallel limitation on recovery under the statutory provisions for uninsured motorist protection.

[¶17.] In 1986, the Legislature directly addressed the issue of stacking in three statutes. First, an insured may not add their uninsured motorist coverage to their underinsured motorist coverage to determine the limit of coverage for an injured person for any one accident. SDCL 58-11-9.7.

[¶18.] Next, an insured may not add together the limit of liability for underinsured motorist coverage for two or more of the insureds vehicles to determine the limit of coverage available to an injured person for any one accident. SDCL 58-11-9.9.

[¶19.] Finally, SDCL 58-11-9.8 prohibits an insured from adding together the limits of liability for uninsured motorist coverage for two or more of the insureds vehicles to determine the limit of coverage available to an injured person for any one accident. SDCL 58-11-9.8.

[¶20.] It is clear that the Legislature is aware of the concept of stacking and that in certain circumstances the Legislature has specifically prohibited stacking. By enacting SDCL 58-11-9.8, the Legislature has even gone so far as to codify this Court's decision in *Cunningham* which held that although the Court's decision in *Westphal* was sound, the Court would not expand it to allow an insured to stack his own uninsured motorist coverage of two vehicles. *Cunningham v. Western Cas. Sur. Co.*, 90 S.D. 530, 534, 243 N.W.2d 172, 174.

[¶21.] Had the Legislature determined that other insurance clauses were in accord with public policy in this type of circumstance, it clearly could have addressed the issue in one of the numerous changes and additions to the uninsured and underinsured motorist statutes. The Legislature has chosen to allow the rule of *Westphal* to stand, and this Court has consistently noted that the holding is sound. The trial court did not err in relying on *Westphal* to grant summary judgment to Phen. Furthermore, to the extent that the anti-stacking clause attempts to prohibit the insured from collecting under the policy when other uninsured motorist coverage is available, it also violates public policy.⁴

[¶22.] The Legislature has clearly enunciated a public policy of requiring insurers to provide

⁴ A review of this Court's holdings regarding underinsured motorist coverage accounts for Progressive's belief that Phen should only be entitled to collect up to the amount she bargained for with Progressive. See e.g. *Union Ins. Co.*, 454 N.W.2d 736; *Nickerson*, 2000 SD 121, 616 N.W.2d 468; *Cunningham*, 90 S.D. 530, 243 N.W.2d 172. This Court has consistently and clearly held that an insured may not stack underinsured coverage to amounts greater than the amount contracted. This makes this case difficult because essentially it holds that a motorist is better off being injured by an uninsured motorist than by an underinsured motorist because he or she may stack coverage. However, the legislative enactments and our precedent since *Westphal* compel this result in an uninsured motorist case unless this Court would overturn *Westphal* and disregard the absence of a pro ration requirement in the uninsured motorist statute.

uninsured motorist coverage to every insured in the state. A policy clause that purports to eliminate an insurance company's liability under an uninsured motorist provision violates that public policy. This is especially true where, as in this case, the insurance company would completely escape any liability whenever there is any other applicable insurance available, regardless of the amount available or the damages sustained by the insured. The trial court is affirmed on Issue 1.

[¶23.]

**2. WHETHER THE TRIAL COURT PROPERLY DENIED
PROGRESSIVE'S MOTION FOR SUMMARY JUDGMENT
ON PHEN'S CLAIM OF BAD FAITH.**

[¶24.] In order to establish that an insurance company acted in bad faith in denying a claim, the insured must show an absence of a reasonable basis for denial of policy benefits [or failure to comply with a duty under the insurance contract] and the knowledge or reckless disregard [of the lack] of a reasonable basis for denial. *Stene v. State Farm Mut. Auto. Ins. Co.*, 1998 SD 95, 19, 583 N.W.2d 399, 403 (citing *Walz v. Fireman's Fund Ins. Co.*, 556 N.W.2d 68, 70 (S.D. 1996)). An insurance company is entitled to challenge claims which are fairly debatable and will be found liable only where it has intentionally denied (or failed to process or pay) a claim without a reasonable basis. *Id.*

[¶25.] The simple fact that Progressive asserted a policy defense is insufficient grounds upon which to find a genuine issue of material fact as to whether it acted in bad faith. The stipulated facts do not present a genuine issue of material fact but raise a legal question as to whether the facts constitute bad faith. In this instance, this is clearly a legal question to be determined *de novo*. In the thirty years since *Westphal*, changes in the underinsured motorist statutes and our cases regarding the same could lead a reasonable insurer to believe that *Westphal* no longer represented the public policy of this state. Indeed, the trial court even indicated that he felt the law in this area was "a little murky." Because the question whether the policy exclusion was void was fairly debatable, we hold that the trial court improperly denied Progressive's summary judgment motion on Phen's claim of bad faith.

GILBERTSON, Chief Justice, and MEIERHENRY, Justice, concur.

KONENKAMP and ZINTER, Justices, concur in result.

ZINTER, Justice (concurring in result).

[¶28.] I agree that *Westphal* controls this appeal, and *Westphal* invalidates Progressive's policy clauses that prohibit the stacking of coverage. I concur in result only because I part company with the Court's conclusion that our decisions since *Westphal* continue to reflect a public policy against "anti-stacking" exclusions in uninsured motorist insurance policies. In my view, Progressive correctly points out that this Court's more recent decisions reflect a public policy permitting such

exclusions as long as the statutorily required minimum uninsured motorist coverage is provided. Nevertheless, I concur in result because *Westphal* remains the law of this State, and that decision invalidates Progressive's anti-stacking exclusions.

* * *

[¶30.] ... I disagree with the Court's conclusion that anti-stacking provisions also violate public policy as expressed in "our precedent since *Westphal*. . . ." *Supra* n2 and ¶ 15. On the contrary, Progressive presents a colorable case that public policy, as expressed in our decisions after *Westphal*, permits anti-stacking provisions as long as the insured is provided the minimum limits of coverage.

* * *

[¶32.] This Court's decisions after *Westphal* reflect that the uninsured motorist statutes are not intended to provide the insured with a full recovery for the amount of actual loss when that loss exceeds the statutorily required coverage.

* * *

[¶35.] Thus, a number of our decisions after *Westphal* have upheld anti-stacking provisions, and none have concluded that anti-stacking provisions violate public policy. *Id.*; see also *Cunningham*, 90 S.D. at 532, 243 N.W.2d at 173 (plaintiffs could not stack the uninsured motorist limits of one vehicle onto the limits of the vehicle in which their decedents were actually riding when the accident occurred); *Nickerson*, 2000 SD 121, 616 N.W.2d 468 (passenger could not recover excess UIM benefits from her insurer because she had already recovered a total of \$100,000 from the tortfeasor and the primary UIM carrier, an amount that equaled the policy limit on her excess UIM coverage).

[¶36.] In light of our recent precedent, I cannot join the majority's conclusion that "our precedent since *Westphal* compel[s]" the conclusion that anti-stacking provisions violate public policy, *supra* n2, or that "[t]his Court's ... subsequent decisions" allow the insured to stack coverage. *Supra* ¶ 15. On the contrary, were we to review Progressive's anti-stacking provisions based only upon our decisions since *Westphal*, we would most likely reach a different result.

[¶37.] Nevertheless, I concur in result because of the strength and breadth of the *Westphal* language, the substantial legislative activity restricting stacking in closely related areas while not restricting it in *Westphal* scenarios, and the fact that the Legislature has filed to abrogate *Westphal* despite its active involvement in this area for thirty years.

[¶38.] In my view, the analysis of Progressive's anti-stacking clauses begins and ends with *Westphal*. * * *

[¶40.] ... Consequently, until changed by the Legislature, *Westphal* remains the law of the State, and its broad language invalidates Progressive's "other insurance" and "anti-stacking" provisions.

[¶41.] I therefore concur in result on Issue 1 and concur on Issue 2.

[¶42.] KONENKAMP, Justice, joins this special writing.

***Phen and Westphal* upheld in *Hockett*, a 2006 case
involving UM coverages in excess of \$100,000**

Hockett v. LaPointe, 2006 SD 49, 716 N.W.2d 475 (6/7/06). Plaintiffs H & W (Joseph and Peggy Hockett) each sustained damages in excess of \$100,000 as a result of an automobile accident while riding in their daughter's car. Joseph was driving the daughter's car which collided with at-fault driver, La Pointe. LaPointe was uninsured and the car he was driving was uninsured. Both Joseph and Peggy collected \$100,000 from the insurer (State Farm) which provided UM coverage on the daughter's car. This action is an action against AMCO Insurance Company to collect on the UM coverage for the personal automobile policies provided to Joseph and Peggy. The trial court denied AMCO's motion for summary judgment, holding that the Joseph and Peggy could stack UM coverages up to the amount of their actual damages. The South Dakota Supreme Court affirmed, upholding its rulings in the recent *Phen* case and the older *Westhal* case. The Court specifically rejected the idea that SDCL 58-9-11 establishes a "mandatory maximum recovery" of \$100,000. The opinion states, "The statute [58-9-11] defines coverage, not recovery." ¶ 11. The opinion, which is authored by Justice Meierhenry, is unanimous with Justice Zinter concurring only for the purpose of clarifying the non-application of his concurring opinion in *Phen*.

Student Case Note on the *Phen* case: Nathan L. Buller, "*Phen v. Progressive Northern Insurance Company*: The South Dakota Supreme Court Upholds an Exception to South Dakota's General Prohibition of Stacking Uninsured or Underinsured Motorist Coverage," 50 South Dakota Law Review 123 (2005).

Hoglund v. Dakota Fire Insurance Co. The case of *Hoglund v. Dakota Fire Insurance Co.*, 2007 SD 123, 2007 WL 4270719, ___ N.W.2d ___ (12/5/07) presents the issue of whether a tortfeasor's liability insurer is protected by its policy limit of \$100,000 when confronted with claims by a victim (son) who was injured while a minor and also a claim by the father who was obligated on medical bills for services rendered to his son while still a minor. The actual damages exceed the policy limit and the insurer paid the limit of \$100,000 for the claims of the victim. Medical bills incurred by the son prior to his 18th birthday amounted to \$38,627.21. Father asserts that he is "another person" in addition to the victim and that the "per person" limit of \$100,000 on the liability policy does not absolve the liability insurer from payment of the claim of the father for those medical bills incurred by the son while he was a minor. The trial court ruled for the liability insurer and the SD Supreme Court affirmed in a unanimous opinion authored by Chief Justice Gilbertson. This opinion recognizes that while the father's claim and the son's claim are separate and distinct, they are derivative in nature. The Court also rejects the argument that the policy is ambiguous in this situation and further rejects the insurer's cross appeal concerning its obligation to pay \$1,630 to father for father's lost wages incurred when father took off work to care for son. The Court holds that the insurer did not properly preserve this last issue for review. The Court stated the following in this opinion:

While the circuit court found for Dakota Fire in rejecting Monte's claim to coverage under a second "per person" limit, it nonetheless concluded that he had a separate cause of action

for medical expenses incurred prior to Kaden's 18th birthday, and for the value of service that he provided to Kaden. We agree. ¶ 10.

While the facts of the instant case are different from *Knowles*, the basis upon which we decide this issue is identical. [Father] sought to recover medical expenses incurred prior to [Son's] 18th birthday. [Son] claimed damages for pain and suffering, loss of enjoyment of life, permanent injuries and future medical expenses. However, the two plaintiffs' claims are linked by liability stemming from [tortfeasor's] negligent act of running a stop sign and colliding with [Son]. Therefore, [Father's] ability to state a cause of action depended on [Son's] ability to show that his damages were the proximate cause of [tortfeasor's] negligence. Thus, while [Father's] and [Son's] claims are separate and distinct, they are derivative in nature. ¶ 18.

"Owned-but-not-insured" exclusion for UIM coverage upheld in a 3-2 decision

In *De Smet Insurance v. Pourier*, 2011 S.D. 47, the victim, a minor, was seriously injured in a motor vehicle accident. Medical expenses alone exceeded \$250,000. She collected \$25,000 from the tortfeasor's liability insurer (Dairyland) and \$75,000 in UIM (underinsured motorist coverage) from her primary insurer (GEICO). As a minor, plaintiff was also covered on her father's policy with De Smet Insurance. Plaintiff sought coverage under DeSmet's \$100,000 UIM coverage. DeSmet refused payment, resting on a policy exclusion described in this language from ¶ 3 of the opinion:

That exclusion states, "We do not provide Underinsured Motorist Coverage for 'bodily injury' sustained by any person: 1. While 'occupying,' or when struck by, any motor vehicle owned by you or any 'family member' which is not insured for this coverage under this policy." This provision is commonly referred to as an "owned-but-not-insured" clause.

De Smet brought a declaratory judgment action against the victim. The trial court ruled for De Smet and the SD Supreme Court affirmed in a 3-2 decision. The majority opinion is authored by Justice Konenkamp and holds that such a policy provision "is not against public policy." Retired Justice Meierhenry filed a dissenting opinion, in which Justice Severson agreed. The dissenting view is that the policy provision is a violation of SDCL 58-11-9.5 and against South Dakota public policy as so declared. SDCL 58-11-9.5 is set forth below, together with emphasis on the language upon which the dissent relies, as found in ¶ 16:

SDCL 58-11-9.5 provides: Subject to the terms and conditions of such underinsured motorist coverage, *the insurance company agrees to pay its own insured for uncompensated damages as its insured may recover on account of bodily injury or death arising out of an automobile accident because the judgment recovered against the owner of the other vehicle exceeds the policy limits thereon.* Coverage shall be limited to the underinsured motorist coverage limits on the vehicle of the party recovering less the amount paid by the liability insurer of the party recovered against.

(Italicized language is the language upon which the dissent would find the policy exclusion void.)

III. Federal Involvement

(or not) in the

Business of Insurance

McCarran-Ferguson Act
(15 U.S.C. §§ 1011-1015)

§ 1011. Declaration of policy

Congress hereby declares that the continued regulation and taxation by the several States of the business of insurance is in the public interest, and that silence on the part of the Congress shall not be construed to impose any barrier to the regulation or taxation of such business by the several States.
Mar. 9, 1945, c. 20, § 1, 59 Stat. 33.

§ 1012. Regulation by State law; Federal law relating specifically to insurance; applicability of certain Federal laws after June 30, 1948

(a) The business of insurance, and every person engaged therein, shall be subject to the laws of the several States which relate to the regulation or taxation of such business.

(b) No Act of Congress shall be construed to invalidate, impair, or supersede any law enacted by any State for the purpose of regulating the business of insurance, or which imposes a fee or tax upon such business, unless such Act specifically relates to the business of insurance: *Provided*, That after June 30, 1948, the Act of July 2, 1890, as amended, known as the Sherman Act, and the Act of October 15, 1914, as amended, known as the Clayton Act, and the Act of September 26, 1914, known as the Federal Trade Commission Act, as amended, shall be applicable to the business of insurance to the extent that such business is not regulated by State law.

Mar. 9, 1945, c. 20, § 2, 59 Stat. 34; July 25, 1947, c. 326, 61 Stat. 448.

§ 1013. Suspension until June 30, 1948, of application of certain Federal laws; Sherman Antitrust Act applicable to agreements to, or acts of, boycott, coercion, or intimidation

(a) Until June 30, 1948, the Act of July 2, 1890, as amended, known as the Sherman Act, and the Act of October 15, 1914, as amended, known as the Clayton Act, and the Act of September 26, 1914, known as the Federal Trade Commission Act, and the Act of June 19, 1936, known as the Robinson-Patman Anti-Discrimination Act, shall not apply to the business of insurance or to acts in the conduct thereof.

(b) Nothing contained in this chapter shall render the said Sherman Act inapplicable to any agreement to boycott, coerce, or intimidate, or act of boycott, coercion, or intimidation.

Mar. 9, 1945, c. 20, § 3, 59 Stat. 34; July 25, 1947, c. 326, 61 Stat. 448.

§ 1014. Applicability of National Labor Relations Act and Fair Labor Standards Act of 1938

Nothing contained in this chapter shall be construed to affect in any manner the application to the business of insurance of the Act of July 5, 1935, as amended, known as the National Labor Relations Act, or the Act of June 25, 1938, as amended, known as the Fair Labor Standards Act of 1938, or the Act of June 5, 1920, known as the Merchant Marine Act, 1920.

Mar. 9, 1945, c. 20, § 4, 59 Stat. 34.

§ 1015. "State" defined

As used in this chapter, the term "State" includes the several States, Alaska, Hawaii, Puerto Rico, Guam, and the District of Columbia.

Mar. 9, 1945, c. 20, § 5, 59 Stat. 34; Aug. 1, 1956, c. 852, § 4, 70 Stat. 908.

HARTFORD FIRE INSURANCE
CO., et al., Petitioners.
v.
CALIFORNIA et al.
HERRITT UNDERWRITING AGENCY
MANAGEMENT LIMITED, et al.,
Petitioners.

CALIFORNIA et al.
Nos. 91-1111, 91-1128.
Argued Feb. 23, 1993.
Decided June 29, 1993.

Justice SOUTER announced the judgment of the Court and delivered the opinion of the Court with respect to Parts I, II(A), III, and IV, and an opinion with respect to Part II(B) in which Justice WHITE, Justice BLACKMUN and Justice STEVENS join.

The Sherman Act makes every contract, combination, or conspiracy in unreasonable 1. CGL insurance provides "coverage for third party casualty damage claims against a purchaser of insurance (the 'insured')." App. 8 (Cal.Complaint ¶ 4.2). App. 8 2. Following the lower courts and the parties, see *In re Insurance Antitrust Litigation*, 938 F.2d

restraint of interstate or foreign commerce illegal. 26 Stat. 209, as amended, 15 U.S.C. § 1. These consolidated cases present questions about the application of that Act to the insurance industry, both here and abroad. The plaintiffs (respondents here) allege that both domestic and foreign defendants (petitioners here) violated the Sherman Act by engaging in various conspiracies to affect the American insurance market. A group of domestic defendants argues that the McCarran-Ferguson Act, 39 Stat. 33, as amended, 15 U.S.C. § 1011 et seq., precludes application of the Sherman Act to the conduct alleged; a group of foreign defendants argues that the principle of international comity requires the District Court to refrain from exercising jurisdiction over certain claims against it. We hold that most of the domestic defendants' alleged conduct is not immunized from antitrust liability by the McCarran-Ferguson Act, and that, even assuming it applies, the principle of international comity does not preclude District Court jurisdiction over the foreign conduct alleged.

The two petitions before us stem from consolidated litigation comprising the complaints of 19 States and many private plaintiffs alleging that the defendants, members of the insurance industry, conspired in violation of § 1 of the Sherman Act to restrict the terms of coverage of commercial general liability (CGL) insurance available in the United States. Because the cases come to us on motions to dismiss, we take the allegations of the complaints as true.¹

According to the complaints, the object of the conspiracies was to force certain 919, 924, 925 (CA9 1991), we will treat the complaint filed by California as representative of the claims of Alabama, Arizona, California, Massachusetts, New York, West Virginia, and Wisconsin, and the complaint filed by Connecticut as representative of the claims of Alaska, Colorado, Connecticut, Louisiana, Maryland,

primary insurers (insurers who sell insurance directly to consumers) to change the terms of their standard CGL insurance policies to conform with the policies the defendant insurers wanted to sell. The defendants wanted four changes.²

First, CGL insurance has traditionally been sold in the United States on an "occurrence" basis, through a policy obligating the insurer "to pay or defend claims, whenever made, resulting from an accident or 'injurious exposure to conditions' that occurred during the [specific time] period the policy was in effect." App. 22 (Cal.Complaint ¶ 52). In place of this traditional "occurrence" trigger of coverage, the defendants wanted a "claims-made" trigger, obligating the insurer to pay or defend only those claims made during the policy period. Such a policy has the distinct advantage for the insurer that when the policy period ends without a claim having been made, the insurer can be certain that the policy will not expose it to any further liability. Second, the defendants wanted the "claims-made" policy to have a "retroactive date" provision, which would further restrict coverage to claims based on incidents that occurred after a certain date. Such a provision eliminates the risk that an insurer, by issuing a claims-made policy, would assume liability arising from incidents that occurred before the policy's effective date, but remained undiscovered or caused no immediate harm. Third, CGL insurance has traditionally covered "sudden and accidental" pollution; the defendants wanted to eliminate that coverage.

Michigan, Minnesota, Montana, New Jersey, Ohio, Pennsylvania, and Washington. As will become apparent, the California and Connecticut complaints differ slightly in their presentations of background information and their claims for relief; their statements of facts are identical. Because the private party plaintiffs have chosen in their brief in this Court to use the California Complaint as a "representative model" of their claims, Brief for Respondents (Private Party Plaintiffs) 3, n. 4, we will assume that their complaints track that Complaint. On remand, the courts below will of course be free to take into account any relevant differences

Finally, CGL insurance has traditionally provided that the insurer would bear the legal costs of defending covered claims against the insured without regard to the policy's stated limits of coverage; the defendants wanted legal defense costs to be counted against the stated limits (providing a "legal defense cost cap").

To understand how the defendants are alleged to have pressured the targeted primary insurers to make these changes, one must be aware of two important features of the insurance industry. First, most primary insurers rely on certain outside support services for the type of insurance coverage they wish to sell. Defendant Insurance Services Office, Inc. (ISO), an association of approximately 1,400 domestic property and casualty insurers (including the primary insurer defendants, Hartford Fire Insurance Company, Allstate Insurance Company, CIGNA Corporation, and Aetna Casualty and Surety Company), is the almost exclusive source of support services in this country for CGL insurance. See *id.*, at 19 (Cal.Complaint ¶ 58). ISO develops standard policy forms and files or lodges them with each State's insurance regulator; most CGL insurance written in the United States is written on these forms. *Ibid.* (Cal.Complaint ¶ 59); *id.*, at 74 (Conn.Complaint ¶ 50). All of the "traditional" features of CGL insurance relevant to this case were embodied in the ISO standard CGL insurance form that had been in use since 1973 (1973 ISO CGL form). *Id.*, at 22 (Cal.Complaint ¶ 51-54); *id.*, at 75 (Conn.Complaint ¶ 55-58). For

among the complaints that the parties may bring to their attention.

3. The First Claim for Relief of the Connecticut Complaint, App. 44-49 (Conn. Complaint ¶¶ 113-119), charges all the defendants with an overarching conspiracy to force all four of these changes on the insurance market. The eight federal-law claims for Relief of the California Complaint, *id.*, at 36-49 (Cal. Complaint ¶¶ 111-150), charge various subgroups of defendants with separate conspiracies that had more limited objects; not all defendants are alleged to have desired all four changes.

each of its standard policy forms. ISO also supplies actuarial and rating information: it collects, aggregates, interprets, and distributes data on the premiums charged, claims filed and paid, and defense costs expended with respect to each form. *Id.*, at 19 (Cal. Complaint ¶ 139); *id.*, at 74 (Conn. Complaint ¶¶ 61-62), and on the basis of this data it predicts future loss trends and calculates advisory premium rates. *Id.*, at 19 (Cal. Complaint ¶ 139); *id.*, at 74 (Conn. Complaint ¶ 63). Most ISO members cannot afford to continue to use a form if ISO withdraws these support services. See *id.*, at 32-33 (Cal. Complaint ¶¶ 97, 99).

Second, primary insurers themselves usually purchase insurance to cover a portion of the risk they assume from the consumer. This so-called "reinsurance" may serve at least two purposes, protecting the primary insurer from catastrophic loss, and allowing the primary insurer to sell more insurance than its own financial capacity might otherwise permit. *Id.*, at 17 (Cal. Complaint ¶ 129). Thus, "[t]he availability of reinsurance affects the ability and willingness of primary insurers to provide insurance to their customers." *Id.*, at 18 (Cal. Complaint ¶ 134); *id.*, at 63 (Conn. Complaint ¶ 4(p)). Insurers who sell reinsurance themselves often purchase insurance to cover part of the risk they assume from the primary insurer, such "retrocessional reinsurance" does for reinsurers. See *ibid.* (Conn. Complaint ¶ 4(r)). Many of the defendants here are reinsurers or reinsurance brokers, or play some other specialized role in the reinsurance business; defendant Reinsurance Association of America (RAA) is a trade association of domestic reinsurers.

B

The prehistory of events claimed to give rise to liability starts in 1977, when ISO began the process of revising its 1973 CGL

form. *Id.*, at 22 (Cal. Complaint ¶ 65). For the first time, it proposed two CGL forms (1984 ISO CGL forms), one the traditional "occurrence" type, the other "with a new 'claims-made' trigger." *Id.*, at 22-23 (Cal. Complaint ¶ 66). The "claims-made" form did not have a retroactive date provision, however, and both 1984 forms covered "sudden and accidental" pollution damage and provided for unlimited coverage of legal defense costs by the insurer. *Id.*, at 23 (Cal. Complaint ¶¶ 69-60). Within the ISO, defendant Hartford Fire Insurance Company objected to the proposed 1984 forms; it desired elimination of the "occurrence" form, a retroactive date provision on the "claims-made" form, elimination of sudden and accidental pollution coverage, and a legal defense cost cap. Defendant Alliance Insurance Company also expressed its desire for a retroactive date provision on the "claims-made" form. *Id.*, at 24 (Cal. Complaint ¶ 61). Majorities in the relevant ISO committees, however, supported the proposed 1984 CGL forms and rejected the changes proposed by Hartford and Alliance. In December 1983, the ISO Board of Directors approved the proposed 1984 forms, and ISO filed or lodged the forms with state regulators in March 1984. *Ibid.* (Cal. Complaint ¶ 62).

Disatisfied with this state of affairs, the defendants began to take other steps to force a change in the terms of coverage of CGL insurance generally available, steps that, the plaintiffs allege, implemented a series of conspiracies in violation of § 1 of the Sherman Act. The plaintiffs recount these steps as a number of separate episodes corresponding to different Claims for Relief in their complaint;⁴ because it will become important to distinguish among these counts and the acts and defendants associated with them, we will note these correspondences.

The first four Claims for Relief of the California Complaint, *id.*, at 36-43 correspond to the following allegations in the complaint: *id.*, at 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69, 70, 71, 72, 73, 74, 75, 76, 77, 78, 79, 80, 81, 82, 83, 84, 85, 86, 87, 88, 89, 90, 91, 92, 93, 94, 95, 96, 97, 98, 99, 100, 101, 102, 103, 104, 105, 106, 107, 108, 109, 110, 111, 112, 113, 114, 115, 116, 117, 118, 119, 120, 121, 122, 123, 124, 125, 126, 127, 128, 129, 130, 131, 132, 133, 134, 135, 136, 137, 138, 139, 140, 141, 142, 143, 144, 145, 146, 147, 148, 149, 150, 151, 152, 153, 154, 155, 156, 157, 158, 159, 160, 161, 162, 163, 164, 165, 166, 167, 168, 169, 170, 171, 172, 173, 174, 175, 176, 177, 178, 179, 180, 181, 182, 183, 184, 185, 186, 187, 188, 189, 190, 191, 192, 193, 194, 195, 196, 197, 198, 199, 200, 201, 202, 203, 204, 205, 206, 207, 208, 209, 210, 211, 212, 213, 214, 215, 216, 217, 218, 219, 220, 221, 222, 223, 224, 225, 226, 227, 228, 229, 230, 231, 232, 233, 234, 235, 236, 237, 238, 239, 240, 241, 242, 243, 244, 245, 246, 247, 248, 249, 250, 251, 252, 253, 254, 255, 256, 257, 258, 259, 260, 261, 262, 263, 264, 265, 266, 267, 268, 269, 270, 271, 272, 273, 274, 275, 276, 277, 278, 279, 280, 281, 282, 283, 284, 285, 286, 287, 288, 289, 290, 291, 292, 293, 294, 295, 296, 297, 298, 299, 300, 301, 302, 303, 304, 305, 306, 307, 308, 309, 310, 311, 312, 313, 314, 315, 316, 317, 318, 319, 320, 321, 322, 323, 324, 325, 326, 327, 328, 329, 330, 331, 332, 333, 334, 335, 336, 337, 338, 339, 340, 341, 342, 343, 344, 345, 346, 347, 348, 349, 350, 351, 352, 353, 354, 355, 356, 357, 358, 359, 360, 361, 362, 363, 364, 365, 366, 367, 368, 369, 370, 371, 372, 373, 374, 375, 376, 377, 378, 379, 380, 381, 382, 383, 384, 385, 386, 387, 388, 389, 390, 391, 392, 393, 394, 395, 396, 397, 398, 399, 400, 401, 402, 403, 404, 405, 406, 407, 408, 409, 410, 411, 412, 413, 414, 415, 416, 417, 418, 419, 420, 421, 422, 423, 424, 425, 426, 427, 428, 429, 430, 431, 432, 433, 434, 435, 436, 437, 438, 439, 440, 441, 442, 443, 444, 445, 446, 447, 448, 449, 450, 451, 452, 453, 454, 455, 456, 457, 458, 459, 460, 461, 462, 463, 464, 465, 466, 467, 468, 469, 470, 471, 472, 473, 474, 475, 476, 477, 478, 479, 480, 481, 482, 483, 484, 485, 486, 487, 488, 489, 490, 491, 492, 493, 494, 495, 496, 497, 498, 499, 500, 501, 502, 503, 504, 505, 506, 507, 508, 509, 510, 511, 512, 513, 514, 515, 516, 517, 518, 519, 520, 521, 522, 523, 524, 525, 526, 527, 528, 529, 530, 531, 532, 533, 534, 535, 536, 537, 538, 539, 540, 541, 542, 543, 544, 545, 546, 547, 548, 549, 550, 551, 552, 553, 554, 555, 556, 557, 558, 559, 560, 561, 562, 563, 564, 565, 566, 567, 568, 569, 570, 571, 572, 573, 574, 575, 576, 577, 578, 579, 580, 581, 582, 583, 584, 585, 586, 587, 588, 589, 590, 591, 592, 593, 594, 595, 596, 597, 598, 599, 600, 601, 602, 603, 604, 605, 606, 607, 608, 609, 610, 611, 612, 613, 614, 615, 616, 617, 618, 619, 620, 621, 622, 623, 624, 625, 626, 627, 628, 629, 630, 631, 632, 633, 634, 635, 636, 637, 638, 639, 640, 641, 642, 643, 644, 645, 646, 647, 648, 649, 650, 651, 652, 653, 654, 655, 656, 657, 658, 659, 660, 661, 662, 663, 664, 665, 666, 667, 668, 669, 670, 671, 672, 673, 674, 675, 676, 677, 678, 679, 680, 681, 682, 683, 684, 685, 686, 687, 688, 689, 690, 691, 692, 693, 694, 695, 696, 697, 698, 699, 700, 701, 702, 703, 704, 705, 706, 707, 708, 709, 710, 711, 712, 713, 714, 715, 716, 717, 718, 719, 720, 721, 722, 723, 724, 725, 726, 727, 728, 729, 730, 731, 732, 733, 734, 735, 736, 737, 738, 739, 740, 741, 742, 743, 744, 745, 746, 747, 748, 749, 750, 751, 752, 753, 754, 755, 756, 757, 758, 759, 760, 761, 762, 763, 764, 765, 766, 767, 768, 769, 770, 771, 772, 773, 774, 775, 776, 777, 778, 779, 780, 781, 782, 783, 784, 785, 786, 787, 788, 789, 790, 791, 792, 793, 794, 795, 796, 797, 798, 799, 800, 801, 802, 803, 804, 805, 806, 807, 808, 809, 810, 811, 812, 813, 814, 815, 816, 817, 818, 819, 820, 821, 822, 823, 824, 825, 826, 827, 828, 829, 830, 831, 832, 833, 834, 835, 836, 837, 838, 839, 840, 841, 842, 843, 844, 845, 846, 847, 848, 849, 850, 851, 852, 853, 854, 855, 856, 857, 858, 859, 860, 861, 862, 863, 864, 865, 866, 867, 868, 869, 870, 871, 872, 873, 874, 875, 876, 877, 878, 879, 880, 881, 882, 883, 884, 885, 886, 887, 888, 889, 890, 891, 892, 893, 894, 895, 896, 897, 898, 899, 900, 901, 902, 903, 904, 905, 906, 907, 908, 909, 910, 911, 912, 913, 914, 915, 916, 917, 918, 919, 920, 921, 922, 923, 924, 925, 926, 927, 928, 929, 930, 931, 932, 933, 934, 935, 936, 937, 938, 939, 940, 941, 942, 943, 944, 945, 946, 947, 948, 949, 950, 951, 952, 953, 954, 955, 956, 957, 958, 959, 960, 961, 962, 963, 964, 965, 966, 967, 968, 969, 970, 971, 972, 973, 974, 975, 976, 977, 978, 979, 980, 981, 982, 983, 984, 985, 986, 987, 988, 989, 990, 991, 992, 993, 994, 995, 996, 997, 998, 999, 1000.

(Cal. Complaint ¶¶ 111-130), and the Second Claim for Relief of the Connecticut Complaint, *id.*, at 90-92 (Conn. Complaint ¶¶ 120-124), charge the four domestic primary insurer defendants and varying groups of domestic and foreign reinsurers, brokers, and associations with conspiracies to manipulate the ISO CGL forms. In March 1984, primary insurer Hartford persuaded General Reinsurance Corporation (General Re), the largest American reinsurer, to take steps either to procure desired changes in the ISO CGL forms, or "failing that, [to] 'derail' the entire ISO CGL forms program." *Id.*, at 24 (Cal. Complaint ¶ 64).

General Re took up the matter with its trade association, RAA, which created a special committee that met and agreed to " boycott" the 1984 ISO CGL forms unless a retroactive-date provision was added to the claims-made form, and a pollution exclusion and defense cost cap were added to both forms. *Id.*, at 24-25 (Cal. Complaint ¶¶ 65-66). RAA then sent a letter to ISO "announcing" that its members would not provide reinsurance for coverages written on the 1984 CGL forms. *Id.*, at 25 (Cal. Complaint ¶ 67), and Hartford and General Re enlisted a domestic reinsurance broker to give a speech to the ISO Board of Directors, in which he stated that no reinsurers would "break ranks" to reinsure the 1984 ISO CGL forms. *Ibid.* (Cal. Complaint ¶ 68).

The four primary insurer defendants (Hartford, Aetna, CIGNA, and Allstate) also encouraged key actors in the London reinsurance market, an important provider of reinsurance for North American risks, to withhold reinsurance for coverages written on the 1984 ISO CGL forms. *Id.*, at 25-26 (Cal. Complaint ¶¶ 69-70). As a consequence, many London-based underwriters, syndicates, brokers, and reinsurance companies informed ISO of their intention to withhold reinsurance on the 1984 forms, *id.*, at 26-27 (Cal. Complaint ¶¶ 71-75), and at least some of them told ISO that they would withhold reinsurance until ISO incorporated all four desired changes, see *supra*

part, at 3-4, into the ISO CGL forms. App. 26 (Cal. Complaint ¶ 74).

For the first time ever, ISO invited representatives of the domestic and foreign reinsurance markets to speak at an ISO Executive Committee meeting. *Id.*, at 27-28 (Cal. Complaint ¶ 78). At that meeting, the reinsurers "presented their agreed upon positions that there would be changes in the CGL forms or no reinsurance." *Id.*, at 29 (Cal. Complaint ¶ 82). The ISO Executive Committee then voted to include a retroactive-date provision in the claims-made form, and to exclude all pollution coverage from both new forms. (But it neither eliminated the occurrence form, nor added a legal defense cost cap.) The 1984 ISO CGL forms were then withdrawn from the marketplace, and replaced with forms (1986 ISO CGL forms) containing the new provisions. *Ibid.* (Cal. Complaint ¶ 84). After ISO got regulatory approval of the 1986 forms in most States where approval was needed, it eliminated its support services for the 1973 CGL form, thus rendering it impossible for most ISO members to continue to use the form. *Id.*, at 32-33 (Cal. Complaint ¶¶ 97, 99).

The Fifth Claim for Relief of the California Complaint, *id.*, at 43-44 (Cal. Complaint ¶¶ 131-135), and the virtually identical Third Claim for Relief of the Connecticut Complaint, *id.*, at 92-94 (Conn. Complaint ¶¶ 125-129), charge a conspiracy among a group of London reinsurers and brokers to coerce primary insurers in the United States to offer CGL coverage only on a claims-made basis. The reinsurers collectively refused to write new reinsurance contracts for, or to renew long-standing contracts with, "primary ... insurers unless they were prepared to switch from the occurrence to the claims-made form." *Id.*, at 30 (Cal. Complaint ¶ 88); they also amended their reinsurance contracts to cover only claims made before a "sunset date," thus eliminating reinsurance for claims made on occurrence policies after that date. *Id.*, at 31 (Cal. Complaint ¶ 92).

Cite as 113 S.Ct. 2891 (1993)

The Sixth Claim for Relief of the California Complaint, *id.*, at 45-46 (Cal. Complaint ¶¶ 135-140), and the nearly identical Fourth Claim for Relief of the Connecticut Complaint, *id.*, at 94-95 (Conn. Complaint ¶¶ 130-134), charge another conspiracy among a somewhat different group of London reinsurers to withhold reinsurance for pollution coverage. The London reinsurers met and agreed that all reinsurance contracts covering North American casualty risks, including CGL risks, would be written with a complete exclusion for pollution liability coverage. *Id.*, at 32 (Cal. Complaint ¶¶ 94-95). In accordance with this agreement, the parties have in fact excluded pollution liability coverage from CGL reinsurance contracts since at least late 1985. *Ibid.* (Cal. Complaint ¶ 94).

The Seventh Claim for Relief in the California Complaint, *id.*, at 46-47 (Cal. Complaint ¶¶ 141-145), and the closely similar Sixth Claim for Relief in the Connecticut Complaint, *id.*, at 97-98 (Conn. Complaint ¶¶ 140-144), charge a group of domestic primary insurers, foreign reinsurers, and the ISO with conspiring to restrain trade in the markets for "excess" and "umbrella" insurance by drafting model forms and policy language for these types of insurance, which are not normally offered on a regulated basis. *Id.*, at 33 (Cal. Complaint ¶ 101). The ISO Executive Committee eventually released standard language for both "occurrence" and "claims-made" umbrellas and excess policies; that language included a retroactive date in the claim-made version, and an absolute pollution exclusion and a legal defense cost cap in both versions. *Id.*, at 34 (Cal. Complaint ¶ 105).

5. The California and Connecticut Complaints' Statements of Facts describe this conspiracy as involving "specialized reinsurers in London and the United States." App. 34 (Cal. Complaint ¶ 106); *id.*, at 87 (Conn. Complaint ¶ 110). The Claims for Relief, however, name only London reinsurers (they do not name any of the domestic defendants who are the petitioners in No. 91-1111). See *id.*, at 48 (Cal. Complaint ¶ 147); *id.*, at 96 (Conn. Complaint ¶ 136). Thus, we assume that the domestic reinsurers alleged to be involved in this conspiracy are among the

Finally, the Eighth Claim for Relief of the California Complaint, *id.*, at 47-49 (Cal. Complaint ¶¶ 146-150), and its counterpart in the Fifth Claim for Relief of the Connecticut Complaint, *id.*, at 95-97 (Conn. Complaint ¶¶ 135-139), charge a group of London and domestic retrocessional reinsurers with conspiring to withhold retrocessional reinsurance for North American seepage, pollution, and property contamination risks. Those retrocessional reinsurers signed, and have implemented, an agreement to use their "best endeavor" to ensure that they would provide such reinsurance for North American risks "only ... where the original business includes a seepage and pollution exclusion wherever legal and applicable." *Id.*, at 35 (Cal. Complaint ¶ 108).

C

Nineteen States and a number of private plaintiffs filed 36 complaints against the insurers involved in this course of events, charging that the conspiracies described above violated § 1 of the Sherman Act, 15 U.S.C. § 1. After the actions had been consolidated for litigation in the Northern District of California, the defendants moved to dismiss for failure to state a cause of action, or, in the alternative, for summary judgment. The District Court granted the motions to dismiss. *In re Insurance Antitrust Litigation*, 723 F.Supp. 464 (1989). It held that the conduct alleged fell within the grant of antitrust immunity contained in § 2(b) of the McCarran-Ferguson Act, 15 U.S.C. § 1012(b), because it amounted to "the business of insurance" and was "regulated by State law" within

"unarmed co-conspirators" mentioned in the Complaint. See *id.*, at 48 (Cal. Complaint ¶ 147); *id.*, at 96 (Conn. Complaint ¶ 136).

6. The Ninth, Tenth and Eleventh Claims for Relief in the California Complaint, *id.*, at 48-50 (Cal. Complaint ¶¶ 151-156), and the Seventh Claim for Relief in the Connecticut Complaint, *id.*, at 98 (Conn. Complaint ¶ 145-146), allege state-law violations not at issue here.

the meaning of that section; none of the conduct, in the District Court's view, amounted to a "boycott" within the meaning of the § 3(b) exception to that grant of immunity, 15 U.S.C. § 1013(b). The District Court also dismissed the three claims that named only certain London-based defendants,¹ invoking international comity and applying the Ninth Circuit's decision in *Timberlane Lumber Co. v. Bank of America, N.T. & S.A.*, 649 F.2d 597 (CA9 1976).

The Court of Appeals reversed. *In re Insurance Antitrust Litigation*, 938 F.2d 919 (CA9 1991). Although it held the conduct involved to be "the business of insurance" within the meaning of § 2(b), it concluded that the defendants could not claim McCarran-Ferguson Act antitrust immunity for two independent reasons. First, it held, the foreign reinsurers were beyond the regulatory jurisdiction of the States; because their activities could not be "regulated by State law" within the meaning of § 2(b), they did not fall within that section's grant of immunity. Although the domestic insurers were "regulated by State law," the court held, they forfeited their § 2(b) exemption when they conspired with the nonexempt foreign reinsurers. Second, the Court of Appeals held that, even if the conduct alleged fell within the § 3(b) exception, it also fell within the § 3(b) scope of "act[s] of boycott, coercion, or intimidation." Finally, as to the three claims brought solely against foreign defendants, the court applied its *Timberlane* analysis, but concluded that the principle of international comity was no bar to exercising

domestic comity was no bar to exercising Sherman Act jurisdiction.

We granted certiorari in No. 91-1111 to address two narrow questions about the scope of McCarran-Ferguson Act antitrust immunity,² and in No. 91-1128 to address the application of the Sherman Act to the foreign conduct at issue.³ 506 U.S. —, 113 S.Ct. 52, 121 L.Ed.2d 22 (1992). We now affirm in part, reverse in part, and remand.

II

The petition in No. 91-1111 touches on the interaction of two important pieces of economic legislation. The Sherman Act declares "[e]very contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several States, or with foreign nations, ... to be illegal." 15 U.S.C. § 1. The McCarran-Ferguson Act provides that regulation of the insurance industry is generally a matter for the States. 15 U.S.C. § 1012(a), and (again, generally) that "[n]o Act of Congress shall be construed to invalidate, impair, or supersede any law enacted by any State for the purpose of regulating the business of insurance." § 1012(b). Section 2(b) of the McCarran-Ferguson Act makes it clear nonetheless that the Sherman Act applies "to the business of insurance to the extent that such business is not regulated by State law." § 1012(b), and § 3(b) provides that nothing in the McCarran-Ferguson Act "shall render the ... Sherman Act inapplicable to any agreement to boycott, coerce, or intimidate, or act of

2. We limited our grant of certiorari in No. 91-1111 to these questions: "1. Whether domestic insurance companies whose conduct otherwise would be exempt from the federal antitrust laws under the McCarran-Ferguson Act lose that exemption because they participate with foreign reinsurers in the business of insurance;" and "2. Whether agreements among primary insurers and reinsurers on such matters as standardized advisory insurance policy forms and terms of

3. The question presented in No. 91-1128 is: "Did the court of appeals properly assess the extrajurisdictional reach of the U.S. antitrust laws in light of this Court's teachings and contemporary understanding of international law when it held that a U.S. district court may apply U.S. law to the conduct of a foreign insurance market regulated abroad?" Pet. for Cert. in No. 91-1128, p. 1.

boycott, coercion, or intimidation," § 103(b).

Petitioners in No. 91-1111 are all of the domestic defendants in the consolidated cases: the four domestic primary insurers, the domestic reinsurers, the trade associations ISO and RAA, and the domestic reinsurer broker Thomas A. Greene & Company, Inc. They argue that the Court of Appeals erred in holding, first, that their conduct, otherwise immune from antitrust liability under § 2(b) of the McCarran-Ferguson Act, lost its immunity when they conspired with the foreign defendants, and, second, that their conduct amounted to "acts of boycott" falling within the exception to antitrust immunity set out in § 3(b). We conclude that the Court of Appeals did err about the effect of conspiring with foreign defendants, but correctly decided that all but one of the complaints' relevant Claims for Relief are fairly read to allege conduct falling within the "boycott" exception to McCarran-Ferguson Act antitrust immunity. We therefore affirm the Court of Appeals's judgment that it was error for the District Court to dismiss the complaints on grounds of McCarran-Ferguson Act immunity, except as to the one Claim for Relief that the Court of Appeals correctly found to allege no boycott.

A

(1, 2) By its terms, the antitrust exemption of § 2(b) of the McCarran-Ferguson Act applies to "the business of insurance" to the extent that such business is regulated by state law. While "business" may mean "[a] commercial or industrial establishment or enterprise," Webster's New International Dictionary 362 (2d ed. 1942), the definitional article before "business" in § 2(b) shows that the word is not used in that sense; the phrase "the business of insurance" obviously not being meant to refer to a single entity. Rather, "business" as used in § 2(b) is most naturally read to refer to

"[i]nterstate transactions; buying and selling; [and] traffic." *Id.*

The cases confirm that "the business of insurance" should be read to single out one activity from others, not to distinguish one entity from another. In *Group Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205, 99 S.Ct. 1067, 59 L.Ed.2d 281 (1979), for example, we held that § 2(b) did not exempt an insurance company from antitrust liability for making an agreement fixing the price of prescription drugs to be sold to Blue Shield policyholders. Such activity, we said, "would be exempt from the antitrust laws if Congress had extended the coverage of the McCarran-Ferguson Act to the 'business of insurance companies.' But that is precisely what Congress did not do." *Id.*, at 233, 99 S.Ct., at 1084 (footnote omitted); see *SEC v. National Securities, Inc.*, 393 U.S. 453, 459, 89 S.Ct. 564, 568, 21 L.Ed.2d 668 (1969) (the McCarran-Ferguson Act's "language refers not to the persons or companies who are subject to state regulation, but to laws regulating the business of insurance"); *emphasizing in original*. And in *Union Labor Life Ins. Co. v. Pireno*, 468 U.S. 119, 102 S.Ct. 3002, 73 L.Ed.2d 641 (1982), we explicitly framed the question as whether "a particular practice is part of the 'business of insurance' exempted from the antitrust laws by § 2(b)." *Id.*, at 129, 102 S.Ct. at 3009 (emphasis added), and each of the three criteria we identified concerned a quality of the practice in question: "first, whether the practice has the effect of transferring or spreading a policyholder's risk; second, whether the practice is an integral part of the policy relationship between the insurer and the insured; and third, whether the practice is limited to entities within the insurance industry." *Id.* (emphasis in original).

(3) The Court of Appeals did not hold that, under these criteria, the domestic defendants' conduct fell outside "the business of insurance"; to the contrary, it held that that condition was met.¹⁰ See 938 F.2d, at 1010, n.10. The activities in question here, of course, are alleged to violate federal law, and it might be

927. Nor did it hold the domestic defendants' conduct to be "unregulated by State law." Rather, it constructed an altogether different chain of reasoning, the middle link of which comes from a sentence in our opinion in *Royal Drug Co.* ("[R]egulation . . . of foreign reinsurers," the Court of Appeals explained, "is beyond the jurisdiction of the states," 938 F.2d, at 928, and hence § 2(b) does not exempt foreign reinsurers from antitrust liability, because their activities are not "regulated by State law." Under *Royal Drug Co.*, "an exempt entity forfeits antitrust exemption by acting in concert with nonexempt parties." 440 U.S., at 231, 99 S.Ct. at 1083. Therefore, the domestic insurers, by acting in concert with the nonexempt foreign insurers, lost their McCarran-Ferguson Act antitrust immunity. See 938 F.2d, at 928. This reasoning fails, however, because even if we were to agree that foreign reinsurers were not subject to state regulation (a point on which we express no opinion), the quoted language from *Royal Drug Co.*, read in context, does not state a proposition applicable to this case.

The full sentence from *Royal Drug Co.* places the quoted fragment in a different light. "In analogous contexts," we stated, "the Court has held that an exempt entity forfeits antitrust exemption by acting in concert with nonexempt parties." 440 U.S., at 231, 99 S.Ct., at 1083. We then cited two cases dealing with the Capper-Volstead Act, which immunizes from liability under § 1 of the Sherman Act particular

temping to think that unlawful acts are implicitly excluded from "the business of insurance." Yet § 2(b)'s grant of immunity assumes that acts which, but for that grant, would violate the Sherman Act, the Clayton Act, or the Federal Trade Commission Act, are part of "the business of insurance."

11. We also cited two cases dealing with the immunity of certain agreements of labor unions under the Clayton and Norris-LaGuardia Acts, 440 U.S., at 231-232, 99 S.Ct. at 1083-1084. These cases, however, did not hold that labor unions lose their immunity whenever they enter into agreements with employers; to the contrary, we acknowledged in one of the cases that

activities of certain persons "engaged in the production of agricultural products," 11 388, 7 U.S.C. § 291; see *Casa-Suyre Co. v. Sunbelt Growers, Inc.*, 389 U.S. 384, 88 S.Ct. 628, 19 L.Ed.2d 621 (1967); *United States v. Borden Co.*, 308 U.S. 188, 60 S.Ct. 182, 84 L.Ed. 181 (1939). Because these cases relied on statutory language referring to certain "persons," whereas we specifically acknowledged in *Royal Drug Co.* that the McCarran-Ferguson Act immunizes activities rather than entities, see 440 U.S., at 232-233, 99 S.Ct., at 1083-1084, the analogy we were drawing was of course a loose one. The agreements that insurance companies made with "parties wholly outside the insurance industry," *id.*, at 231, 99 S.Ct. at 1083, we noted, such as the retail pharmacists involved in *Royal Drug Co.*, itself, or "automobile body repair shops or landlords," *id.*, at 232, 99 S.Ct., at 1084 (footnote omitted), are unlikely to be about anything that could be called "the business of insurance," as distinct from the broader "business of insurance companies." *Id.*, at 233, 99 S.Ct., at 1084. The alleged agreements at issue in the instant case, of course, are entirely different: the foreign reinsurers are hardly "wholly outside the insurance industry," and respondents do not contest the Court of Appeals's holding that the agreements concern "the business of insurance." These facts neither support even the rough analogy we drew in *Royal Drug Co.*, nor fall within the rule about acting in concert with nonexempt parties.

The law contemplates agreements on wages not only between individual employers and a union but agreements between the union and employers in a multi-employer bargaining unit. *Adams v. Pennsylvania*, 381 U.S. 637, 664, 85 S.Ct. 1385, 1390, 14 L.Ed.2d 676 (1965). Because the case stand only for the proposition that labor unions are not immune from antitrust liability for certain types of agreements with employers, such as agreements "to impose a certain wage scale on other bargaining units," *id.*, at 665, 85 S.Ct. at 1391, they do not support the far more general statement that exempt entities lose immunity by conspiring with non-exempt entities.

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which derived from a statute inapplicable here. Thus, we think it was error for the Court of Appeals to hold the domestic insurers bereft of their McCarran-Ferguson Act exemption simply because they agreed or acted with foreign reinsurers that, we assume for the sake of argument, were "not regulated by State law." 11

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who were not members of ISO, and who would not ordinarily be parties to an agreement setting the terms of primary insurance, not being in the business of selling it. The four primary insurers convinced these individuals and entities, the reinsurers, to put pressure on ISO and its members by refusing to reinsure coverages written on the ISO CGL forms until the desired changes were made. Both domestic and foreign reinsurers, acting at the behest of the four primary insurers, announced that they would not reinsure under the ISO CGL forms until changes were made. As an immediate result of this pressure, ISO decided to include a retroactive-date provision in its claims-made form, and to exclude all pollution coverage from both its claims-made and occurrence forms. In sum, the four primary insurers solicited refusals to deal from outside the primary insurance industry as a means of forcing their fellow primary insurers to agree to their terms; the outsiders, acting at the behest of the four, in fact refused to deal with primary insurers until they capitulated, which, in part at least, they did.

According to the complaints, primary insurer defendants Hartford and Allstate first tried to convince other members of the ISO that the ISO CGL forms should be changed to limit coverage in the manner we have detailed above, see *supra*, at 2897; but they failed to persuade a majority of members of the relevant ISO committees, and the changes were not made. Unable to persuade other primary insurers to agree voluntarily to their terms, Hartford and Allstate, joined by Aetna and CIGNA, sought the aid of other individuals and entities

12. The Court of Appeals's assumption that "the American reinsurers ... are subject to regulation by the states and therefore prima facie immune," 938 F.2d, at 928, appears to rest on the entity-based analysis we have rejected. As with the foreign reinsurers, we express no opinion whether the activities of the domestic reinsurers were "regulated by State law" and leave that question to the Court of Appeals on remand.

III

Finally, we take up the question presented by No. 91-1128, whether certain claims against the London reinsurers should have been dismissed as improper applications of the Sherman Act to foreign conduct. The Fifth Circuit for Relief of the California Complaint alleges a violation of § 1 of the Sherman Act by certain London reinsurers who conspired to coerce primary insurers in the United States to offer CGL coverage on a claims-made basis, thereby making "occurrence CGL coverage ... unavailable in the State of California for many risks." App. 43-44 (Cal.Complaint ¶¶ 131-135). The Sixth Circuit for Relief of the California Complaint alleges that the London reinsurers violated § 1 by a conspiracy to limit coverage of pollution risks in North America, thereby rendering "pollution liability coverage ... almost entirely unavailable for the vast majority of casualty insurance purchasers in the State of California." *Id.*, at 45-46 (Cal.Complaint ¶¶ 136-140). The Eighth Circuit for Relief of the California Complaint alleges a further § 1 violation by the London reinsurers who, along with domestic retrocessional reinsurers, conspired to limit coverage of seepage, pollution, and property contamination risks in North America, thereby eliminating such coverage in the State of California. *Id.*, at 47-48 (Cal.Complaint ¶¶ 146-150).

[4, 6] At the outset, we note that the District Court undoubtedly had jurisdiction of these Sherman Act claims, as the London reinsurers apparently concede. See *Ty. of Ore*, Arg. 37 ("Our position is not that the Sherman Act does not apply in the sense that a minimal basis for the exercise of jurisdiction doesn't exist here. Our position is that there are certain circumstances, and that this is one of them, in which the interests of another State are sufficient that the exercise of that jurisdiction should be restrained").²¹ Although the proposition was perhaps not always free from doubt, see *American Banana Co. v. United Fruit Co.*, 213 U.S. 347, 29 S.Ct. 511, 53 L.Ed. 826 (1909), it is well established by now that the Sherman Act applies to foreign conduct that was meant to produce and did in fact produce some substantial effect in the United States. See *Matsushita Elec. Industrial Co. v. Zenith Radio Corp.*, 475 U.S. 574, 582, n. 6, 106 S.Ct. 1348, 1354, n. 6, 89 L.Ed.2d 538 (1985); *United States v. Aluminum Co. of Amer-*

ica, 148 F.2d 416, 444 (CA2 1945) (L. Hand, J.); Restatement (Third) of Foreign Relations Law of the United States § 415, and Reporters' Note 3 (1987) (hereinafter *Restatement (Third) Foreign Relations Law*); 1 P. Areeda & D. Turner, *Antitrust Law* 1286 (1975); cf. *Continental Ore Co. v. Union Carbide & Carbon Corp.*, 370 U.S. 690, 704, 82 S.Ct. 1404, 1413, 8 L.Ed.2d 777 (1962); *Steele v. Bulova Watch Co.*, 344 U.S. 280, 288, 73 S.Ct. 252, 256, 97 L.Ed. 319 (1952); *United States v. Steel Sales Corp.*, 274 U.S. 268, 276-276, 47 S.Ct. 592, 693-694, 71 L.Ed. 1042 (1927).²² Such is the conduct alleged here: that the London reinsurers engaged in unlawful conspiracies to affect the market for insurance in the United States and that their conduct in fact produced substantial effect.²³ See 938 F.2d, at 933.

[6] According to the London reinsurers, the District Court should have declined to exercise such jurisdiction under the principle of international comity.²⁴ The Court of

substantial, and reasonably foreseeable effect" on domestic or import commerce. 15 U.S.C. § 6a(1)(A). The FTAIA was intended to exempt from the Sherman Act export transactions that did not injure the United States economy, see H.R. Rep. No. 97-486, pp. 2-3, 9-10 (1982); P. Areeda & D. Turner, *Antitrust Law* § 236, pp. 296-297 (Supp. 1992), and it is unclear how it might apply to the conduct alleged here. Also unclear is whether the Act's "direct, substantial, and reasonably foreseeable effect" standard amends existing law or merely codifies it. See *id.*, § 236, p. 297. We need not address these questions here. Assuming that the FTAIA's standard affects this case, and assuming further that that standard differs from the prior law, the conduct alleged plainly meets its requirements.

21. One of the London reinsurers, Sturge Reinsurance Syndicate Management Limited, argues that the Sherman Act does not apply to its conduct in attending a single meeting at which it allegedly agreed to exclude all pollution coverage from its reinsurance contracts. Brief for Petitioner Sturge Reinsurance Syndicate Management Limited in No. 91-1128, p. 22. Sturge may have attended only one meeting, but the allegations, which we are bound to credit, remain that it participated in conduct that was intended to and did in fact produce a substantial effect on the American insurance market.

22. Justice SCALIA believes that what is at issue in this case is prescriptive, as opposed to subject-matter, jurisdiction. *Post*, at 2911. The parties do not question prescriptive jurisdiction, however, and for good reason: it is well established that Congress has exercised such jurisdiction under the Sherman Act. See G. Bora & D. Weislin, *International Civil Litigation in United States Courts* 342, n. 3 (2d ed. 1992) (Sherman Act is a "prime example" of the simultaneous exercise of prescriptive jurisdiction and grant of subject matter jurisdiction).

23. Under § 402 of the Foreign Trade Antitrust Improvements Act of 1982 (FTAIA), 96 Stat. 1246, 15 U.S.C. § 6a, the Sherman Act does not apply to conduct involving foreign trade or commerce, other than import trade or import commerce, unless "such conduct has a direct,

substantial, and reasonably foreseeable effect" on domestic or import commerce. 15 U.S.C. § 6a(1)(A). The FTAIA was intended to exempt from the Sherman Act export transactions that did not injure the United States economy, see H.R. Rep. No. 97-486, pp. 2-3, 9-10 (1982); P. Areeda & D. Turner, *Antitrust Law* § 236, pp. 296-297 (Supp. 1992), and it is unclear how it might apply to the conduct alleged here. Also unclear is whether the Act's "direct, substantial, and reasonably foreseeable effect" standard amends existing law or merely codifies it. See *id.*, § 236, p. 297. We need not address these questions here. Assuming that the FTAIA's standard affects this case, and assuming further that that standard differs from the prior law, the conduct alleged plainly meets its requirements.

24. Justice SCALIA contends that comity concerns figure into the prior analysis whether jurisdiction exists under the Sherman Act. *Post*, at 19-20. This contention is inconsistent with the general understanding that the Sherman Act covers foreign conduct producing a substantial intended effect in the United States, and that concerns of comity come into play, if at all, only after a court has determined that the acts complained of are subject to Sherman Act jurisdiction. See *United States v. Aluminum Co. of America*, 148 F.2d 416, 444 (CA2 1945) ("It follows from what we have ... said that [the

Appeals] agreed that courts should look to that principle in deciding whether to exercise jurisdiction under the Sherman Act. *Id.*, at 932. This availed the London reinsurers nothing, however. To be sure, the Court of Appeals believed that "application of [American] antitrust laws to the London reinsurance market 'would lead to significant conflict with English law and policy,'" and that "[s]uch a conflict, unless outweighed by other factors, would by itself be reason to decline exercise of jurisdiction." *Id.*, at 933 (citation omitted). But in other factors, in the court's view, including the London reinsurers' express purpose to affect United States commerce and the substantial nature of the effect produced, outweighed the supposed conflict and required the exercise of jurisdiction in this case. *Id.*, at 934.

[7] When it enacted the Foreign Trade Antitrust Improvements Act of 1982 (FTAIA), 96 Stat. 1246, 15 U.S.C. § 6a, Congress expressed no view on the question whether a court with Sherman Act jurisdiction should ever decline to exercise such jurisdiction on grounds of international comity. See H.R. Rep. No. 97-486, p. 13 (1982) ("If a court determines that the requirements for subject matter jurisdiction are met, [the FTAIA] would have no effect on the court's ability to employ notions of comity ... or otherwise to take account of the international character of the transaction") (citing *Timberlane*). We need not decide that question here, however, for even assuming that in a proper case a court may decline to exercise Sherman Act jurisdiction over foreign conduct (or, as Justice SCALIA would put it, may conclude by the employment of comity analysis in the first

instance that there is no jurisdiction), international comity would not counsel against exercising jurisdiction in the circumstances alleged here.

[8, 9] The only substantial question in this case is whether "there is in fact a true conflict between domestic and foreign law." *Société Nationale Industrielle Aérospatiale v. United States District Court*, 482 U.S. 522, 555, 107 S.Ct. 2542, 2562, 96 L.Ed.2d 461 (1987) (BLACKMUN, J., concurring in part and dissenting in part). The London reinsurers contend that applying the Act to their conduct would conflict significantly with British law, and the British Government, appearing before us as *amicus curiae*, concurs. See Brief for Petitioners in No. 91-1128, pp. 22-27; Brief for Government of United Kingdom of Great Britain and Northern Ireland as *Amicus Curiae* 10-14. They assert that Parliament has established a comprehensive regulatory regime over the London reinsurance market and that the conduct alleged here was perfectly consistent with British law and policy. But this is not to state a conflict. "The fact that conduct is lawful in the state in which it took place will not, of itself, bar application of the United States antitrust laws," even where the foreign state has a strong policy to permit or encourage such conduct. Restatement (Third) Foreign Relations Law § 415, Comment f; see *Continental Ore Co.*, supra, 370 U.S., at 706-707, 82 S.Ct. at 1414-1415. No conflict exists, for three purposes: "where a person subject to regulation by two states can comply with the laws of both." Restatement (Third) Foreign Relations Law § 403, Comment c; see, *Antitrust and American Business Abroad* 166 (1981). In any event, the parties conceded jurisdiction at oral argument, see *supra*, at 2904-2909, and we see no need to address this contention here.

25. Justice SCALIA says that we put the cart before the horse in citing this authority, for he argues it may be applicable only after a determination that jurisdiction over the foreign acts is reasonable. *Post*, at 2912. But whatever the

Since the London reinsurers do not argue that British law requires them to act in some fashion prohibited by the law of the United States, see Reply Brief for Petitioners in No. 91-1128, pp. 7-8, or claim that their compliance with the laws of both countries is otherwise impossible, we see no conflict with British law. See Restatement (Third) Foreign Relations Law § 403, Comment c, § 416, Comment j. We have no need in this case to address other considerations that might inform a decision to refrain from the exercise of jurisdiction on grounds of international comity.

IV

The judgment of the Court of Appeals is affirmed in part and reversed in part, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

Justice SCALIA delivered the opinion of the Court with respect to Part I, and delivered a dissenting opinion with respect to Part II, in which Justice O'CONNOR, Justice KENNEDY, and Justice THOMAS have joined.

With respect to the petition in No. 91-1111, I join the Court's judgment and Part I and II-A of its opinion. I write separately because I do not agree with Justice SOUTER's analysis, set forth in Part II-B of his opinion, of what constitutes a "boycott" for purposes of § 8(b) of the McCarran-Ferguson Act, 15 U.S.C. § 1013(b). With respect to the petition in No. 92-1128, I dissent from the Court's ruling concerning the extraterritorial application of the Sherman Act. Part I below discusses the boycott issue; Part II extraterritoriality.

order of cart and horse, conflict in this issue is the only substantial issue before the Court.

1. Section 3(b) of the McCarran-Ferguson Act, 15 U.S.C. § 1013(b), provides:

Determining proper application of § 8(b) of the McCarran-Ferguson Act to the present case requires precise definition of the word "boycott." It is a relatively new word, little more than a century old. It was first used in 1880, to describe the collective action taken against Captain Charles Boycott, an English agent managing various estates in Ireland. The Land League, an Irish organization formed the previous year, had demanded that landlords reduce their rents and had urged tenants to avoid dealing with those who failed to do so. Boycott did not bend to the demand and instead ordered evictions. In retaliation, the tenants "sent" Captain Boycott to Coventry in a very thorough manner." J. McCarthy, England Under Gladstone 108 (1886). "The population of the region for miles round resolved not to have anything to do with him, and as far as they could prevent it, not to allow any one else to have anything to do with him.... [T]he awful sentence of excommunication could hardly have rendered him more helplessly alone for a time. No one would work for him; no one would supply him with food." *Id.*, at 108-109; see also H. Laidler, Boycotts and the Labor Struggle 23-27 (1988). Thus, the verb made from the unfortunate Captain's name has had from the outset the meaning it continues to carry today. To "boycott" means "[t]o combine in refusing to hold relations of any kind, social or commercial, public or private, with [a neighborhood], on account of political or other differences, so as to punish him for the position he has taken up, or coerce him into abandoning it." 2 The Oxford English Dictionary 468 (2d ed. 1989).

[101] Petitioners have suggested that a boycott ordinarily requires "an absolute refusal to deal on any terms," which was concededly not the case here. Brief for

"Nothing contained in this Act shall render the said Sherman Act inapplicable to any agreement to boycott, coerce, or intimidate, or act of boycott, coercion, or intimidation."

Petitioners in No. 91-1111 p. 31; see also Reply Brief for Petitioners in No. 91-1111 pp. 12-13. We think not. As the definition just recited provides, the refusal may be imposed "to punish [the target] for the position he has taken up, or coerce him into abandoning it." The refusal to deal may, in other words, be conditional, offering its target the incentive of renewed dealing if and when he mends his ways. This is often the case—and indeed seems to have been the case with the original Boycott boycott. Cf. McCarthy, *supra*, at 109 (noting that the Captain later lived "at peace" with his neighbors). Furthermore, other dictionary definitions extend the term to include a partial boycott—a refusal to engage in some, but not all, transactions with the target. See Webster's New International Dictionary 321 (2d ed. 1960) (defining "boycott" as "to withhold, wholly or in part, social or business intercourse from, as an expression of disapproval or means of coercion") (emphasis added).

[111] It is, however, important—and crucial in the present case—to distinguish between a conditional boycott and a concerted agreement to seek particular terms in particular transactions. A concerted agreement to terms is "cartelization" is "a way of obtaining and exercising market power by concertedly attaching terms like those which a monopolist might exact." L. Sullivan, Law of Antitrust 257 (1971). The parties to such an agreement (the members of a cartel) are not engaging in a boycott, because:

"They are not coercing anyone, at least in the usual sense of that word; they are merely (though concertedly) saying 'we will deal with you only on the following trade terms.'"

2. Under the Oxford English Dictionary definition, of course, this example would not be a "boycott" because the tenants had not suggested any relations with the Captain. But if one recognizes partial boycotts (as we and Justice SOUTER do), and if one believes (as Justice SOUTER does but we do not) that the purpose of a boycott can be to secure different terms in the very transaction that is the supposed subject of the boycott, then it is impossible to explain

"... Indeed, if a concerted agreement, say, to include a security deposit in all contracts is a 'boycott' because it excludes all buyers who won't agree to it, then by parity of reasoning every price fixing agreement would be a boycott also. The use of the single concept, boycott, to cover agreements so varied in nature can only add to confusion." *Id.* (emphasis added).

Thus, if Captain Boycott's tenants had agreed among themselves that they would refuse to renew their leases unless he reduced his rents, that would have been a concerted agreement on the terms of the leases, but not a boycott. The tenants, of course, did more than that: they refused to engage in other, unrelated transactions with Boycott—e.g., selling him food—unless he agreed to their terms on rents. It is this expansion of the refusal to deal beyond the targeted transaction that gives great coercive force to a commercial boycott: unrelated transactions are used as leverage to achieve the terms desired.

The proper definition of "boycott" is evident from the Court's opinion in *Eastern States Retail Lumber Dealers' Assn. v. United States*, 234 U.S. 600, 34 S.Ct. 951, 58 L.Ed. 1490 (1914), which is recognized in the antitrust field as one of the "leading cases" involving commercial boycotts. Barber, *Refusal to Deal* under the Federal Antitrust Laws, 103 U.Pa.L.Rev. 847, 873 (1955). The associations of retail lumber dealers in that case refused to buy lumber from wholesale lumber dealers who sold directly to consumers. The boycott attempted "to impose as a condition ... on [the wholesale dealers'] trade that they shall not sell in such manner that a local why this is not a boycott. Under Justice SOUTER's reasoning, it would be a boycott, at least if the tenants acted "at the behest of" (whether that means, ante, at 3907, the Irish Land League. This hypothetical shows that the problems presented by partial boycotts (which we agree fall within § 3(b)) make more urgent the need to distinguish boycotts from concerted agreements on terms.

retailer may regard such sale as an infringement of his exclusive right to trade." 224 U.S. at 611, 34 S.Ct. at 954. We held that to be an "artificial condition," since "the trade of the wholesaler with strangers was directly affected, not because of any supposed wrong which he had done to them, but because of a grievance of a member of one of the associations." *Id.*, at 611-612, 34 S.Ct. at 954. In other words, the associations' activities were a boycott because they sought an objective—the wholesale dealers' forbearance from retail trade—that was collateral to their transactions with the wholesalers.

Of course as far as the Sherman Act (outside the exempted insurance field) is concerned, concerted agreements on contract terms are as unlawful as boycotts. For example, in *Paramount Famous Lasky Corp. v. United States*, 282 U.S. 30, 51 S.Ct. 42, 75 L.Ed. 145 (1930), and *United States v. First National Pictures, Inc.*, 292 U.S. 44, 51 S.Ct. 45, 75 L.Ed. 151 (1930), we held unreasonable an agreement among competing motion picture distributors under which they refused to license films to exhibitors except on standardized terms. We also found unreasonable the restraint of trade in *Anderson v. Shipowners Assn. of Pacific Coast*, 272 U.S. 359, 47 S.Ct. 123, 71 L.Ed. 298 (1926), which involved an attempt by an association of em-

ployers to establish industry-wide terms of employment. These sorts of concerted actions, similar to what is alleged to have occurred here, are not properly characterized as "boycotts," and the word does not appear in the opinions.² In fact, in the 65 years between the coining of the word and enactment of the McCarran-Ferguson Act in 1946, "boycott" appears in only seven opinions of this Court involving commercial (nonlabor) antitrust matters, and not once is it used as Justice SOUTER uses it—to describe a concerted refusal to engage in particular transactions until the terms of those transactions are agreeable.³

In addition to its use in the antitrust field, the concept of "boycott" frequently appears in labor law, and in this context as well there is a clear distinction between boycotts and concerted agreements seeking better terms. The ordinary strike seeking better contract terms is a "refusal to deal"—i.e., union members refuse to sell their labor until the employer capitulates to their contract demands. But no one would call this a boycott, because the conditions of the "refusal to deal" relate directly to the terms of the refused transaction (the employment contract). A refusal to work changes from strike to boycott only when it seeks to obtain action from the employer unrelated to the employment contract.

3. Justice SOUTER points out that the Court in *St. Paul Fire & Marine Ins. Co. v. Barry*, 439 U.S. 531, 98 S.Ct. 2923, 57 L.Ed.2d 932 (1978), found the term boycott "does not refer to 'a unitary phenomenon.'" *Id.*, at 2905 (quoting *Barry*, *supra*, at 543, 98 S.Ct. at 2931 (quoting *P. Arrinda, Antitrust Analysis* 381 (2d ed. 1974))), and asserts that our position contradicts this. *Arrinda*, at 2907-2908. But to be not a "unitary phenomenon" is different from being an all-encompassing one. "Boycott" is a multifaceted phenomenon that includes conditional boycotts, punitive boycotts, coercive boycotts, partial boycotts, labor boycotts, political boycotts, social boycotts, etc. It merely does not include refusals to deal because of objections to proposed terms.

4. See *United States v. Frankfort DuPonts, Inc.*, 324 U.S. 293, 39 S.Ct. 296, 29 L.Ed. 641, 662-663, 664, 89 L.Ed. 931 (1945) (refusal to engage in all transactions with targeted companies unless they agreed to defendants' price-fixing

This distinction is well illustrated by the famous boycott of Pullman cars by Eugene Debs' American Railway Union in 1894. The incident began when workers at the Pullman Palace Car Company called a strike, but the "boycott" occurred only when other members of the American Railway Union, not Pullman employees, supported the strikers by refusing to work on any train drawing a Pullman car. See *In re Debs*, 158 U.S. 664, 586-587, 15 S.Ct. 900, 901, 39 L.Ed. 1092 (1895) (statement of the case); H. Laidler, *Boycotts and the Labor Struggle* 100-108 (1958). The refusal to handle Pullman cars had nothing to do with Pullman cars themselves (working on Pullman cars was no more difficult or dangerous than working on other cars); rather, it was in furtherance of the collateral objective of obtaining better employment terms for the Pullman workers. In other labor cases as well, the term "boycott" invariably holds the meaning that we ascribe to it: its goal is to alter, not the terms of the refused transaction, but the terms of workers' employment.⁴

The one case in which we have found an activity to constitute a "boycott" within the meaning of the McCarran-Ferguson Act is *St. Paul Fire & Marine Ins. Co. v. Barry*, 438 U.S. 531, 98 S.Ct. 2923, 57 L.Ed.2d 932 (1978). There the plaintiffs were licensed physicians and their patients, and the defendant (St. Paul) was a malpractice insurer that had refused to renew the physicians' policies on an "occurrence" basis, but insisted upon a "claims made" basis. The allegation was that, at the instance of St. Paul, the three other malpractice insurers in the State had collectively refused to write insurance for St. Paul customers, thus forcing them to accept St. Paul's re-

newal terms. Unsurprisingly, we held the allegation sufficient to state a cause of action. The instant-upon condition of the boycott (not being a former St. Paul policyholder) was "artificial"; it bore no relationship (or an "artificial" relationship) to the proposed contracts of insurance that the physicians wished to conclude with St. Paul's competitors.

[12] Under the standard described, it is obviously not a "boycott" for the reinsurers to "refuse[] to reinsure coverages written on the ISO CGL forms until the desired changes were made," *ante*, at 2905, because the terms of the primary coverages are central elements of the reinsurance contract—they are what is reinsured. See App. 16-17 (Cal. Complaint at 26-27). The "primary policies are . . . the basis of the losses that are shared in the reinsurance agreements." 1 B. Webb, H. Anderson, J. Cookman, & P. Kemsick, *Principles of Reinsurance* 87 (1930; see also *id.*, at 55; *United States, Regulation of Reinsurance in the Gurley*, *Regulation of Reinsurance in the Gurley*, 19 Forum 72, 73 (1928). Indeed, reinsurance is so closely tied to the terms of the primary insurance contract that one of the two categories of reinsurance (assumption reinsurance) substitutes the reinsurer for the primary or "ceding" insurer and places the reinsurer into contractual privity with the primary insurer's policyholders. See *id.*, at 73-74; *Colonial American Life Ins. Co. v. Commissioner*, 491 U.S. 244, 247, 109 S.Ct. 2408, 2411, 105 L.Ed.2d 189 (1989); T. Newman & B. Oslinger, *Insurance Coverage Disputes* 15-16 (1990). And in the other category of reinsurance (indemnity reinsurance), either the terms of the underlying insurance policy are incorporated by reference (if the reinsurer because of allegedly unfair labor practices); *Leone v. Lumber*, 308 U.S. 374, 38 S.Ct. 301, 32 L.Ed. 448 (1930) (boycott of fur hats made by a company that would not show its workers to be unionized). See also *Apex Hosiery Co. v. Leader*, 310 U.S. 469, 50 L.Ed. 505, 60 S.Ct. 982, 997-999, 84 L.Ed. 1311 (1940) (distinguishing between ordinary sales and boycotting).

5. See, e.g., *Bedford Cut Stone Co. v. Stone Carriers*, 374 U.S. 37, 47, 48 S.Ct. 522, 525, 526, 71 L.Ed. 916 (1963) (refusal to work on stone reworked from nonunion quarry); *Duplex Printing Press Co. v. Deringer*, 254 U.S. 443, 463-465, 41 S.Ct. 372, 374-375, 65 L.Ed. 349 (1921) (boycott of target's products until it agreed to union's employment demands); *Comptex v. Bucker Stone & Range Co.*, 221 U.S. 418, 31 S.Ct. 492, 53 L.Ed. 797 (1911) (boycott of company's

reinsured is written under a facultative agreement, see J. Butler & R. Merkin, *Reinsurance Law* B.1.1-04 (1992); R. Carter, *Reinsurance* 235 (1979), or (if the reinsurance is conducted on a treaty basis) the reinsurer will require full disclosure of the terms of the underlying insurance policies and usually require that the primary insurer or not vary those terms without prior approval, see *id.* at 256, 297.

Justice SOUTER simply disregards this integral relationship between the terms of the primary insurance form and the contract of reinsurance. He describes the reinsurers as "individuals and entities who were not members of ISO, and who would not ordinarily be parties to an agreement setting the terms of primary insurance, not being in the business of selling it." *Ante.* at 2905.

Justice SOUTER also describes reinsurers as being "outside the primary insurance industry." *Ante.* at 2905. That is technically true (to the extent the two symbolic industries can be separated) but quite irrelevant. What matters is that the scope and predictability of the risks assumed in a reinsurance contract depend entirely upon the terms of the primary policies that are reinsured. The terms of the primary policies are the "subject-matter insured" by reinsurance, *Carter, supra*, at 4, so that to insist upon certain primary insurance terms as a condition of writing reinsurance is in no way "artificial", and hence for a number of reinsurers to insist upon such terms jointly is in no way a "boycott."

Perhaps Justice SOUTER feels that it is undesirable, as a policy matter, to allow insurers to "prompt" reinsurers not to deal with the insurers' competitors—whether or not that refusal to deal is a boycott. That feeling is certainly understandable, since under the normal application of the Sherman Act the reinsurers' concerted refusal to deal would be an unlawful conspiracy, and the insurers' "prompting" could make them part of that conspiracy. The McCarran-Ferguson Act, however, makes that conspiracy lawful (assuming reinsurance is state-regulated), unless the refusal to deal is a "boycott."

[13] Under the test set forth above, there are sufficient allegations of a "boy-

4. Once it is determined that the actions of the reinsurers did not constitute a "boycott," but rather a concerted agreement to terms, it follows that their actions do not constitute "coercion" or "intimidation" within the meaning of the statute. That is because, as previously men-

tioned, such concerted agreements do "not coerce" anyone, at least in the usual sense of that word. *L. Sullivan, Law of Antitrust* 257 (1977), and because they are precisely what is protected by McCarran-Ferguson immunity.

"cott" to sustain the relevant counts of complaint against a motion to dismiss. For example, the complaints allege that some of the defendant reinsurers threatened to "withdraw" entirely from the business of reinsuring primary U.S. insurers who wrote on the occurrence form." App. 31 (Cal. Complaint 1 89), *id.* at 83 (Conn. Complaint 1 83). Construed most favorably to the respondents, that allegation claims that primary insurers who wrote insurance on disfavored forms would be refused all reinsurance, even as to risks written on other forms. If that were the case, the reinsurers might have been engaging in a boycott—they would, that is, unless the primary insurers' other business were relevant to the proposed reinsurance contract (for example, if the reinsurer bears greater risk where the primary insurer engages in riskier businesses). Cf. *Gonye*, Underwriting the Reinsured, in *Reinsurance* 439, 468-469 (R. Strain ed. 1980); 2 R. Reinartz, J. Schloss, G. Patrick, & P. Kendrick, *Reinsurance Practices* 21-23 (1990) (same). Other allegations in the complaints could be similarly construed. For example, the complaints also allege that the reinsurers "threatened a boycott of North American CGL lines," not just CGL risks containing disaffiliatory terms, App. 26 (Cal. Complaint 1 74), *id.* at 79 (Conn. Complaint 1 73); that "the foreign and domestic reinsurer representatives presented their agreed upon positions that there would be changes in the CGL forms or no reinsurance," *id.* at 29 (Cal. Complaint 1 82), *id.* at 81-82 (Conn. Complaint 86); that some of the defendant insurers and reinsurers told "groups of insurance brokers and agents . . . that a reinsurance boycott, and thus loss of income to the agents and brokers who would be unable to find available markets for their customers, would ensue if the [reviled] ISO forms were not approved." *Id.* at 29 (Cal. Complaint 1 85), *id.* at 82 (Conn. Complaint 1 89).

[14] Many other allegations in the complaints describe conduct that may amount

to a boycott if the plaintiffs can prove certain additional facts. For example, General Re, the largest American reinsurer, is alleged to have "agreed to either coerce ISO to adopt [the defendant's] demands or, failing that, 'defeat' the entire CGL forms program." *Id.* at 24 (Cal. Complaint 1 64), *id.* at 77 (Conn. Complaint 1 63). If this means that General Re intended to withhold all reinsurance on all CGL forms—even forms having no objectionable terms—that might amount to a "boycott." Also, General Re and several other domestic reinsurers are alleged to have "agreed to boycott the 1984 ISO forms unless a retroactive date was added to the claims-made form, and a pollution exclusion and a defense cost cap were added to both [the occurrence and claims made] forms." *Id.* at 25 (Cal. Complaint 1 65), *id.* at 78 (Conn. Complaint 1 70). Liberally construed, this allegation may mean that the defendants had linked their demands so that they would continue to refuse to do business on either form until both were changed to their liking. Again, that might amount to a boycott. "[A] complaint should not be dismissed unless 'it appears beyond doubt that the plaintiff can prove no set of facts in support of his claim which would entitle him to relief.'" *McLain v. Real Estate Bd. of New Orleans, Inc.*, 444 U.S. 232, 246, 100 S.Ct. 602, 511, 62 L.Ed.2d 441 (1980) (quoting *Conley v. Gibson*, 355 U.S. 41, 46-48, 78 S.Ct. 99, 102, 2 L.Ed.2d 80 (1957)). Under that standard, these allegations are sufficient to sustain the First, Second, Third, and Fourth Claims for Relief in the California Complaint and the First and Second Claims for Relief in the Connecticut Complaint.¹

Men close gap on living longer

BY ROBERT S. BOYD

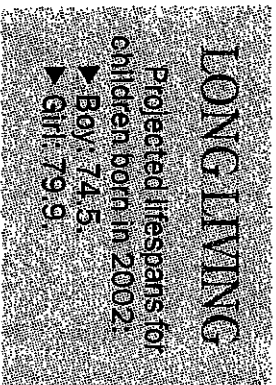
Knight Rider

WASHINGTON - Women, take care: After more than a century of living longer than men, your advantage is shrinking. Men are gaining on you.

That's the conclusion of scientists who study the puzzling question of why females generally outlive males in the United States and other advanced nations.

"Women live longer than men for reasons that are still not completely understood," said Richard Hodes, director of the National Institute on Aging in Washington.

But it's certainly changing: A female born in 1975 could expect to live 7.8 years longer than a male. Now, the



gender gap is down to 5.4 years, smaller than at any time since 1950.

The main reason is women are "smoking more and dying earlier as a result," said Fred Pampel, a demographer at the University of Colorado. Until the 1960s, far more men than women smoked.

Three main reasons - biological, social and behavioral - are cited for the difference in male and female life spans.

■ Chromosomal differences make men more susceptible to certain diseases.

■ Men tend to collect fat around their bellies, increasing the risk of a heart attack. Women put extra pounds on their thighs, which distresses but doesn't kill them.

■ More reckless lifestyles favor women living longer.

"Women tend to behave in more healthy ways than men," said Robert Hummer, director of the Population Research Center at the University of Texas. "Women tend to smoke less, drink less, use fewer dangerous drugs, use their seat belts more often, drive less recklessly and use less violence than men."

The Federal Product Liability Risk Retention Act of 1981 (Summary)

The federal government may, if it wishes, authorize forms of insurance notwithstanding the McCarran-Ferguson Act.

The Product Liability Risk Retention Act of 1981. 15 U.S.C. §§ 3901-3906. This federal statute authorizes business entities with similar risks to enter into risk retention groups to purchase liability insurance as a group. This Act was passed originally in 1981 to deal with the crisis in Products Liability Insurance. It was amended in 1986 so as to open it up to all commercial liability insurance. This Act has provisions which preempt much (but now all) state regulation – regulation which would otherwise be protected under the McCarran-Ferguson Act. The interplay of this federal statute with state regulations is discussed in *Insurance Co. of Pennsylvania v. Corcoran*, 850 F.2d 88 (2nd Cir.1988) (holding that the Nurses' liability insurer in this case is still required to use forms and rates approved by the states).

IV. Issues Arising in the Formation of the Insurance Contract

Older South Dakota Case Law Concerning Delay in Acting Upon Application

Miller v. Hanson, 8 N.W.2d 927 (S.D. 1943) – South Dakota Supreme Court refused to recognize a cause of action for unreasonable delay by an insurer in acting on an application for insurance. The Court was unwilling to impose additional burdens or requirements upon insurers and quoted a Minnesota Supreme court decision which stated, “It is apparent that if liability is here to be imposed in an action ex delicto this court will be compelled to engage in judicial legislation. If and when it is desired to impose upon insurers additional burdens or requirements, the same should come through the legislative department of the government and not by virtue of judge-made law.”

Worden v. Farmers State Co., 349 N.W.2d 37 (S.D. 1984) – neither the insurer nor its agent held liable in this case. “South Dakota has aligned itself with those states which have held that there is no duty upon an insurer to promptly act upon an application for insurance.” *Id.* at 40.

Rumpza v. Larsen & Stockholm Farm Mutual

1996 SD 87, 551 N.W.2d 810 (July 17, 1996)

This insured had lots of insurance coverage through this agent, paying more than \$30,000 in premiums annually to this agent. This dispute involves a vacant building which agent knew was vacant and which agent knew that insured wanted covered for \$50,000.

\$50,000 fire policy on building owned by insured, but building was vacant: Policy provided it was payable only at 60% if permission granted for vacancy ... insurer paid 60% or \$30,000

Insured sued Agent & Insurer for 100% (remaining 40%)

Summary Judgment for both defendants by trial court.

Reversed as to both Defendants!

As to agent: "Insurance agent's duty [is] to provide insurance of the kind and with the provisions specified by the insured." [agent knew of other types of coverage which would have fully protected insured's interests]

As to Insurer, the agent's negligence is imputable to the insurer pursuant to SDCL 59-6-9 ["A principal is responsible to third persons for negligence of his agent ..."]

The agent had testified that, as an agent, he had to be two faced and he had to look after the interests of both parties. The insurer had asserted that the agent was the agent of the insured.

North Star v. Rasmussen

In *North Star v. Rasmussen*, 2007 SD 55, 734 N.W.2d 352, the insured sought to have both primary liability coverage and umbrella coverage for his boat. This boat was listed on his primary liability policy, but not on the umbrella policy. After an accident in which the insured's son sustained serious injuries, the agent requested the umbrella insurer (North Star) to add the boat to the umbrella coverage. The insurer did so and billed the insured for a premium which would cover a year's period – and this included the date when the accident occurred. One of the issues in this case is the alleged negligence of the agent who failed to secure umbrella coverage for the boat at the same time primary liability coverage was secured. The trial court granted summary judgment for North Star, the umbrella insurer and the SD Supreme Court affirmed in a unanimous opinion authored by former Chief Justice Robert Miller, sitting for Justice Sabers, disqualified. The Court rejected the argument that the policy was ambiguous and did in fact extend coverage for the boat which was not specifically listed on the declarations page. (Encompassed in the resolution of this issue is the resolution of whether or not "retroactive insurance" was provided when the insurer charged and collected a premium for the time period encompassing the accident.)

The South Dakota Supreme Court also rejected the argument that the agent was the agent for the insurer and therefore the insurer was, accordingly, responsible for the agent's negligence. The agent had the ability to select umbrella coverage from six different insurers. The agent had authority from this insurer (North Star) to solicit insureds, but did not have the authority to "bind" this insurer to umbrella coverage. The Court held that the agent, under the facts presented in this case, was the agent for the insured, not the insurer.

In the process of addressing the arguments set forth by the insured, the Court rejected the insured's contention that SDCL 58-30-142(1) and 58-30-176, enacted in 2001, applied. These statutes went into effect before the accident but were not in effect in 2000 when the agent failed to have the boat included in the umbrella coverage. But, the Court did not rest its decision solely upon the non-application of the 2001 statutes. The Court further held that under "the general laws of agency" under the facts of this case, the agent served as the agent of the insured, not the insurer. The Court made this holding "even assuming these [2001] statutes do control." The Court also stated, "Whether an insurance broker is the agent of the insurer or of the insured depends on the facts of the particular case." ¶ 47.

Harmon v. American Interinsurance Exchange Co.

Court of Appeals of Michigan, 1972.
39 Mich.App. 145, 197 N.W.2d 307.

Van VALKENBURG, Judge.

The plaintiff Bessie L. Harmon appeals from the nonjury judgment of no cause for action in her action to recover under an alleged binder for automobile insurance entered into with defendant insurance company through its agent, defendant Larson.

Mrs. Harmon was desirous of purchasing a 1965 Dodge for the use and benefit of her son George and her daughter-in-law. One of the requirements of the financing contract was that she would have to have full insurance coverage. This presented difficulties, as her son George had a poor driving record and had been rejected for insurance by at least one company. Mrs. Harmon saw an advertisement appearing in the yellow pages which stated that defendant Larson, an independent insurance agent, was engaged in writing high risk insurance. Mrs. Harmon and her son journeyed to Larson's office on August 17, 1965, explained the situation, and signed an application, after being assured that they would have 'full coverage.' The application indicated that Mrs. Harmon was the sole titleholder, subject only to the lien of the financing institution; and that the vehicle would be driven by George and his wife. Five days later on August 22, 1965, George took part in a drag race on a public street and thereafter fled from the police at speeds of up to 80 m.p.h. During this flight he lost control of his car and encountered a tree, from which instant and total demolition resulted. The next evening Mrs. Harmon contacted Mr. Larson, explained the facts concerning the disaster and again was assured by him that the vehicle was fully covered and that she had nothing to worry about.

About two weeks later the policy itself was delivered to George and it was found to contain several exclusions. The two with which we are concerned are as follows:

'(i) to loss while automobile is used in a race or speed test.

* * *

'(n) while the automobile is used in any illicit trade or transportation or while the automobile is engaged in unlawful flight from the police or other lawful authorities.'

Notice of cancellation was received on September 27, 1965, and the defendant insurance company refused to honor the claim made by Mrs. Harmon.

The important issue in this litigation is whether defendant insurance company properly denied coverage on the basis of the above-noted exclusions, where plaintiff was promised 'full coverage' and was provided with an oral binder of insurance upon application for the insurance policy. There is no question that defendant Larson indicated to plaintiff that she had 'full coverage,' that plaintiff did not see the policy jacket setting forth the exclusions, and that Larson never discussed the exclusions with Mrs. Harmon. Further, the question of Larson's power to bind defendant insurance company by the oral binder was never raised either below or in this appeal.

The general rule with regard to the nature of binders of temporary insurance is set forth in 43 Am.Jur.2d, Insurance, § 219, p. 280:

“In the absence of an express agreement, the terms and conditions of such a temporary contract of insurance are those of the policies ordinarily used by the insurance company to cover similar risks, such as terms and conditions relating to cancellation, limitation of actions, and proofs of loss.”

In other words, all ordinary provisions and exclusions of policies issued to cover similar risks will be read into the temporary binder, unless there was an express agreement at the time of the issuance of the binder agreement. See Robinson v. United States Benevolent Society, 132 Mich. 695, 94 N.W. 211 (1903), State Automobile Mutual Insurance Co. v. Lloyd, 54 Tenn.App. 587, 393 S.W.2d 17 (1965), Jennings v. Illinois Automobile Club, 319 Ill.App. 587, 49 N.E.2d 847 (1943); Salisbury v. Hekla Fire Insurance Co., 32 Minn. 458, 21 N.W. 552 (1884).

Two factors must therefore be considered: (1) Were the above noted exclusions ‘ordinary’? And (2) If the exclusions were ‘ordinary,’ did the term ‘full coverage’ amount to an express agreement which would render the exclusions inconsistent with the binder agreement?

The plaintiff argues that the burden of proof is on the defendants to show that the exclusion relied upon was one normally used in their policies. We agree with this contention. The trial court, sitting as the trier of fact, found:

“I am satisfied, however, that the defendant has proven by a preponderance of the evidence that the policy contained the exclusions mentioned above and that the insured is bound by these exclusions as well as the other terms of the policy ...”

* * *

After a thorough review of the record, we cannot say that the trial court’s finding was clearly erroneous; the testimony clearly indicating that such exclusions were usual and ordinary.

The next question is whether defendant Larson’s assurance that plaintiff would have ‘full coverage’ amounted to an express agreement to issue a binder without exclusions. Plaintiff obviously felt that ‘full coverage’ meant without exclusions, while defendant Larson felt that ‘full coverage’ meant coverage with the ordinary and usual exclusions.

* * *

Since there was no discussion of exclusions and there was an obvious misunderstanding of the meaning of ‘full coverage,’ there was not a meeting of the minds; and, therefore, there was no express agreement to issue a binder without the usual and ordinary exclusions. While we sympathize with plaintiff, a layman not schooled in the niceties of insurance law and nomenclature, courts must take people in the position they are found, and cannot protect them against their own foolishness.

* * *

Affirmed. Costs to defendants.

Miscellaneous SD Cases on estoppel & “Uberrimae Fidei” definition

State Automobile Casualty Underwriters v. Ruotsalainen, 136 N.W.2d 884 (S.D. 1965) poses the following question at 887 [1]:

“The single question presented by this appeal is whether or not the doctrine of estoppel or waiver is available to bring within the coverage of an insurance policy risks not covered by its terms or expressly excluded therefrom.”

The answer given in this opinion, (in summarized form), is

YES, if the evidence is “clear and convincing”

BUT THEN: *Roseth v. St. Paul Property and Liability Ins. Co.*, 374 N.W.2d 105 (S.D. 1985), limits the application of this rule (which is recognized in this opinion as being the minority rule) to:

Conduct of the insurer or agent which occurs before or at the inception of the policy ... coverage cannot be broadened by agent or claims adjuster after the claim arises ...

ON THE OTHER HAND: *Sander v. Wright*, 394 N.W.2d 896 (S.D. 1986)

Conduct of insurance adjuster may still serve as basis for use of “estoppel” when adjuster “lulls” plaintiff into false sense of security and statute of limitations expires ... i.e., if adjuster “lulls” plaintiff into not filing before s/l expires, then defendant may be estopped from asserting s/l as a defense

Singer v. Nationwide Mutual Fire Ins., 512 So.2d 1125 (Fla.App. 1987) [discussing when “non-disclosure” of previous cancellation of insurance is “material”]

Uberrimae Fidei: the most abundant good faith; absolute and perfect candor; the absence of any concealment or deception, however slight

A. South Dakota Statute on Representations and Warranties

SDCL 58-11 relates generally to all insurance policies. SDCL 58-11 is entitled, "Form and Contents of Insurance Policies."

58-11-44. Application for insurance or annuity—Statements by insured deemed representations—Omissions, concealment, and incorrect statements preventing recovery. All statements and descriptions in any application for an insurance policy or annuity contract, by or in behalf of the insured or annuitant, shall be deemed to be representations and not warranties. Misrepresentations, omissions, concealment of facts, and incorrect statements shall not prevent a recovery under the policy or contract unless either:

- (1) Fraudulent; or
- (2) Material either to the acceptance of the risk, or to the hazard assumed by the insurer; or
- (3) The insurer in good faith would either not have issued the policy or contract, or would not have issued it at the same premium rate, or would not have issued a policy or contract in as large an amount, or would not have provided coverage with respect to the hazard resulting in the loss, if the true facts had been made known to the insurer as required either by the application for the policy or contract or otherwise.

Source: SL 1966, ch 111, ch 22, § 12.

SD Statutes (life insurance) on misstatement of age and incontestability provision

SDCL 58-15 is devoted to "Life Insurance and Annuities"

58-15-9. Effect of misstatement in policy regarding age. There shall be a provision that if the age of the insured, or of any other person whose age is considered in determining the premium or benefit has been misstated, any amount payable or benefit accruing under the policy shall be such as the premium would have purchased at the correct age or ages.

Source: SL 1966, ch 111, ch 23, § 7.

58-15-10. Incontestability provision in policy. There shall be a provision that the policy, exclusive of provisions relating to health benefits or to additional benefits in the event of death by accident or accidental means, shall be incontestable, except for nonpayment of premiums, after it has been in force during the lifetime of the insured for a period of two years from its date of issue.

Source: SL 1966, ch 111, ch 23, § 5.

Amendment made by 2010 Legislature by HB 1206:

58-15-10. Incontestability provision required--Exceptions. There shall be a provision that the policy, exclusive of provisions relating to health benefits or to additional benefits in the event of death by accident or accidental means, *is* incontestable, except for nonpayment of premiums *or fraud on the part of the applicant or insured*, after it has been in force during the lifetime of the insured for a period of two years from its date of issue. (Italicized language reflects the 2010 amendment.)

Plus a corresponding change made in SDCLS 58-16-35 which relates to group life policies

E-mail exchanges posted to USDLAW:

From: USD Law [mailto:usdlaw-list@usd.edu] On Behalf Of Baron, Roger
Sent: Wednesday, April 28, 2010 9:12 AM
To: usdlaw-list@usd.edu
Subject: HB 1206 (Life Insurers excused from incontestability clauses for fraud)

As of July 1, life insurers in South Dakota are excused from compliance with the 2 year incontestability clause if the insurer seeks rescission on the basis of fraud. In fact, under the new law there is no time limitation on the life insurer's ability to seek rescission based upon fraud.

In the process of applying for life insurance, the applicant is frequently aided by the insurance agent and a physician or nurse designated by the life insurer. These folks are "agents" of the life insurer. Typically, an applicant will discuss the question with the agent or the physician will make inquiries and examine the applicant. Just exactly "how" these questions are answered is a process which is steered by the agent or the physician. The applicant may tell the physician about a condition or disorder and the physician may decide not to reveal that condition or disorder on his report or may decide to reveal it in a less conspicuous manner. When death of the applicant occurs, the life insurer will thoroughly examine the application and report of the physician for the purpose of attempting to find misrepresentations and fraud. When this happens, the physician usually never recalls what went on in the examination room. In every case (that I have seen) which has been contested because it arose within the 2 year incontestability clause, I have never found a physician who was able to recall the details of the examination. The blatant misstatement stands alone with the applicant appearing to be dishonest. And the applicant is not around to tell his/her side of the story.

I can tell you of two personal anecdotal situations of mine.

Once when I applied for life insurance in my late 20s, the agent helped me fill in the application. With his guidance, my weight was understated somewhat significantly. The agent is actually the one who filled in the application and then asked me to sign it after it was filled in. Fraud? If I am dead, I cannot tell you what really happened.

Once when I applied for life insurance in my late 30s, I was required to submit to a physical from an insurance company nurse. The nurse wanted to help me. She kept getting a high reading on my blood pressure. She then told me that she knew how to take my blood pressure where the numbers would come down. So, she had me sit down and she elevated my arm and got a more favorable reading. And, she actually wrote down a number for my blood pressure that was lower than what she found. Fraud? If I am dead, I cannot tell you what really happened.

From: USD Law [mailto:usdlaw-list@usd.edu] On Behalf Of Lee Schoenbeck
Sent: Wednesday, April 28, 2010 8:34 AM
To: usdlaw-list@usd.edu
Subject: Re: HB 1206 (Life Insurers excused from incontestability clauses for fraud)

I have seen several situations, including on my own applications, where the agents wanted to fudge – or said something like “well that’s not what they mean here” about an answer. The insured is forced to police the insurance company’s representative – even on judgment calls that aren’t clear to the insured, and where they think the agent knows more and so they believe the agent. Prior to this law change the carrier had all the time they wanted – prior to issuing the policy – to underwrite the risk – and two more years afterwards to underwrite post-issuance. Now they get to underwrite years later, post-claim, post-death of the insured’s key witness.

Some will say that this just stops fraud, which ignores the obvious. It now is a tool to threaten voiding the policy in its entirety, to extract a compromise from somebody that has just lost a loved one. This is bad policy.

From: USD Law [mailto:USDLAW-LIST@USD.EDU] On Behalf Of Jeff Hurd
Sent: Wednesday, April 28, 2010 9:46 AM
To: USDLAW-LIST@USD.EDU
Subject: Re: HB 1206 (Life Insurers excused from incontestability clauses for fraud)

Lee, I think that you put your finger right on it—the legislature lost track of the point. Like with statutes of limitation, the point of non-contestability clauses is not to protect bad conduct. The point is that delay makes it too hard to determine whether there was ever bad conduct in the first place.

The new rule allows a life insurance company to postpone validating applications until the insured dies. If they terminate the policy before death, the insurance company has saved the cost of review. If the policy is in effect at the time of death, the carrier can worry about it then. I am not suggesting that carriers will do that, I am merely suggesting that the law encourages behavior that the legislature should discourage. I agree with Lee that the legislature lost its way because it lost track of the point of the non-contestability clause.

Jeff

V. Interpretation of Insurance Policies

(These materials have been specially prepared for the Insurance
CLE sponsored by the State Bar of South Dakota)

11/17/94
Rapid City

SOUTH DAKOTA LAW ON INTERPRETATION OF INSURANCE POLICIES

COVERAGE FOR INTENTIONAL TORTS

COVERAGE FOR PUNITIVE DAMAGES

NOTICE PROVISIONS

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I. SURVEY OF THE JUDICIAL RULES FOR THE INTERPRETATION OF INSURANCE POLICIES

A. General Rules of Contract Construction

Court attempts to ascertain the intent and expectations of the parties ... operates on the assumption that the parties have the EQUAL right and capacity to negotiate

B. Contra Proferentem

The rule which requires that ambiguities in a contract should be interpreted against the one putting the language in the contract. Section 206, Restatement Contracts (2d).

CAVEAT: This rule does not apply if the language is mandated by statute or law ...

Insurers are sometimes required by law to include certain provisions ... these provisions should not automatically be construed against the insurer just because the insurer provided the contract containing the statutorily-required language. Comment (b), Restatement Contracts (2d), Section 206.

C. Adhesion Contract

This is basically a beefed-up version of Contra Proferentem. The court recognizes the reality that the insured does not have the opportunity to write or bargain for his own contract terms. The insured will, in all likelihood, not even see the contract (or policy) until some weeks or months after she has paid his first premium. The traditional search for the parties' "intent" is recognized to be of a fictional nature in adhesion contracts where the insured has no bargaining position.

Courts search more diligently for ambiguities to construe against the insurer

Courts will construe all ambiguities against the insurer (even those mandated by statute and supplied by the insured in answering questions on the application)

D. Reasonable Expectations

This doctrine is traceable primarily to Professor Robert Keeton, Insurance Law Rights at Variance with Policy Provisions, 83 Harv.L.Rev. 961, 963-64 (1970).

"The objectively reasonable expectations of the [insured and beneficiaries] regarding the terms of insurance contracts [will] be honored even though painstaking study of

the policy provisions would have negated those expectations.” *Id.* at 963-64.

This will overcome exclusions and policy provisions which are not even ambiguous, but which tend to defeat the insured’s reasonable expectations.

In order for the insurer to overcome this approach, it must defeat an insured’s expectations by the use of language which is CONSPICUOUS and PLAIN and CLEAR.

It was reported in 1990 that some sixteen states have adopted the “Reasonable Expectations” doctrine as articulated by Prof. Keeton. Roger C. Henderson, The Doctrine of Reasonable Expectations in Insurance Law After Two Decades, 51 Ohio St.L.J. 823, 827-34 (1990).

E. The “Wayfaring Fool” Doctrine

This is the harshest rule, from the insurer’s standpoint.

Traces back to 1936 Arkansas Supreme Court Opinion.

This rule is designed to protect the purchaser of insurance policy from his own ignorance. The insurer must use language that is sufficiently plain and clear that a “wayfaring man, though a fool, might not be deceived.”

II. FOLLOW-UP OBSERVATIONS

A. Finding “Rights at Variance with the Policy”

It should be noted that under doctrines D & E, the court can find rights even in the absence of ambiguous language – a pro-insured approach, allowing the creation of rights despite the existence of unambiguous language in the policy which would negate those rights.

B. Classroom Discussion v. Real Life Development

The development of the law has not been “nice and neat” as is perhaps suggested by this delineation of 5 categories.

Some courts have taken positions which do not neatly fall into any of these categories.

A few courts have taken the “Reasonable Expectations” Doctrine as originally promoted by Keeton and MODIFIED it. In Foremost Insurance Co. v. Putzier, 102 Idaho 138, 627 P.2d 317 (1981), for example, the Idaho Supreme Court adopted a modified version of the “Reasonable Expectations Doctrine” which looks to the

expectations of a reasonable person only in the event there is an ambiguity.

III. SOUTH DAKOTA LAW ON CONSTRUCTION OF INSURANCE POLICIES

A. The General Rule (Absent Some Overriding Public Policy)

South Dakota, in my analysis, appears to fall somewhere between "A. General Rules of Contract Construction" and "B. Contra Proferentem."

Actually, South Dakota appears to fall mighty close to Simply "A. General Rules ..."

The language that has been repeated in case after case is as follows:

"Where the provisions of an insurance policy are fairly susceptible of different interpretations, the interpretation most favorable to the insured should be adopted ... We are mindful of the rule of construction that where the provisions of an insurance contract are not clear and are fairly susceptible of different interpretation that one most favorable to the insured should be adopted. This rule does not mean however, that the court may seek out a strained or unusual meaning for the benefit of the insured."

Rogers v. Allied Mutual, ___ N.W.2d ___ (S.D.0 8/24/94)

State Farm v. Vostad, 520 N.W.2d 273 (S.D. 08/10/94)

City of Fort Pierre, 463 N.W.2d 845, 848 (S.D. 1990)

Black Hills Kennel, 94 N.W.2d 90, 92 (S.D. 1959)

Although this language appears as though South Dakota lines up closely to "B. Contra Proferentem," in analyzing the cases, one gets another impression. Consider the following examples:

State Farm v. Vostad & Northwestern National Ins. Co., 520 N.W.2d 273 (S.D. 08/10/94)

Action to recover under Uninsured Motor Vehicle Coverage ... Insured and another killed by CO (Carbon Monoxide) poisoning after the other person started the engine of a Motor Home to keep warm while engaging in sexual activity with the insured ... No coverage under the policy belonging to the owners of the Motor Home because there was no permission by the owners to use it, therefore it was an "uninsured" motor vehicle. The policy did not include a motor vehicle "while located for use as premises." This motor home was not being used as a premises by the owners – it was just parked in a pole building. The Court affirmed judgment for the insurer, holding that "on the night in question" it was being used as a premises.

COMPARE THIS CASE TO: The Criminal Case of State v. Kitchens, 498 N.W.2d 649 (S.D. 1993) where the South Dakota Supreme Court affirmed the DUI conviction of the defendant who was never seen operating his pickup truck, but who was found asleep in the truck, with the truck not running and with the keys out of the ignition. Keys were in his pants pocket. Nonetheless, the Court found that the defendant was in "actual physical control" of the vehicle with a Blood Alcohol Content of more than 0.10 percent.

Prokop v. North Star Mutual Inc. Co., 457 N.W.2d 863 (S.D. 1990)
Action under Homeowners Policy ... the policy limit for personal property was \$27,500 ... the loss well exceeded \$27,500 and was incurred when insured's belongings were stolen while in a U-Haul trailer while she was staying at a Days Inn Motel in Sacramento ... Insured had taken a new job in Sacramento and her employer arranged for her to stay in the Days Inn for a while upon her arrival ... the policy provided that "property in transit" was only covered up to 10% ... Insured argued she had reached "another location" – namely Sacramento. The Court recited the general rule, but said "it is clear that the term 'location,' in the context of this policy, refers *not* to a city or metropolitan area, but rather to a specific residence." *Id.* at 864-65.

WHEN THE SMOKE CLEARS ... it is difficult if not impossible to find a case where the S.D. Supreme Court has found an ambiguity which it could consider construing in favor of an insured. WHERE'S THE BEEF?

In most cases, the court finds no ambiguity, and decides the case in favor of the insurer:

Rogers v. Allied Mutual, 520 N.W.2d 614 (S.D. 1994)
City of Fort Pierre, 463 N.W.2d 845 (S.D. 1990)
McGriff v. U.S. Fire, 436 N.W.2d 859 (S.D. 1989)

Even when the court finds for the insured, it is not because of an ambiguity, but because the court directly interprets the policy in favor of coverage.

Eg. O'Neil v. Blue Cross, 366 N.W.2d 816 (S.D. 1985) (hold that coverage for dependent children under health policy unambiguously covered child born out-of-wedlock.)

B. Overriding Public Policy

Favorable Interpretations for the Insured can be found in cases where the court is convinced that there is a strong PUBLIC POLICY

Clark v. Regent Ins., 270 N.W.2d 26 (S.D. 1978)

"Hit-and-run" coverage in uninsured motorist coverage liberally construed to allow coverage where insured did not have physical contact with hit-and-run driver but was forced to swerve off the highway and roll her car. "...the provisions of the uninsured motorist statutes are construed liberally in favor of coverage." *Id.* at 29.

There are many interesting cases in other jurisdictions involving attempts to find coverage under Uninsured Motorists Coverage:

Drive-By Shooting Cases

Nationwide v. Munoz, 245 Cal.Rptr. 324 (Cal.Ct.App.2d 1988) (coverage)

Collier v. Employers, 861 S.W.2d 286 (Tex.App. 1993) (no coverage)

See Also: Progressive Casualty v. Arban, No. 125443 (Va. Fairfax County Cir.Ct. April 22, 1994) (Uninsured motorist coverage extended to police officer shot as he approached stopped vehicle)

NOTE: In these cases, there is no coverage on the policy for the vehicle from which the gunshot emanated because of the intentional act exclusions.

Of course, there are many South Dakota cases where policy provisions have been held out-and-out void because the provisions conflict with public policy as seen in a statute:

Kremer v. American Family, 501 N.W.2d 765 (S.D. 1993) (voiding a "Consent to be bound" provision)

Isaac v. State Farm, 522 N.W.2d 752 (S.D. 09/14/94) (voiding a set-off provision which would reduce UIM benefits for money paid by worker's compensation), citing and relying on National Farmers Union v. Bang, 516 N.W.2d 313 (S.D. 1994).

Cimarron ins. v. Croyle, 479 N.W.2d 81 (S.D. 1992) (partially voiding household exclusion because of S.D. Financial Responsibility statutes, as they existed at the time)

C. South Dakota's Flirtation with Adoption of the Reasonable Expectations Doctrine

Grandpre v. Northwestern Nat'l, 261 N.W.2d 804 (S.D. 1977) – The doctrine of Reasonable Expectations was presented to the S.D. Supreme Court and rejected in 1977 by 3-2 decision. Justice Porter wrote a dissenting opinion in which he would apply the doctrine.

Trammel v. Prairie States Ins. Co., 473 N.W.2d 460 (S.D. 1991) – majority opinion authored by Justice Sabers discusses “Reasonable Expectations” doctrine at page 463, quoting Keeton’s famous Harvard Law review article. “Whether or not the reasonable expectations doctrine has effect in South Dakota, it is clear that the doctrine states no cause of action against agent... This case does not require us to decide whether the reasonable expectations doctrine is law in South Dakota.” *Id.* At 463-64.

Dairyland Ins. v. Wyant, 474 N.W.2d 514 (S.D. 1991) (rejects the use of the Doctrine of Reasonable Expectations to cover punitive damages, which coverage is neither expressly provided for nor excluded ... “We express no judgment whether the reasonable expectations doctrine would govern the construction of an insurance contract whose terms were ambiguous or whose coverage was described in broad categorical language that might lead a policyholder to incorrectly but reasonably conclude she had a particular kind of coverage. That issue is not before us because there is nothing ambiguous about this policy ...”)

This dicta comes very close to rejecting the doctrine as originally set forth by Keeton. But this approaches a hybrid form, as seen in the Idaho case cited above ... which really is not much different than Contra Proferentem – keep in mind that in South Dakota, it is very difficult to find any case where the language is determined to be ambiguous ... most cases appear to find the language to be clear and in favor of the insurer.

IV. COVERAGE FOR INTENTIONAL TORTS AND PUNITIVE DAMAGES

A. Introduction

Generally speaking, Insurance policies EXCLUDE coverage for damages arising out of Intentional Torts and for Punitive Damages – Why are Insurers allowed to exclude such damages, even in situations such as mandatory financial responsibility??? The rationale for each is the same:

It is against Public Policy to allow an insured to relieve himself of responsibility for damages which he may inflict through intentional misconduct or wilful injury. Also it is considered improper for an insured to gain protection for punitive damages or else the insured will be encouraged to act tortiously in a manner generating punitive damages, knowing that his

insurer (and not him) will have to pay the bill!

If I really dislike Mr. X and I know that my homeowners policy will cover me for intentional acts and punitive damages, why don't I invite Mr. X over to my house and throw acid on him? (Assuming that I am willing to risk a criminal prosecution) Insurer will have to pay – not me!

B. Intentional Acts Exclusions

The trick here is to characterize the misconduct as something less than “intentional” in order to get coverage.

1. Duty of Coverage – Mixed Claims

Tri-State v. Bollinger, 476 N.W.2d 697 (S.D. 1991) – Plaintiff's 1st complaint alleged only the intentional tort of assault ... when it was clear there was no coverage, plaintiff amended to also allege negligence ... injuries occurred when plaintiff and insured were involved in an altercation ... S.D. Supreme Court held there was a duty by the insurer to defend this action because the jury could find that the injuries were inflicted by the insured's negligent conduct ... under the policy, the duty to defend extended to suits, “even if the suit is groundless, false or fraudulent.” (NOTE: Plaintiff might have saved himself some grief – and a trip to Vermillion for Oral Argument – had the original complaint included allegations of negligence.) The word is that this case was subsequently settled for a significant sum!

North Star v. Kneen, 484 N.W.2d 908 (S.D. 1992) – a Family Law case – altercation between H & W when H refused to let W take kids without telling him where she was going ... W broke her arm in ensuing scuffle ... W sued H for (1) negligence and (2) intentional tort ... S.D. Supreme Court held that H's liability insurer had a duty to defend because the negligence claim “would potentially bring coverage into effect.” “The fact that the lawsuit is based on theories brought in the alternative does not relieve North Star of its duty to defend.”

2. Sexual Misconduct Claims - A Real Hot Bed of Litigation!

An exploding area of claims involves coverage for Sexually Transmitted Diseases (STD's) and other injuries arising out of improper sexual contact. If the tort takes place in someone's home (and it frequently does), there may be coverage on a homeowner's policy. The key to recovery is characterizing the conduct as mere negligence – the roles of the insurance company and the plaintiff are somewhat reversed in that the insurer, in order to avoid coverage, wants to provide that its insured acted “worse” than that alleged by the victim – i.e., that the act was intentional. The plaintiff, in order to get coverage, needs to establish that the conduct was not intentional, but merely negligent.

Loveridge v. Chartier, 468 N.W.2d 146 (Wis. 1991) (Coverage upheld for negligent transmission of herpes, notwithstanding the fact that the sexual intercourse with a consenting 16 year old female was misdemeanor statutory rape)

North Star Mutual Insurance v. T.F., 431 N.W.2d 138 (Minn.App. 1988) (negligent transmission of herpes through voluntary sexual intercourse is arguably an accidental occurrence under homeowner's policy, requiring insurer to defend)

CAVEAT: Many insurers are responding to these cases by including “STD” exclusions in homeowners policies.

American Family Ins. v. Purdy, 483 N.W.2d 197 (S.D. 1992) (coverage for acts of sexual molestation for which the insured was criminally prosecuted found to be excluded as “expected or intended” bodily injury)

C. Punitive Damages

The issue here is not whether or not there is a device for somehow finding coverage – impossible to find coverage for punitive damages if specifically excluded – it's against Public Policy.

This issue here is whether or not Insurer can provide coverage if they wish to do so.

City of Fort Pierre v. United Fire & Casualty, 463 N.W.2d 845 (S.D. 1990) suggests "NO" Here the insured had been sued by the U.S. Government for intentionally violating the Clean Water Act ... the insured successfully defended the suit and then sought to collect its legal fees of \$28,445 for defending the suit from its insurer which did not defend ... trial court gave the insured part of its legal fees ... the S.D. Supreme Court reversed, holding there was no duty to defend at all because the original complaint by the U.S. alleged only intentional conduct ... Dictum in the opinion by Justice Miller states:

"It is against public policy to allow the insured wrongdoer to shift the burden of payment of punitive damages to its insurer ... "

More and more jurisdictions are, however, allowing insurers to provide coverage for punitive damages, it being a matter of private contract, assuming that the insurer is willing to accept the risk ... This is especially true in situations where the punitive damages may be imposed VICARIOUSLY ... Hence the moral argument about avoiding the consequences of wilful conduct is of much less weight ... e.g., coverage for punitive damage claims against cities, school districts, municipalities, governmental subdivisions.

The issue re-surfaced in South Dakota in a case where the insured "had a morning of heavy drinking" – Dairyland Ins. Co. v. Wyant, 474 N.W.2d 514 (S.D. 1991) Insured was a high risk driver with a record of previous DWI convictions ... after a morning of heavy drinking, the insured crossed the median of an interstate highway and ran into the plaintiff ... plaintiff was awarded \$15,516 compensatory and \$30,000 punitive damages. The trial court declared that the insurance company should be required to pay the punitive damages, up to the policy limit ... The S.D. Supreme Court REVERSED in a 4-1 decision ... Justice Henderson, the lone dissenter, would have required the insurer to pay the punitive damages by interpreting SDCL 32-35-70 (financial responsibility statute) which required insurance "for damages arising out of the ownership, maintenance or use of the vehicle" to encompass the punitive damage award – Justice Henderson also observed that the insurer solicited high risk clients who had been involved in alcohol related accidents, having bargained for and assessed the risk of such claims, and having charged high premiums ... In a three Justice Majority Opinion by

Justice Sabers (and concurred in my Justices Wuest & Amundson), the court found that punitive damages were not SPECIFICALLY covered by the policy (Punitive Damages were not expressly excluded) – This opinion rejected the suggested use of the Reasonable Expectations Doctrine to find coverage ... Nevertheless, on the issue of coverage for punitive damages this three-justice opinion expressly distinguished the language in the City of Fort Pierre case as dicta, and stated “we need not reach Dairyland’s second contention that South Dakota’s public policy prohibits indemnification for punitive damages ... The application of this principle of public policy to insurance contracts purporting to extend coverage for punitive damages is best left for a case where the question is squarely presented.” Justice Miller (concurring), who authored City of Fort Pierre was upset by Justice Sabers’ labeling of his language as mere dicta, but Justice Miller did acknowledge that the case of an insurance policy specifically containing punitive damage coverage “is not now and never has been before us.” *Id.* at 517.

The vast majority of jurisdictions that have addressed the issue have upheld coverage for punitive damages where the insurer has expressly provided for it. Blatt, Hammesfahr, and Nugent, Punitive Damages, Sections 8.2-8.3 (West 1991), updating a table of the various jurisdictions shown in an article by Schumaier and McKinsey, 72 ABA Journal 69 (March 1986).

V. “NOTICE” PROVISIONS

An especially hard decision was handed down last November – County of Pennington v. St. Paul Fire & Marine, 508 N.W.2d 376 (S.D. 1993). This involved the Pennington County Jail Project – Three Suppliers of Materials went unpaid when the subcontractor with whom they dealt filed bankruptcy. An effort was made to collect on the Performance Bond which had been secured by the Prime Contractor. Under the particular statute, the plaintiffs had the right to sue in the County’s name, but only after six months after completion of the contract – SDCL 5-21-6 requires suit be brought within 1 year, but within the last 6 months of that year period following the completion of the project. The bond in question specifically extended coverage to all claimants having a direct contract with a subcontractor. Suit was brought 11 months after completion of the contract.

Plaintiffs complied with the statute of limitations, but the trial court granted the insurer summary judgment because the plaintiff failed to comply with the 90 day notice requirement of the policy. (We don’t even know if the plaintiffs had seen the policy in those 90 days.)

The South Dakota Supreme Court affirmed in a 4-1 decision. Justice Sabers dissented, relying on SDCL 53-9-6 which renders void any contract provision which purports to shorten a statute of limitations. The majority opinion said that the “notice requirement” did not shorten the statute of limitations, but simply imposed a condition precedent.

How has the insurer been PREJUDICED by the failure to give timely notice? Is it no longer able to investigate the claim?

WHAT ABOUT PREJUDICE??? There was no discussion on whether or not the insurer was prejudiced by the failure to give timely notice. There is a substantial line of authority which upholds such "notice requirements" only when the insurer has been prejudiced by its violation. *Fidelity S & L v. Aetna*, 647 F.2d 933 (9th Cir. 1981); *Brakeman v. Potomac Insurance Co.*, 472 Pa. 66, 371 A.2d 193 (1977); *Pickering v. American Employers Ins.*, 109 R.I. 143, 283 A.2d 584 (1971).

Once a jurisdiction has recognized that prejudice must be shown, there is the further issue as to who has the burden of showing prejudice (or the lack thereof). *E.g.*, *Bankers Insurance Co. v. Macias*, 475 So. 2d 1216 (Fla. 1985).

No South Dakota cases address this issue – certainly SDCL 53-9-6 takes care of situations involving contractual attempts to shorten the Statutes of Limitations. But the result of decisions such as *County of Pennington* is to turn "notice provisions" into "absolute forfeitures" when they are construed as simple "conditions precedent." The ultimate result is a simple windfall to the insurer.

IN MY VIEW – courts should impose the harsh result of policy voidance for failure to give timely notice only when the insurer has been prejudiced by the failure.

Addendum to Outline for:

S.D. Law on Interpretation of Insurance Policies

Sample Exercise:

C. *Change of Location* – When you move to another location where you intend to permanently reside:

1) the Coverage C limit of liability applies pro rata at each location for 30 days from the date you begin to move but not extending past the expiration date of the policy;

2) property in transit is covered against direct loss from perils insured against for an amount up to 10 percent of the Coverage C limit of liability or \$2500, whichever is more.

When you move, the Change of Location coverage applies in place of your coverage for property While Away from the Insured Premises.

The “Wayfaring Fool” Doctrine (from page I-4) is traceable to the following case:

Equitable Life Assurance Society v. Dyess, 109 S.W.2d 1263, at 1265 (Ark. 1937).

The Northwest Reporter Citation to Rogers v. Allied Mutual case on page I-5 and I-6 is as follows:

Rogers v. Allied Mutual Ins. Co., 520 N.W.2d 614 (S.D. 1994).

Update on “Reasonable Expectations” doctrine:

The Supreme Court rejected the “Reasonable Expectations” doctrine in a 5-0 opinion in American Family Mutual Insur. Co. v. Elliot, Nelson, et al., 523 N.W.2d 100 (S.D. 10/19/94) (reversing the trial court for refusing to grant the insurer summary judgment on liability for “babysitting service” claim under homeowner’s policy – insured unsuccessfully argued that she reasonably expected coverage notwithstanding the fact that the insurer clarified the “business” exclusion 3 years after she secured the policy – insured never read the policy or the amendment) Once again, the S.D. Supreme Court stated that it “expresses no opinion whether the doctrine of reasonable expectations would govern construction of an insurance contract if the terms of that contract were ambiguous ... that issue is not before us today because we have held that there is nothing ambiguous about this policy.”

SD Cases since 1995 which discuss “interpretation” of insurance policy. Each of these cases continues to put forward the rule that – Where the provisions are fairly susceptible to different interpretations, the interpretation most favorable to the insured should be adopted.

Olson v. U.S.F. & G., 549 N.W.2d 199 (S.D. 1966)

P seriously injured by fork lift in fall from cage in which P was riding. Exclusion under homeowner’s policy for “motorized land vehicle.” Insured argued the fork lift was designed to “lift and place.” Trial court for insurer. Affirmed by SD S.Ct. (5-0).

Alverson v. Northwestern National, 1997 SD 9, 559 N.W.2d 234

Exclusion under CGL policy referred to property required to be replaced because of “your work.” Does this phrase “your work” pick up only the property which sub-contractor was working on, to wit “brick” and “veneer?” Damage was to window. Trial court for insured. Reversed by SD S.Ct. (4-1, J. Amundson dissenting).

Opperman v. Heritage Mutual Ins., 1997 SD 85, 566 N.W.2d 487

Fire damage to front-end loader while it was being overhauled. Policy excluded coverage while “operated principally away from the described premises.” Insured argued it was being “processed” or “warehoused” which would be covered. Trial court for insured. Reversed by SD S.Ct. (4-1, J. Gilbertson dissenting).

Rumpza v. Donalar and Stockholm Farm Mut., 1998 SD 79, 581

N.W.2d 517 – Policy language relating to “vacancy” found to be ambiguous as applied to facts of this case and construed favorably for insured. SD S.Ct. Reversed trial court’s finding that policy was unambiguous. (3-2) (J. Amundson & Judge Dobberpuhl, dissent).

SD State Cement Plant Commission v. Wausau, 2000 SD 116, 616 N.W.2d 397 – Does exclusion for “pollutants” in general liability policies cover cement dust? Trial court held “no” for insured. Reversed by SD S.Ct. (3-2, JJ. Gilbertson & Sabers dissent)

Roden v. General Casualty Co. Of Wisconsin, 2003 SD 130, 671 N.W.2d 622.

Employee seeks UIM (Underinsurance) benefits through employer's policy. Employee was seriously injured when, as he was standing beside his supervisor's pickup truck, a vehicle driven by TF struck employee. Employee was hospitalized for 6 weeks, sustaining permanent physical injuries and extensive medical expenses.

Policy definition of "insured" includes "anyone else 'occupying' a covered 'auto' ..." Policy defines "occupying" to mean, "in, on, upon, getting in, on, out, or off." ("This language is fairly standard in the insurance industry." ¶ 12.

Trial court granted employee partial summary judgment on the issue of coverage. The SD Supreme Court affirmed in a 3-1-1 decision, with only Retired Justice Amundson dissenting.

As Justice Zinter states in his concurring decision, "It is noteworthy that the policy language at issue has been the subject of countless disputes in numerous courts for more than five decades." ¶ 37.

The South Dakota Supreme Court finds that the term "occupying" as used in this insurance contract to be "ambiguous and subject to differing interpretations. Accordingly, the interpretation most favorable to [employee] must be adopted." ¶ 14. The Court examined pertinent case law from other jurisdictions and agreed with those jurisdictions which have similarly held the term "occupying" to be ambiguous. ¶ 13.

The Court also adopted a liberal 4-part test, which is traceable to a Pennsylvania Supreme Court decision and which has been adopted by many other courts, to determine whether or not a person is "occupying" an insured vehicle. ¶¶ 18-27.

Without going into detail as to each part of the 4 part test, a few statements from the court are as follows:

"The third factor is that the person must be vehicle oriented rather than highway or sidewalk oriented at the time. Both individuals were employees of the company and it was a company vehicle doing company business. From the ... testimony, it is clear that Roden had his head in the truck and was talking company business with his immediate supervisor. That was his sole orientation rather than any connection with what was going on behind or to the side of him with a work project or otherwise." ¶ 25.

"Therefore, we hold as a matter of law that Roden occupied the vehicle at the time of the accident within the meaning of General Casualty's policy definitions." ¶ 27.

2008 and 2010 Interpretation Cases

“Auto Accident” found to be ambiguous and construed in favor of coverage. In *North State Mutual v. Peterson*, 2008 SD 36 (May 7, 2008), a rifle accidentally discharged in a pickup truck while the engine was on and idling, but the truck was not moving. A 14 year old boy was shot in his left ankle with the bullet also grazing his right ankle. The issue is whether or not there is coverage by the liability insurer, Millbank Insurance Co. (Millbank is a co-defendant in this D.J. action commenced by North Star, the umbrella liability insurer.) The trial court found the term “auto accident” to be ambiguous and construed it in favor of coverage. The SD Supreme Court affirmed in a 3-2 decision with the majority opinion being authored by Justice Meierhenry. The opinion surveys case law in SD and other jurisdiction dealing with similar accidental discharge-of-firearm situations. Justice Zinter wrote a dissenting opinion in which Justice Konenkamp joined.

Argument that “business exclusion” is ambiguous on the “facts of this case” rejected. The case of *Western Nat’l v. Decker*, 2010 S.D. 93 (Dec. 8, 2010) involves a situation where the insurer (homeowner’s policy) sought a declaratory judgment that it was not liable on a claim for injuries sustained by a child in the care of a babysitter. The babysitter did not have a name for her business and had no written agreement with parents. The babysitter kept no written records and filed no income tax returns. Although she charged some parents \$1.50 per hour, she did not charge for the particular child who was injured “in honor of the relationship between her fiancé and his cousin [the child’s father].” The argument in favor of coverage was that the policy was “ambiguous on the facts of this case.” The trial court granted summary judgment for the insurer and the SD Supreme Court affirmed holding that “the circuit court correctly ruled that the policy was unambiguous and the business exclusion applied.” This decision is unanimous with opinion by Justice Konenkamp.

VI. Bad Faith

(3rd Party, 1st Party and related issues)

SD Statutes permitting suit against liability insurer without payment by insured

58-23-1. Action against insurer by injured party where execution returned unsatisfied. All liability insurance policies issued in this state shall provide in substance that if an execution upon any final judgment in an action brought by the injured or by another person claiming, by, through, or under the injured, is returned unsatisfied, then an action may be maintained by the injured, or by such other person against the insurer under the terms of the policy for the amount of any judgment recovered in such action, not exceeding the amount of the policy, and every such policy shall be construed to so provide, anything in such policy to the contrary notwithstanding.

Source: SL 1966, ch 111, ch 32, § 2.

58-23-2. Bankruptcy or insolvency of assured – Insurer not released from liability. No liability insurance policy issued in this state shall contain any requirement for the payment of liability or loss under the policy, by the assured, but all such policies shall provide in substance that the bankruptcy or insolvency of the assured shall not release the insurer from liability.

Source: SL 1966, ch 111, ch 32, § 2.

South Dakota Cases – The Evolution of Third Party Bad Faith

Kunkel v. United Security Ins. Co. Of New Jersey, 168 N.W.2d 723 (S.D. 1969)

Landmark SD case which adopts the common law cause of action. This case cites and relies on California cases, including the *Crisci* case. Lengthy opinion.

“While no single satisfactory test has been formulated as to what constitutes good or bad faith courts uniformly hold that the insured’s interests must be considered. It appears to have been most frequently held the insured’s interests must be given ‘equal consideration’ with those of the insurer...” *Id.* at 726.

“Sometimes the duty to exercise good faith and give equal consideration is expressed by telling the jury that in making the decision whether to settle or try a case the insurer must in good faith view the situation as it would if there were no policy limits applicable to the claim.” *Id.* at 726.

“It is settled law in this state that a breach of duty may arise from a contractual relationship, and while matters complained of may have their origin in contract, the gist of an action may be tortious.... Conduct which merely is a breach of contract is not a tort, but the contract may establish a relationship demanding the exercise of proper care and acts and omissions in performance may give rise to tort liability.” *Id.* at 733.

Damages for mental suffering authorized by the opinion, but the lower court’s award of \$10,000 for mental suffering stricken due to insufficient evidence to support the award.

No assignment. Excess of \$18,798.58 collected by insured against insurer.

Crabb v. National Indemnity, 205 N.W.2d 633 (S.D. 1973)

Upholds the use of an assignment by the insured to the judgment creditor. Rejects the argument that the judgment creditor is required to show that the insured had paid or could have paid the excess.

“Because we believe that a judgment-proof insured does indeed suffer injury when a claimant obtains a judgment against him in excess of liability insurance policy limits, we ... hold, as most states hold, that an insured may bring an action against his insurer for ‘bad faith’ refusal to settle whether or not the insured has paid, or can pay, that part of the judgment which exceeds the policy limits.” *Id.* at 638.

One dissenter (Justice Wollman) would hold, based on the testimony of two highly competent attorneys, “as a matter of law” that the insurer acted in good faith in rejecting the settlement offers.

Helmbolt v. LeMars Mutual Ins., 404 N.W.2d 55 (S.D. 1987)

Excess of \$55,000 successfully collected. This is a complicated case, but the principle of 3rd party bad faith is upheld at page 57. [The case is complicated because both the tortfeasor and the tort plaintiff were insured by LeMars Mutual and there was the additional assertion of a claim under UIM (underinsured motorist) coverage.]

Johnson v. Viking Insurance Company of Wisconsin, 706 F.Supp. 720 (Wes.Dis.S.D. 1989)

Bad faith claim brought by injured party is premature if brought prior to judgment. In this case, the tort plaintiff sued the tortfeasor's insurer in federal court while the state court tort claim was pending. Case dismissed.

"This Court finds there is no privity of contract and no cause of action for bad faith exists in this situation." *Id.* at 721.

"The question of whether in South Dakota a cause of action for bad faith exists against such a liability carrier after fault has been so determined, judicially or otherwise, is not the issue here. Without a determination of liability, no duty exists. Absent such a duty, a liability insurer has a legitimate right to negotiate an unliquidated claim. Plaintiff's claim is premature." *Id.* at 721-22.

Nielson v. Boos, 1997 SD 117, 571 N.W.2d 653

suit for excess against both the attorney and the insurer ... policy limit of \$250,000, insurer rejected offers to settle at \$250,000 and \$225,000 ... ultimately verdict for the tort plaintiff in the amount of \$650,000, creating an excess of \$400,000.

This opinion deals only with the issue of venue. Plaintiff brought the 3rd party bad faith claim in Minnehaha County. Defendants sought transfer to Grant County, where Defendants resided and did business. Trial court sent the case to Deuel County, the county where the plaintiff resided, relying on SDCL 15-5-5 and 15-5-8 [where indemnified resides or where loss occurred] ... SD Supreme Court reversed and held that venue must be in the "fallback" county of defendants' residence – Grant County.

This case is the subject of a law review case note. Colby M. Lessmann, *Third Party Bad Faith Refusals to Settle in Nielsen v. Boos*, 43 South Dakota Law Review 680 (1998).

Miscellaneous Cases – 3rd Party Bad Faith

Kobbeman v. Oleson, 1998 SD 20, 574 N.W.2d 633 – The insured-tortfeasor had liability insurance of \$100,000 but was supposed to also have a \$1,000,000 umbrella policy. The insured-tortfeasor had paid the agent money for the premium for the umbrella policy, but the agent had not secured the policy. The insured-tortfeasor settled the claim by the victim through payment of the \$100,000 primary policy limited and by making an assignment to the tort victim of his cause of action against the insurance agent. The SD Supreme Court acknowledged that there was a cause of action by the insured against the agent. The Court also approved of the notion that an insured-tortfeasor could indeed assign a cause of action against an insurance agent (for failure to secure umbrella coverage insurance) to the tort victim in exchange for a covenant not to sue, despite the fact that the tort victim's claim had not been reduced to judgment. Noting that such an assignment would be inappropriate for a 3rd party bad faith claim, the Court stated as follows:

“In bad faith refusal to settle cases, a rule mandating post-judgment assignment is more imperative because, in most instances, no cause of action solidifies until judgment is rendered against an insured.” *Id.* at 638.

The insurance agent ultimately won in this case, however, because the statute of limitations had run on the tort victim's underlying claim against the insured-tortfeasor. [Justice Sabers dissented on the s/l defense, noting that this was similar to a “case within a case” as seen in legal malpractice situations ... just because the lawyer missed the s/l doesn't mean that the client cannot sue the lawyer for malpractice ... here the tort victim ought to be able to pursue the agent (through the assignment) despite the fact the s/l had expired on the claim against the insured-tortfeasor.]

Frankenmuth Mutual Insurance Co. v. Keeley, 461 N.W.2d 666 (Mich. 1990). In this 4/3 decision, the Michigan Supreme Court held that the amount recoverable against a liability insurer on an excess liability claim for “refusal to settle” within the policy limit is the amount that would be “collectable” from the insured. This argument – to limit recovery to what the insured could actually be required to pay – was rejected by the SD Supreme Court in the 1973 *Crabb* case, 205 N.W.2d 633.

TINA RAILSBACK,
Plaintiff and Appellant,
v.
MID-CENTURY INSURANCE COMPANY,
Defendant and Appellee.
2004 SD 64, 680 N.W.2d 652 (05/12/04)

SABERS, Justice

[¶1.] Tina Railsback brought suit against Mid-Century Insurance Company alleging fraud, deceit, and misrepresentation. The trial court granted summary judgment in favor of Mid-Century and Railsback appeals. She argues that the trial court erred in holding that 1) the liability insurer did not have a duty to speak truthfully to an injured third-party claimant; and that 2) her claim was a prohibited direct action against an insurer. We reverse both 1 and 2.

FACTS

[¶2.] Early in 1996, Railsback was injured in an automobile accident. She was a passenger in a vehicle driven by Tom Hauglin. Hauglin lost control of the car when he hit a patch of ice. Railsback suffered injuries to her neck and back in the resulting collision. Hauglin was cited for careless driving.

[¶3.] Mid-Century was Hauglin's liability insurance carrier. At the time of the accident, Hauglin's policy limit was \$50,000.00 per person and \$100,000.00 per occurrence. Railsback made a claim against the policy for the injuries she suffered in the accident. She filed the claim and negotiated a settlement with the company without the aid of legal counsel.

[¶4.] Diana Austin and Steve Weiler were claims adjusters employed by and acting as agents for Mid-Century. Railsback alleges that Austin and Weiler misrepresented the amount of liability coverage available under Hauglin's policy. She asserts that they led her to believe that the policy limit was \$25,000.00 rather than \$50,000.00. She claims that they misled her in an effort to induce her to release her claim for \$25,000.00.⁵ Specifically, she asserts that the adjusters knew that she was misinformed about the policy limits and that they reinforced that misinformation with ambiguous communications. Entries in the insurer's investigation log by Weiler and Austin indicate that liability coverage was discussed with Railsback. The logs also indicate that the adjusters were

⁵ * Railsback testified in her deposition that both Weiler and Austin represented to her that Hauglin's policy limit was \$25,000.00:

[Mid-Century counsel]: But as we sit here today, are you telling me that Steve Weiler specifically said to you that there was only \$25,000 limits of coverage?

Railsback: Yes, I believe that's exactly how it was worded.

...

Q: It appears from your testimony that you were advised, not only by Diana Austin, but also by Steve Weiler of an alleged limitation of the policy limits being \$25,000. Is that correct?

A: Yes.

aware that Railsback was misinformed. In negotiations, on several occasions, Railsback demanded the "policy limits." Austin told Railsback she would not authorize "policy limits" but then offered \$20,000.00 in settlement. Railsback ultimately released her claim for \$25,000.00 and did not find out until July 2000 that the policy limit was actually \$50,000.00. She asserts that had she known the policy limit was greater than \$25,000.00 she would not have entered into the settlement. She further asserts that through their written and verbal communications, the adjusters intentionally reinforced her misunderstanding of the policy limits.

[¶5.] Railsback brought suit against Mid-Century alleging fraud, deceit and misrepresentation. The trial court granted Mid-Century's motion for summary judgment and Railsback appeals, raising two issues:

1. Whether a liability carrier owes a claimant, who is not their insured, a duty to speak truthfully about the insured's policy limits.
2. Whether the trial court erred in its determination that Railsback's suit was an impermissible direct action against an insurer.

* * *

[¶7.] 1. **WHETHER A LIABILITY CARRIER OWES A CLAIMANT, WHO IS NOT THEIR INSURED, A DUTY TO SPEAK TRUTHFULLY ABOUT THE INSURED'S POLICY LIMITS.**

[¶8.] At the hearing on the motion for summary judgment, the trial court held that the insurer had no duty to disclose the policy limits. Railsback argues that this decision "effectively licenses misrepresentations by claims adjusters."

[¶9.] The relationship between an insurer and a third party claimant is not a fiduciary or confidential relationship. In fact, we have noted that the insurer stands in the shoes of the insured and therefore, the relationship between the claimant and the insurer is adversarial. *Trouten v. Heritage Mut. Ins. Co.*, 2001 SD 106, ¶32, 632 NW2d 856, 864. The parties deal at arms length and there is no duty on the part of the insurer to disclose the policy limits during settlement negotiations. Therefore, to the extent the trial court held that there is generally no duty to disclose policy limits, it was correct. However, the question here is narrower. Specifically, whether an insurer may knowingly cause or further a claimant's misunderstanding of the policy limits to her detriment.

[¶10.] Mid-Century concedes that South Dakota law allows a claimant to affirm a settlement agreement and bring a fraud action against an insurance company without obtaining judgment against the insurance company. See *Tucek v. Mueller*, 511 NW2d 832, 835-36 (SD 1994). It argues that 1) it did not have a duty to disclose policy limits or 2) correct Railsback's mistaken belief and that 3) "the trial court's decision [] does not preclude [] a direct action against an insurance company where the company actually engages in fraud."

[¶11.] The trial court relied on *Smith v. Safeco Ins. Co.*, 50 P3d 277 (WashAppCt 2002) to come to the conclusion that an insurer need only disclose its insured's policy limits if a reasonable person in the same or similar circumstances would believe that the disclosure would be in the insured's best interest. *Id.* at 282. Mid-Century argues that since an insurer has no duty to disclose policy limits, even if the third party is known to have been operating under a mistaken belief, there can be no breach of duty giving rise to a fraud action.

[¶12.] We disagree with the trial court's analysis of this issue. In *Tucek*, we overruled a trial court's entry of summary judgment in favor of an insurance company alleged to have defrauded a third-party claimant. In that case, we noted that the claimant was "entitled to sue for damages for fraud and deceit." *Tucek*, 511 NW2d at 835. We noted more specifically that the claimant could rely on SDCL 20-10-1, 20-10-2(2) and (3), statutes defining deceit, as a basis for her claims. Furthermore, we noted that "questions of fraud and deceit are generally questions of fact and are to be determined, ordinarily, by a jury." *Id.* at 836. We stated, "[e]very participant in a fraud and each one who assists another in the perpetration of the fraud is liable to the injured party." *Id.* (Emphasis in the original.) Acknowledging that the "insurer knew it could reach a settlement favorable to itself albeit unfavorable to *Tucek*," we reiterated that every participant in a fraud is liable to the injured party. *Id.* at 837. We made no distinction between other parties involved in the fraud and the insurance company.

[¶13.] In *Maybee v. Jacobs Motor Co., Inc.*, 519 NW2d 341, 343 (SD 1994), we noted:

An action for deceit requires proof that the misrepresentation was material to the formation of the contract and that the other party relied on the misrepresentation to her detriment. [] Such misrepresentations include true statements which the maker knows or believes to be materially misleading because of his failure to state additional or qualifying matter.

Id. (citing Restatement (Second) of Torts § 229 (1977) (internal citation omitted)). We have applied the Restatement (Second) of Torts § 551(2). § 551(2) (b) provides in part that a party to a business transaction has a duty to "exercise reasonable care to disclose to the other before the transaction is consummated":

(b) matters known to him that he knows to be necessary to prevent his partial or ambiguous statement of the facts from being misleading.

Restatement (Second) of Torts § 551 (2)(b) (1977). Assuming all facts in favor of Railsback, there is a genuine issue of material fact whether the insurer deceived or defrauded her or made misrepresentations in the settlement negotiations. Railsback argues that the conversations and letters between her and the adjusters led her to believe, to her detriment, that the policy limits were half of what they actually were. Drawing inferences from the facts in the record in favor of Railsback, it could be reasonably inferred that the adjusters were aware of and exploited her misinformation regarding the policy limits. Furthermore, one could infer that the exploitation amounted to affirmative representations of facts they knew were untrue. Mid-Century argues that the claims adjuster's reference to "policy limits" was not ambiguous and that Railsback "attempts to mischaracterize the letter ... sent to [] Railsback." These factual assertions merely emphasize the error in the trial court's determination that summary judgment was appropriate. There are questions of material fact whether the claims adjusters' knowledge of Railsback's mistaken belief and manipulation of that belief for the company's benefit amounted to fraud, deceit or misrepresentation.

[¶14.] We do not accept the insurer's argument that an insurer never owes a claimant a duty to disclose policy limits just because it is an adversarial relationship. The fact that settlement negotiations are an adversarial process does not diminish the duties of parties to a contract to refrain from material misrepresentation. This issue is reversed and remanded to the trial court for a determination by the fact finder whether the insurer committed fraud or deceit or made material misrepresentations upon which Railsback relied to her detriment in agreement to the settlement.

[¶15.] 2. WHETHER THE TRIAL COURT ERRED IN ITS DETERMINATION THAT RAILSBACK'S SUIT WAS AN IMPERMISSIBLE DIRECT ACTION AGAINST AN INSURER.

[¶16.] Because there is no privity between an injured person and the tortfeasor's insurer, the injured person generally has no right of action against the insurer. 44 AmJur2d *Insurance* § 1445 (1982). However, "a claimant may become entitled to bring a direct action where the insurer has taken on a new and independent obligation to the victim as a result of the insurer's efforts to negotiate a settlement of the victim's claim." Lee R. Russ & Thomas F. Segalla, 7 Couch on Insurance 3d, § 104:6 (2003).

[¶17.] The insurer relies on our decision in *Trouten* to support the trial court's determination that Railsback's action is an impermissible direct action against an insurance company. Insurer argues that Railsback has no right to bring a claim against the insurer without first obtaining a judgment against the tortfeasor, Hauglin. This argument ignores the purpose of the direct action rule, which is to protect insurers from large personal injury awards based on the jury's discovery that the tortfeasor is insured. It is not to force an insured tortfeasor to defend claims against the insurer for the manner in which the insurer engages in settlement negotiations. Hauglin was liable to Railsback for his negligence, but he cannot and should not be held to stand for allegations of fraud, deceit and misrepresentation in settlement negotiations with which he had no connection. We implicitly acknowledged this in *Trouten* which provided:

[A]bsent an express or clearly implied right to sue [an insurer] directly for medical expenses, [an insured person] cannot maintain an action to recover medical expenses directly from [insurer], at least until after settlement, adjudication, or release of claim.

Trouten, 2001 D 106 at ¶23, 632 NW2d at 861 (quoting *Zegar v. Sears Roebuck & Co.*, 211 IllApp3d 1025, 570 NE2d 1176, 1180 (1991)) (emphasis supplied). We have held,

One who has executed a release or compromise of a cause of action sometimes feels that he has unduly pushed or fraudulently induced into making the agreement. In this situation there are several courses open to him. He may sue on the original cause of action and, when the release is tendered as a defense, assert its invalidity. He may begin an equity action to set aside or reform the release or compromise agreement. Or he may affirm the agreement and bring an action of deceit to recover the damages he suffered by reason of executing the same.

Tucek, 511 NW2d at 835. The trial court's holding does not allow these remedies for those defrauded by insurance companies. This would remove all rules of fair dealing in settlement negotiations between third-party claimants and insurance companies. The inequity of the determination can be clearly seen by the following example. If the tortfeasor was uninsured, and he and the claimant entered into settlement negotiations, the tortfeasor would be required not to defraud, deceive or make misrepresentations to the claimant. Under the trial court's interpretation of "direct action," the insurer, which stands in the shoes of the insured, has no such duty and cannot be held directly accountable. The policy implications of such a determination were well explained by the United States District Court for the District of Delaware:

First, insurance companies would have everything to gain and nothing to lose by systematically defrauding tort claimants into accepting low settlement offers. In such cases the company gambles that the deceit will not be uncovered. If the fraud is uncovered, then the company only faces litigation, or the costs of reimbursement, that it would have had to confront without a settlement. In economic terms, some insurance carriers calculate an "opportunity cost" which is artificially low. If, in addition to the expense of a tort litigation, the cost of defending a fraud action were included in the calculation, the opportunity cost of committing the fraud would be a good deal higher. In the language of the law, the defendant should not be unjustly enriched. [] Moreover, such a rule would enforce a higher standard of care among insurance agents, thus helping to prevent cases of merely negligent misrepresentation.

Second, the opportunities for overreaching and committing fraud in releases of tort claims may be greater than in typical cases of commercial contract fraud, where the parties are more often on an equal footing. Duress, coercion, and immediate need for liquid assets are ever present for the unfortunate tort claimant. In many cases, plaintiffs have spent much, if not all, of the settlement sum on necessities before discovering the fraud.

DiSabatino v. United States Fidelity & Guar. Co., 635 FSupp 350, 355-356 (DDel 1986)
(Footnote and internal citations omitted).

[¶18.] Our "direct action" statute also does not support the trial court's determination. SDCL 58-23-1 provides:

All liability insurance policies issued in this state shall provide in substance that if an execution upon any final judgment in an action brought by the insured or by another person claiming, by, through, or under the injured, is returned unsatisfied, then an action may be maintained by the injured, is returned unsatisfied, then an action may be maintained by the injured, or by such other person against the insurer under the terms of the policy for the amount of any judgment recovered in such action, not exceeding the amount of the policy, and every such policy shall be construed to so provide, anything in such policy to the contrary notwithstanding.

The statute limits recovery by the injured claimant "under the terms of the policy." The present action is not brought under the terms of the policy, but rather as an ancillary claim pertaining to the insurance company's negotiation and settlement practices. The direct action prohibition does not apply in this circumstance. The trial court's determination that this suit was an improper direct action against an insurance company is reversed.

[¶19.] GILBERTSON, Chief Justice, and KONENKAMP, ZINTER, and MEIERHENRY, Justices concur.

SD Fraud and Deceit Statutes referenced in *Railsback* Opinion

20-10-1. *Liability for damage caused by deceit.

One who willfully deceives another, with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers.

20-10-2. *Definition - "Deceit."

A deceit within the meaning of § 20-10-1 is either:

- (1) The suggestion, as a fact, of that which is not true, by one who does not believe it to be true;
- (2) The assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true;
- (3) The suppression of a fact by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact; or
- (4) A promise made without any intention of performing.

20-10-3. *Fraud against public or class as fraud against individual.

One who practices a deceit with intent to defraud the public, or a particular class of persons, is deemed to have intended to defraud every individual in that class, who is actually misled by the deceit.

3rd Party Bad Faith Post-Script

Feliberty v. Damon, 527 N.E.2d 261 (N.Y. 1988); and
Mitchum v. Hudgens, 533 So.2d 194 (Ala. 1988)

Thus far we've been examining situations the insurer refuses to settle and then has subsequently been held liable for excess over the policy limit as a result of the insurer's unreasonable rejection to settle at or below the policy limit. What if the insurer in fact settles a claim, but it is against the insured's wishes? In each of the cases cited above the insured was a doctor and was unhappy with the fact that his malpractice liability insurer settled claims which alleged malpractice. The insured sued the malpractice insurers (and, in the NY case, also sued the attorney provided by the insurer). In both cases, the insured was denied a cause of action. Both cases uphold the ability of the liability insurer to settle claims. Both courts observed that the insurance policies gave the insurer the exclusive right to make settlements. The New York opinion also observes that other policies may be available (for presumably a costlier premium) which require the insured's consent to such settlements.

South Dakota Law Review Articles:

Colby M. Lessman, *Third Party Bad Faith Refusals to Settle in Nielsen v. Boos*, 43 South Dakota Law Review 680 (1998). [SD case dealing with proper venue for 3rd party bad faith cause of action]

Roger M. Baron, *When Insurance Companies Do Bad Things: The Evolution of the "Bad Faith" Causes of Action in South Dakota*, 44 South Dakota Law Review 471 (1999).

Prelude to Discussion on SD Cases on 1st Party Bad Faith

On the topic of “other torts” which an insurer may commit, *see e.g., Fullmer v. State Farm*, 498 N.W.2d 357 (S.D. 1993) [tort of battery]

Many punitive damage cases:

Pacific Mutual Life v. Haslip, 111 S.Ct. 1032 (1991) [leaving punitive damage award of \$840,000 intact where punitives were 200 times out-of-pocket expenses]

TXO v. Alliance, 113 S.Ct. 2711 (1993) [affirming punitive award of \$10 million which was 526 times the compensatory award of \$19,000]

B.M.W. v. Gore, 64 U.S. Law Week 4335 (1996) [lowering punitive damage award of \$4 million to \$2 million where damages were as a result of defendant’s failure to disclose \$600 repairing of new BMW, lowering value of car by roughly \$4000 – court said “When the ratio is a breathtaking 500 to 1 . . . the award must surely ‘raise a suspicious judicial eyebrow.’”]

Schaffer v. Edward D. Jones, 552 N.W.2d 801 (S.D. 1996) [affirming ratio of 30 to 1, \$750,000 punitives and \$25,000 compensatory]

Lindsay J. Efting, *Punitive Damages: Will the Courts Still Punish the Wrongdoer after State Farm Mutual Automobile Insurance Co. V. Campbell*, 49 South Dakota Law Review 67 (2003).
[reviewing *State Farm v. Campbell*, 123 S.Ct. 1513 (2003)]

South Dakota Case Law on First Party Bad Faith

Stoner v. State Farm, 780 F.2d 1414 (8th Cir. 1986)

Holds that South Dakota recognizes a 1st party bad faith cause of action which would allow recovery of compensatory damages, as well as punitive damages on a "tort" basis.

Interestingly, on remand the insurer was found **not** to have acted in bad faith by the jury. Judgment for the insurer was affirmed on subsequent appeal. 856 F.2d 1195 (8th Cir. 1988).

Matter of Certification ... Champion v. U.S.F.&G., 399 N.W.2d 320 (S.D. 1987)

South Dakota Supreme Court holds, in answering a certified question from federal district court, that the tort of bad faith is recognized in a cause of action against a workers comp insurer for intentionally and wrongfully terminating benefits. The two-pronged test seen in the Colorado *Savio* case is adopted: plaintiff must show 1) absence of reasonable basis for denial of claim and 2) insurer's knowledge (or reckless disregard thereof) of the absence of a reasonable basis for the denial. Also, insurer may challenge claims which are fairly debatable.

"Conduct that is merely a breach of contract is not a tort. The contract, however, may establish a relationship demanding the exercise of proper care and acts and omissions in performance may give rise to a tort liability." [this quote is found at p. 322 and is taken from a 1966 South Dakota Supreme Court opinion]

The court also recognized that damages for mental suffering are recoverable, noting that *Kunkel* had previously recognized this (although the court in *Kunkel* reversed a \$10,000 mental suffering award based on lack of evidence). SDCL 58-12-3 was cited for the proposition that it implicitly recognized a bad faith cause of action.

Isaac v. State Farm, 522 N.W.2d 752 (S.D. 1994)

Recovery of \$100,000 (uninsured motorist coverage) and \$325,000 for 1st party bad faith and \$20,000 in punitive damages affirmed. The two-pronged test from *Savio* which was stated in *Champion* was re-affirmed. Defense of contributory negligence rejected as a defense to the intentional tort of 1st party bad faith (insurer unsuccessfully asserted that insured's previous attorneys dropped the ball and if they had done a better job, there would have been a recovery). Jury Instructions are set forth in the opinion and approved. Attorney fees in conjunction with the prosecution of the bad faith claim held to be unrecoverable – SDCL 58-12-3 does not afford a plaintiff the opportunity to collect attorney fees for time spent in the prosecution of the tort of bad faith. (Note, however, attorney fees may still be recovered in conjunction with the attorney's time associated with the underlying 1st party coverage claim which, in this case, is pursuit of UM coverage.)

Walz v. Fireman's Fund, 556 N.W.2d 68 (S.D. 1996) [bad faith cause of action recognized in workers comp setting where the insurance adjuster refused to investigate a new South Dakota Supreme Court Opinion which attorney brought to his attention – the insurer's defense was that the attorney did not provide a citation to the opinion – Court holds the question of bad faith was for the jury and that the insurance adjustor could have checked the table of cases!]

Harter v. Plains Ins. Co., 1998 SD 59, 579 N.W.2d 65 (SD 1998). Bad Faith claim based on underinsurance coverage. Judgment for plaintiff for \$25,000 compensatory damages and \$75,000 punitive damages affirmed on appeal (5-0). This is a complicated case where underinsurer intervened into plaintiff's tort trial, asserting a subrogation right. Although, plaintiff did not invoke the procedure of the *Schmidt v. Clothier* release and although insurer had benefit of SDCL 58-11-9.6 ("Refusal of the issuer of the underinsured motorist coverage to waive its statutory right of subrogation does not constitute bad faith."), the cause of action was still found to exist. Plaintiff's bad faith expert was not allowed to testify as to insurer's wealth and power to pressure settlement.

Rumpza v. Donalar & Stockholm Farm Mutual, 1998 SD 79, 581 N.W.2d 517 (S.D. 1998). Plaintiff initially sued for 1st party bad faith and for "vexatious refusal to pay." But plaintiff entered a dismissal with prejudice as to bad faith claim and vexatious claim. Subsequent discovery on underlying claim revealed extensive evidence of bad faith (the "smoking gun" evidence was found). Plaintiff was permitted to reinstate both the bad faith and vexatious claims despite the prior dismissal with prejudice.

Brooks v. Milbank Insurance Co., 2000 SD 16, 606 N.W.2d 173 (S.D. 2000). Trial court dismissed Bad Faith claim on basis of SDCL 15-6-12(b)(5) ["failure to state a claim upon which relief can be granted."]. Subsequent jury verdict was for plaintiff on the policy and also for the plaintiff on vexatious refusal claim. Plaintiff appealed the dismissal of the 1st party bad faith claim. Reversed (5-0) by S.D. Supreme Court. Plaintiff stated a cause of action for 1st party bad faith. Basic elements of the bad faith cause of action were restated by the court and the court cited, with approval, Roger M. Baron, "When Insurance Companies Do Bad Things: The Evolution of the 'Bad Faith' Causes of Action in South Dakota," 44 South Dakota Law Review 471 (1999). The attorney fee award of \$77,287 was reversed and remanded on the vexatious refusal to pay claim.

Sawyer v. Farm Bureau, 2000 SD 144, 619 N.W.2d 644. Action under "all risks" coverage for close to 300 head of cattle killed in ice storm and blizzard. Plaintiff was not 100% owner of each of the head of cattle, but had at least a 25% interest in cattle killed. Court found plaintiff had insurable interest. Jury awarded plaintiff \$142,000 for lost cattle (\$500/head for 284 head) and \$34,155 "bad faith" and \$125,000 punitive damages and attorney fees under SDCL 58-12-3. SD Supreme Court affirmed on everything but the attorney fees, for which the case was remanded for a determination of attorney fees relating only to the underlying contract claim, not for the bad faith claim. (This is a 3-2 decision, with the 2 dissenting justices arguing that the appeal by the insurer was untimely.) Bad faith was found in the insurer's requirement that each dead cow go through a necropsy (an autopsy for an animal) for cause of death and then never attempted to count or weigh the carcasses. Tape-recorded conversation showed insurance adjuster and agents scheming to show insured as presenting fraudulent and false accusations and attempting to show insured guilty of arson and false accusations of insured's wife having extra-marital affairs. Lack of reasonable basis for denial of claim may be "inferred" by insurer's reckless disregard.

Biegler v. American Family Insurance, 2001 SD 13, N.W.2d (S.D. 2001). This case is actually a blend of both 3rd party bad faith and 1st party bad faith, with a claim for fraud and deceit thrown in. American Family refused to defend lawsuit against insured on basis of "negligent supervision and negligent management of employees." Underlying case settled for \$25,000 when insured hired his own attorney. Now insured sues American Family for failure to defend. Jury awarded Plaintiff \$20,000 compensatory damages, \$25,000 indemnification, Fraud and Deceit damages of \$100,000, and \$100,000 punitive damages, after finding "bad faith." Trial judge awarded plaintiff some \$40,000 in attorney fees for total award of \$276,034.46 at the trial level. S.D. Supreme Court reduced the award by \$75,000 because the underlying case was settled for \$25,000 and also awarded appellate attorney fees to plaintiff of \$2,750. Case holds, consistent with SD precedent, that insurer's duty to defend is indeed broader its duty to indemnify.

South Dakota's Vexatious Refusal To Pay Statute

58-12-3. Attorney fees – Recovery in action against self-insured employer or insurer failing to pay loss – Other remedies not barred. In all actions or proceedings hereafter commenced against any employer who is self-insured, or insurance company, including any reciprocal or interinsurance exchange, on any policy or certificate of any type or kind of insurance, if it appears from the evidence that such company or exchange has refused to pay the full amount of such loss, and that such refusal is vexatious or without reasonable cause, the Department of Labor, the trial court and the appellate court, shall, if judgment or an award is rendered for plaintiff, allow the plaintiff a reasonable sum as an attorney's fee to be recovered and collected as a part of the costs, provided, however, that when a tender is made by such insurance company, exchange or self-insurer before the commencement of the action or proceeding in which judgment or an award is rendered and the amount recovered is not in excess of such tender, no such costs shall be allowed. The allowance of attorney fees hereunder shall not be construed to bar any other remedy, whether in tort or contract, that an insured may have against the same insurance company or self-insurer arising out of its refusal to pay such loss.

Source: SL 1966, ch 111, ch 32, § 7; SL 1971, ch 264; SL 1972, ch 262; SL 1976, ch 311; SL 1988, ch 397.

S.D. high court slams Farm Bureau in lawsuit

BY JOE KAPRA
Associated Press

PERRIE - Special livestock coverage sold by Farm Bureau Mutual Insurance Co. in South Dakota covers more than the company would like, the state Supreme Court ruled Wednesday.

The decision is a victory for Tupper County cattleman Shon Sawyer, who lost nearly 300 animals during an ice storm and a blizzard in late 1996. Sawyer had a livestock policy with Farm Bureau, but the firm balked at paying for most of his losses.

The dispute wound up in circuit court, and Judge Kathleen Caldwell of Parker said Farm Bureau must honor the terms of its insur-

ance policy. She refused to dismiss Sawyer's case and asked a jury to decide how much he is owed.

Jurors awarded \$142,000 for the loss of 284 cattle, \$159,155 in damages, and interest dating to the time the cattle died. Caldwell also ordered the insurance company to pay Sawyer \$84,703 for his legal expenses.

The Supreme Court said Sawyer's insurance policy covered all livestock losses not specifically excluded - including blizzard losses.

Farm Bureau had refused to pay

for any losses until each carcass was examined to determine the cause of death. Sawyer stacked all the dead cattle in his yard and moved them, one by one, into a heated building to thaw and be inspected.

The process took several months. Farm Bureau then offered Sawyer \$53,583, prompting the lawsuit.

In refusing to fairly compensate Sawyer, insurance company officials even plotted to discredit him, the Supreme Court said.

"(They) discussed strategies to make Sawyer appear fraudulent,

false accusations that Sawyer had committed arson, false accusations of extramarital affairs involving Sawyer's wife, as well as Farm Bureau's exposure under the policy and strategies to avoid paying the full loss," wrote Justice David Gilbertson.

Further evidence of Farm Bureau's bad faith includes the fact that Farm Bureau never attempted to count or weigh the dead livestock, despite the fact that it disputed both the number and weight of the dead livestock.

Finally, Sawyer was left with 297 dead cattle in his yard for several

months, incurred costs associated with the (autopsy) of each animal, and more than 4½ years later has not been paid a dime on his claims.

Farm Bureau also argued that it need not pay Sawyer because he was not the sole owner of the cattle. But the high court said Sawyer, who operated a feedlot, had sufficient interest in the cattle to qualify for payment under the policy.

Ownership language in the policy is not clear, and vagueness in any insurance coverage always must be interpreted in favor of the

person who purchased the policy, Gilbertson said.

Farm Bureau knew Sawyer fed cattle for others and did not tell him the cattle were not fully covered, but it willingly charged him the full cost of such insurance, the high court added.

"At no time after the policy went into effect did ... Farm Bureau personnel inform Sawyer that because of an undisclosed, internal Farm Bureau policy, he should have been insured under a different policy," Gilbertson wrote.

The justices told Judge Caldwell to reconsider whether Farm Bureau must pay Sawyer's legal expenses but did not necessarily say he is not owed the \$84,703.

Additional Authorities in Connection with Discussion on Bad Faith

On the topic of "other torts" which an insurer may commit, see e.g., *Fullmer v. State Farm*, 498 N.W.2d 357 (S.D. 1993) [tort of battery]

Many punitive damage cases:

Pacific Mutual Life v. Haslip, 111 S.Ct. 1032 (1991) [leaving punitive damage award of \$840,000 intact where punitives were 200 times out-of-pocket expenses]

TXO v. Alliance, 113 S.Ct. 2711 (1993) [affirming punitive award of \$10 million which was 526 times the compensatory award of \$19,000]

B.M.W. v. Gore, 64 U.S. Law Week 4335 (1996) [lowering punitive damage award of \$4 million to \$2 million where damages were as result of defendant's failure to disclose \$600 repairing of new BMW, lowering value of car by roughly \$4000 – court said "When the ratio is a breathtaking 500 to 1 . . . the award must surely 'raise a suspicious judicial eyebrow.'"]

Schaeffer v. Edward D. Jones, 552 N.W.2d 801 (S.D. 1996) [affirming ratio of 30 to 1, \$750,000 punitives and \$25,000 compensatory]

Julson v. Federated Mutual Insurance Co., 1997 SD 43, 562 N.W.2d 117.

"[F]or proof of bad faith, there must be an absence of a reasonable basis for the denial of policy benefits [or failure to comply with a duty under the insurance contract] and knowledge or disregard ..." *Id.* At ¶ 6.

NOTE: the bracketed language – [or failure to comply with a duty under the insurance contract] – is original language set forth by the SD Supreme Court. This means that a first party bad faith cause of action may arise in context other than the denial of a claim. See, e.g., the discussion of *Hopkins v. Highlands Ins. Co.*, in footnote 104 of Roger M. Baron, *When Insurance Companies Do Bad Things: The Evolution of the "Bad Faith" Causes of Action in South Dakota*, 44 South Dakota Law Review 471 (1999), and also text accompanying footnote 104.

Dolan v. AIDS Ins., 431 N.W.2d 790 (Iowa 1988) [Iowa Supreme Court adoption of 1st party bad faith, sounding in tort and in negligence]

Colby M. Lessmann, *Third Party Bad Faith Refusals to Settle* in Nielsen v. Boos, 43 South Dakota Law Review 680 (1998). [SD case dealing with proper venue for 3rd party bad faith cause of action]

Roger M. Baron, *When Insurance Companies Do Bad Things: The Evolution of the "Bad Faith" Causes of Action in South Dakota*, 44 South Dakota Law Review 471 (1999).

Lindsay J. Efting, *Punitive Damages: Will the Courts Still Punish the Wrongdoer after State Farm Mutual Automobile Insurance Co. V. Campbell*, 49 South Dakota Law Review 67 (2003), [reviewing *State Farm v. Campbell*, 123 S.Ct. 1513 (2003)]

Hein v. Acuity

In *Hein v. Acuity*, 2007 SD 40, 731 N.W.2d 231, an employee sought to bring a bad faith claim against a worker's comp insurer based on a frivolous counterclaim filed against the employee when she, acting pro se, sought rehabilitation benefits. The counterclaim by the work comp insurer (asserted to collect all benefits previously paid to the employee by the insurer) appears to have been an attempt by the worker's comp insurer to intimidate the employee from pursuing relief through work comp. After the employee secured counsel to prosecute her claim for rehabilitation benefits, the insurer's counterclaim was withdrawn. While the employee's claim for benefits was pending resolution, she filed suit for bad faith in circuit court. Included in the analysis of this case lies the important question of whether or not a first party bad faith claim may be brought in a setting which does not involve a "wrongful denial of benefits." This opinion follows up on the premise found in *Julson v. Federated Mutual Ins. Co.*, 1997 SD 43, 562 N.W.2d 117 which recognized that a bad faith cause of action could exist in situations other than a denial of benefits scenario. In this particular case, the question is whether the filing of a meritless counterclaim against a pro se employee is actionable. The trial court dismissed the bad faith complaint for failure to state a claim. The SD Supreme Court affirmed. The SD Supreme Court opinion recognizes the unique nature of relationship between the employee and the employer's insurer in a workers comp setting. The Court holds that there is no "contractual relationship" between the employee and the insurer and, accordingly the assertion of "wrongful conduct" by that insurer is not an adequate basis for a bad faith claim. But, the Court also affirms existing law in South Dakota which does recognize a bad faith cause of action by an employee against a workers comp insurer *in connection with* a wrongful denial of benefits. This opinion also appears to hew to the Court's previous holding in *Julson* that first party bad faith is indeed actionable in settings which do not involve a claim denial – so long as a contractual relationship exists. ¶ 13.

This opinion also reaffirms the rule of *Zuke v. Presentation Sisters, Inc.*, 1999 SD 31, ¶ 22, 589 N.W.2d 925, 930 which requires the administrative remedy afforded by the Department of Labor on the work comp claim must be exhausted before a claimant may bring a bad faith claim in circuit court.

[Another basis utilized by the trial court in its dismissal of Hein's claim was that a bad faith claim could not rest solely upon the pleadings filed by the insurer in the Work Comp proceeding because pleadings are absolutely privileged and not actionable. The trial court was extending the rule "recognized in South Dakota for actions such as defamation, deceit associated with defamation, and negligence, and intentional and reckless infliction of emotional distress associated with defamation." ¶ 8. The majority opinion doesn't address this aspect of the case, but Justice Meierhenry's concurring opinion indicates that she would affirm simply on this basis.]

Justice Koenkamp authored the Court's opinion. Justice Sabers and Justice Meierhenry each filed separate concurring opinions. Justice Sabers concurs, but states, "I encourage this Court to reconsider and find the better rule is to allow the bad faith claim regardless of the underlying disposition of the benefits claim." Footnote 7 accompanying ¶ 24. Justice Sabers also points out that South Dakota Supreme Court adopted the bad faith test forth in the *Savio* case decided by the Colorado Supreme Court in 1985 and that the *Savio* decision in fact permitted the bringing of a bad faith cause of action without regard to whether there was a denial of benefits.

Following are quotes from the *Hein v. Acuity* decision:

We affirm because in the context of workers' compensation claims, where no contractual relationship exists between the workers' compensation claimant and the insurer, a bad faith action must include a wrongful denial of benefits, not merely wrongful conduct. ¶ 1.

Wrongful conduct toward an employee claimant by the employer's insurer in a workers' compensation case does not fit the traditional definition of either first- or third-party bad faith. A bad faith claim related to workers' compensation is not based on an insurer's refusal to settle its own insured's suit as in third-party cases, but exists when an insurer breaches its duty to deal in good faith and fairly when processing a workers' compensation claim. And, unlike first-party bad faith, the claimant, not the insured employer, brings the action against the insurer. ¶ 11.

Bad faith arising out of workers' compensation proceedings does not have the necessary attribute of a traditional first-party bad faith claim, i.e., a contractual relationship. ¶ 14.

[R]esolution of a claimant's request for benefits will have a direct bearing on the viability of a bad faith claim. Moreover, requiring a claimant to first exhaust administrative remedies promotes efficiency, keeps the administrative and judicial functions separate, and discourages plaintiffs from waiting until the statute of limitations has run on their administrative claims and bringing tort claims in an attempt to get a more generous award. ¶ 16.

The claimant is not in a contractual relationship with the employer's insurer and, therefore, absent entitlement to benefits, a bad faith claim cannot be sustained. Footnote 5 accompanying ¶ 17.

From Justice Sabers' concurring opinion:

Under the current state of the law, the insurance company can act as badly as it wants and, as long as it does not deny the claim, can suffer no liability for its bad behavior. Justice demands a better rule for the people of South Dakota. ¶ 25.

McDowell v. Citicorp

The South Dakota Supreme Court handed down a pair of decisions on June 6, 2007, as follows: *McDowell v. Citicorp*, 2007 SD 52, 734 N.W.2d 1, and *McDowell v. Citicorp*, 2007 SD 53, 734 N.W.2d 14. Both cases involve claims brought by Carolyn McDowell, a former employee of Citibank. Oral argument in Case #52 took place on May 25, 2006. Oral argument in Case # 53 took place on October 4, 2006.

In Case # 52, McDowell sought to reopen a workers' comp settlement entered into 7 years earlier. Both the Department of Labor and the Circuit Court denied the petition to reopen. McDowell's injury was bilateral carpal tunnel syndrome. In her previous claim, McDowell asserted that she was permanently and totally disabled. The claim was settled, however, for less than a total permanent disability award. In her effort to reopen the settlement, McDowell asserted that she "suffered a change in condition." In denying the petition to reopen, the administrative law judge found that McDowell was indeed permanently and totally disabled at the time of the settlement. Accordingly, there was no change which would permit the settlement to be reopened. The South Dakota Supreme Court affirmed in a 4-1 opinion authored by Justice Zinter. The applicable law concerning a party's ability to reopen a worker's comp settlement is set forth in SDCL 62-7-33. Justice Sabers dissented, believing that the evidence showed McDowell's condition at the time of the settlement was between 5% and 45% impaired and that administrative law judge did not properly consider all of the evidence in ruling on the petition to reopen.

In case # 53, McDowell brought an action for bad faith, negligence, infliction of emotional distress, vexatious denial and punitive damages. These claims relate to the defendants' conduct in (allegedly) unreasonably denying payment of post-settlement medical bills which were required to be paid by virtue of the workers' comp settlement referenced in case #52. The trial court granted summary judgment for the defendants and the SD Supreme Court affirmed in a unanimous opinion by Justice Konenkamp. [This case is complicated by the fact McDowell filed a bankruptcy proceeding 3 years prior to the filing of this bad faith claim and McDowell did not list this lawsuit as an asset in the bankruptcy proceeding. Accordingly, the Court held (applying "judicial estoppel" against McDowell) that pre-bankruptcy conduct by the defendant could not serve as a basis for a bad faith claim.] To make a long story short, the Court found that McDowell simply could not establish sufficient evidence of the defendant's conduct to support a bad faith claim. But, the Court did recognize that a cause of action such as that asserted by McDowell was viable under the right facts. The Court stated in ¶ 16 as follows:

While this case does not involve a per se denial of benefits, the Eighth Circuit Court of Appeals has recognized that a "[d]enial of benefits may be inferred from the insurer's failure to process or pay a claim...." See *Kirchoff v. Am. Cas. Co., Reading Pennsylvania*, 997 F.2d 401, 405 (8th Cir. 1993). Here, defendants had a duty to pay McDowell's "future reasonable and necessary medical benefits directly and causally related to her injuries" in accordance with the terms of the parties' settlement agreement and in compliance with the applicable

workers' compensation laws. Therefore, if defendants unreasonably delayed payment of her necessary medical bills with an absence of a reasonable basis for the delay, and McDowell suffered a compensable loss as a result, then such conduct might support a claim for bad faith. *See id.* However, the mere existence of a delay between the date she received medical care and the date the bill was finally paid cannot in and of itself give rise to a bad faith cause of action. Rather, McDowell must demonstrate that there was an absence of a reasonable basis for the delay and defendants' knowledge, or reckless disregard, of the absence of a reasonable basis. *See Champion*, 399 N.W.2d at 324.

Mudlin v. Hills Materials

In the case of *Mudlin v. Hills Materials*, 2007 SD 118, 2007 WL 3378410, ___ N.W.2d ___ (11/14/07), the employee was denied work comp benefits and thereafter sued her employer and her employer's insurer for bad faith, breach of contract, barratry, abuse of process and intentional infliction of emotional distress. The trial court granted summary judgment for the defendants and the SD Supreme Court affirmed in a unanimous opinion by Justice Sabers. The victory for the defense in this case rests primarily on the principle of law that an insurer has the right to challenge claims which are fairly debatable.

Bertelsen v. Allstate Insurance – Bertelsen I and II

In *Bertelsen v. Allstate Insurance*, 2009 SD 21, 764 N.W.2d 495, the insured sued for breach of contract and bad faith when her automobile insurer did not make payment under its \$100,000 "medical payments coverage" provision. Allstate denied coverage arguing that this should be paid by the work comp insurer, although Allstate knew that the work comp insurer was also denying coverage. Insured relies on SDCL 62-1-1.3 which requires other insurers to make payments when a work comp insurer denies coverage. Allstate contends that this statute doesn't apply to auto insurance med pay. Allstate also contends that even if it acted inappropriately, it cannot be sued for bad faith but that (only) the SD Division of Insurance may take action against it. The trial court granted summary judgment for Allstate. The SD Supreme Court reversed in a unanimous decision with opinion authored by Justice Zinter. Allstate's arguments are rejected with the Court holding that there are genuine issues of material fact on both the contract claim and the bad faith claim.

The decision in *Bertelsen v. Allstate*, 2011 S.D. 13, handed down on April 6, 2011, is the 2nd appeal in this litigation. In the first appeal, the SD Supreme Court held that Allstate had committed bad faith in the handling of the plaintiff's claim for medical payments under its auto policy. Upon remand the case was tried to a jury with the result being a verdict of \$33,000 for the plaintiffs. The plaintiffs appeal restrictive rulings and jury instructions by the trial court. The SD Supreme Court reversed and remanded for new trial, with an instruction that the presiding judge of the 2nd Circuit should assign this case to a different trial judge. The trial judge had committed several errors here including its decision to allow Allstate to retry issues foreclosed in the first appeal (the fact that plaintiffs' right to payment on medical expenses was not fairly debatable), a failure to allow the

plaintiffs to proceed on punitive damage claim, and failure to permit plaintiffs' to establish a basis for recovering \$100,000 on the underlying contract claim. This is a unanimous decision with the Court's opinion authored by Justice Severson. Paragraph 17 of this opinion provides,

Indeed, the trial court's rejection of Bertelsen pervaded the entire trial. Before opening statements, the Bertelsens' attorney inquired if the jury would decide whether Allstate breached its contractual and statutory duty to pay. The trial court responded:

I tell you what, as soon as the Supreme Court presides on this case, then the ruling that they made will stand, but as long as I'm presiding and it's my rules, and so far I haven't ruled that anybody has breached anything, okay. So let's get this Supreme Court business behind us. All that decision says is that we're going to have a trial, all right. So that's what we're having right now.

And the trial court repeatedly refused to instruct the jury that Allstate breached its contractual and statutory duty to pay...

SD Supreme Court Addresses Issues Relating to 1st Party Bad Faith and Vexatious Refusal to Pay related to UM claim

The plaintiff in *DM&E RR v. Acuity*, 2009 SD 69, ___ N.W.2d ___ (8/5/09) brought claims for bad faith and vexatious refusal to pay based on the insurer's conduct related to a claim on UM (Uninsured Motorist) Coverage. The trial court granted summary judgment for insurer on the basis that the claim was "fairly debatable" as a matter of law. The SD Supreme Court reversed, holding that the issue of whether the claim denial was "fairly debatable" was a factual question in this case. This opinion reviews SD law on 1st party bad faith and the evolving issues surrounding the "fairly debatable" defense. Important rulings in this case are:

1) The Court rejected the argument that a bad faith plaintiff must show entitlement to a "directed verdict" on the underlying claim in order to maintain the bad faith/vexatious refusal claim. The Court stated, "The directed verdict rule is not consistent with our established case law."

2) The issue of "continuing bad faith" relating to the insurer's conduct of litigation on the underlying claim is addressed, with Court following a conservative approach ultimately stating "we believe it would be a rare case where the insurer's decisions and conduct in the underlying litigation would be admissible in a first party bad faith claim." Nonetheless, such evidence may indeed be admissible and discovery on this issue is permissible.

3) When an insurer immediately secures the services of outside counsel to review a claim, that attorney is serving in the role of a "claims adjustor," not as a lawyer. Accordingly, communications and work done by the attorney who acts as a "claim adjustor" is not protected by the "attorney client privilege." Furthermore, work done by an attorney who acts as a "claim adjustor" is not protected by the "work product" privilege. [These issues were addressed in connection with plaintiff's attempt to depose the insurer's attorney who acted as claims adjustor and who also unsuccessfully defended insurer on the underlying claim.] This a unanimous ruling. The Court's opinion is authored by Circuit Judge Jensen (sitting for Justice Konenkamp).

South Dakota's Version of the Unfair Claims Settlement Practices Act

58-33-66. Unfair or deceptive insurance practices. Unfair or deceptive acts or practices in the business of insurance include the following:

- (1) Failing to respond to an inquiry from or failing to supply documents requested by the Division of Insurance within twenty days of receipt of such inquiry or request;
- (2) Knowingly supplying the Division of Insurance with false, misleading, or incomplete information.

Source: SL 1986, ch 422, § 1; SL 1989, ch 439, § 2.

58-33-67. Unfair or deceptive practices in dealing with insured. In dealing with the insured or representative of the insured, unfair or deceptive acts or practices in the business of insurance include, but are not limited to, the following:

- (1) Failing to acknowledge and act within thirty days upon communications with respect to claims arising under insurance policies and to adopt and adhere to reasonable standards for the prompt investigation of such claims;
- (2) Making claims payments to any claimant, insured, or beneficiary not accompanied by a statement setting forth the coverage under which the payments are being made;
- (3) Failing to promptly provide a reasonable explanation of the basis in the insurance policy in relation to the facts or applicable law for denial of a claim or for the offer of a compromise settlement;
- (4) Failing to promptly settle claims, where liability has become reasonably clear under one portion of the insurance policy coverage to influence settlements under other portions of the insurance policy coverage;
- (5) Requiring as a condition of payment of a claim that repairs to any damaged vehicle shall be made by a particular contractor or repair shop;
- (6) Failing to make a good faith assignment of the degree of contributory negligence in ascertaining the issue of liability;
- (7) Unless permitted by law and the insurance policy, refusing to settle a claim of an insured or claimant on the basis that the responsibility should be assumed by others.

Source: SL 1986, ch 422, § 2; SL 1989, ch 439, § 3.

58-33-68. Factors considered in determining action taken against violator – Failure to remedy situation – Administrative action. The Division of Insurance, in interpreting and enforcing §§ 58-33-66 and 58-33-67, shall consider all pertinent facts and circumstances to determine the severity and appropriateness of action to be taken in regard to any violation of §§ 58-33-66 to 58-33-69, inclusive, including but not limited to, the following:

- (1) The magnitude of the harm to the claimant or insured;
- (2) Any actions by the insured, claimant, or insurer that mitigate or exacerbate the impact of the violation;
- (3) Actions of the claimant or insured which impeded the insurer in processing or settling the claim;
- (4) Actions of the insurer which increase the detriment to the claimant or insured. The director need now show a general business practice in taking administrative action for these violations.

However, no administrative action may be taken by the director for a violation of this section unless the insurer has been notified of the violation and refuses to take corrective action to remedy the situation.

Any administrative action taken by the director shall be pursuant to the provisions of chapter 1-26.

Source: SL 1986, ch 422, § 3.

58-33-69. No private right of action. Nothing in §§ 58-33-66 to 58-33-69, inclusive, grants a private right of action.

Source: SL 1986, ch 422, § 4.

VII. Notice Issues

YANKTON P+O

11/16/93

Companies cannot collect on bond

PIERRE, S.D. (AP) — Three firms not paid for materials they supplied to help build a new jail at Rapid City cannot collect on a surety bond because of a technicality, the South Dakota Supreme Court ruled 4-1 Thursday.

Apollo Piping Supply Co., Northwest Pipe Fittings and Building Sprinkler Co. took St. Paul Fire and Marine Insurance Co. to court after it refused to make good on a \$10.2 million bond purchased in 1987 by Corner Construction Co.

Corner Construction was the prime contractor for the Pennington County Jail, which was completed in late 1990. Corner offered a plumbing subcontract to William Smith, who had a firm called The Plumbers.

Apollo, Northwest and Building Sprinkler each supplied materials to The Plumbers for the jail project. But they were not paid, and Smith later filed for bankruptcy protection.

The three companies asked the in-

surance company to honor its bond, but it said they made the request too late. A clause in the surety bond said the insurance company must be notified of claims within 90 days of the completion of a project.

The jail was finished in December of 1990, but it was 11 months later before a suit was filed seeking payment on the bond.

While state law says claims against a surety bond must be made within one year on public projects, insurance companies are not prohibited from requiring notice within a shorter period, the Supreme Court said.

"If (companies) give the appropriate notice under terms of the bond, they still have one year in which to file their lawsuit," wrote Justice Frank Henderson. "If (they) do not give the appropriate notice, they also have one year to sue but may be met with a defense of failure to give the required notice."

South Dakota Cases - policy provisions at variance with statute of limitations

County of Pennington for use and benefit of N.W. Pipe Fittings and Building Sprinkler and Apollo Piping v. St. Paul Fire & Marine, 508 N.W.2d 376 (S.D. 1993).

Lawsuit rejected because of failure to comply with 90 day notice provision. We don't even know if the plaintiffs had even seen the policy. These plaintiffs were suppliers of material suing on construction bond, after general contractor went bankrupt. As such, by South Dakota statute, they were not permitted to bring this suit, in the name of the county, until after 6 months of complete performance and then had only 6 months to bring suit. Harsh result. Justice Sabers dissented.

Smith v. Neville, 539 N.W.2d 679 (S.D. 1995)

Suit was brought against Neville, an employee of the South Dakota Department of Transportation. Plaintiff did not technically comply with 180 notice provision of SDCL 3-21-3 in personal injury action arising out of the operation of a snow plow. The trial court granted the defendant summary judgment. The SD Supreme Court reversed, holding that estoppel may be used against the state where affirmative action by the state and its claims adjuster would cause an objectively reasonable person to believe that the proper authorities had received notice.

Erickson & DeSmet Farm Mutual Ins. Co. v. County of Brookings, 541 N.W.2d 734 (S.D. 1996)

Plaintiff brought an action against the County of Brookings after plaintiff's car slid off roadway at location where pavement suddenly shifted to gravel. Plaintiff gave proper notice to the county but not to the Attorney General's office. Still, the Attorney General's office did in fact receive notice through the County's adjuster. The trial court granted summary judgment for the County based on plaintiff's failure to comply precisely with SDCL 3-21-3. The SD Supreme Court reversed, citing *Smith v. Neville, supra*, and holding that the County was estopped. The Court stated,

"The notice statutes nowhere grant the State, its insurers or agents the authority or right to affirmatively create an objectively reasonable impression in a would-be claimant that the claimant has fully complied with the claims procedure and then pull the rug out from under the claimant after the time has expired for literal compliance with the statute. If the State is going to insist on literal compliance with the claims statutes by would-be claimants, it can be held to no less a standard itself. While the State and its agents have no legal duty to gratuitously hand out legal advice on notice statutes, neither do they have the right under the statutes to affirmatively mislead." *Id.* at 737.

Leuning v. Dornberger Ins., 250 N.W.2d 675 (S.D. 1977)

Fire policy modeled after the standard fire policy contained requirement that suit must be brought within 12 months next after inception of loss. Policy was approved by SD Insurance Commissioner. Policy limitation held void by virtue of SDCL 53-9-6, despite the fact the Insurance Commissioner had approved the policy language. "It is the public policy of this state that limitations on actions on a contract shall be established by the legislature and not by contractual provisions or by the insurance commissioner." *Id.* at 679. (Note: SD's previous statute which adopted the standard fire policy was repealed in 1966.)

180 day notice provisions for suits against public entities or employees in SD

NOTE: The accident in the case of *Erickson & DeSmet Farm Mutual Ins. Co. v. County of Brookings, supra*, took place on June 9, 1993. At that time, SDCL 3-21-3 required that notice be given to both the County Auditor and to the Attorney General. This statute was amended in 1994. The present version of this statute, which appears below, no longer requires additional notification to the Attorney General.

3-21-2. Liability - Notice of claim to state, county, city - Prerequisite to action for damages - 180 Day Time limit. No action for the recovery of damages for personal injury, property damage, error or omission or death caused by a public entity or its employees may be maintained against the public entity or its employees unless written notice of the time, place and cause of the injury is given to the public entity as provided by this chapter within one hundred eighty days after the injury.

Source: SL 1986, ch 4, § 2.

3-21-3. Liability - Notice of claim - Persons to whom notice given. Notice shall be given to the following officers as applicable:

- (1) In the case of the state of South Dakota, to the attorney general and the commissioner of administration;
- (2) In the case of a county, to the county auditor;
- (3) In the case of a municipality, to the mayor or city finance officer;
- (4) In the case of a school district, to the superintendent of schools;
- (5) In the case of other public entities, to the chief executive officer or secretary of the governing board.

Source: SL 1986, ch 4, § 3; SL 1994, ch 40.

3-21-6. Liability - Filing of suit within ninety days. The claimant or the claimant's legal representative may file a suit if the public entity does not accept or reject the claim within ninety days of receipt of the notice as provided in § 3-21-2.

Source: SL 1986, ch 4, § 6.

Two SD Statutes – Statute of Limitations and Restraints Void Provision

15-2-13. Contract obligation or liability - Statutory liability - Trespass - Personal Property - Injury to Noncontract Rights - Fraud - Setting aside corporate instrument. Except where, in special cases, a different limitation is prescribed by statute, the following civil actions other than for the recovery of real property can be commenced only within six years after the cause of action shall have accrued:

- (1) An action upon a contract, obligation, or liability, express or implied, excepting those mentioned in §§ 15-2-6 to 15-2-8, inclusive, and subdivisions 15-2-15(3) and (4);
- (2) An action upon a liability created by statute other than a penalty or forfeiture; excepting those mentioned in subdivisions 15-2-15(3) and (4);
- (3) An action for trespass upon real property;
- (4) An action for taking, detaining, or injuring any goods or chattels, including actions for specific recovery of personal property;
- (5) An action for criminal conversation or for any other injury to the rights of another not arising on contract and not otherwise specifically enumerated in §§ 15-2-6 to 15-2-17, inclusive.
- (6) An action for relief on the ground of fraud, in cases which heretofore were solely cognizable by the court of chancery;
- (7) An action to set aside any instrument executed in the name of a corporate on the ground that the corporate charter had expired at the time of the execution of such instrument.

Source: SDC 1939, § 33.0232(4); SL 1941, ch 151; SL 1945, ch 144; SL 1945, ch 145, § 1; SL 1947, ch 153, § 2; SL 1953, ch 198, § 1.

53-9-6. Restraints on legal proceedings void – Arbitration agreements and certain surety contract limitations enforceable. Every provision in a contract restricting a party from enforcing his rights under it by usual legal proceedings in ordinary tribunals, or limiting his time to do so, is void. However, agreements to submit controversies to arbitration, as authorized by the Uniform Arbitration Act, are valid and enforceable, and any provision in a surety contract which limits the time for enforcement is valid and enforceable if the limitation of time is not less than two years after the cause of action has accrued.

Source: CivC 1877, § 958; CL 1887, § 3582; RCivC 1903, § 1276; RC 1919, § 897; SDC 1939, § 10.0705; SL 1971, ch 157, § 27; SL 1988, ch 382, § 1.

SD Supreme Court Addresses SD's "Notice Prejudice" Rule

In *Union Pacific RR v. Continental*, 2009 SD 70, ___ N.W.2d ___ (8/5/09), the plaintiff sought insurance coverage for clean-up of a contaminated site in Huron. The trial judge granted summary judgment for insurer because plaintiff did not give timely notice of loss. The policy "was made" in Illinois with coverage provided in SD. Under Illinois law, the insurer is entitled to deny coverage based upon failure to give timely notice without regard to whether or not the insurer is prejudiced by the lack of timely notice. Under SD law, an insurer must show "actual prejudice caused by an untimely notice and not just mere allegations of prejudice." ¶ 24. The trial court applied Illinois law and granted summary judgment for the insurer. The SD Supreme Court affirmed, holding that under the application of either SD law or Illinois law, the insurer was entitled to summary judgment because it was in fact prejudiced by the insured's failure to give timely notice. The opinion is authored by Circuit Judge Von Wald, sitting for Justice Sabers. Justice Meierhenry filed a concurring opinion stating it is only necessary to apply Illinois law in this case.

CLOSSER v. PENN MUTUAL FIRE INSURANCE CO.

Supreme Court of Delaware, 1983.
457 A.2d 1081.

HORSEY, JUSTICE:

This appeal raises a single issue—the timeliness of an insured's suit against his insurer to recover his portion of policy benefits from a fire loss on covered property owned in part by the insured.

Plaintiff, Raymond Closser, appeals Superior Court's grant of summary judgment to defendant, Penn Mutual Fire Insurance Company (hereafter "Penn Mutual" or "the insurer"). Summary judgment was granted on basically two grounds: (1) that the suit was time barred by the policy's twelve month suit limitation provision; and (2) that Closser had failed to meet his burden of proving either misleading or fraudulent conduct by Penn Mutual sufficient to toll the running of the policy's suit limitation.

On September 22, 1979, a fire of suspicious origin destroyed the home of Raymond Closser and his wife, not a party to this action. The property was titled in the Clossers' joint names and was insured by Penn Mutual against fire loss. The fire was determined to have been the result of arson.

In January, 1980, Closser, through his attorney (his wife was represented by other counsel), first contacted Penn Mutual's area representative as to a policy settlement. They communicated with each other through at least March of 1980. Sometime before July, 1980, Closser's brother-in-law admitted responsibility for the fire but implicated Closser; and Closser was indicted for, arson in July, 1980. However, in November, 1980, the State nolle prossed the criminal charges against Closser.

In December, 1980, when Closser's attorney attempted to resume settlement negotiations with Penn Mutual, it rejected Closser's claim and denied liability.

Meanwhile, Closser's wife had reopened negotiations with Penn Mutual on her policy claim; and Penn Mutual paid her \$40,000 in settlement of her interest in March, 1981. Closser then sought to reopen settlement negotiations with Penn Mutual but failed. Closser then filed the pending suit against Penn Mutual on May 5, 1981. As previously stated, Mutual's motion for summary judgment. Closser then docketed this appeal.

Closser's first ground for reversal relates to the accrual of the policy's suit limitation provision. The policy provides:

No suit or action on this policy for the recovery of any claim shall be sustainable in any court of law or equity unless all the requirements

of this policy shall have been complied with, and unless commenced within twelve months after inception of the loss.

It is settled Delaware law, as Closser concedes, that a one year limitation on suit on an insurance contract is reasonable and binding on an insured. *Brooks v. Insurance Placement Facility of Delaware*, Del. Supr., 456 A.2d 1226 (1983); *Wesselman v. Travelers Indemnity Company*, Del. Supr., 345 A.2d 423 (1975); *Ottendorfer v. Aetna Insurance Company*, Del. Supr., 231 A.2d 263 (1967). * * *

Closser argues that since the suit is for breach of contract, the twelve month limitation period should not begin to run until Penn Mutual disclaims coverage or denies liability. And since Penn Mutual did not reject Closser's claim until December, 1980, Closser says his suit filed five months later was timely filed. Closser relies for this result upon (a) *Allstate Insurance Company v. Spinelli*,⁸ Del. Supr., 443 A.2d 1286 (1981) and (b) case law in other jurisdictions.

Spinelli does not control this case for two reasons: (1) a claim by an insured against his insurer on a fire policy is substantially different from a claim for uninsured motorist coverage benefits; and (2) a different event triggers each claim. In *Spinelli*, Allstate's insured had no assertable claim against Allstate for uninsured motorist benefits until he established his right to recover damages from the uninsured tortfeasor and the latter's insurer denied the claim at determined that the tortfeasor had no coverage. See, *Spinelli*, 443 A.2d at 1291.

Unlike *Spinelli*, Closser in this case had an immediately ascertainable and assertable claim against Penn Mutual from the date of the fire loss; and the controlling limitation provision of the policy plainly relates the running of the twelve month limitation from the "inception of the loss." In contrast, as we noted in *Spinelli*, "an uninsured motorist claim is only indirectly related to the accident itself." 443 A.2d at 1291. * * *

Under the fire insurance contract before us, we conclude that the language of the suit limitation clause, "after inception of the loss", must be construed to mean the date of the fire or other casualty causing the loss." * * *

Closser next argues that the reasonableness of the twelve month suit limitation running from date of fire is effaced by the policy's additional compliance "requirements" imposed on an insured. Appellant refers to the policy's preceding limitation language barring "[any] suit . . . unless all the requirements of [the] policy shall have been complied with and unless commenced [within twelve months of] loss." * * *

8. In *Spinelli*, an insured sued his automobile insurance carrier (Allstate) to recover uninsured motorist benefits provided under his policy. This Court held that such a cause of action did not accrue until the

carrier of the third-party tortfeasor had denied coverage and notified Allstate's insured of the rejection of his claim for such third-party coverage benefits. * * *

The particular provisions of the policy that Closser claims render a twelve month suit limitation unenforceable because unreasonable are: (1) the requirement that an insured file a loss claim within sixty days of the loss; (2) the requirement that an insured provide further documentation of property loss, whenever requested; (3) the appraisal procedures' lack of time limitations on their being invoked and carried through to an award; and (4) the sixty day hiatus under the "loss payable" clause between the determination of an appraisal award and the date the loss becomes payable by the insurer. Closser criticizes these provisions, claiming: (1) that a suit may not be brought by an insured until *all* of these steps have been "completed"; (2) that these requirements reduce an insured's time for filing suit to considerably less than twelve months from inception of loss; and (3) that the insured has no control over the time limitations of an appraisal. As a result, Closser argues that the suit limitation provision is "one-sided and ambiguous."

These criticisms appear to be more theoretical than real; for the insured has made no *prima facie* showing that compliance with these requirements in fact delayed the filing of his suit beyond the anniversary date of the fire loss. Absent such a showing, we decline to rule as a matter of law that the existence of such policy provisions *requires* either a tolling of the limitation from the date of the fire or a reinterpretation of the limitation words "inception of the loss" to mean the insurer's denial of coverage.⁹

While there is authority for either of these two results,¹⁰ there is also

9As will be seen, given our standard of review, this is not to say that a *prima facie* case of estoppel may not have been made against Penn Mutual of misleading conduct and reliance thereon by Closser to his detriment.

10. Authority for tolling an insurance contract limitation from running from the date of loss is found in *Peloso v. Hartford Fire Insurance Company*, N.J.Super., 56 N.J. 514, 267 A.2d 498 (1970); *Tom Thomas v. Reliance Insurance Company*, Mich.Super., 396 Mich. 588, 242 N.W.2d 396 (1976) and *Phoenix Insurance Co. v. Brown*, Tenn.Ct. App., 63 Tenn.App. 240, 381 S.W.2d 573 (1964). The *Peloso* court recognized that the majority of courts ruling on the question had held to the contrary [computing the limitation period from date of the loss where the limitation is clear and unambiguous]. But the Court opted to follow the reasoning of the "few" jurisdictions that had adopted a concept of tolling. See, *Finkelstein v. American Insurance Company of Newark*, N.J. La.Super., 222 La. 616; 62 So.2d 840 (1962) and *Phoenix Ins. Co. v. Brown*, supra. However, *Finkelstein* was overruled by *Gremillion v. Travelers Insurance Company*, La.Super., 256 La. 974, 240 So.2d 727 (1970), which then returned Lou

isiana to the majority view that "inception of the loss" must be taken to mean "time of the fire"—rather than "time of the ascertainment of the loss from fire damage." 240 So.2d at 731.

A few courts have also simply read an insurance contract limiting suit to one year from inception of loss to mean one year from the insurer's denial of coverage. *Fireman's Fund Insurance Company v. Sand Lake Lounge, Inc.*, Alaska Super., 614 P.2d 223 (1973). The Alaska court reached this result by analogy to the Uniform Commercial Code and by concluding that to enforce the insurance contract limitation provision as written would give an insurer an unfair advantage over insured claimants who have an inferior bargaining position. But here, no showing having been made that the contract was inherently unfair or unconscionable to the insured, we decline to rewrite the policy's limitation provision to read other than as accruing from the date of the fire loss. See, *Tulowitzki v. Atlantic Richfield Co.*, Del.Super., 396 A.2d 956 (1978).

Other courts applying a tolling concept have done so: (1) on the basis of policy language barring an insured from suing until after submission of proof of loss, *Parker*

substantial authority to the contrary.¹¹ And the latter appears to be the majority rule. 44 Am.Jur.2d, *Insurance*, §§ 1884 and 1911. Annot. 95 A.L.R.2d 1023. While our prior insurance policy limitation case law has not specifically addressed the accrual issue, *Ottendorfer*, supra, and *Wesselman*, supra clearly lean towards the majority rule. * * *

* * *

Returning once more to the particular "requirements" of the policy before us, we, are not persuaded that these provisions render unreasonable and, unfair the twelve month suit limitation accruing from the occurrence of a fire loss. We find no unfairness in any of the "Requirements in case loss occurs" imposed upon the insured. Clearly, there is no unfairness in requiring an insured to give prompt notice of loss, and to file a proof of loss, claim within sixty days of the occurrence of a loss. Nor is there any inherent unfairness in the requirement that an insured provide such further documentation of a loss, "as may be reasonably required." As to the sixty day hiatus under the "loss payable" clause between the determination of an appraisal award and the insurer's obligation to pay the award, since no such award was made in this case, the clause has no relevance. Finally, the policy cannot be reasonably construed as either barring suit by an insured until all of the requirements and procedures have been completed nor as barring suit against Penn Mutual pending its review of the insured's proof of loss claim.

However, with respect to the policy's appraisal provisions, we cannot agree with Superior Court's conclusion that they have "nothing at all to do with establishing liability, limitation of action, or filing suit for, a loss." Assuming that the appraisal provisions are invoked by either party, it is clear that they lack time limitations on their being either initially invoked or being either initially invoked or being carried through to an award. If invoked, the

v. American Surety Company of New York, N.Y.Supr., 176 Misc.2d 985, 29 N.Y.S.2d 414 (1941); (2) based on a conflict between the contract limitation provision and statutes governing insurance policy clauses. *Pe loso*, supra; and (3) if the insured cannot determine the existence of a claim until the rights or liability of third party in interest are resolved. *Sassi v. Jersey Trucking Service, Inc.*, N.Y.App., 288 A.D. 73, 126 N.Y.S.2d 389 (1953) and *Zum Engineers v. Eagle Star Insurance Company, Ltd.*, Cal. App., 61 Cal.App.3d 493, 132 Cal.Rptr. 206 (1976).

H. Jurisdictions, following the majority rule (that a contract limitation related to "inception of loss" runs from the time of the loss, absent waiver or estoppels and not from denial of coverage), include: *Adams v. Northern Ins. Co.*, Ariz.App., 16 Ariz App. 337, 493 P.2d 504 (1972); *General State Authority v. Planet Insurance Co.*, Pa. Supr., 464 Pa. 162, 346 A.2d 265 (1975); *Proc v. Home Insurance Co.*, N.Y.App., 17

N.Y.2d 289, 270 N.Y.S.2d 412, 217 N.E.2d 136 (1966); *Bollinger v. National Fire Insurance Co.*, Cal. Supr., 147 P.2d 611 (1944); *Chambers v. Atlas Ins. Co.*, Conn.Supr., 50 Am.Rep: 1, 61 Conn. 17 (1883); *Appel v. Cooper Ins. Co.*, Ohio Supr., 76 Ohio St. 52, 80 N.E. 955 (1907); *Ramsay v. Home Insurance, Va.Supr.*, 203 Va. 502, 126 S.E.2d 201 (1962).

Compare, *Proc v. Home Insurance Co.*, supra, wherein Judge Fuld of the New York Court of Appeals rejected in essence the rationale for the minority rule.

"Nor do we perceive anything unfair in reaching the result we do. If conduct or action on the part of the insurer is responsible for the insured's failure to comply in time with the conditions precedent, injustice is avoided and adequate relief assured, without doing violence to the plain language used by the Legislature, by resort to traditional principles of waiver and estoppel." 270 N.Y.S.2d at 416, 217 N.E.2d at 139

carrying out of such provisions could obviously impinge on an insured's determination to file suit. Thus, while the policy's appraisal provisions and its suit limitation provisions may well serve entirely different purposes, the former provisions amount to an alternative form of dispute resolution, short of litigation. Further, since the policy states that "an award in writing, so itemized, of any two when filed, with this Company shall determine the amount of actual cash value and loss", we construe the appraisal provisions of the policy, if invoked, to provide a mandatory form of arbitration precluding recourse to the courts. Thus, we cannot agree with the position taken by the insurer that the appraisal provisions of the policy, even if invoked by either party, have no bearing upon the issue of whether Closser's suit is time barred under the policy's suite limitation provisions.

Having found the policy appraisal procedures, if invoked, to be relevant to the issue of whether Closser's suit is time barred, we reach the insured's further contention that Penn Mutual is stopped by its conduct from invoking its twelve month suit limitation provision as a bar to this action.

Closser contends that at the very least a factual issue exists as to whether Penn Mutual should be so estopped. * * *

The pertinent facts are: that the insured's attorney initiated settlement negotiations with Penn Mutual's area representative on January 9, 1980. The following day, the representative received a notarized proof of loss claim from the insured and forthwith rejected it with letter response to the insured. On January 29, 1980, the insured's attorney wrote Penn Mutual's area representative, stating in part:

We have selected David Wilson of Wilson Auctions, Route 113, Lincoln, Delaware, to appraise the property pursuant to lines 123-140 of page 2 of the policy. Please notify me of the name of the appraiser upon whom you will be relying.

The lines of the policy referred to incorporate the provisions of the policy relating to "Appraisal". Under those provisions, Penn Mutual was required to select its own appraiser and to so notify the insured within twenty days. Penn Mutual did nothing. Thereafter, the insured's attorney arranged for a conference between the parties to be held in the middle of February. He asked that, "all necessary documents and written appraisals of my clients home" be brought. The scheduled meeting took place; and nine days later the insured's attorney forwarded a third real estate "estimate" to Penn Mutual's representative. However, no specific mention was made in follow-up correspondence to an appraisal proceeding as such. In late February, the insured submitted a third "estimate", made "demand" for the face value of the policy and requested a prompt reply. The insurer's only response to the February 22 letter and two follow-up letters over the ensuing ten days was the following terse reply:

I acknowledge receipt of your letters of:

22 February, 1980

27 February, 1980

3 March, 1980

From March to July there is no record of any further communication between the parties.

Closser was indicted for arson on July 21, 1980. Those charges remained pending through the anniversary date of the fire in September and until late November, 1980, when the State entered a *nolle prosequi*. Shortly thereafter, the insured's attorney telephoned Penn Mutual's area representative and stated, in effect, "now that criminal charges [have been] dropped, let's get on and settle." The insurer responded by denying liability "at this time." In the meantime, the insurer reached a settlement with the insured's wife as to her claim under the policy. As previously stated, the insured filed suit in May, 1981, and the insurer then raised for the first time the twelve month suit limitation as barring the claim.

On this record we conclude, that a rational trier of fact could conclude: (a) that the insured effectively invoked the appraisal provisions of the policy; (b) that the insurer was obligated under the policy to proceed with the appraisal "option" to litigation; (c) that the insurer did not thereafter deal fairly with the insured in responding to his several requests for the insurer's position on his "demand" for the policy coverage; and (d) that the insured was thereby misled to his detriment in assuming there was no need to file suit within the time limitations of the policy. * * * See, 18 Del.C. § 2304(16), The Delaware Unfair Claims Settlement Practices Act, providing:

No person shall commit * * * any of the following:

* * *

(b) Failing to acknowledge and act reasonably promptly upon communication with respect to claims arising under insurance policies;

* * *

(e) Failing to affirm or deny coverage of claims within a reasonable time after proof of loss statements have been completed.

* * *

Since a triable issue of estoppels exists, Superior Court erred in granting summary judgment for Penn Mutual. * * *

VIII. The Requirement of an Insurable Interest

South Dakota Law on Insurable Interests

SDCL 58-10 is devoted to "Insurable Interest."

Hight v. Maryland Ins. Co., 10 N.W.2d 285 (S.D. 1943)

Insurable interest upheld in the owner of a tax sale certificate on piece of real estate. Recovery of the valued policy amount plus attorneys fees affirmed.

St. Paul Fire & Marine Ins. v. Toman, 351 N.W.2d 146 (S.D. 1984)

Insured sold mobile home at auction for \$3,250. Three days later, while the home was still on insured's property, it burned. Insured was allowed to recover the full amount of the "valued policy," \$28,000. The insurer's argument that there was no insurable interest was refuted with South Dakota's version of the Uniform Commercial Code, SDCL 57A-2-501(2), which basically allows for an extended period of time during which the seller retains an insurable interest.

Froiland v. Tritle, 484 N.W.2d 310 (S.D. 1992)

In the sale of a dentistry practice, the selling dentist accepted \$12,000 down and the payment of the balance (\$38,000) at \$500 per month for 10 years. After the fact, the selling dentist became concerned about the possibility of a premature death of the buyer and requested that he buy a credit life insurance policy. The buyer refused. The selling dentist then bought a policy for \$38,000 on the buying dentist and paid for all the premiums. Five years later, the insured died. The loan had been paid down to \$24,302.21, yet the insurer tendered all \$38,000 to the selling dentist who paid for the policy. The widow, as executrix of the estate, sought the amount over the balance due on the loan – some \$14,000. The trial court and the South Dakota Supreme Court held for the estate, allowing the dentist to collect only the balance due on the loan. No discussion even as to requiring the estate to reimburse the selling dentist a pro rata portion of the premiums.

Sawyer v. Farm Bureau, 2000 SD 144, 619 N.W.2d 644

Holding that the plaintiff/insured had an insurable interest in all cattle which was insured even though he lacked 100% ownership interest in each head of cattle. Plaintiff possessed at least a 25% interest in the cattle destroyed and insurer knew that plaintiff's interest was less than 100%.

SD Statutes applicable to *Froiland v. Tritle* case

58-10-3. Procurement of insurance on own life or body for benefit of another – Interest required for insurance on life or body of another. Any individual of competent legal capacity may procure or effect an insurance contract upon his own life or body for the benefit of any person. But no person shall procure or cause to be procured any insurance contract upon the life or body of another individual unless the benefits under such contract are payable to the individual insured or his personal representatives, or to a person having, at the time when such contract was made, an insurable interest in the individual insured.

Source: SL 1966, ch 111, ch 22, § 4(1).

58-10-4. Insurable interest in personal insurance defined. Insurable interest with reference to personal insurance includes only interests as follows:

- (1) Interests in individuals related closely by blood, marriage, or by law, a substantial interest engendered by love and affection;
- (2) For other persons, a lawful and substantial economic interest in having the life, health, or bodily safety of the individual insured continue, as distinguished from an interest which would arise only by, or would be enhanced in value by, the death, disablement, or injury of the individual insured;
- (3) A person who is a party to a contract or option for the purchase or sale of an interest in a business partnership or firm, or of shares of stock of a closed corporation or of an interest in the shares, has an insurable interest in the life of each individual party to the contract and for the purpose of the contract only, in addition to any insurable interest which may otherwise exist as to the life of the individual;
- (4) A charitable organization that meets the requirements of section 501(c)3 of the Internal Revenue Code of 1986, as amended to January 1, 1992, and owns or purchases life insurance on an insured who consents to the ownership or purchase of the insurance has an insurable interest in the life of the insured;
- (5) A financial institution, as defined in subdivision 10-43-1(4), to whom a debt is owed has an insurable interest in the life of the insured to the extent of the debt owed by the insured, irrespective of any statute of limitation regarding the enforceability of the debt;
- (6) The trustee of a trust established by an individual settlor has an insurable interest in the life of that individual settlor, and has the same insurable interest in the life of any other individual as does such individual settlor. However, the settlor must be the insured or have an insurable interest as required by subdivisions (1) to (5), inclusive, of this section. The trustee of a trust has the same insurable interest in the life of any other individual as does any beneficiary of the trust with respect to proceeds of insurance on the life of such individual or any portion of such proceeds that are

Bird v. St. Paul Fire & Marine Insurance Co.

New York Court of Appeals, 1918
224 N.Y. 47, 120 N.E. 86

Cardozo, J., delivered the opinion of the court:

On September 12, 1915, the defendant, a fire and marine insurance company, issued to the plaintiff its policy of insurance covering the body, tackle, apparel, and other furniture of the canal boat, the Henry Bird, Jr. "Touching the adventures and perils which the said company are content to bear and take upon themselves by this policy, they are of the sounds, harbors, bays, rivers, canals, and fires, that shall come to the damage of the said boat, or any part thereof." There was no express exception of damage from explosion.

On the night of July 30, 1916, a fire broke out from some unknown cause beneath some freight cars in the Lehigh Valley Railroad Company's freight yards at Black Tom, in the harbor of New York. The cars were loaded with explosives, and, after the fire had burned at least thirty minutes, the contents of the cars exploded. This explosion caused another fire, which in turn caused another and much greater explosion of a large quantity of dynamite and other explosives stored in the freight yard. The last explosion caused a concussion of the air, which damaged plaintiff's vessel, about 1,000 feet distant, to the extent of \$675. No fire reached the vessel, the damage being solely from the concussion caused by the second explosion. The question is whether the loss is covered by the policy. * * * The appellate division gave judgment for the plaintiff.

There is no doubt that when fire spreads to an insured building and there causes an explosion, the insurer is liable for all the damage. * * * We assume that, in the absence of some exception in the policy, a like liability follows when an explosion caused by fire occurs in neighboring buildings. *Hustace v. Phenix Ins. Co.*, 175 N.Y. 292, 302, 303, 62 L.R.A. 651, 67 N.E. 592. But the question here is whether space is a factor in the solution of the problem. The appellate division says that it is not; no matter how great the distance, the insurer remains liable. Other courts have held otherwise. The question came before the English court of common pleas in *Everett v. London Assurance Co.*, 19 C.B.N.S. 126, 144 Eng.Reprint, 734. There gunpowder ignited and exploded. The plaintiff's building, half a mile away, was damaged by concussion. The court (Erle, Ch.J., and Willes and Byles, JJ.) gave judgment for the defendant. "Speaking of this injury, no person would say that it was occasioned by fire. It was occasioned by a concussion or disturbance of the air caused by fire elsewhere." A like ruling was made in Louisiana by a divided court. *Caballero v. Home Mut. Ins. Co.*, 15 La.Ann. 217. In Tennessee, the ruling was the same: "Legal conclusions cannot always be safely reached by pressing the processes of logical illation to their ultimate results." *Hall v. National F. Ins. Co.*, 115 Tenn. 513, 521, 112 Am.St.Rep. 870, 92 S.W. 402, 403, 5 Ann.Cas. 777, 19 Am.Neg.Rep. 553.

The problem before us is not one of philosophy. Pollock, torts, 10th ed. P.37. If it were, there might be no escape from the conclusion of the court below. General definitions of a proximate cause give little aid. Our guide is the reasonable expectation and purpose of the ordinary business man when making an ordinary business contract. It is his intention, expressed or fairly to be inferred, that

counts. There are times when the law permits us to go far back in tracing events to causes. The inquiry for us is how far the parties to this contract *intended* us to go. The causes within their contemplation are the only causes that concern us. A recent case in the House of Lords gives the true method of approach. *Leyland Shipping Co. v. Norwich F. Ins. Co.* [1918] A.C. 350, 369. Lord Shaw refers in his opinion to the common figure of speech which represents a succession of causes as a chain. He reminds us that the figure, though convenient, is inadequate. "Causation is not a chain, but a net. At each point, influences, forces, events, precedent and simultaneous, meet, and the radiation from each point extends infinitely." *Ibid.* From this complex web, the law picks out now this cause and now that one. The same cause producing the same effect may be proximate or remote as the contract of the parties seems to place it in light or shadow. That cause is to be held predominant which they would think of as predominant. A common-sense appraisal of everyday forms of speech and modes of thought must tell us when to stop. It is an act of "judgment as upon a matter of fact." *Ibid.*

This view of the problem of causation shows how impossible it is to set aside as immaterial the element of proximity in space. The law solves these problems pragmatically. There is no use in arguing that distance ought not to count, if life and experience tell us that it does. The question is not what men ought to think of as a cause. The question is what they do think of as a cause. We must put ourselves in the place of the average owner whose boat or building is damaged by the concussion of a distant explosion; let us say a mile away. Some glassware in his pantry is thrown down and broken. It would probably never occur to him that, within the meaning of his policy of insurance, he had suffered loss by fire. A philosopher or a lawyer might persuade him that he had, but he would not believe it until they told him. He would expect indemnity, very likely, if the fire was near at hand. If his boat or his building was within the danger zone of ordinary experience, if damage of some sort, whether from ignition or from the indirect consequences of fire, might fairly be said to be within the range of normal apprehension. But a different case presents itself when the fire is at all times so remote that there is never exposure to its direct perils, and that exposure to its direct perils comes only through the presence of extraordinary conditions, the release and intervention of tremendous forces of destruction. *Tilton v. Hamilton F. Ins. Co.*, 14 How.Pr. 363, 372, 373. A result which in other conditions might be deemed a mere incident to a fire, and therefore covered by the policy, has ceased to be an incident, and has become the principal. *Briggs v. North American & M. Ins. Co.*, 53 N.Y. 446, 449. The distinction is no less real because it involves a difference of degree. In such a case, the damage is twice removed from the initial cause. It is damage by concussion; and concussion is not fire nor the immediate consequence of fire. * * * But there is another stage of separation. It is damage by concussion traveling over a distance so remote that exposure to peril is not within the area of ordinary prevision, – the range of probable expectation. The average man who speaks of loss by fire does not advert to the consequences of this play of catastrophic forces.

Precedents are not lacking for the recognition of the space element as a factor in causation. This is true even in the law of torts where there is a tendency to go farther back in the search for causes than there is in the law of contracts. *Smith, Legal Cause in Actions of Tort*, 25 Harvard L.Rev. Pp. 126, 127, 326. Especially in the law of insurance, the rule is that, "you are not to trouble

yourself with distant causes." Willes, J., in *Ionides, v. Universal M. Ins. Co.*, 14 C.B.N.S. 289, 143 Eng.Reprint, 457, * * * *Leyland Shipping Co. v. Norwich F. Ins. Soc.* [1917] 1 K.B. 873, 883, 893 * * *

The case comes, therefore, to this: Fire must reach the thing insured, or come within such proximity to it that damage, direct or indirect is within the compass of reasonable probability. Then only is it the proximate cause, because then only may we suppose that it was within the contemplation of the contract. In last analysis, therefore, it is something in the minds of men, in the will of the contracting parties, and not merely in the physical bond of union between events, which solves, at least for the jurist, this problem of causation. In all this, there is nothing anomalous. Everything in nature is cause and effect by turns. For the physicist, one thing is the cause; for the jurist, another. Even for the jurist, the same cause is alternately proximate and remote, as the parties choose to view it. * * *

In this case, the facts are not disputed. The inferences to be drawn from them are not doubtful. The damage was not a loss * * * by fire within the meaning of the policy.

The judgment should be reversed, and judgment ordered for the defendant, with costs in the Appellate Division and in this court. * * *

Summary of *Lummel v. National Fire Insurance Co. of Hartford*

Lummel v. National Fire Insurance Co. of Hartford, 210 N.W. 739 (S.D. 1926). This is a South Dakota case on "causation - proximate cause" in an "Insurance" setting. Suit on a Fire Insurance policy on a motor truck. The truck skidded off the road, rolled down an embankment and caught fire. The trial court rendered judgment for the plaintiff in the amount of the jury verdict of \$800. The Supreme Court of South Dakota ordered a remittitur to the amount of \$400. The court held that the jury should have determined the value of the truck *after* the fall and *before* the fire. Using the evidence in the record, the court determined that amount to be \$400. The SD Supreme Court cited and followed a U.S. Supreme Court case and the following pronouncements appear to be approved by the SD court in this opinion:

"In the case of the concurrence of two causes of loss, one at the risk of the assured and the other insured against, if the damage by the perils respectively can be discriminated, each party must bear his proportion."

"When the damage by each cause of loss cannot be distinguished, the party responsible for the dominating efficient cause is liable to bear the loss."

"...when an efficient cause nearest the loss is the peril expressly insured against, the insurer is not to be relieved from responsibility by his showing that the property was brought within that peril by a cause not mentioned in the contract."

The first two quotes are taken directly from the U.S. Supreme Court opinion and are quoted in the opinion. The 3rd quote is the court's description of a "further holding" of the U.S. Supreme Court opinion upon which the SD Supreme Court rests its decision.

This is an old case and its authority in future matters is questionable, but it is the only case in South Dakota on the issue (that I could find).

For research on this issue of "causation," *see generally* West Key Digest No. 427 under the topic "Insurance."

Summary of one aspect of *Cain v. Fortis Ins. Co.*

Cain v. Fortis Ins. Co., 2005 SD 39, 694 N.W.2d 709 (03/16/05)

Suit against health insurer for money paid by insured for Gastric Bypass Surgery. Insurer relied on policy exclusion which disallows coverage for surgical treatment for weight control.

Trial court ruled for Insurer. Affirmed (5-0).

One of the arguments made on appeal by the insured was that under the doctrine of "efficient proximate cause" the surgery should be covered because it was necessary to deal with the insured's hypertension and joint deterioration. It was not just a weight loss surgery. This argument is rejected by the SD Supreme Court stating, "there is almost no case law to support its [the doctrine of efficient proximate cause] application to health insurance policies." ¶ 25.

This opinion also cites the 1926 case of *Lummel v. National Fire Ins.* as "applying the dominating efficient cause doctrine to an action on a fire policy covering a truck which burned after going over embankment."

X. Warranties

Some South Dakota Statutes on "Warranties"

SDCL 58-11 relates generally to all insurance policies. SDCL 58-11 is entitled, "Form and Contents of Insurance Policies."

58-11-44. Application for insurance or annuity – Statements by insured deemed representations – Omissions, concealment, and incorrect statements preventing recovery. All statements and descriptions in any application for an insurance policy or annuity contract, by or in behalf of the insured or annuitant, shall be deemed to be representations and not warranties. Misrepresentations, omissions, concealment of facts, and incorrect statements shall not prevent a recovery under the policy or contract unless either:

- (1) Fraudulent; or
- (2) Material either to the acceptance of the risk, or to the hazard assumed by the insurer, or
- (3) The insurer in good faith would either not have issued the policy or contract, or would not have issued it at the same premium rate, or would not have issued a policy or contract in as large an amount, or would not have provided coverage with respect to the hazard resulting in the loss, if the true facts had been made known to the insurer as required either by the application for the policy or contract or otherwise.

Source: SL 1966, ch 111, ch 22, § 12.

SDCL 58-15 is devoted to "Life Insurance and Annuities"

58-15-8. Entire contract contained in policy and application – Statement of applicant not deemed a warranty. There shall be a provision that the policy, or the policy and the application therefor if a copy of such application is endorsed upon or attached to the policy when issued, shall constitute the entire contract between the parties, and that all statements contained in such an application shall, in the absence of fraud, be deemed representations and not warranties.

Source: SL 1966, ch 111, ch 23, § 6.

SDCL 58-16 is entitled "Group Life Insurance Policies"

58-16-32. Copy of application attached to policy – Statements of insured not warranties – Statement by insured, use in contest. A policy of group life insurance shall contain a provision that a copy of the application, if any, of the policyholder shall be attached to the policy when issued, that all statements made by the policyholder or by the persons insured shall be deemed representations and not warranties, and that no statement made by any person insured shall be used in any contest unless a copy of the instrument containing the statement is or has been furnished to such person or to his beneficiary.

Source: SL 1966, ch 111, ch 24, § 3(3).

SDCL 58-18 is entitled "Group and Blanket Health Insurance Policies"

58-18-8. Representations by applicant not warranties – Written statement required to avoid insurance or reduce benefits. Each such group health insurance policy shall contain in substance a provision that, in the absence of fraud, all statements made by applicants or the policyholder or by an insured person shall be deemed representations and not warranties, and that no statement made for the purpose of effecting insurance shall avoid such insurance or reduce benefits unless contained in a written instrument signed by the policyholder or the insured person, a copy of which has been furnished to such policyholder or to such person or his beneficiary.

Source: SL 1966, ch 111, ch 26, § 2(1).

South Dakota Case Law on Warranties

Ranger Insurance Company v. Macy, 277 N.W.2d 426 (S.D. 1975).

Policy language excluded all damages incurred while the plane was subject to lease. For a period of time the plane was leased out (with an option to purchase). The lease expired and the option was never exercised. Subsequently, damages occurred when the plane made an emergency landing. The Insurer was held liable under the policy. The exclusion was characterized as a "warranty." The court stated "Warranties normally suspend coverage during the existence of a described condition, and recovery will be denied in the absence of a contrary statute whether or not the condition actually contributed to the loss. The insurer normally suspends coverage because the risk of loss is statistically higher on an underwriting basis when the proscribed condition is present." *Id.* at p.429.

In finding that there was, in fact, coverage notwithstanding the breach of the warranty, the court went on to hold that "once the lease is terminated and the statistical increase in risk is eliminated, coverage resumes." *Id.* at 429.

Economic Aero Club v. Avemco Ins., 540 N.W.2d 644 (S.D. 1995)

Aircraft insurance policy excluded coverage while insured pilots possessed no valid medical certificate. The plane crashed, but the cause of the crash was unrelated to the pilot's lack of such certificate (which he did not, of course, have). If the exclusion is upheld, there is no coverage. If the exclusion is not upheld, there is coverage. The pilot was, in fact, medically fit but did not possess the medical certification.

The court upheld the exclusion, noting that this is consistent with the language in *Ranger Ins. Co. Case, supra*. The exclusion "encourages owners and operators of aircraft to obey and satisfy safety regulations." *Id.* at 646.

As to the causation issue, the court joins the majority view that "uphold[s] such exclusions even when the loss is unrelated to a pilot's failure to have a current medical certificate." *Id.* at 646. The court acknowledges what was argued to be the "modern" view which holds such exclusions ineffective absent a causal connection between the exclusion and the actual loss." However the court was unwilling to adopt the 'modern view' in the absence of statutory support. The court observed that "anti-technicality" statutes have been enacted in some states – and these statutes would forbid the denial of coverage when the excluded use is not causally related to the loss.

Increase in Hazard?

Boyd v. Aetna Insurance Company, 192 F.Supp. 435 (S.Dis.Fla. 1960).

Insured sought to protect his home by placing signs on the doors, "Beware of trap gun in this House." When insured had a fire loss, the insurer denied recovery on the basis that the insured had increased the hazard. The relevant policy provision stated, "Unless otherwise provided in writing added hereto this Company shall not be liable for loss occurring (a) while the hazard is increased by any means within the control or knowledge of the insured;"

What result?

Why?

The following case and note were found in a prior edition of the Casebook:

North Carolina Grange Mutual Insurance Co. v. Johnson

Court of Appeals of North Carolina, 1981

51 N.C.App. 447, 276 S.E.2d 469

* * * The plaintiff, North Carolina Grange Mutual Insurance Company, issued a hail insurance policy to the defendant effective 21 May 1978 covering 70 acres of crops in Surry County. The policy contained the following provision:

OTHER INSURANCE

It is hereby agreed that if other insurance is written on the insured interest in the above described crops this Company will be notified in writing of the amounts of such other insurance, including Federal Crop Insurance Corporation Coverage.

It is further agreed that unless or until so notified of such other insurance the coverage under this policy shall be suspended.

On 7 June 1978 the defendant was issued a hail insurance policy by Fireman's Fund American Insurance Company on 20 acres of the 70 acres which the plaintiff had previously insured with Grange. The defendant did not notify the plaintiffs of the additional coverage. A portion of the 20 acres was damaged by hail and the plaintiffs paid the defendant \$10,340.00 for this loss on 19 July 1975. The plaintiffs sued for the recovery of this payment and the court granted their motion for summary judgment.

* * *

WEBB, JUDGE.

The appellant contends that this Court should either find that the "other insurance clause" in the hail insurance policy is void as being against public policy or that the second policy written should be held void leaving the first policy in force. The appellant bases his public policy argument on what he contends is the difference between fire insurance coverage and hail insurance coverage. He argues that fire insurance coverage involves a moral hazard that is, that a person is likely to burn his property to collect the loss if it is overinsured. For that reason, the law allows "other insurance clauses" in fire insurance policies which should not be allowed in hail insurance policies because the insureds cannot control the falling of hail. We do not believe we should hold it is against public policy to prohibit parties to an insurance contract from inserting an "other insurance clause" in the contract if they desire to do so. We decline to hold that an "other insurance clause" in hail insurance policies are against public policy.

The appellant next contends that the second policy written contained an "other insurance clause" identical to the clause in the policy written by the Grange. For this reason, the second policy was *void ab initio*. Since the second policy was void the first policy remained in effect. We believe

the contract at issue in the case sub judice contemplated that if the defendant had a second hail insurance policy written on his crop, although that policy was void or voidable and did not notify the plaintiffs of the policy, the coverage on the first policy would be suspended. See *Insurance Co. v. Insurance Co.*, 49 N.C.App. 32, 270 S.E.2d 510 (1980). There being no policy prohibiting the writing of such a clause, we believe we must enforce it as written.

Affirmed.

Note

Moral Hazard Warranties

Since 1943, "moral" hazard – as distinguished from "physical" hazard – warranties have virtually disappeared from property insurance forms. A residue exists in the "other insurance" condition, the use of which is permitted but not required in standard fire policies. Occasionally, a once popular moral hazard warranty or condition that makes the policy void "if the interest of the insured be other than unconditional and sole ownership," will still appear. See, *National Security Fire and Casualty Company v. London*, 180 Ga.App. 198, 348 S.E.2d 580 (1986).

XI. Cancellation of and Refusal to Renew Insurance Policies

Edward E. Moore v. Farmers Insurance Exchange

323 N.W.2d 870

South Dakota Supreme Court 1982

FOSHEIM, Justice.

Edward E. Moore (Moore) initiated a declaratory judgment action against Farmers Insurance Exchange (Farmers) seeking recovery on a judgment for \$10,000 entered against Farmers' insured as the result of an automobile accident. Both parties moved for summary judgment. The trial court granted summary judgment in favor of Moore. Farmers appeals. We reverse and remand.

Moore's motion for summary judgment claimed no issue of material fact because Farmers accepted its insured's premium after the accident occurred and with knowledge that the insured's vehicle was a total loss and therefore not subject to insurance. Farmers' motion claimed no issue of material fact because at the time of the accident insured's policy had been cancelled for nonpayment of premium. In support of its motion for summary judgment, Farmers offered the affidavit of Ralph Greer, its auto policy service division manager. * * * According to Greer the "avoid cancellation notice," sent out on December 9, 1977, designated a cancellation time of December 24, 1977, at 12:00 noon. It is undisputed that the overdue premium was paid on December 28, 1977, the day after the accident.

Appellant raises two issues on appeal: (1) whether coverage was in effect when the policy had been cancelled for nonpayment of premium before the accident occurred; and (2) whether cancellation was waived when insured's premium was accepted after the accident.

* * *

The most favorable view of the evidence is that Greer's affidavit was admissible as a business record, Greer being the custodian of the records or other qualified witness under SDCL 19-16-10 and SDCL 19-18-6, and established proof of notice under SDCL 58-11-52. We believe Greer's affidavit with attached summaries was admissible as a business record and that it resolved the only question of material fact (sufficient notice), thus advancing the trial court to questions of law. Since an insurer is not liable on a properly cancelled policy, it follows that the trial court held for Moore on the theory that Farmers waived cancellation by accepting the premium after the accident.

The issue of waiver is answered by *Western Casualty and Surety Co. v. American National Fire Insurance Co.*, 318 N.W.2d 126 (S.D.1982). In that case we held that "[o]nly the parties to the contract of insurance, or their privies, can claim the benefit of a waiver or an estoppel." *Id.* at 128 (quoting 18 Couch on Insurance § 71:10 (1968)). Since Moore was not privy to the contract of insurance, this issue is resolved in Farmers' favor.

We reverse and remand for entry of summary judgment for Farmers.

All the Justices concur.

A Hodgepodge of South Dakota Statutes¹ (and One Case) Dealing with Cancellation and Refusal to Renew

Moore v. Farmers Insurance Exchange, 323 N.W.2d 870 (S.D. 1982).

Auto policy cancelled for non-payment of premium. Notice sent out on 12/9/77 to be effective 12:00 P.M. 12/24/77 (Christmas Eve). This notice was timely under SDCL 58-11-49 as it existed at the time (requiring only 10 days notice). An accident occurred on 12/27/77. The insured paid a premium which was accepted on 12/28/77. After recovering a \$10,000 judgment against the insured, the tort plaintiff brought a declaratory judgment against the insurer. The South Dakota Supreme Court cited *Mid-Century v. Norgaard* (found in the casebook) for the proposition that the policy was properly cancelled and further held that, although there was an argument for "waiver," that argument can only be made by one who was a party to the contract of insurance or a privy thereto. Since Moore (the tort plaintiff) "was not privy to the contract of insurance, this issue is resolved in Farmers' favor." *Id.* at 872.

SDCL 58-1 is entitled "Definitions and General Provisions."

SDCL 58-11 is entitled "Form and Contents of Insurance Policies."

With respect to "notice" problems, the South Dakota statutes generally require plenty of time (e.g. 20 days or more) prior to the effective date of the notice. SDCL 58-11-52 provides that "Proof of mailing of notice ... shall be sufficient proof of notice." This approach appears to be a moderate one in view of other approaches which may provide that cancellation is effective upon the date of mailing of the notice (as one extreme) or which may require *personal delivery* to the insured in order to be effective (as the other extreme).

SDCL 58-11-49 provides, *inter alia*, as follows:

"No *notice of cancellation* of an insurance policy ... is effective unless mailed or delivered ... to the named insured at least 20 days before the effective cancellation date. However, if cancellation is for *nonpayment of premium* the insurer shall mail or deliver notice of cancellation with the reason for cancelling at least 20² days before the effective cancellation date ..." (Emphasis added)

¹ There is no warranty or guarantee that this handout discusses "all" of the relevant cancellation and refusal to renew statutes in South Dakota. There are others. This is just an effort to put some of them together.

² The statute previously required only 10 days for notice of cancellation by reason of nonpayment of premium. (The 10 day requirement was in place in 1982 – the time of *Moore v. Farmers Insurance Exchange*.)

With respect to Notices of Refusal to Renew, the following time requirements are in place:

SDCL 58-1-14 – “at least 30 days before the effective renewal date” for all policies defined in SDCL 58-9-5 to 59-9-33 (this includes most all policies) except for nonrenewal of homeowner’s policies and automobile policies.

SDCL 58-1-15 (This gives the time limit for homeowner’s policies – an area excluded under SDCL 58-1-14): “at least 30 days before the effective renewal date.” (Which is the same time period set forth in the statute above)

SDCL 58-11-51 (This gives the time limit for automobile policies – an area excluded under SDCL 58-1-14): “No insurer shall fail to renew a policy unless it shall mail or deliver ... at least 60 days’ advance notice of its intention not to renew. This section shall not apply: ...”

[confusing exceptions are listed, one of which includes nonpayment of premium]

Yet, another “Notice of Cancellation” statute:

SDCL 58-33-60³ provides that “A notice of cancellation of *property insurance coverage* by an insurer shall be mailed or delivered by the insurer to the named insured at least 20 days before the effective cancellation date and shall be accompanied by a written explanation of the specific reasons for the cancellation.” (Emphasis added)

SDCL 58-33-61 lists the various reasons for which a policy may be cancelled after 60 days from the effective date of the policy. (This provision is apparently designed to be a smaller universe of reasons to allow cancellation than the universe of reasons which exists during the first 60 days; however, some of the reasons listed are quite broad – see e.g. (3), (7) & (8).)

SDCL 58-11-63, enacted in 1994, authorizes the Division of Insurance to promulgate rules and regulations for, *inter alia*, “Procedures and requirements for cancellation and nonrenewal of policies.”

³ SDCL 58-33 is the “Unfair Trade Practices” sub-chapter and, of course, SDCL 58-33-65.1 states that “Nothing contained in Sections 58-33-59 to 58-33-64 inclusive, may grant, or be construed to grant any private remedy or right of action.”

Expiration of Policy on a Sunday

1-5-4. Legal holidays – Acts performed on day after legal holiday. Whenever any act of a secular nature, other than a work of necessity or mercy, is appointed by law or contract to be performed upon a particular day, which day falls upon a holiday, such act may be performed upon the next business day, with the same effect as if it had been performed upon the day appointed.

What effect does this statute have on an insurance policy that is set to expire on a Sunday? Consider the following situation: The automobile liability policy is set to expire at 4:02 P.M. on Sunday. The accident happened the next day on Monday and then, *after the accident*, the insured had the premium hand delivered to the insurer's agent. Was the accident on Monday covered? See *Coble v. Hanson*, 2001 SD 8, 620 N.W.2d 772.

North Star v. Rasmussen

In *North Star v. Rasmussen*, 2007 SD 55, 734 N.W.2d 352, the insured sought to have both primary liability coverage and umbrella coverage for his boat. This boat was listed on his primary liability policy, but not on the umbrella policy. After an accident in which the insured's son sustained serious injuries, the agent requested the umbrella insurer (North Star) to add the boat to the umbrella coverage. The insurer did so and billed the insured for a premium which would cover a year's period – and this included the date when the accident occurred. The trial court granted summary judgment for North Star, the umbrella insurer and the SD Supreme Court affirmed in a unanimous opinion authored by former Chief Justice Robert Miller, sitting for Justice Sabers, disqualified. As to whether or not there can be "retroactive insurance," the Court stated at ¶¶ 19 & 20:

In this case, [the agent] never requested and North Star never agreed to provide retroactive coverage. According to the general rule, an insurer is liable for a loss under a backdated policy only when the loss occurs between the time the policy became effective and the time the policy is issued, and both the insured and the insurer are ignorant of the loss when the policy is issued... Further, if the insured knows of the loss at the time the insurance is effected but the underwriters are ignorant of the loss, the insurer is not liable.

Here, both [the insured and the agent] knew of the accident when North Star allegedly provided coverage; however, neither informed North Star. Under these facts, we conclude that North Star did not voluntarily backdate coverage to [the date of the accident].

XII. Valuation

South Dakota's "Valued Policy" Statute (also known as "Stated Value" Policies)

As you read through the following statute, consider the situation where there is a fire loss which occurs 91 days after a "binder" was issued, but only 40 days after the policy itself was issued. Consider SDCL 58-10-10(1) below. *See Capitol Indemnity Corp. v. Bank of Hoven*, 452 N.W.2d 551 (S.D. 1990).

58-10-10. Insurance against fire, tornado, or lightning – Measure of damages where property wholly destroyed. Whenever any policy of insurance is written or renewed to insure any real property in this state, including structures on land owned by a person other than the insured, against loss by fire, tornado, or lightning and the property insured is wholly destroyed, without criminal fault on the part of the insured or the insured's assigns, the amount of insurance written in the policy shall be taken conclusively to be the true value of the property insured and the true amount of loss and measure of damages, with the following conditions:

- (1) This section applies only if a total fire loss occurs ninety days or more after the policy was made or written or ninety days or more after the policy limits were increased by twenty-five percent or more at the insured's request. However, within the first ninety days, payment to the insured shall be in accordance with the terms and conditions of the policy for valuation of the property absent stated amount;
- (2) Subdivision (1) of this section does not apply to unchanged renewal policies, to policies with inflation adjustment limits or to policies which are being converted to replacement cost coverage from a lesser value form and upon which there is a written agreement between the company and the insured that the policy will be written on a valued basis;
- (3) Builders' risk policies of insurance covering property in the process of being constructed shall be valued and settled according to the actual value of that portion of the construction completed at the time of the fire, tornado, or lightning loss;
- (4) If two or more policies are written upon the same property interest, each insurer shall pay only that proportion of the cost of the loss that the limit of liability under its policy bears to the total amount of insurance covering the loss;
- (5) Any claim for loss of an appurtenant structure or other appurtenant property covered under the policy shall be settled for actual replacement or actual cash value, depending on the policy provisions applicable to the structure or other property, unless a specific value was assigned to each structure or property prior to the loss; and
- (6) This section does not apply to any claim for total loss to any building which is insured under a commercial blanket form with one amount covering two or more buildings. Any claim for total loss to a building so insured shall be settled for actual replacement or actual cash value depending on the policy provisions applicable to the building.

Source: SL 1966, ch 111, ch 22, § 5; SL 1967, ch 136; SL 1985, ch 389; SL 1995, ch 277; SL 1997, ch 285, § 1; SL 1999, ch 247, § 1.

Another South Dakota Case on Valuation

Zochert v. National Farmers Union Property & Casualty, 1998 SD 34, 576 N.W.2d 531 (detailed discussion of ACV and methods of “market value,” “Replacement less depreciation,” and “broad evidence rule”)

XIII. Coping With Multiple Interests and the Transformation of Interests

MANN v. GLENS FALLS INSURANCE CO.

United States Court of Appeals, Ninth Circuit, 1976.
541 F.2d 819.

GOODWIN, CIRCUIT JUDGE:

Glens Falls Insurance Company appeals from a judgment requiring it to pay a disputed insurance claim, plus interest, and general damages flowing from the initial refusal to pay. This diversity case was tried under Nevada law.

In 1969, the company insured Mrs. Mann's house for \$15,000. The policy was a standard-form fire policy with a "mortgage clause" making the insurance proceeds partially payable to a local bank which then held a mortgage on the property. In 1971, Mrs. Mann paid off the mortgage and the bank lost its insurable interest in the property.

Mrs. Mann subsequently sold the house for \$25,000. The buyers, Mr. and Mrs. Bates, paid \$2,000 cash and agreed to pay \$23,000 secured by a purchase-money mortgage⁶² payable to Mrs. Mann.

62. For the ease of the reader and because the parties have argued in terms of "mortgage", we will use the term "mortgage" and its derivations throughout the

The Bateses agreed orally to insure the house against fire loss and to name Mrs. Mann as loss-payable mortgagee. However, before the Bateses purchased any insurance, the house burned to the ground. At the time of the loss, Mrs. Mann's 1969 policy had not expired.

The company's claims adjuster estimated that the house was a total loss and that the actual damage exceeded the policy limits. The adjuster recommended payment of \$15,000, the policy limit.

Because of the change in the character of Mrs. Mann's insurable interest (from owner to mortgagee), the company asked her to sign a "partial, subordinated assignment" of the mortgage and the mortgage debt. This partial subordinated assignment would have allowed Mrs. Mann to receive \$15,000 in cash, plus pro rata mortgage payments to be made by the Bateses (if any) or the first \$8,000 realized from the foreclosure of the mortgage, if it were foreclosed. If the foreclosure sale netted proceeds in excess of \$8,000 the partial, subordinated assignment would then entitle the company to the next \$15,000.

Mrs. Mann refused the offer. She desired to use ^{before} all \$15,000 of the insurance proceeds to reestablish the status quo ^{before} the fire—to rebuild the house, place the Bateses back in possession, and then receive her monthly mortgage payments from the Bateses.⁶³ Mrs. Mann did not want to foreclose or permit the insurer to foreclose the Bateses. On the advice of counsel, she refused to sign. The company refused to pay on her terms, and this litigation is the result.

I

Fire insurance on mortgaged property ordinarily is underwritten with the owner as "insured". The mortgagee, in such cases, is named as the person to whom a part of the proceeds will be paid in the event of loss. In the standard mortgage situation, the mortgagor is the named insured; the mortgagee may be an additional insured with rights in the policy, or it may be a third-party beneficiary. However, should the mortgagor fail to insure, the mortgagee can buy insurance to protect its insurable interest in the property. Despite some criticism,⁶⁴ the widely accepted rule is that the mortgagor is not entitled to insurance protection under the mortgagee-only type insurance policy.

The parties in this case never decided what sort of policy was involved. Mrs. Mann bought the policy when she owned the house. During the policy term, she sold the house and took back a security interest. Her rights to the proceeds depend in part upon whether her

opinion. The document actually executed was a deed of trust, but the differences between the two instruments do not affect the outcome of the case.

63. Mrs. Mann's attorney attempted to create a legally binding arrangement which would ensure that the insurance proceeds actually went back into the property. He did this to counter the company's concern

that Mrs. Mann might get a "double recovery" from the insurance company and from the Bateses payments.

64. See generally, King, Subrogation Under Contracts Insuring Property, 30 Tax. L.Rev. 62, 72-76 (1951); e.g., In re Future Mfg. Coop., 165 F.Supp. 111 (N.D.Cal. 1958); Note, 72 Harv.L.Rev. 1380 (1959).

policy is treated as a standard owner-mortgagee policy or a mortgagee-only policy.⁶⁵

The language of the contract states that the company insures Mrs. Mann against fire loss up to the policy limit, but not "in any event for more than the interest of the insured". Her insurable interest at the time of the fire "was that of a mortgagee". The Bateses were in possession. They had received no assignment of the policy. The policy does not name the Bateses as insureds nor create any rights in them. Mrs. Mann, the former owner, now mortgagee, is the only insured. We conclude that the policy by operation of law, had become a mortgagee-only type policy.

The policy had a subrogation clause which stated that the company "may require from the insured an assignment of all right of recovery against any party for loss to the extent that payment therefor is made by this company". Subrogation against a person other than an insured is common to fire insurance contracts⁶⁷ and includes all claims which the subrogor may have against third parties for the loss in question.

Mrs. Mann asserts that the company was not entitled to subrogation of her debt claim against the Bateses and that she did not have to assist in that subrogation by signing the partial, subordinated assignment.

Mrs. Mann first contends that the subrogation clause refers only to tort claims. It is true that (most) subrogation cases involve third-party tortfeasors. But the paucity of nontort subrogation litigation is better explained by the rarity of mortgagee-only policies⁶⁸ than by a doctrinal barrier. We have unearthed examples of subrogation to contract claims⁶⁹ and the company cites examples of subrogation to a mortgage.⁷⁰

We do not read the subrogation clause in this policy as referring to tort claims only. The company is entitled to be subrogated to the claims the mortgagee Mann may have had against the mortgagor Bateses. If one were to substitute a bank for Mrs. Mann in this case the relations of

65. These definitions ordinarily are spelled out in writing. But here, the owner changed her insurable interest without the knowledge of the company; and it becomes necessary to construe the language of their contract with reference to a new factual situation not specifically covered in the written contract.

66. 4 J. Appleman, Insurance Law and Practice § 2122, at 34 (relevant insurable interest is the one at the time of the loss) (1969).

67. R. Keeton, Insurance Law, § 3.10, at 147-148. At p. 187, Keeton traces the doctrine that an insurer cannot have subrogation against its own insured.

68. In the standard policy, the mortgagor is an insured; so, when the insurer pays the mortgagee, any subrogation right

to the mortgage could only be asserted against the mortgagor, who, as an "insured", is protected from the insurer.

69. See, e.g., Atlantic Mutual Insurance Co. v. Cooney, 303 F.2d 253 (9th Cir.1962); cf., Employers Mutual Casualty Co. v. Shephard-Vineyard Motors, Inc., 189 Kan. 525, 370 P.2d 388 (1962). But see, Levit, Court Denies Subrogation to Contractual Rights, 1968 Ins.L.J. 105 (comment on Patent Scaffolding Co. v. William Simpson Construction Co., 256 Cal.App.2d 506, 64 Cal.Rptr. 187 (2d Dist.1967)). Also, mortgagee subrogation is almost universally allowed. 6A J. Appleman, Insurance Law and Practice § 4071, at 195 n. 8 (1969).

70. Commercial Standard Insurance Co. v. Hitson, 73 N.M. 328, 388 P.2d 56 (1963); Wriedt v. Beckenhauer, 183 Neb. 311, 159 N.W.2d 822 (1968).

the parties would be more conventional, and perhaps easier to deal with as matters of insurance law.

Mrs. Mann next asserts that the right to subrogation arises only after payment is made by the company. She states that since the company did not make payment, it was not entitled to subrogation.

The company offered to pay Mrs. Mann her \$15,000 immediately upon her signing of the partial, subordinated assignment. Her refusal was undoubtedly reinforced by advice of counsel that she was entitled to the insurance proceeds free of the company's claim as a subrogee. Mrs. Mann left no doubt that she disputed the company's subrogation rights when she refused to sign. But her motive—to confer a benefit upon the Bates family at the expense of her insurance carrier—however generous it may have been, was not a motive the insurance company had any duty to share.

The order of performance by the parties—when the company was to pay, either before or after Mrs. Mann signed the partial, subordinated assignment—was simply not an issue in the original dispute. We have no basis for deciding the case on that ground. The company's insistence on the assignment before it made payment may have been a breach; but then Mrs. Mann's intransigence about the company's subrogation rights also may have been a breach. We need not grade the magnitude of these blunders. The center of the dispute was the subrogation right, not the order of performance.

Mrs. Mann also recites the policy's "mortgagee obligations clause" and argues that it requires the company to discharge her entire mortgage interest before she must assign the mortgage or part of it to the company. Her reliance on this clause is misplaced. By its own terms, the clause applies to the former mortgagee, Mrs. Mann's bank, not to Mrs. Mann herself. That clause refers only to the mortgage in existence when the policy was written, not to any subsequent mortgage interest. *Westchester Fire Ins. Co. of N.Y. v. Norfolk Bldg. & Loan Assn.*, 14 F.2d 524 (8th Cir.1926). The general subrogation clause, not the mortgagee obligations clause, governs the rights of the parties. And that clause clearly authorizes the company to require pro tanto assignments.⁷¹

II

While this litigation was pending, the Bateses defaulted on their mortgage payments. Mrs. Mann, again on advice of counsel, took back a deed in lieu of foreclosure. Because Nevada has no antideficiency legislation, a foreclosure action would have preserved her rights against the Bateses. But when Mrs. Mann chose to take a deed in lieu of

71. The subrogation clause states that the company "may require" an assignment of rights "to the extent" payment is made by the company. The company here took a subordinated position in the outstanding claim against the Bateses and the Bates

property. This position has the greatest support in precedents. See citations collected in R. Keeton, *Insurance Law* at 161 n. 11. See also, 6A J. Appleman, *Insurance Law and Practice* § 4071, at 192 (1969).

foreclosure, the deed discharged the Bateses and the mortgage debt entirely.⁷²

The company asserts that Mrs. Mann's destruction of the rights to which the company would have been subrogated destroys its obligation to pay her as mortgagee. An insured's violation of the insurer's subrogation rights does serve as a defense which the insurer can use to avoid payment of benefits to the insured. In a mortgagee-subrogation context, our court has held that destruction of the mortgage by the mortgagee defeats the mortgagee's right to recover from the insurance company. *Rosenbaum v. Funcannon*, 308 F.2d 680 (9th Cir.1962). See also *Insurance Co. of North Amer. v. Citizens Ins. Co. of N.J.*, 425 F.2d 1180 (7th Cir.1970). Mrs. Mann, by accepting the deed, discharged the Bateses of their debt and at the same time wiped out her insurable interest. Her claim against the insurance company could rise no higher than her claim against the Bateses. When that claim expired, her insurable interest and her rights under the policy expired.

The judgment is reversed.

72. The Deed in Lieu of Foreclosure stated that Mrs. Mann gave as consideration \$10 plus "full satisfaction of all obli-

gations secured by the Deed of Trust
* * *

South Dakota Case Law Involving Loss During the Pendency of a Contract for the Sale of Real Estate

The theory of allowing the buyer to force specific performance of the Contract for Sale, subject to an abatement (lowering of the price) in the amount of the damage was recognized in South Dakota in the case of *Russell v. Elliot*, 45 S.D. 184, 186 N.W. 824 (1922). Interestingly, this SD case served as the basis for an annotation on this subject reported at 22 A.L.R. 556.

Heinzman v. Howard, 348 N.W.2d 147 (S.D. 1984) states at [5] on page 149:

“Insurance proceeds from a policy purchased by the vendor do not flow to the vendees outright, but constitute a trust fund to be credited to the purchase price of the property for the benefit of the vendees.”

In the complicated case of *New Hampshire Ins. Co. v. Vetter*, 326 N.W.2d 723 (S.D. 1982), the trust fund theory was utilized to preserve insurance proceeds from a policy secured by a straw party who had been subsequently paid 100% of the purchase price in order to protect the party who was truly injured. The South Dakota Supreme Court rejected the argument that the straw party's insurable interest was extinguished when he received 100% of the purchase price from the buyer who then entered into a like-kind exchange with the party truly injured by the fire.

On a related matter: *Estate of Jackson*, 508 N.W.2d 374 (S.D. 1993) [life tenant purchased insurance on house, but died less than one month after hail damage to house – who gets insurance proceeds? Estate of life tenant or remaindermen of life estate? Trial court held for estate of life tenant following philosophy seen in *Russell v. Williams* (see sentence, “Analogously...” p. 585), but SD Supreme Court reversed and held for remaindermen because life tenant has obligation to make necessary repairs in favor of remaindermen]

XIV. Subrogation

Westfield Insurance Company, Inc. v. Melissa Rowe

2001 SD 87

631 N.W.2d 175 (S.D. 2001)

Gilbertson, Justice.

[¶1] At the time of their deaths, Robert and Rita Gallant (Gallants) were insured through Westfield Insurance Company (Westfield). Melissa Rowe and David Gallant (Rowe), as personal representatives of the Gallant estates, collected \$750,000 from the tortfeasor's liability carrier Great West Casualty Company (Great West). Rowe then sought underinsured motorist benefits from the Gallants' policy. Westfield denied those benefits and commenced this declaratory judgment action. The circuit court granted summary judgment to Westfield, from which Rowe has appealed. We affirm the circuit court's decision.

FACTS AND PROCEDURE

[¶2] Gallants were residents of Rapid City, South Dakota. Their vehicles were insured by Westfield. On December 21, 1998, while traveling in Arizona, Gallants were involved in a traffic accident when their motor home was hit by a tractor-trailer. Both died as a result of injuries sustained during the accident. The truck driver was employed by M.J. Carpenter, Inc., which was insured by Great West.

[¶3] Rowe received \$144,660.69 from Westfield to cover the property damage sustained in the accident. Pursuant to the policy language, Westfield requested reimbursement if Rowe received payment from Great West. Shortly after the accident, Great West paid Rowe the policy limits of \$750,000 in exchange for a release of its insureds. Westfield was informed of, and agreed to, this release. Rowe then submitted a claim to Westfield for underinsured motorist (UIM) benefits under Gallants' policy. The UIM policy limit is \$500,000 for "any one auto accident." Rather than differentiating between "per-person" and "per-accident" limitations, this "single limit" policy limits coverage to \$500,000 for any one accident. Westfield denied UIM benefits and instituted this declaratory action to determine the parties' rights. The circuit court granted summary judgment to Westfield, finding the "difference in limits" standard in SDCL 58-11-9.5 precluded Rowe from recovering benefits. The circuit court also found Westfield was entitled to reimbursement of the \$144,066.69 it previously paid Rowe for property damage. On appeal, Rowe raises two issues:

* * *

2. Whether Westfield is entitled to subrogation.

[¶13] **2. Whether Westfield is entitled to subrogation.**

[¶14] Westfield paid Rowe \$144,660.69 to cover property damage from the accident. At that time, Westfield requested reimbursement if Rowe received any payments from the tortfeasor. After Rowe

received the \$750,000 settlement from Great West, Westfield requested subrogation for the amount previously paid. Rowe argues that Westfield is not entitled to subrogation because they have not been made whole, as the damages suffered exceeded the \$750,000 settlement.

[¶15] We recognized in *Julson v. Federated Mut. Ins. Co.*, 1997 SD 43, ¶12, 562 NW2d 117, 121, that subrogation rights may arise independent of the common law “made whole” doctrine. In *Julson*, the insurance policy specifically provided the right of subrogation, without any requirement that the insured be made whole. *Id.* Likewise, Westfield’s policy provides:

If we make a payment under this policy and:

- a. The person to or for whom payment was made has a right to recover damages from another, we shall be subrogated to that right ...
- b. The person to or for whom payment is made recovers damages from another, that person shall: (1) hold in trust for us the proceeds of the recovery and (2) reimburse us to the extent of our payment.

Rowe can point to no language in the policy or statutory authority which restricts this right of subrogation to instances where the insured has been made whole. Therefore, Westfield is entitled to reimbursement of the \$144,660.69 it paid to Rowe.

[¶16] We affirm the trial court on both issues.

[¶17] MILLER, Chief Justice, and SABERS, AMUNDSON, and KONENKAMP, Justices, concur.

NOTE: This case is the subject of a case note. See Eric Pickar, “Westfield Insurance Co. v. Rowe: The South Dakota Supreme Court Rejects The Common Law ‘Made Whole’ Doctrine On A Property Insurance Subrogation Claim,” 47 South Dakota Law Review 316.

Stetina v. State Farm Mutual Auto Insurance Co.

Supreme Court of Nebraska, 1976
196 Neb. 441, 243 N.W.2d 341

White, Chief Justice

* * *

The facts giving rise to this case are not in dispute. On October 29, 1973, the plaintiff's daughter, Diane Stetina, a 17-year old high school student, was involved in an automobile accident. The car in which she was a passenger was struck by another vehicle driven by Vera Lusins. As a result of this accident, Diane was severely injured. The plaintiff, Diane's father, had incurred as of the date of filing the amended petition, about \$17,800 in medical expenses.

At the time of Diane's accident, the plaintiff, Frank Stetina, had in full force and effect two policies of insurance duly issued by the defendant State Farm. Each of the two policies carried medical payments coverage in the amount of \$5,000. The defendant State Farm also provided, at the time of Diane's accident, liability coverage and protection to Vera Lusins and her husband in the amount of \$50,000 for bodily injury to one person.

After negotiations between the plaintiff's attorneys and James Purdy, State Farm's agent and employee, a settlement of \$50,000 in satisfaction of all the claims of Diane and her parents against the Lusinses was reached. As part of this agreement, Frank Stetina, either individually as the parent of Diane or on her behalf as guardian, entered into covenant not to sue the Lusinses.

Following this settlement, medical bills incurred on behalf of Diane were presented to defendant State Farm and a demand was made for payment of the \$10,000 in medical payments coverage under Frank Stetina's policies with defendant State Farm. The claim of Frank Stetina was denied by State Farm, and this suit followed.

The District Court found that the plaintiff, by entering into the covenant not to sue the Lusinses, violated the provisions of the insurance policies the plaintiff had with State Farm, and that as a result, the plaintiff's right to recover medical payments was extinguished.

Relevant terms of the plaintiff's policies are as follows: "3. Assistance and Cooperation of the Insured. The insured shall cooperate with the company, and upon its request, attend hearings and trials, assist in effecting settlements, securing and giving evidence, obtaining the attendance of witnesses and in the conduct of any legal proceedings in connection with the subject matter of this insurance. The insured shall not, except at his own cost, voluntarily make any payment, assume any obligation or incur any expense other than for such first aid to others as shall be imperative at the time of the accident.

"4. Subrogation. Upon payment under this policy, * * * the company shall be subrogated to all the insured's rights of recovery therefor and the insured shall do whatever is necessary to secure such rights and do nothing to prejudice them.

"Upon payment under coverages C and M of this policy the company shall be subrogated to the extent of such payment to the proceeds of any settlement or judgment that may result from the exercise of any rights of recovery which the injured person or anyone receiving such payment may have against any person or organization and such person shall execute and deliver instruments and papers and do whatever else is necessary to secure such rights. Such person shall do nothing after loss to prejudice such rights."

* * *

Both sides agree that in the case where the tort-feasor is either uninsured or else insured by a different insurer, a general release, covenant not to sue, or similar agreement given to the tort-feasor by the insured destroys and prejudices the insurer's right of subrogation against the tort-feasor and consequently releases the insurer from liability to the insured. * * *

* * *

The plaintiff seeks to escape application of the above * * * principle to his case by pointing to the fact that, in this case, the tort-feasor, Mrs. Lusins, was also insured by defendant State Farm. The defendant argues that this circumstance is a fortuitous one and should not dislodge application of the above-cited cases and principle to this case. Resolution of the question presented by the facts of this case, one of first impression in this jurisdiction, requires a review of relevant and analogous authorities.

* * *

Two cases have been brought to our attention by the plaintiff involving factual situations closely on point with the facts of this case. We have carefully examined these cases and find them highly relevant to our disposition of this case.

Dupre v. Vidrine, 261 So.2d 288 (La.App., 1973), involved a suit by Dupre, a physician, for medical services rendered to Vidrine. Vidrine in turn brought in Southern Farm Bureau Casualty Insurance Company as a third-party defendant on the ground that he had a liability policy with Southern Farm which included medical payment coverage and that, under this, Southern Farm was liable for Dr. Dupre's bill. Vidrine had been involved in an automobile accident with Guillory, who was also insured for automobile liability by Southern Farm. Vidrine had settled with Guillory and had given him a written release in settlement of all claims against him and Southern Farm. Southern Farm, the third-party defendant, contended that Vidrine's release of the tort-feasor, Guillory, and his liability insurer destroyed Southern Farm's right of subrogation against the party responsible for the damages, and thereby extinguished Southern Farm's liability to Vidrine for medical payments. In rejecting Southern Farm's position, the court first cited cases recognizing the rule governing impairment of subrogation rights discussed supra, in situations where the tort-feasor is either uninsured or insured by a different insurance, and then commented: "These cases are distinguished from the present matter since they involved factual situations where the insured released a third party tort feisor and a different insurer, thus defeating the subrogation rights of the defendant insurer. In the present case, the insurer which was released is the same as the insurer whose subrogation rights were allegedly defeated, and the tort feisor is an insured of this same insurer. In effect, they are saying they should be discharged from liability because they have been deprived of a right of subrogation against themselves and their own insured. We fail to see how this can in any way be prejudicial to the defendant insurer." * * *

* * *

In a case not in point on the facts, the Louisiana Court of Appeal in a subsequent 1974 decision confirmed the *Dupre* case and perhaps clarified it. *Norris v. Allstate Ins. Co.* (La.App.), 293 So.2d 918. It specifically discussed the *Dupre* case and stated as follows: "Unquestionably, Southern Farm Bureau could have been deemed bound with or for Guillory for tort damages, including medical payments. Southern Farm Bureau was also responsible for the medical expenses through its contract with Vidrine. Southern Farm Bureau's position was one of dual responsibility. Two obligations arose, one in tort as the result of Guillory's negligence, one in contract as the result of the contract of insurance. Payment of one did not discharge the other. Subrogation would not have taken place on payment of one obligation, since the co-existing obligation remained viable. *Where no subrogation exists, there can be no impairment of subrogation rights.*" (Emphasis supplied.)

The event giving rise to the litigation in *Home Ins. Co. v. Pinski Bros., Inc.*, 160 Mont. 219, 500 P.2d 945 (1972), was a boiler explosion at a hospital. Home Insurance Company paid \$135,000 to the hospital and claimed subrogation to the rights of the hospital against those allegedly responsible for the explosion, including Pinski Brothers, the mechanical contractors, and the architects. The architects tendered defense of the suit to the Home Indemnity Company, a wholly owned subsidiary of plaintiff Home Insurance Company. It was stipulated that the two were one and the same corporate entity. The architects carried a comprehensive liability policy with Home Indemnity. Home Indemnity refused tender of the defense. The architects then hired their own defense counsel, alleged their insurance policy with Home Indemnity as a defense, and sought recovery of their attorneys' fees. The District Court gave summary judgment to Home Insurance Company against the architects on all issues of insurance coverage. On first appeal to the Supreme Court of Montana, the court held that the alleged negligence of the architects was within the coverage of the architects' comprehensive liability policy with Home Indemnity and remanded the case to the District Court for further consideration of the issues raised for summary judgment. Following the first appeal, the architects moved for summary judgment. The District Court granted the architects' motion for summary judgment and Home Insurance Company appealed. On second appeal, the Supreme Court of Montana affirmed the granting of the architects' motion for summary judgment by the District court. Finding the language and rationale of the court pertinent, we quote from the opinion at length: "There is yet a further and perhaps more cogent reason why summary judgment for the architects on Home's complaint against them is correct. Here, it is undisputed that the architects have insurance coverage to the extent of \$25,000 under their Home Indemnity comprehensive liability policy; that Home Indemnity and Home Insurance are one and the same corporate entity; that *Home as a subrogated insurer of one of its policyholders (The Deaconess Hospital) has sued another of its policyholders (the architects) whom it has insured against the very liability for which it seeks recovery in Count I of its complaint in an amount in excess of the policy limits.*

"Subrogation is an equitable right. * * * Accordingly, certain equity principles apply in determining subrogation rights: One who seeks equity must do equity, * * * One who seeks equity must come into court with clean hands, * * * 'No one can take advantage of his own wrong.' * * *

"To permit the insurer to sue its own insured for a liability covered by the insurance policy would violate these basic equity principles, as well as violate sound public policy. Such action, if permitted, would (1) allow the insurer to expend premiums collected from its insured to secure a judgment against the same insured on a risk insured against; (2) give judicial sanction to the breach of the insurance policy by the insurer; (3) permit the insurer to secure information from its insured under the guise of policy provisions available for later use in the insurer's subrogation action against its own insured; (4) allow the insurer to take advantage of its conduct and conflict of interest with its insured; and (5) constitute judicial approval of a breach of the insurer's relationship with its own insured.

* * *

In light of the above authorities and of considerations of public policy, we hold that under the circumstances of this case, the defendant State Farm had no right of subrogation against the tortfeasor, Mrs. Lusins. Since State Farm possessed no right of subrogation against Mrs. Lusins, the execution of the covenants not to sue the Lusinses by the plaintiff could not have harmed or prejudiced State Farm. "Where no subrogation exists, there can be no impairment of subrogation rights." *Norris v. Allstate Ins. Co.*, 293 So.2d 918 (La.App., 1974). Consequently State Farm's defense to the present action based upon violation of the policy provisions dealing with subrogation and cooperation must fail. It was error to grant defendant's motion for summary judgment.

The judgment of the District Court is reversed and the cause remanded for further proceedings in accordance with this opinion.

The following case and note following it were found in a prior edition of our casebook. This case is apparently the first reported decision dealing with the effort of a health insurer to seek subrogation on personal injury claim.

Frost v. Porter Leasing Corp.

Supreme Judicial Court of Massachusetts, Middlesex, 1982
386 Mass. 425, 436 N.E.2d 387

Hennessey, Chief Justice

* * *

Frank F. Frost was injured in a motor vehicle accident. At the time, he was a beneficiary of a group insurance policy issued to a union health plan and paid for by his employer. Frost submitted medical expense claims totaling \$26,566.04, and the insurer, The Union Labor Life Insurance Company (Union Labor), paid benefits of \$22,679.57.¹

The present case began as a tort action by Frost and his wife, Rilla Frost, against the owner and driver of the other vehicle involved in the accident. Frank Frost claimed damages for the medical expenses he had incurred, as well as for pain and suffering, impaired earning capacity, and future medical expenses. Rilla Frost claimed damages for loss of consortium.

Union Labor Intervened in the Frost's action, asserting a right of subrogation. Specifically, it claimed that, to the extent of the benefits it had paid to Frost, it was entitled to any damages Frost might recover from the defendants for medical expenses. Union Labor did not assert any claims directly against the tortfeasors.

Subsequently, the Frosts negotiated a settlement with the owner and driver of the other car. Frank Frost demanded \$500,000, and Rilla \$100,000. The parties agreed to a lump-sum settlement of \$250,000, the limit of the defendants' liability insurance policy. The case was dismissed as against the defendants, leaving the Frosts and Union Labor to dispute over the proceeds of the settlement. The judge then allowed the parties' motion for a report to the Appeals Court, see Mass.R.Civ.P. 64, 365 Mass. 831 (1974), and entered a memorandum of decision, in which he concluded that Union Labor enjoyed a right of subrogation in the proceeds to the extent of the benefits it had paid, less a share of the costs the Frosts had incurred in obtaining a settlement. We granted the Frosts' application for direct appellate review.

¹ The difference between Frost's claims and Union Labor's payments reflects a \$2,000 deduction for no-fault benefits Frost received under a separate policy, and a \$1,886.47 deduction according to limitations in the group insurance policy. Frost does not claim that the \$2,000 deduction for no-fault benefits was improper.

Subrogation is an equitable adjustment of rights that operates when a creditor or victim of loss is entitled to recover from two sources, one of which bears a primary legal responsibility. If the secondary source (the subrogee) pays the obligation, it succeeds to the rights of the party it has paid (the creditor or loss victim, called the subrogor) against the third, primarily responsible party. The doctrine of subrogation applies, within limits to be discussed shortly, to payments under policies of insurance. Upon payment, the insurer is entitled to share the benefits of any rights of recovery the insured may have against a tortfeasor for the same loss covered by the insurance. If the insured recovers from the tortfeasor, the insurer's right becomes a right to the proceeds in the hands of the insured.

An insurer's right of subrogation may be reserved in an agreement between the insurer and the insured, or may arise by implication, as a matter of general law. Here, Union Labor admits that Frost's insurance policy contained no provision for subrogation. Union Labor's claim is one of implied subrogation, and we express no opinion on the ability of parties to fix their rights by contract.

The reason for implied subrogation under contracts of insurance is to prevent an unwarranted windfall to the insured. If the insured recovers from both the insurer and the tortfeasor, his compensation may exceed his actual loss. Duplicative recovery is "a result which the law has never looked upon with favor." It is contrary to the indemnity purposes that underlie many insurance contracts, and produces a form of unjust enrichment. Further, duplicative recoveries by particular accident victims cause an inefficient distribution of the overall resources available for accident compensation. Subrogation returns any excess to the insurer, who can then recycle it in the form of lower insurance costs.

Nevertheless, rights of subrogation do not rise automatically upon payment of benefits under any contract of insurance. The availability of subrogation has generally depended on the type of coverage involved. Courts have readily implied rights of subrogation under policies covering property damage. The insurer's obligation under a policy of property insurance is viewed only as a duty to indemnify the insured for actual loss, and not as an absolute liability to pay a certain sum of money upon the happening of an event. Moreover, the insured's loss is generally liquidated, and tort recovery is comparable, if not identical, to insurance coverage. Therefore, the insured's actual loss, and the amount of any excess compensation from the combination of insurance proceeds and tort recovery, can be determined with certainty.

On the other hand, courts have not recognized implied rights of subrogation in the area of "personal insurance," a category that has included medical expense benefits as well as life insurance and other forms of accident insurance. Personal insurance is said to be less a contract of indemnity than a form of investment, imposing on the insurer an absolute duty to pay if the named condition occurs. Further the insured's receipt of both tort damages and insurance benefits may not produce a measurably duplicative recovery. The insured is likely to have suffered intangible losses that are unsusceptible to precise measurement, and the two sources of his recovery may cover different ranges of loss and be differently affected by considerations such as fault.

Commentators have objected to the courts' classification of medical expense policies with other forms of personal insurance, and have argued that subrogation rights should be implied upon payment of benefits for medical and hospital expenses. They point out that medical coverage, like property insurance, is designed to indemnify the insured for quantifiable economic losses, and bears little similarity to an investment.

Although we recognize the indemnity character of medical and hospital expense benefits, we do not feel that the principles that support subrogation under policies of property insurance would be served by extending implied rights of subrogation into the field of insurance for personal injuries. Subrogation rights, as we have said, are implied to prevent unwarranted compensation and to facilitate sound distribution of compensation resources. If medical expenses are isolated from the other consequences of an accident, excess compensation of an insured accident victim may appear definite and quantifiable. However, when subrogation is based on broad principles of equity and efficiency, rather than on the contract of the parties, isolation of medical expenses is artificial, and the accident victim's position should be viewed as a whole. Subrogation played no part in the bargain between insurer and insured,² and in this circumstance, the courts should not intervene to adjust the rights of the parties unless all the adverse consequences of the accident have been offset.

When the insured's losses are viewed in their entirety, duplicative compensation is both uncertain and unlikely. The insured may be faced with property damage, pain and suffering, and diminished earning capacity, in addition to medical bills. The costs of litigation, or the decision to settle, may reduce his overall recovery. Yet the insured's implied right of subrogation must be limited to excessive recovery if it is to conform to the purposes that justify it. Further, when the insured has not agreed to subrogation, doubt should be resolved in his favor.

Perhaps a formula could be devised by which subrogation could be confined to recapture of duplicative compensation. The insurer might, for example, be permitted to recover if it could demonstrate that the insured's net recovery (insurance proceeds and tort recovery, less costs of collection) exceeded fair compensation for the insured's losses. However, the costs of implementing the formula could well undercut its justifications, particularly when, as here, the insured had reached a lump-sum settlement with the tortfeasor. If the inquiry covered the insured's overall loss from the accident—as in fairness it should—determination of the extent of excess recovery could be equally as complex as the personal injury trial the original parties sought to avoid by settlement. Thus, litigation over subrogation would impose additional burdens on the insured, and cut into his overall compensation for injury. Moreover, this added step in the adjustment of rights would detract from any generalized benefits that subrogation might bring to the sound use and distribution of resources available to compensate loss. Much of the "windfall" produced by overlapping coverage would be absorbed by the costs of dividing it, rather than recycled to reduce the costs of insurance.

² Union Labor points out that the premiums for Frost's policy were paid by Frost's employer rather than by Frost himself. The fact that the benefits do not flow to the party who has paid premiums, however, should not detract from the force of legitimate expectations, both of the beneficiary and of the one who has paid. This is particularly true when, as here, the policy is an employment benefit, bargained for by the insured's union.

For these reasons, we conclude that, in the absence of a subrogation agreement between the insurer and the insured, an insurer that has paid medical or hospital expense benefits has no right to share in the proceeds of the insured's recovery against a tortfeasor. Accordingly, we answer the reported question in the negative.

So ordered.

* * *

Note

Is subrogation a good idea or a windfall for insurers who are compensated to assume all or some of the insured's risk? Although subrogation clauses are generally accepted in the context of property coverage, jurisdictions are split over their enforceability in personal injury policies, with a minority disallowing subrogation. For a cogent and concise argument urging adoption of the minority position through anti-subrogation legislation applicable to non-property damage claims, see Roger M. Baron, Subrogation in Medical Expense Claims: The "Double Recovery" Myth and the Feasibility of Anti-Subrogation Laws, 96 Dick.L.Rev. 581 (1992).

The following case involves the effort of an automobile insurer to seek subrogation on a personal injury claim in regard to its "medical payments" coverage.

Lee v. State Farm Mutual Insurance Company

Court of Appeal, Third District, 1976
57 Cal.App.3d 458, 129 Cal.Rptr. 271

EVANS, Associate Justice

Plaintiffs appeal from that portion of a summary judgment which declared valid provisions in automobile insurance policies issued by defendant requiring plaintiffs to reimburse defendant for certain medical payments received by plaintiffs pursuant to the insurance agreement.

Defendant appeals from that portion of the judgment which required it to pay a pro rata share of attorney's fees incurred by plaintiffs in securing a settlement or recovery out of which the reimbursement was required.

The following facts are not in dispute: from May 1965, through and including February 1968, the automobile insurance policies issued by defendant contained the following provisions:

"COVERAGE C – Medical Payments. To pay reasonable medical expenses incurred within one year from the date of accident:

" * * *

"Policy Conditions—Applicable to All Coverages Unless Otherwise Noted

" * * *

"4. Subrogation. Upon payment under coverages A, B, D, D-50, F, G, H, and division 1 of W-1 and W-2 of this policy the company shall be subrogated to all of the insured's rights of recovery therefor and the insured shall do whatever is necessary to secure such rights and do nothing to prejudice them.

"Upon payment under coverages C, of this policy the company shall be subrogated to the extent of such payment to the proceeds of any settlement or judgment that may result from the exercise of any rights of recovery which the injured person or anyone receiving such payment may have against any person or organization and such persons shall execute and deliver instruments and papers and do whatever else is necessary to secure such rights. Such person shall do nothing after loss to prejudice such rights."

* * * During October 1968 and thereafter, all policies issued by defendant contained the following two separate provisions providing for reimbursement:

“Policy Conditions

“ * * *

“4. Subrogation. Upon payment under this policy, except under coverages C, the company shall be subrogated to all the *insured's* rights of recovery therefor and the *insured* shall do whatever is necessary to secure such rights and do nothing to prejudice them.

“Upon payment under coverages C of this policy the company shall be subrogated to the extent of such payment to the proceeds of any settlement or judgment that may result from the exercise of any rights of recovery which the injured *person* or anyone receiving such payment may have against any *person* or organization and such *person* shall execute and deliver instruments and papers and do whatever else is necessary to secure such rights. Such person shall do nothing after loss to prejudice such rights.

“5. Trust Agreement—Coverages C, and U. In the event of payment to any *person* under coverage C,

“(a) the company shall be entitled to the extent of such payment to the proceeds of any settlement or judgment that may result from the exercise of any rights of recovery of such *person* against any *person* or organization legally responsible for the *bodily injury* because of which such payment is made;

“(b) such *person* shall hold in trust for the benefit of the company all rights of recovery which he shall have against such other *person* or organization because of the damages which are the subject of claim made under the coverages;

“(c) such person shall do whatever is proper to secure and shall do nothing after loss to prejudice such rights;

“(d) if requested in writing by the company, such *person* shall take, through any representative designated by the company, such action as may be necessary or appropriate to recover such payment as damages from such other *person* or organization, such action to be taken in the name of such *person*; in the event of a recovery, the company shall be reimbursed out of such recovery for expenses, costs and attorneys' fees incurred by it in connection therewith;

“(e) such *person* shall execute and deliver to the company such instruments and papers as may be appropriate to secure the rights and obligations of such *person* and the company established by this provision.” (Emphasis in original.)

Pursuant to cross-motions for summary judgment, the trial court rendered its judgment in favor of defendant on the question of the validity of the subrogation or reimbursement provisions of the various insurance policies.

These cross-appeals ensued presenting for our determination the following questions: * * *

(1) Are the policy provisions requiring reimbursement of medical payments void as an attempt to assign a cause of action for personal injury; and (2) should the “common fund theory” extend to defendant; requiring it, under the reimbursement provisions, to bear a pro rata share of attorney’s fees and costs incurred by its insured in securing a settlement or recovery against a third party tortfeasor.

* * * The Supreme Court of California has long adhered to the doctrine that if an injured party receives some compensation for his injuries from a source wholly independent of the tortfeasor, such payment should not be deducted from the damages which the plaintiff would otherwise collect from the tortfeasor. * * * [In] (*Helpend v. Southern Cal. Rapid Transit Dist.* (1970) 2 Cal.3d 1, 6, 84 Cal.Rptr. 173, 175, 465 p.2d 61, 63.) * * * the court in considering these circumstances said:

“The collateral source rule as applied here embodies the venerable concept that a person who has invested years of insurance premiums to assure his medical care should receive the benefits of his thrift. The tortfeasor should not garner the benefits of his victim’s providence.

“The collateral source rule expresses a policy judgment in favor of encouraging citizens to purchase and maintain insurance for personal injuries and for other eventualities. Courts consider insurance a form of investment, the benefits of which become payable without respect to any other possible source of funds. If we were to permit a tortfeasor to mitigate damages with payments from plaintiff’s insurance, plaintiff would be in a position inferior to that of having brought no insurance, because his payment of premiums would have earned no benefit. Defendant should not be able to avoid payment of full compensation for the injury inflicted merely because the victim has had the foresight to provide himself with insurance.”

* * *

“[T]he plaintiff receives no double recovery; the collateral source rule simply serves as a means of by-passing the antiquated doctrine of nonassignment of tortious actions and permits a proper transfer of risk from the plaintiff’s insurer to the tortfeasor by way of the victim’s tort recovery. The double shift from the tortfeasor to the victim and then from the victim to his insurance carrier can normally occur with little costs in that the insurance carrier is often intimately involved in the initial litigation and quite automatically receives its part of the tort settlement or verdict.” * * *

[I]t is well established in California that an assignment of a cause of action for personal injuries is void and in the absence of statutory authority, a cause of action for personal injury is not subject to subrogation. (*Block v. Cal. Physicians' Service* (1966) 244 Cal.App.2d 266, 270, 53 Cal.Rptr. 51.) However, the court in *Block* stated, at page 273, 53 Cal.Rptr. at page 55: "By becoming a member of the plan under a Group Health Service agreement plaintiff has voluntarily associated himself with the public policy of this state. While he has a right to seek to be made whole, it is unfair for him to seek enrichment by double recovery which would result from retention of all proceeds of the settlement of his suit * * * and of all medical and hospital benefits paid to him by defendant Service under its [insurance] agreement – for the same injuries – all eventually at the cost of the participating members of the plan." It has been clearly established in California that insurance contract provisions, although classified as adhesion contracts, requiring reimbursement of medical payments under the label of subrogation but providing only access to the proceeds of settlement or judgment resulting from the exercise of rights of recovery by the injured person, are valid and enforceable. * * *

Plaintiffs place emphasis upon the fact that each of the challenged provisions is prefaced by the label "subrogation." Subrogation or assignment of a cause of action for personal injury operates to transfer from one person to another that cause against a third party. The reasons of policy against the assignment or subrogation of certain personal causes do not apply to insurance policy provisions that merely require the insured to reimburse the insurer out of any recovery or settlement. Plaintiffs have stressed the use of the word "subrogation" in the insurance agreement while arguing against the requirement that the insured execute and deliver instruments and papers and do whatever else is necessary in order to secure the insurers' rights labeled "subrogation." The right of subrogation contained in each contract is stated to be " * * * to the extent of such payment to the proceeds of any settlement or judgment that may result from the exercise of any rights of recovery which the injured person or anyone receiving such payment may have against any person or organization * * * ." (Emphasis added.) The argument that the provision under attack is an assignment or true subrogation obviously fails. Substance rather than form is the determining factor. The right given to the insurer according to the terms of the policy is not to the chose in action but is to the proceeds of any settlement or judgment resulting from the exercise of the injured party's rights of recovery against a third party tortfeasor. The right of repayment, reimbursement or subrogation does not arise until the proceeds of settlement or judgment come into existence. * * *

The trial court properly held valid the so-called subrogation provisions of defendant's insurance policies.

Defendant State Farm Mutual Automobile Insurance Company appeals from that portion of the summary judgment awarding plaintiffs a pro rata share of their litigation costs and attorney's fees expended in procuring a settlement or recovery against possible third party tortfeasors. It is conceded that some of the plaintiffs were required to pay attorney's fees and costs in their process of securing settlement or recovery from which reimbursement was required. In support of its argument against the imposition of a pro rata share of such costs, defendant contends that its contracts of insurance do not provide for payment of any portion of its insureds' attorney's fees incurred while pursuing their personal right of recovery against third persons. Defendant asserts that in the absence of a controlling statute or an agreement between the parties, attorney's fees are generally not awarded to successful litigants. * * *

However, under certain circumstances, the inherent equitable powers of the court have been utilized to create exceptions to the basic rule on attorney's fees. The prime example is the "common fund" exception as described by the Supreme Court in *D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 112 Cal.Rptr. 786, 520 P.2d 10. The Court there, at page 25, 112 Cal.Rptr. at page 803, 520 P.2d at page 27, stated: "[W]hen a number of persons are entitled in common to a specific fund, and an action brought by a plaintiff or plaintiffs for the benefit of all results in the creation or preservation of that fund, such plaintiff or plaintiffs may be awarded attorneys fees out of the fund," * * * here, unless ordered to participate pro rata in plaintiff's attorney's fees and cost, defendant, as a passive beneficiary, would be unjustly enriched by reimbursement of medical payments as required by the provisions of the insurance contract.

The judgment is affirmed; each side shall bear its own costs.

Friedman, Associate Justice (concurring).

I concur, but with reluctance. My unwilling agreement results from the precedential force of *Block v. California Physician's Service* (1966) 244 Cal.App.2d 266, 53 Cal.Rptr. 51, and *West v. State Farm Mutual Automobile Ins. Co.* (1973) 30 Cal.App.3d 562, 106 Cal.Rptr. 486. In composite, these two decisions represent a creeping erosion of the anti-subrogation principle established at common law * * *. The successive amendments of State Farm's "reimbursement" clauses illustrate how eagerly and quickly the disingenuous draftsmen of insurance policies move into the gaps created by decisional erosion.

Although I respectfully suggest that the *West* decision was unrealistic, it is possible that State Farm's draftsmanship goes beyond the limits staked out in that case. The *West* decision expressly abstained from considering the effect of a clause requiring the insured to bring suit against the third party. (30 Cal.App.3d at p. 565, 106 Cal.Rptr. 486.) The present policy contains such a clause. The cumulative effect of the policy provisions is to create the economic reality of subrogation to the personal injury claim without its language.

The defendant insurance company argues that these clauses prevent double recovery. A liability insurance policy is a piece of merchandise. (See 7 Williston on Contracts, § 900, p. 34.) In a free society an individual may go out and buy and keep all the merchandise he desires. The question is not whether the policyholder is recovering from two sources but whether the insurance company is supplying the merchandise for which it exacted a premium. The double recovery argument is singularly unmoving. * * *

Bowen v. American Family Insurance Group

South Dakota Supreme Court
504 N.W.2d 604 (S.D. 1993)

AMUNDSON, Justice.

American Family Insurance Company (American Family) appeals from a final judgment awarding Darla Bowen (Bowen) a proportionate amount of attorney fees incurred in settling her personal injury claim which included American Family's subrogation interest. Bowen files notice of review. We affirm.

FACTS

Bowen was injured when she was involved in a motor vehicle accident with David Lee Tuenge (Tuenge) on May 20, 1990. Tuenge struck the rear of Bowen's vehicle when she slowed for traffic. Bowen was insured with American Family; Tuenge was insured with IMT Insurance Company (IMT).

Five days after the accident, on May 25, 1990, Carol Foster (Foster) of American Family wrote Tuenge to ascertain whether Tuenge was insured and, if so, with whom. Foster learned that Tuenge had a policy with IMT and that the IMT agent was State Bank of Rock Rapids, Iowa.

On June 1, 1990, IMT agreed to pay for all property damage to Bowen's vehicle. On July 10, 1990, Bowen retained Dean Nasser (Nasser) as counsel to represent her with respect to her personal injury claims. Nasser informed IMT of his representation two days later.

American Family notified IMT of its subrogation interest for medical expenses on August 6, 1990. IMT responded on August 28, informing American Family that its subrogation interest would be protected upon settlement with Bowen. American Family accordingly kept IMT apprised of the increasing amount of subrogation until it reached its maximum amount of \$2,000.00. On December 12, 1990, subsequent to receipt of IMT's letter, American Family sent Bowen a release and subrogation agreement requiring Bowen to do whatever was necessary to secure American Family's subrogation rights.

On April 18, 1991, Nasser reached a tentative settlement with IMT regarding compensation for Bowen's personal injuries. The agreement provided a total of \$16,500.00 in payments, \$2,000.00 of which would cover American Family's subrogation interest. Nasser contacted representatives of American Family to verify the amount of American Family's subrogation interest and informed them that such interest would be protected in the settlement subject to the apportionment of the costs of litigation (a one-third contingent of attorney fees plus sales tax and costs). Claiming its subrogation interest was protected through its own efforts and not those of Nasser, American Family denied any responsibility for attorney fees and demanded the entirety of its \$2,000.00 subrogation interest. Bowen was allowed to recover the \$14,500.00 balance of the settlement while the parties disputed whether the \$2,000.00 subrogation interest was subject to attorney fees.

Both parties filed motions for summary judgment which the court denied. The parties then submitted the issue of attorney fees to the court on stipulation. The trial court held that American Family was obligated for a proportionate share of attorney fees expended in reaching settlement. American Family appeals and Bowen files notice of review claiming that she was entitled to summary judgment as initially requested.

ISSUE

Whether an insurer's subrogation interest is subject to a proportionate share of attorney's fees incurred by the insured in securing settlement?

ANALYSIS

We will not disturb the findings of the trial court unless they are clearly erroneous. *Wiggins v. Shewmake*, 374 N.W.2d 111, 114 (S.D. 1985). "In applying this standard, we will overturn the findings of the trial court only when, after review of all the evidence, we are left with a definite and firm conviction that a mistake has been made." *Id.*

American Family asserts that Nasser played no role in securing its subrogation payment. It thus claims it should not be responsible for attorney fees on its subrogation proceeds. While this court has not previously addressed the issue of attorney fees in the recovery of a subrogated interest, we have long recognized that a subrogated interest may not be split from an insured's cause of action against a tort-feasor.

It is a well settled rule of law that an insurer is entitled to subrogation, either by contract or in equity for the amount of the indemnity paid. When the indemnity paid by the insurer covers only part of the loss, as in this case, leaving a residue to be made good to the insured by the wrongdoer, the right of action remains in the insured for the entire loss. In these cases the insured becomes a trustee and holds the amount of recovery, equal to the indemnity for the use and benefit of the insurer. The rule is founded on the principle that the wrongful act was single and indivisible, and gives rise to but one liability. Upon this theory the splitting of causes of action is avoided and the wrongdoer is not subjected to a multiplicity of suits. *Parker v. Hardy*, 73 S.D. 247, 248, 41 N.W.2d 555, 556 (1950) (citations omitted). *See also Sodak Distrib. Co. v. Wayne*, 77 S.D. 496, 499, 93 N.W.2d 791, 793 (1958). Bowen's cause of action against IMT thus included seeking the subrogation rights of American Family.

In addressing an insurer's responsibility for attorney fees on a subrogated claim, the Nebraska Supreme Court relied on the indivisibility of a claim as enunciated in *Parker*. *Krause v. State Farm Mutual Auto. Ins. Co.*, 184 Neb. 588, 169 N.W.2d 601, 604, modified, 184 Neb. 638, 170 N.W.2d 882 (1969). The court found that the insured's cause of action imposes on him a trust for the funds coming into his hands and obligates him, under a fiduciary duty, to account for a proportionate amount of the proceeds for the subrogation interest. *Id.* at 604. "The right to an attorney's fee follows as a matter of course, since the services rendered by the attorney are beneficial to the administration of the trust and the rights of the beneficiary and as such he is entitled to a proportionate award of an attorney's fee." *Id.* American Family was a beneficiary of Bowen's settlement. It naturally follows that American Family should bear a proportionate share of the attorney fees that were incurred in obtaining the settlement.

In addition, the Krause court reiterated the rule of law established in the seminal case of *United Servs. Auto. Ass'n v. Hills*, 172 Neb. 128, 109 N.W.2d 174 (1961).

"The applicable rule is that where the holder of the subrogation right does not come into the action, whether he refuses to do so or acquiesces in the plaintiff's action, but accepts the avails of the litigation, he should be subjected to his proportionate share of the expenses thereof, including attorney's fees."

Krause, 169 N.W.2d at 603 (quoting *Hills*, 109 N.W.2d at 177). This rule has subsequently been nearly unanimously adopted in all jurisdictions faced with the issue of attorney fees on a subrogated interest recovered either by judgment or settlement. *Krause*, 169 N.W.2d at 604; *State Farm Mutual Auto. Ins. Co. v. Geline*, 48 Wis.2d 290, 179 N.W.2d 815, 820 (1970); Annotation, *Right of Attorney for Holder of Property Insurance to Fee Out of Insurer's Share of Recovery from Tortfeasor*, 2 A.L.R.3d 1441 (1965).

American Family argues that it in no way joined Bowen's action, but settled its subrogation interest directly with IMT. While American Family was not actively involved in the settlement negotiation between IMI and Bowen, American Family did notify Bowen during the settlement negotiations time frame that Bowen was obligated to protect its subrogation interest. There is no question that American Family's policy with Bowen so provided.⁴

When so notifying Bowen, American Family sent its form release and subrogation agreement.⁵ This notice was given to Bowen approximately three months after American Family claims to have reached agreement with IMT. Notwithstanding this settlement of its subrogation interest, American Family's communications to Bowen made no mention of same. Likewise, neither the contract of insurance nor the subrogation agreement advise the insured that in fulfilling his duty of protecting the insurer's subrogation interest he will be responsible for all attorney fees incurred in obtaining settlement with the third party's insurer. There is no dispute of the fact that any claim for damages is the sole right of the insured. Therefore, until the insured has reached a settlement or obtained a verdict, there are no funds available to pay any subrogation interest of a claimant's insurer.

American Family relies on *Moyer & Moyer v. State Farm Mutual Ins. Co.*, 190 Neb. 174, 206 N.W.2d 644 (1973), wherein the insurer was not required to pay a proportionate share of attorney fees in recovering its subrogation interest. However, the insurer in *Moyer* was paid its subrogation interest by the third party *before* the insured was able to obtain a settlement. The court denied a recovery because the insurer had received no benefit from the insured's attorney. In this case, the communication from IMT to American Family clearly stated that American Family's subrogation interest would be protected "upon settlement with Miss Bowen." While American Family argues that its own communication with IMT insured the protection of its subrogation interest, it was Bowen's settlement with IMT that made the payment of American Family's interest possible. American

⁴ This policy issued to Bowen provides in part as follows:

Our Recovery Rights. If we pay under this policy, we are entitled to all the rights of recovery of the person to whom payment was made against another. That person must sign and deliver to us any legal papers relating to that recovery, do whatever else is necessary to help us exercise those rights and do nothing after loss to harm our rights.

When we pay damages under this policy to a person who also collects from another, the amount collected from the other shall be repaid to us to the extent of our payment.

PART VI – GENERAL PROVISIONS ¶ 5.

⁵ This subrogation agreement provides in the last paragraph as follows:

I also agree that said company shall be subrogated to all of my rights of recovery to the extent of the above-stated payment against any person or organization responsible for my loss, and I will execute and deliver instruments and papers and do whatever else is necessary to secure such rights and do nothing to prejudice such rights.

Family benefitted from Bowen's efforts in securing payment from a third-party—efforts American Family itself required of Bowen. American Family must accordingly bear a proportionate share of the cost of obtaining that benefit.

Under the facts of this case, we are not left with a definite and firm conviction that the trial court made a mistake in requiring the insurer to pay a proportionate share of attorney fees for the recovery of its subrogated interest. American Family argues that an award of attorney fees in this case will have a cataclysmic effect on the insurance industry. We do not perceive such an impact, since this decision is based solely on the facts presented in this litigation. Further, it is fairly obvious that a company can avoid attorney fees by simply providing for same in their contract of insurance or subrogation agreement. At a bare minimum, a company should at least make their insured aware that the company has settled its subrogation claim with the other party's insurer and will not be responsible for any attorney fees incurred by its insured in obtaining a settlement or judgment for their damages. If the insured is aware that his insurer will not pay any attorney fees, the injured insured can then avoid being obligated for attorney fees to his attorney on the total amount of a settlement or judgment. The order of the trial court is accordingly affirmed.

MILLER, C.J., and HENDERSON and SABERS, JJ., concur.

WUEST, J., concurs in result.

WUEST, Justice (concurring in result).

I concur in the result reached by the majority. In my opinion, however, the wrong standard of review has been applied. It is my opinion the standard of review presents a question of law rather than a factual question. We review questions of law by determining whether or not there has been an abuse of discretion by the trial court, while questions of fact are reviewed under a clearly erroneous standard. Under either standard, the trial court should be affirmed in this case.

Lastly, I would not advise the insurance company how to avoid payment of attorney fees. They can get that advice from their legal counsel and besides it is dicta.

Notes on *Bowen* and cites to Law Review Articles on Subrogation

Bowen v. American Family Insurance, 504 N.W.2d 604 (S.D. 1993)

Insurance sought recovery of \$2,000 paid for medical expenses from proceeds of \$16,500 generated from insured's settlement with tortfeasor. Trial court ruled that insurer had to pay its proportionate share of attorney fees incurred in settlement. SD Supreme Court affirmed.

All five justices voted to affirm. The majority opinion is authored by Justice Amundson. Excerpts from that opinion follow here:

"American Family benefitted from Bowen's efforts in securing payment from a third party – efforts American Family itself required of Bowen. American Family must accordingly bear a proportionate share of the cost of obtaining that benefit." 504 N.W. at 607.

"American Family argues that an award of attorney fees in this case will have a cataclysmic effect on the insurance industry. We do not perceive such an impact, since this decision is based solely on the facts presented in this litigation. Further, it is fairly obvious that a company can avoid attorney fees by simply providing for same in their contract of insurance or subrogation agreement ... If the insured is aware that his insurer will not pay any attorney fees, the injured insured can then avoid being obligated for attorney fees to his attorney on the total amount of a settlement or judgment." 504 N.W.2d at 607.

Justice Wuest wrote a very brief concurring opinion. Part of that opinion states:

"Lastly, I would not advise the insurance company how to avoid payment of attorney fees. They can get that advice from their legal counsel and besides it is dicta." 504 N.W.2d at 607 (J. Wuest, concurring).

Law Review Articles:

Roger M. Baron, "Subrogation: A Pandora's Box Awaiting Closure,"
41 S.D. Law Review 237 (1996)

F. Joseph Dubray, "A Response to the Anti-Subrogation Argument: What Really Emerged From Pandora's Box," 41 S.D. Law Review 264 (1996)

Rebecca L. Morlock, "*Bowen v. American Family Insurance Group*: An Unsettling Change in South Dakota Subrogation Law," 41 S.D. Law Review 335 (1996)

SD Case Law on Subrogation or Reimbursement on Personal Injury Claims

Schuldt v. State Farm Mut. Auto. Ins., 238 N.W.2d 270 (S.D. 1975)

D.J. action by insured to have subrogation clauses on "medical payments" coverage declared invalid. Summary Judgment for Insurance Co. Affirmed. [the court finds no problem with the common law rule which prohibits the assignment of personal injury claims – subrogation outright is permitted, no need to consider it just "reimbursement" as seen in some jurisdictions.]

Liberty Mutual Ins. Co. Et ux v. Garry, 1998 SD 22, 574 N.W.2d 895 (S.D. 1998)

"Make Whole" doctrine is rejected in "workers comp" setting. SDCL 62-4-39 provides clear and unambiguous right of subrogation. This statute also requires that subrogated insurer must bear its share of expenses which includes the attorney fee award of up to 35% of the recovery.

Zoss v. Dakota Truck Underwriters, ["Zoss I"] 1998 SD 23, 575 N.W.2d 258 (S.D. 1998)

Although the worker's comp insurer has the right of subrogation, it does not extend to damages awarded for loss of "consortium." Damages recovered for "pain and suffering" are subject to insurer's claim of subrogation, less expenses. This is a complicated case with the court pointing out how to figure the obligation of the insurer to make its monthly payments of \$1113/month in light of widow's recovery of \$215,000 from tortfeasor.

Zoss v. Dakota Truck Underwriters, ["Zoss II"] 1999 SD 37, 590 N.W. 2d 911 (S.D. 1999)

Clarification provided. Insurer has no right of subrogation as to any portion of recovery which is considered "pecuniary loss." And, "pecuniary loss" is much broader than mere loss of consortium. "Pecuniary loss" encompasses loss to spouse or child of such things as "protection, guidance, advice and assistance." Also, "pecuniary loss" is not limited to time between injury and death (as is loss of consortium). "Pecuniary loss" benefits are those which spouse and children might reasonably be expected to derive from decedent had life not been terminated.

Met Life Auto and Home Insurance v. Lester

Met Life Auto and Home Insurance Company v. Lester, 2006 SD 62, 719 N.W.2d 385. This involves a claim related to property damage which occurred when TF backed his car into brick wall owned by plaintiff. Plaintiff's homeowners insurer paid \$2,685.18, based on estimate of \$3,685.18, but insured believed that his damages were greater. (There was a \$1,000 deductible.) Insured brought claim against tortfeasor and collected \$9,000. Insured resisted subrogation claim by his homeowners insurer claiming he was not "made whole." The trial court agreed with insured, holding that the policy language was not sufficient to negate the make whole doctrine. The SD Supreme Court reversed, once again rejecting the "make whole" doctrine in a property insurance setting. The opinion states, "We are well aware of the public policy arguments advanced in [the law review article written by Eric Pickar]. Any significant alteration in the law of contractual subrogation as suggested in that article would be within the province of the South Dakota Legislature." ¶ 20. This opinion is by Circuit Judge Myren (sitting for Justice Sabers). Justice Meierhenry dissented on this issue stating, "[I]n the absence of a subrogation clause, this Court would undoubtedly allow an insurer to subrogate based on the equitable principles of subrogation. In the absence of specific language to the contrary, the insured should also be allowed to invoke the equitable principles of subrogation – in this case, the 'made whole' doctrine. The principles of fairness inherent in equity should run to both the insurer and the insured." ¶ 32.

XV.

Subrogation/Reimbursement under ERISA

ARTICLES

Subrogation on Medical Expense Claims:
The “Double Recovery” Myth and the
Feasibility of Anti-Subrogation Laws

Roger M. Baron *

“Subrogation is a windfall to the insurer. It plays no part in rate schedules”
Edwin W. Patterson

A. FMC Corp. v. Holliday: *The United States Supreme Court Distinguishes Self-Insurers from Regulated Insurers Providing an Impetus for Reconsideration of the Minority View*

In *FMC Corp. v. Holliday*,³⁵ the Supreme Court addressed whether the anti-subrogation law of Pennsylvania would prohibit subrogation by an ERISA health care benefit provider.³⁶ The plan at issue contained a subrogation clause under which a plan member agreed to reimburse the plan for benefits if the member recovered on a claim in a liability action against a third party.³⁷ Even though the plan member's medical expenses exceeded \$178,000 and the plan member had recovered only \$49,000 from the tortfeasor's liability insurer,³⁸ the plan demanded reimbursement.³⁹

The plan member relied on Pennsylvania's Motor Vehicle Responsibility Law which denied either subrogation or reimbursement on such medical expenses.⁴⁰ The Supreme Court held that since the plan was self-funded, the provision of ERISA stating that employee benefit plans shall not "be deemed to be an insurance company"⁴¹ controlled the issue of reimbursement.⁴² Therefore, the court held that ERISA preempted application of the Pennsylvania statute to the self-funded employee benefit plan.⁴³ The Court did note that a regulated insurance company insuring an employee benefit *would be subject to the anti-subrogation law of Pennsylvania*.⁴⁴ The message was clear in *FMC Corp.* That only self-funded plans enjoyed the exemption and that regulated insurers must follow both direct and indirect state regulation.⁴⁵

³⁵ 111 S.Ct. 403 (1990).

³⁶ *Id.* at 405.

³⁷ *Id.* at 405-06.

³⁸ *FMC Corp. v. Holliday*, 885 F.2d 79, 80 (3d Cir. 1989).

³⁹ *FMC Corp. v. Holliday*, 111 S.Ct. 403, 406 (1990).

⁴⁰ *Id.*

⁴¹ See 29 U.S.C. § 1144(b)(2)(B) (1988).

⁴² *FMC Corp.*, 111 S.Ct. at 409.

⁴³ *Id.* at 411.

⁴⁴ *FMC Corp. v. Holliday*, 111 S.Ct. 403, 409 (1990). The Court stated that: On the other hand, employee benefit plans that are insured are subject to indirect state insurance regulation. An insurance company that insures a plan remains an insurer for purposes of state laws "purporting to regulate insurance" after application of the deemer clause. The insurance company is therefore not relieved from state insurance regulation. The ERISA plan is consequently bound by state insurance regulations insofar as they apply to the plan's insurer.

Id.

⁴⁵ *Id.* The dissenting opinion in *FMC Corp.* criticizes the distinction made by the majority and would hold both regulated insurers and self-funded plans subject to the state's anti-subrogation law. See *id.* at 411-15 (Stevens, J., dissenting).

ANTI-SUBROGATION LAW

Subrogation results in a windfall to regulated insurers because subrogation claims are not anticipated when insurers set rates.⁴⁶ Conversely, the "windfall" effect of subrogation is non-existent in the self-insurance context because the insureds' contributions are determined by actual losses and subrogated recoveries. The Supreme Court's line-drawing between self-insurers and regulated insurers should serve as impetus for reconsideration of anti-subrogation's merits. The "windfall" aspect of subrogation, as well as the myth of a "double recovery," deserve analysis and consideration by those jurisdictions adhering to the majority view.

* * *

Portions of ERISA

The “preemption clause” – 29 U.S.C. 1144 (a):

“Except as provided in subsection (b) of this section, the provisions of this subchapter and subchapter III of this chapter shall supersede any and all State laws insofar as they may now or hereafter relate to any employee benefit plan described in section 1003(a) of this title and not exempt under section 1003(b) of this title. This section shall take effect on January 1, 1975.”

The “saving clause” – (b)(2)(A):

“Except as provided in subparagraph (B), nothing in this subchapter shall be construed to exempt or relieve any person from any law of any State which regulates insurance, banking, or securities.”

The “deemer clause” – (b)(2)(B)

“Neither an employee benefit plan described in section 1003(a) of this title, which is not exempt under section 1003(b) of this title (other than a plan established primarily for the purpose of providing death benefits), nor any trust established under such a plan, shall be deemed to be an insurance company or other insurer, bank, trust company, or investment company or to be engaged in the business of insurance or banking for purposes of any law of any State purporting to regulate insurance companies, insurance contracts, banks, trust companies, or investment companies.”

Our prior look⁶ at ERISA did not require looking at the “deemer clause” but the case of *FMC Corp. v. Holliday* does involve the “deemer clause.”

The state law involved was a Pennsylvania statute which denied subrogation.

Under the “preemption clause” – “any and all state laws” are preempted – so the health plan could enforce right of subrogation

One could argue the “saving clause” kicks in and says that the plan is not exempted or relieved “from any law...which regulates insurance...” and the state statute denying subrogation is a law regulating insurance – Good Argument

BUT, the “deemer clause” comes back and states that an “employee benefit plan” shall NOT “be deemed to be an insurance company or other insurer”

Therefore, the “preemption clause” causes the state statute to be preempted and it is not saved for an employee benefit plan – although it would be saved (applicable) to an insurance company or insurer...

⁶ Bad faith cause of action preempted in *Pilot Life* case discussed in the main Casebook

§ 502(a)(3) of ERISA, found at 29 U.S.C. § 1132(a)(3)

§ 1132 Civil Enforcement

(a) Persons empowered to bring a civil action

A civil action may be brought--

(1) by a participant or beneficiary--

(A) for the relief provided for in subsection (c) of this section, or

(B) to recover benefits due to him under the terms of his plan, to enforce his rights under the terms of the plan, or to clarify his rights to future benefits under the terms of the plan;

(2) by the Secretary, or by a participant, beneficiary or fiduciary for appropriate relief under section 1109 of this title;

(3) by a participant, beneficiary, or fiduciary

(A) to enjoin any act or practice which violates any provision of this subchapter or the terms of the plan, or

(B) to obtain other appropriate equitable relief

(i) to redress such violations or

(ii) to enforce any provisions of this subchapter or the terms of the plan;

Harsh 8th Circuit Decision under ERISA

Mcintosh v. Pacific Holding Co., 992 F.2d 882, 885 (8th Cir. 1993), cert denied, 510 U.S. 965, 114 S.Ct. 441, 126 L.Ed.2d 375 (1993). (appeal from federal district court in Omaha)
[ERISA plan which paid over \$430,000 in medical expenses held to have the right of reimbursement to entire \$250,000 settlement]

Ninth Circuit View

(contrary to all other circuits) prior to *Knudson*

Existing case law in the Ninth Circuit had established that an action seeking a judicial decree of reimbursement was not "equitable" relief under this statutory provision and that such an action was, therefore, not authorized by ERISA.

Great West Life and Annuity v. Knudson

Great-West Life & Annuity v. Knudson, 534 U.S. 204, 122 S. Ct. 708, 151 L.Ed.2d 635 (2002) was decided on January 8, 2002. This case arose in California. Janette Knudson was injured in a car accident and rendered a quadriplegic. ERISA plan paid \$411,157.11 of her medical expenses. (Actually, the plan covered \$75,000 of the expenses and the remainder was paid by Great-West Life & Annuity Insurance pursuant to its "stop loss" agreement maintained with the plan.) Knudson sued the manufacturer of the car in which she was riding and other alleged tortfeasors in California state court. A settlement of \$650,000 was negotiated. Proceeds were allocated as follows:

- \$373,426 for attorney's fees and costs,
- \$256,745.30 to a Special Needs Trust which, under California law, exists to provide for continuing medical care for Knudson,
- \$5,000 to the California state Medicaid program, and
- \$13,828.70 for reimbursement to the ERISA plan and its insurer

(Not close to covering the \$411,157.11 paid by plan)

The 9th Circuit held that the ERISA Plan and its insurer were not permitted to bring suit against the beneficiary, Janette Knudson.

The U.S. Supreme Court affirmed the Ninth Circuit

U.S. Supreme Court Affirmed the 9th Circuit holding that ERISA Plan and its insurer were not permitted under ERISA statute to bring suit for reimbursement. The custodian of the funds (the "Special Needs" trustee) was not a defendant in the suit, so there was no money or res upon which the court could impose a lien or constructive trust. This was a 5/4 opinion with the majority opinion by Justice Scalia who construed the ERISA provisions narrowly restating the Court's view that there is "strong evidence that Congress did not intend to authorize remedies that it simply forgot to incorporate expressly." The Court rejected the argument that this was a suit for "equitable restitution," pointing out that this was a suit for personal liability, a suit for money damages and, as such, was really a suit for "legal restitution." The Court also rejected various arguments which sought to characterize the relief sought as "injunctive" or as some other form of "equitable relief." No discussion of any "policy considerations" as to whether or not reimbursement "should" or "should not" be permitted.

Sereboff and Ahlborn

Sereboff v. Mid Atlantic Medical Services, Inc.

In *Sereboff v. Mid Atlantic Medical Services, Inc.*, 126 S.Ct. 1869, 74 USLW 4240, 164 L.Ed.2d 612 (May 15, 2006), the ERISA plan sought reimbursement of \$75,000 paid in medical bills from a tort settlement of \$750,000. The plan sued the beneficiaries who had possession of the settlement funds and who agreed to preserve the funds in an investment account.

The U.S. Supreme Court permitted the suit, holding that the ERISA plan was authorized to pursue an equitable claim for constructive trust or equitable lien on a specifically identified fund in the defendants' possession to enforce the ERISA plan's "contractual right of reimbursement." Unanimous decision by C.J. Roberts, distinguishing *Knudson* by saying, "Great-West did not seek to recover a particular fund from the defendant. Mid Atlantic does."

The Ahlborn decision (Medicaid)

The facts in *Arkansas Department of Health and Human Services et al. v. Ahlborn*, 126 S.Ct. 1752, 74 USLW. 4214, (May 1, 2006) reveal that Heidi Ahlborn, a 19 year old aspiring teacher and college student, received severe and permanent injuries in a car accident. She sustained brain damage, was unable to complete college, and rendered incapable of pursuing her career choice. Ahlborn's claim against the tortfeasors was reasonably valued at \$3,040,708.18, an amount agreed upon through stipulation by the parties. The state of Arkansas had passed statutes which would entitle it to reimbursement of funds expended by it for Medicaid payments for an individual recipient. The Arkansas statute (as interpreted by the Arkansas Supreme Court) required that full reimbursement be taken out of any and all funds received by the Medicaid recipient from a tort settlement. In this case, Medicaid paid \$215,645.30 for medical bills incurred by Ahlborn. The tort settlement was \$550,000 and did not allocate between categories of damages. The parties did stipulate, however, that the settlement was approximately one-sixth (1/6) of the reasonable value of the recipient's claim, \$3,040,708.18. As a result, the recipient Ahlborn asserted that the state of Arkansas would be entitled to only that portion of the settlement which corresponded to medical payments, i.e., approximately one-sixth (1/6) of \$215,645.30 or \$35,581.47. The state of Arkansas sought 100% reimbursement of its expenditure of \$215,645.30.

The federal trial court ruled for the state of Arkansas, allowing it 100% reimbursement. The Eighth Circuit reversed, agreeing with Ahlborn's position that Medicaid should be reimbursed only 1/6 of its medical payments.

The U.S. Supreme Court affirmed the Eighth Circuit in a unanimous opinion authored by Justice Stevens.

Excerpts From
55 MERCER LAW REVIEW 595 (2004)

Public Policy Considerations Warranting Denial of Reimbursement to ERISA Plans: It's Time to Recognize the Elephant in the Courtroom

by Roger M. Baron*

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* Professor of Law, University of South Dakota. University of Missouri-Columbia (B.S., 1973; J.D., 1976). The Author wishes to thank Robert A. Sachs, Attorney and Adjunct Professor of Law, as well as Professor Michael J. Myers, for their review of an earlier draft of this Article and for their insightful comments.

I. INTRODUCTION

A number of recent federal court opinions,¹ including a decision by the United States Supreme Court, have denied plans falling under the Employee Retirement Income Security Act of 1974 ("ERISA")² the opportunity to seek reimbursement for medical expenses paid for plan members.³ Without delving into the weighty policy considerations that support these decisions, the courts rendering these decisions have constrained their analyses to simple statutory construction of the relevant provisions of ERISA. As a result, these decisions might appear to be hyper-technical on the surface. However, significant policy considerations underlie the results. This Article will explore the policy considerations that support the notion that reimbursement should be denied to ERISA plans. As suggested in the title to this Article, one does not have to go far to find them; they are as significant and as obvious as an elephant would be in the courtroom; an elephant that exists but is not acknowledged. This Article will also address opposing considerations, which are urged in support of reimbursement.

Given that these decisions reach the right result, the reader might question the need for this Article. Why write an article that "supports" these decisions? The answer is simple. The law is far from settled. The leading case in this area, *Great-West Life & Annuity Insurance Co. v. Knudson*,⁴ was decided by the United States Supreme Court and leaves many unanswered questions. Litigation over reimbursement abounds. Furthermore, a few federal courts have established new reasons to permit reimbursement.⁵ As this intense struggle continues in our judicial system, the time has come for the courts to look directly at the significant policy considerations at hand.

I have previously published two articles which address the issues associated with the extension of subrogation into the arena of personal injury claims. This Article addresses related aspects of these same issues as they are now found to exist in the context of health insurance offered by ERISA plans. In that regard, this Article tends to "pick up" where the earlier articles have "left off." My previously published articles, which serve as the foundation for this Article, will be found cited in some of the footnotes to this Article.

1. These cases are cited and discussed immediately below in the text and footnotes.
2. 29 U.S.C. § 1001-1461 (2003).
3. The denials also extend to commercial insurers having agreements with these plans.
4. 534 U.S. 204 (2002).
5. For cases discussing the "possession theory," see *infra* notes 90-94 and accompanying text.

This Article will demonstrate that the public policy considerations that warrant denial of reimbursement are deeply rooted in equity and in common law. Furthermore, these historical considerations remain intact because ERISA itself neither permits nor endorses the concept of reimbursement. To the contrary, the declaration of congressional policy found in ERISA suggests that the scheme was designed to assure an "equitable character of such plans" for the benefit of "the interests of employees and their beneficiaries."⁶ Against the historical background that existed at the time ERISA was enacted, Congress has indicated that the goal of full and just compensation for employees and their beneficiaries should carry a higher priority than the goal of strictly upholding plan documents as unilaterally drafted and amended by ERISA plans.

This Article will also address the related assertion by ERISA plans and their insurers that without reimbursement, plan funds are drained, which adversely and significantly impacts rates. This Article will also address the argument that without reimbursement, the insured receives a "windfall"—an argument which still occasionally arises. The sad fact in the vast majority of these critical injury cases is that the insured is left not only seriously impaired for life, but, if reimbursement is permitted, the insured is also left financially destitute.

II. EXISTING FEDERAL DECISIONS DENYING REIMBURSEMENT

A. Knudson, *The Point of Beginning*

The chronological point of beginning lies in the decisional law of the United States Court of Appeals for the Ninth Circuit.⁷ The most appropriate place to begin this discussion, however, is with the United States Supreme Court decision in *Great-West Life & Annuity Insurance Co. v. Knudson*,⁸ which was decided on January 8, 2002. This case arose in California and was just one of many cases in which the Ninth Circuit simply followed its well-established rule in cases of this nature.⁹

Janette Knudson was injured in a car accident and rendered a quadriplegic. The ERISA plan paid \$411,157.11 of her medical expenses. Actually, the plan covered \$75,000 of the expenses, and the remainder

6. 29 U.S.C. § 1001(a) (2000). This is discussed more fully in *infra* notes 130-31.

7. *FMC Med. Plan v. Owens*, 122 F.3d 1258 (9th Cir. 1997). See generally Lisa M. Bleed, *Enforcing Subrogation Provisions as "Appropriate Equitable Relief" under ERISA Section 502(a)(3)*, 35 U.S.F. L. REV. 727, 736-39 (2001).

8. 534 U.S. 204.

9. Bleed, *supra* note 7, at 738 n.83.

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Roger Baron
Professor of Law
University of South Dakota
414 East Clark Street
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Dear Roger:

Thank you for contacting me about the issue of subrogation and for sharing the articles from *Smart Money* magazine. I appreciate hearing from you.

As you know, Congress has been debating a number of issues regarding ERISA related to the Patient's Bill of Rights. The problems stemming from ERISA - including the legal protection it provides insurers - are central to the patient protection debate. While subrogation has not been part of the current Patient's Bill of Rights discussion, I am interested in knowing more about it.

I have asked my staff to follow up with you to learn more about the issue. Thanks again for your letter. Please keep in touch.

With best wishes, I am

Sincerely,

Tom

Tom Daschle
United States Senate

TAD/dsg

Washington

HMOs exercising right to sue patients

By William M. Welch
USA TODAY

WASHINGTON — Health insurers who are trying to stop patients' rights legislation in Congress say they need to keep a federal law that shields them from costly lawsuits. Yet many health plans are going to court themselves to sue patients to recover the costs of care.

Health experts say a drive for more revenue has prompted HMOs and other managed-care plans to demand reimbursement from patients who receive settlements or court awards for injuries that require medical care.

"It's very much an increasing trend," says Roger Baron, a law professor at the University of South Dakota who has studied the issue. "When things started getting tight, HMOs started really going after these dollars. It's a billion-dollar business."

Rep. Greg Ganske, R-Iowa, a sponsor of a bill that would scale back HMOs' protection against lawsuits, calls it a "dirty little secret of managed care." Insurers, Ganske says, some-

times even seek reimbursement for the full price of medical procedures when they actually paid a discount rate to hospitals and doctors.

Health insurers say they are acting to keep premiums low for everyone. Lou Soccoccio, general counsel of the American Association of Health Plans, a trade group of HMOs, says insurers seek repayment when patients receive medical compensation from third parties, such as drivers who cause accidents or those drivers' liability insurance companies.

"An individual should be compensated once for those sets of costs, not twice," Soccoccio says. "It's a rational and reasonable concept."

Patients and their lawyers say they often collect only part of what they are awarded. Payments to health plans can erode funds intended to provide lifetime care for disabled victims, they say. More fundamentally, they ask: What is the value of health insurance if it doesn't cover medical care? Some states limit or bar health plans from seeking re-



By Steve Pope, AP

Ganske: Lawmaker calls it insurers' "dirty little secret."

imbursements. However, health insurers say they are exempt from those restraints because of a federal law passed in 1975 that pre-empts state regulation of health insurance provided by employers.

Federal courts have issued conflicting rulings on whether those state laws apply; both sides say the Supreme Court might have to resolve the issue. That same federal law is at the heart of the battle over patients' rights legislation. It gen-

erally blocks lawsuits against HMOs for improper or denied health care. Patients' lawsuits usually are limited to the cost of treatment.

The House of Representatives faces a decision next week on whether to revise that law and permit broader lawsuits, such as for punitive damages. The Senate approved a similar bill last month.

Patients and families are often shocked to find themselves in a legal fight over medical expenses after treatment.

"When I found out they were suing me, I was outraged," says Susan DeGarmo, a mother in Wheeling, W.Va., whose 10-year fight became a successful class-action lawsuit.

In 1990, her son, Stephen, then 10, was struck by a pickup while riding his bicycle to a football game. His injuries left him paralyzed. The family sued the driver and was awarded \$1.9 million but collected only \$950,000 because of the limitations of his auto insurance.

Then DeGarmo's HMO, Health Plan of the Upper Ohio Valley, sued the family to re-

cover \$128,000 for Stephen's care. DeGarmo's lawyer, Don Kresen, found documents that he says showed that the HMO paid less to treat Stephen.

Kresen estimates that the HMO spent \$70,000; the HMO says the figure was more than \$100,000.

The family filed a counterclaim charging the HMO with fraud. It was later expanded to a class action on behalf of 3,500 other patients billed for reimbursement at full rates.

The health plan settled for \$9 million. Last month, a federal judge approved another \$3 million settlement by the health plans collection agency.

"If you have a devastating injury like this, the last thing you expect is the HMO comes back and says all that (premium) payment doesn't matter, and you have to pay us," Kresen says. "They sued a paralyzed child."

Bob Kota, general counsel for Health Plan of the Upper Ohio Valley, says the health plan "never thought it was doing anything wrong, nor did it mean to do so."

State Law

CUTTING-EDGE IDEAS, TRENDS AND STRATEGIES FROM ACROSS THE COUNTRY

Subrogation Statute Is Unconstitutional

Where an injured worker's tort settlement was subject to his workers' comp insurer's right of subrogation, this state statute is unconstitutional, says the Ohio Supreme Court.

The provisions that the court found violated the state constitution are unique to Ohio. But this is apparently the first state supreme court in the country to strike down a subrogation statute.

Experts say that subrogation is a very hot issue for plaintiffs' lawyers.

"Every state I know of has a statute that allows subrogation for workers' comp payments," says University of South Dakota law professor Roger Baron.

"All plaintiffs' lawyers are [having] to face these problems because workers' comp carriers have become more aggressive," says Steven Goren, a plaintiffs' personal injury lawyer in Bingham Farms, Mich.

However, the Ohio statute "is much more onerous than 95% of other state statute," notes Toledo, Ohio, attorney Jack Fynes, who represented the plaintiff. "It suffers from deficiencies that other states have provided safeguards against."

Construction Worker

In this case, a highway construction worker was injured on the job. He received over \$190,000 in workers' comp benefits. The state filed a subrogation claim against any settlement or judgment that he might receive from tort claims arising from the accident.

The plaintiff challenged the state's right to subrogation, arguing that the statute was unconstitutional.

The statute provides that a "subrogation interest includes past payments of compensation and medical benefits and estimated future values of compensation and medical benefits."

The state argued that this prevented workers from receiving a "double recovery."

But the court said that "[b]y giving the subrogee a current collectible interest in estimated future expenditures, [the statute] creates the conditions under which a prohibited taking may occur. This would happen in those situations where the amount of reimbursement...proves to be substantially greater than the subrogee's eventual compensation outlay. In other words, [the statute] requires the claimant to reimburse the [workers' comp board] or self-insuring employer for future benefits that the claimant may never receive. In that event, the statute operates not to prevent the claimant from

keeping a double recovery but to provide the statutory subrogee with a windfall at the expense of the claimant's tort recovery...

"The only...resolution achieved by [the statute] is to provide immediate recovery to the subrogee by imposing the risk of liability for overestimated future expenditures upon the claimant...[But] unlike the tortfeasor, the claimant is innocent; and it is irrational and arbitrary to impose this kind of risk upon an innocent party."

The statute also provides that "[t]he entire amount of any settlement...is subject to the subrogation rights...regardless of the manner in which the settlement or compromise is characterized."

The court said this was unconstitutional as well.

"The problem with this procedure is that it assumes that settlements are always reached with third-party defendants who possess sufficient wealth or insurance to satisfy the claimants' actual total damages and thus that the retention of the settlement proceeds and workers' compensation would result in a double recovery. However, this assumption proves false in those situations where the claimant is forced to settle his or her tort claim for the limits of an insurance policy and the combined amount of the insurance proceeds and workers' compensation benefits is insufficient to cover all of the claimant's actual loss..."

"It can hardly be said that a double recovery results where a tort victim is allowed to retain two recoveries that, when combined, still do not make him or her whole...[The] statute operates unconstitutionally in these situations because it allows for reimbursement from proceeds that do not constitute a double recovery."

Ohio Supreme Court. Holeton v. Crouse Cartage Co., No. 00-428, June 27, 2001. Lawyers Weekly USA No. 9921118. To link to the full text of this opinion, go to:

www.lawyersweeklyusa.com/opinions

Accident Victims Face Grab for Legal Winnings

Wal-Mart Paid Bills
For Mrs. Shank, Then
Sued for Money Back
By VANESSA FUHRMANS
November 20, 2007; Page A1

This article deals primarily with the case of Wal-Mart v. Shank. The trial court opinion may be found at 2006 WL 2546797. The Court of Appeals decision is reported at 500 F.3d 834. A Petition for Writ of Certiorari is now pending with the U.S. Supreme Court.

JACKSON, Mo. -- A collision with a semi-trailer truck seven years ago left 52-year-old Deborah Shank permanently brain-damaged and in a wheelchair. Her husband, Jim, and three sons found a small source of solace: a \$700,000 accident settlement from the trucking company involved. After legal fees and other expenses, the remaining \$417,000 was put in a special trust. It was to be used for Mrs. Shank's care.

Instead, all of it is now slated to go to Mrs. Shank's former employer, Wal-Mart Stores Inc.



Above, Deborah and Jim Shank. Right, a photo of the family before the accident.

Two years ago, the retail giant's health plan sued the Shanks for the \$470,000 it had spent on her medical care. A federal judge ruled last year in Wal-Mart's favor, backed by an appeals-court decision in August. Now, her family has to rely on Medicaid and Mrs. Shank's social-security payments to keep up her round-the-clock care.

"I don't understand why they need to do this," says Mr. Shank on a recent visit to the nursing home, between shifts as a maintenance worker and running a tanning salon. "This girl needs the money more than they do." Mrs. Shank, who needs help with eating and other basic tasks, spends more time alone since Mr. Shank had to let her private caregiver go. At some point, he says, she may have to be moved from a

private to a semi-private room in the nursing home where she lives.

The reason is a clause in Wal-Mart's health plan that Mrs. Shank didn't notice when she started stocking shelves at a nearby store eight years ago. Like most company health plans, Wal-Mart's reserves the right to recoup the medical expenses it paid for someone's treatment if the person also collects damages in an injury suit.

Until recently, many employers didn't vigilantly enforce the provision, and some states and federal courts didn't think the claim held water. But as the cost of covering workers continues to

escalate, employers and health plans are getting more aggressive about going after the money. A Supreme Court ruling last year also has given them a clearer legal map to suing employees and winning.

In insurance circles, the recovery practice is called "subrogation." Employers and insurers say it's necessary to ensure that medical expenses aren't paid twice. By recovering those costs from someone who's been compensated elsewhere, they argue, they're saving money for everyone on the plan.

Sharon Weber, a spokeswoman for Wal-Mart, declined to discuss the details of the Shanks' case, but said the company was obliged to act in the interest of the health benefits of its employees as a whole. "While the case involves a tragic situation, our responsibility is to follow the provisions of the [company health] plan which governs the health benefits of our associates," she said.

"Employers are trying to make sure these plans run as efficiently as possible," says Jay Kirschbaum, a senior vice president at global insurance broker Willis Group Holdings. "They also have a fiduciary duty to the plan and the entire group of employees that are covered by it."

The Recovery Practice

Already, the recovery practice is one of the variables that plaintiffs lawyers are considering as they decide whether it's in their clients' interests to participate in the \$5 billion offered by Merck & Co. to settle lawsuits over its painkiller Vioxx. Health plans recovered sizable amounts for medical expenses from other big product-liability settlements, such as for the "fen-phen" diet-drug combination and Sulzer Orthopedics' hip implants. Many insurers and the employer plans they administer are expected to pursue a piece of the Vioxx settlement.

In cases like the Shanks', where injuries and medical costs are catastrophic, accident victims sometimes can be left with little or none of the money they fought for in court. Health plans are increasingly adopting language such as Wal-Mart's, which dictates that it is to be paid first out of any settlement, regardless of what remains for the injured person. Moreover, the victim is responsible for all legal costs in pursuing the suit.

"It's especially in the catastrophic cases that people are almost never fully compensated," says Roger Baron, a professor of law at the University of South Dakota and a specialist in health-plan law. "And then their health plan, that's been collecting premiums from them all this time, wants to take it away?"

Tempting Savings

Such recoveries represent a tempting savings for insurers, employers and union-administered plans. The American Benefits Council and America's Health Insurance Plans, the health-insurer lobby, estimate health plans recoup some \$1 billion a year in medical claims from accident settlements and other third parties. A cottage industry of auditing firms, benefit-recovery specialists and subrogation lawyers help them. They estimate that between 1% and 3% of health-care spending is potentially recoverable from such claims.

"In the past, employers used to think of this as an afterthought," says Tom Lawrence, chief executive of Memphis-based Benefit Recovery Inc., whose clients include Southwest Airlines Co. and hospital chain HCA Inc. HCA says it saw annual savings from recouped claims rise to \$1.8 million in 2006 from just under \$800,000 in 2000 after hiring the firm.

Benefit Recovery contracts directly with employers. It says it's able to recover between \$12 and \$15 per health-plan member a year -- up to \$1.5 million for a big plan with 100,000 members -- by recovering medical expenses from injury-suit settlements.

Until recently, employers and insurers generally didn't go after small claims. But more-sophisticated claims tracking has made it easier. Recovery companies systematically search claims for certain medical codes -- say, a sprained ankle or head trauma -- that flag a potential accident. Claims examiners then mail a questionnaire and often follow up with calls. If the injured person confirms it was an accident, the firm tracks whether the patient files an injury suit.

If there is a lawsuit settlement, employers may seek to recoup money they paid for medical expenses. In many cases, it's relatively cut and dried: Often medical expenses are just a portion of the overall damages award, or the accident victim's attorney reaches a compromise with the health plan ahead of any settlement.

Some plans are taking a further step, refusing to pay claims in the first place, unless the person filing the claim signs an additional form promising to reimburse the plan from settlement proceeds.

Don Burgett, an engineer on an offshore oil-drilling ship, from Texas, has been waiting for his health plan to pay \$89,000 in medical claims since his daughter's accident two years ago. Magan Burgett, then 18, was thrown from the back of an all-terrain vehicle in October 2005, tearing her liver, breaking her jaw and fracturing her back.

Soon after Magan's parents submitted the bills for her two-week stay in an intensive-care unit, her father's health plan -- the Maryland-based MEBA Medical and Benefits Plan -- mailed him a reimbursement agreement that restated the plan's rights to a potential settlement.

"To consider claims related to your accident," it said, Mr. Burgett had to sign it first. When he didn't, MEBA stopped paying claims after reimbursing several hundred dollars in Magan's medical expenses.

Neal Korval, MEBA's outside counsel, says that asking a plan member to sign a reimbursement agreement in such cases is standard procedure and a policy outlined in its health plan rules. It helps prevent accident victims and their attorneys from trying to "freeze out" the plan from a potential settlement, he says, and also reminds or advises the plan member of his or her obligations.

In September, the U.S. District Court for the Eastern District of Texas sided with the Burgetts, ruling that MEBA's health plan summary, which it considered the prevailing document, didn't stipulate such conditions to pay a claim. The Burgetts' attorney says they secured a \$75,000

accident settlement -- a net of \$50,000 after legal expenses -- though that isn't enough to cover Magan's medical expenses. Mr. Korval says MEBA has recently reached a settlement with the family over the unpaid medical claims, but declined to disclose terms.

How much power health plans have to enforce subrogation is based on a hodgepodge of federal and state law still being tackled in the courts. A pivotal Supreme Court ruling last year gave health plans a leg up. In that case, a Maryland couple, Joel and Marlene Sereboff, were injured in an accident while returning a rental car to an airport in 2000; they required \$75,000 in medical care. The couple later received a settlement of \$750,000, from various parties, related to the accident.

Mid Atlantic Medical Services, now owned by UnitedHealth Group Inc., administered the health plan of Mrs. Sereboff's employer and sued the couple when they refused to pay the company out of their settlement.

Money Set Aside

In a unanimous decision, the court upheld that Mid Atlantic had the right to enforce its claim, in large part because it could point to the settlement money set aside in an easily identifiable fund. The couple had placed the money in a separate account when the issue went to court. The decision has made it easier for plans to go after settlements, legal experts say.

Few such cases have attracted as much attention in legal circles as the Shanks'. Mrs. Shank took a job in 1999 stocking shelves at a Wal-Mart store in Cape Girardeau, Mo. She jumped at the shift from 11 p.m. to 6 a.m. so that she could spend days at home with her three sons, Mr. Shank says. After a probation period, she qualified for benefits under the Wal-Mart health plan in February 2000.

One day about three months later, as she and a girlfriend were touring local yard sales, a semi-trailer truck plowed into the driver's side of her minivan. Her friend's injuries were minor, but Mrs. Shank suffered major brain trauma and spent the next several weeks in intensive care. She drifted in and out of a coma, and the hospital, for months.

"One doctor didn't give her any chance," says Mr. Shank, a maintenance worker at Southeast Missouri State University. Her medical bills climbed past \$460,000. The health plan paid them promptly. "They were terrific in that respect," he says.

It also sent Mr. Shank several notices that he was to inform Wal-Mart's health plan before he settled any suit. In 2002, the Shanks did sue and won a settlement from G.E.M. Transportation Inc., owner of the truck. The firm had only \$1 million in liability coverage, though. For his own losses, Mr. Shank received \$200,000, of which \$119,000 remained after legal expenses. He says he spent most of it toward a one-story house fitted with ramps and wider doors, which is more accessible than the family's previous three-level home.

Mrs. Shank's own settlement was \$700,000. After legal expenses and attorney fees, the remaining \$417,477 was placed in a court-created special trust designed specifically for Mrs.

Shank's future care. The Shanks' lawyer, Maurice Graham, wrote the Wal-Mart health plan informing them. Mrs. Shank had received no funds directly, he said, and therefore had nothing to pay Wal-Mart back.

Nearly three years went by, Mr. Shank says, before they heard again from Wal-Mart. Mrs. Shank struggled a year rotating in and out of the hospital and rehabilitation programs. She could no longer use her right arm or three fingers on her left hand because of neurological damage. She couldn't feed or dress herself and conversations with her family were limited to all but simple questions. Eventually, her husband moved her to a nursing home for around-the-clock care. Medicare and Medicaid pay for the nursing home. Mr. Shank used some of the trust's proceeds to continue paying a private aide to care for her there.

'A Decent Quality of Life'

"We wanted her to have a decent quality of life, and we still had the money," he says. He hoped he could also use it to pay the roughly \$130,000 in bills for Mrs. Shank's rehabilitation and a return hospital visit after her coverage expired.

But in August 2005, Wal-Mart re-emerged with a lawsuit against the Shanks demanding repayment for \$469,216 in medical costs out of their settlement. It charged that the Shanks had violated the terms of the health plan by not reimbursing it. The company also demanded payment of legal fees and interest for the cost of suing the Shanks for the money.

Mr. Graham, the Shanks' attorney, says he approached Wal-Mart's attorneys about negotiating a compromise, but was told the health plan wanted to proceed with the lawsuit. "We're not contending that Wal-Mart isn't entitled to a payment. We're saying they're entitled to one based on equity," he says. Since Mrs. Shank wasn't fully compensated for her damages in the first place, he argues, Wal-Mart should also expect only partial reimbursement.

Administrators of employer-financed health plans "have an obligation to participants to be impartial," the Wal-Mart spokeswoman says. "Virtually all health plans include subrogation provisions as a way to control health plan costs."

In August last year, U.S. district judge Lewis Blanton sided with Wal-Mart, ruling that when Mrs. Shank signed on to Wal-Mart's health plan she was obligated to abide by its terms.

The ruling came six days before the Shanks' 18-year-old son, Jeremy, was killed in September last year in Iraq shortly after he arrived in the U.S. Army's 25th Infantry Division.

"I wanted to give up at that point, tell Wal-Mart they won," Mr. Shank says, but his lawyer, Mr. Graham, said he'd continue with appeals.

Mrs. Shank went to Jeremy's funeral. But because of memory problems due to her injuries, she gets confused about what happened. On a recent morning, she cried several times and asked what had happened to her middle son. Mr. Shank says that he obtained a divorce from Mrs. Shank this year, partly because of advice from a health-care administrator that she might be more eligible

for public aid as a single woman. Mrs. Shank, who has been declared incompetent by a court, hasn't been informed of the divorce by her family.

The Shanks lost an appeal before a three-judge panel in the 8th Circuit Court of Appeals in August and last month were denied a request for a hearing before the entire court. They plan to appeal to the U.S. Supreme Court, though only a small percentage of cases are chosen to be heard.

"Sometimes I want to tell Wal-Mart, 'Ok, you won on the principle. But just let us keep the money,'" Mr. Shank says.

Write to Vanessa Fuhrmans at vanessa.fuhrmans@wsj.com

XVI. Special Attention
for Medical Malpractice
Claims

South Dakota Statutes Favoring Health Care Providers

21-3-11. Limitation on damages for medical malpractice. In any action for damages for personal injury or death alleging malpractice against any physician licensed pursuant to chapter 36-4, chiropractor, optometrist, podiatrist, dentist, dental hygienist, dental assistant, hospital, critical access hospital, registered nurse, licensed practical nurse, certified registered nurse anesthetist, clinical nurse specialist, nurse practitioner, nurse midwife, or physician's assistant, or against the practitioner's corporate, limited liability partnership, or limited liability company employer based upon the acts or omissions of the practitioner, under the laws of this state, whether taken through the court system or by binding arbitration, the total general damages which may be awarded may not exceed the sum of five hundred thousand dollars. There is no limitation on the amount of special damages which may be awarded. This section applies only to causes of action arising from injuries or death occurring after July 1, 1976. However, in the case of chiropractors, it applies only to the causes of action arising from injuries or death occurring after July 1, 1978. In the case of optometrists, it applies only to causes of action arising from injuries or death occurring after July 1, 2002. In the case of podiatrists, it applies only to causes of action arising from injuries or death occurring after July 1, 2005.

Source: SL 1976, ch 154, §§ 1, 2; SL 1978, ch 154; SL 1985, ch 167; SL 1986, ch 172; SL 1997, ch 123, § 2; SL 2002, ch 99, § 1; SL 2005, ch 119, § 1.

21-3-12. Evidence of special damages insurance from certain collateral sources admissible in personal injury actions for health care malpractice. In any action for damages for personal injury or death alleging health care malpractice on the part of any physician, chiropractor, dentist, hospital, registered nurse, licensed practical nurse, or other practitioner of the healing arts, whether founded upon tort or contract, if it is alleged that the claimant suffered special damages by reason of such injury or death, evidence shall be admissible which is relevant to prove that any such special damages were paid for or are payable by, in whole or in part, insurance which is not subject to subrogation and which was not purchased privately, in whole or in part, by the claimant, claimant's decedent, or a member of the immediate family of claimant or claimant's decedent, or were paid for, or are payable by, in whole or in part, state or federal governmental programs not subject to subrogation.

Source: SL 1977, ch 182.

The same statute, as above, with emphasis placed on operative language – language which negates the collateral source rule:

21-3-12. Evidence of special damages insurance from certain collateral sources admissible in personal injury actions for health care malpractice. *In any action for damages for personal injury or death alleging health care malpractice on the part of any physician, chiropractor, dentist, hospital, registered nurse, licensed practical nurse, or other practitioner of the healing arts, whether founded upon tort or contract, if it is alleged that the claimant suffered special damages by reason of such injury or death, evidence shall be admissible which is relevant to prove that any such special damages were paid for or are payable by, in whole or in part, insurance which is not subject to subrogation and which was not purchased privately, in whole or in part, by the claimant, claimant's decedent, or a member of the immediate family of claimant or claimant's decedent, or were paid for, or are payable by, in whole or in part, state or federal governmental programs not subject to subrogation.*

Source: SL 1977, ch 182.

Federal court strikes down limit on medical damages

Ruling applies to case against Ellsworth hospital

By JOE KAFKA
Associated Press

PIERRE — Damages for medical expenses in a legal dispute involving an infant who suffered severe brain damage at the Ellsworth Air Force Base hospital in 1989 may not be limited, a federal court ruled Monday.

Acting with the benefit of assistance from an earlier related decision by the South Dakota Supreme Court, the 8th U.S. Circuit Court of Appeals in St. Louis agreed the 1986 state law slapping a \$1 million cap on all damages resulting in injury or death is unconstitutional.

The law is flawed because it did not provide equal treatment for all who suffered losses, the state Supreme Court ruled in February. While those with losses less than \$1 million could be fully compensated, people with losses beyond that amount would not, the justices said. In setting aside the 1986 law, the state Supreme Court reinstated a 1976 law that put a \$500,000 cap on damages for pain, suffering and loss of a meaningful life. But there is no limit on medical damages;

nor may limits be placed on loss of past or future income.

The federal appeals court, overturning a 1994 decision by U.S. District Judge Richard Battey of Rapid City that set the federal government's liability at \$1 million, sent the case back to the lower court for trial.

The government is being sued by William and Jane Knowles, whose son, Kris, was 12 days old when he was taken to the Air Force hospital for treatment of a fever. The infant improved and was discharged three days later. When it was discovered that his temperature had become too low, he was readmitted to the Ellsworth hospital.

The child subsequently developed irreversible brain damage, and the parents sued. They allege negligence on behalf of the hospital and the Air Force medical services specialists who cared for their son. Medical services specialists are roughly the military equivalent of civilian nurses' aides.

Although the federal government admitted responsibility, it argued

that total damages were limited to \$1 million by the 1986 state law.

The \$500,000 limit on damages for pain and suffering in the Knowles' case applies to any negligence of doctors, nurses and the hospital, the 8th U.S. Circuit Court of Appeals said.

But the panel said a trial must be held to determine whether Air Force medical services specialists were negligent. If so, the appeals court said there will be no limit on damages that may be recovered from the government because the specialists are not covered by the state law.

When the federal government assumes the liability of medical services specialists, it does not have protection of the \$500,000 limit, the court decided 2-1.

"Medical services specialists do not enjoy the cap's protection. Thus, neither does the United States when it is sued in place of a medical services specialist," wrote Chief U.S. Appeals Court Judge Richard Arnold.

XVII. Miscellaneous

(more on UM, intentional
acts, policy requirements)

Baker v. Continental Western Insurance Company

748 F.Supp. 716 (S.D. 1990)

BATTEY, District Judge.

This case arises from an automobile collision involving the plaintiff, Gene C. Baker (Baker) and an uninsured motorist, Christopher L. Ball (Ball). The plaintiff had stopped for traffic on Mt. Rushmore Road in Rapid City, South Dakota, when he was struck from behind by Ball. Ball stated to the officer at the scene that he was going too fast to stop and the officer issued a citation and summons to Ball for driving at an excessive rate of speed. A plea of guilty was entered on the summons at the Pennington County Courthouse.

Baker subsequently filed a claim with his insurer, defendant Continental Western Insurance Company (Continental Western), to recover for personal injuries under the uninsured motorist provision of the plaintiff's policy. Continental Western denied the claim and Baker commenced this action for the coverage claimed under the uninsured motorist provision of his insurance policy and for damages. The defendant has moved to dismiss the action on the grounds that this Court lacks subject matter jurisdiction to hear the plaintiff's direct claim against his insurer unless the plaintiff first obtains a judgment of liability in separate proceedings against the tortfeasor Ball.

* * *

The South Dakota statute on uninsured motorist coverage proves in relevant part as follows:

Motor Vehicle Insurance--Uninsured Motorist Coverage. No policy insuring against loss resulting from liability imposed by law for bodily injury or death suffered by any person arising out of the ownership, maintenance or use of a motor vehicle shall be delivered or issued for delivery in this state with respect to any motor vehicle registered or principally garaged in this state unless coverage is provided therein or supplemental thereto in limits for bodily injury or death set forth in § 32-35-70, or if requested by the insured in limits not exceeding the coverage provided by such policy for bodily injury and death, for the protection of persons insured thereunder who are *legally entitled to recover* damages from owners or operators of uninsured motor vehicles and hit-and-run motor vehicles because of bodily injury, sickness or disease, including death, resulting therefrom.

SDCL 58-11-9 (emphasis added).²

² The South Dakota uninsured motorist provision was enacted in 1966 (SL 1966, ch. 111, ch. 22, § 16(5)) and the underinsured motorist provision followed nine years later (SL 1975, ch. 315, § 3). The intent of both statutes is to remedy a deficiency in coverage carried by a tortfeasor. Uninsured motorist coverage compensates an insured for injuries sustained through the acts of a motorist operating a vehicle without any insurance whatsoever. Underinsured motorist coverage provides an insured with compensation where the policy limits of an insured. tortfeasor's policy are insufficient to fully compensate the victim for the loss sustained.

Of historical note, uninsured motorist coverage was first offered in the State of New York during the mid-1950s and other jurisdictions soon followed. The uninsured motorist statute was designed to fill the void left by statutorily mandated liability coverage by providing additional coverage to an insured injured by a tortfeasor who is uninsured, underinsured, or a hit-and-run driver. See Couch, *Cyclopedia of Insurance Law*, § 45:620 (2d ed. 1981). Thus, the purpose of uninsured motorist protection is to provide compensation to an insured who is the victim of an uninsured motorist's negligence to the same extent as if the uninsured motorist were properly insured. *Radlein v. Industrial Fire & Casualty Ins. Co.*, 117 Wis.2d 605, 345 N.W.2d 874, 884 (1984); *State Farm Mut. Auto. Ins. Co. v. Baldwin*, 764 F.2d 773, 778 (11th Cir.1985).

The South Dakota uninsured motorist statute is substantially identical in form and intent to the model statute enacted by nearly every legislature across the nation. See *Higgins v. Nationwide Mut. Ins. Co.*, 282 So.2d 301, 303 (Ala.1973); *Radlein*, 345 N.W.2d at 884; *Booth v. Fireman's Fund Ins. Co.*, 218 So.2d 580, 582, 28 A.L.R.3d 573, 577 (La.1968); *Lane v. State Farm Mut. Auto. Ins. Co.*, 209 Neb. 396, 308 N.W.2d 503, 509 (1981). South Dakota's uninsured motorist statute should thus be viewed in the context of a nationwide public policy of expanding the coverage provided by insurance carriers. To effectuate coverage for victims of financially irresponsible motorists thus left with no remedy under the singular scheme of mandatory liability insurance, the South Dakota legislature elected to provide for a dual system of insurance coverage and "[i]t is for this reason that the legislature made uninsured motorist coverage mandatory in every automobile policy issued in this state." *Baldwin*, 764 F.2d at 773.³

An action by an insured against an insurance carrier pursuant to an uninsured motorist provision is an action on the policy and is therefore *ex contractu*. Cf. *Helmbolt*, 404 N.W.2d at 57.⁴ Uninsured motorist coverage thus constitutes an insurance carrier's direct promise to

³ In 11 Am.Jr. *Trials* § 6, p. 86, it is stated:

[w]here a statute [an Act] requiring uninsured motorist coverage is broad and comprehensive in scope, it establishes as a matter of public policy that every bodily injury motor vehicle policy should provide uninsured motorist coverage; the [Act] becomes in effect a part of every policy of insurance to which it is applicable, as if it were written out in full in the policy itself.

While the public scheme of mandatory liability and uninsured motorist coverage serves the purpose of providing compensation for personal injuries sustained as a result of the negligent operation of an automobile, uninsured motorist coverage is separate and distinctly different from liability insurance. While liability coverage seeks to protect an insured against liability to a third party which the insured may incur through the operation of an automobile, uninsured motorist insurance compensates an insured for personal injuries resulting from the actions of a third party. In other words, mandatory liability coverage provides an insured protection while uninsured motorist coverage provides compensation. *Reese v. State Farm Mut. Auto. Ins. Co.*, 285 Md. 548, 403 A.2d 1229, 1231 (1979); *Pickering v. American Employers Ins. Co.*, 282 A.2d 584, 587 (R.I.1971).

⁴ Numerous jurisdictions have adopted the view that an action by an insured against an insurance carrier arising out of an uninsured motorist provision of an insurance policy is one which sounds in contract and is therefore governed by the principles of law applicable to suits for breach of contract. *Higgins v. Nationwide Mut. Ins. Co.*, 291 Ala. 462, 282 So.2d 301 (1973); *Transnational Ins. Co. v. Simmons*, 19 Ariz.App. 354, 507 P.2d 693 (1973); *Hartford Accident & Indem. Co. v. Mason*, 210 So.2d 474 (Fla.App.1968); *Booth v. Fireman's Fund Ins. Co.*, 253 La. 521, 218 So.2d 580 (1969); *Franco v. Allstate Ins. Co.*, 496 S.W.2d 150 (Tex.Civ.App.1973); *Sahloff v. Western*

indemnify an insured for a specific loss and is therefore a first-party benefit, as distinguished from a promise to an insured to pay a third party. Couch at § 45:624. The policy issued by the defendant Continental Western to plaintiff Baker is thus an agreement to indemnify Baker for the injuries caused by the tortfeasor Ball, and Baker's right of recovery is ultimately based upon the policy. Baker's policy provides, in relevant part:

PART C—UNINSURED MOTORISTS COVERAGE INSURING AGREEMENT

A. We will pay damages which an "insured" is *legally entitled to recover* from the owner or operator of an "uninsured motor vehicle" because of "bodily injury:"

1. Sustained by an insured; and,
2. Caused by an accident.

The owner's or operator's liability for these damages must arise out of the ownership, maintenance or use of the "uninsured motor vehicle."

Any judgment for damages arising out of a suit brought without our written consent is not binding on us.

(Emphasis added.) Neither the South Dakota uninsured motorist statute nor the policy impose on Continental Western an absolute liability to compensate the insured. Couch at § 45:624. The Baker policy provision essentially mirrors the requirements for uninsured motorist coverage as set forth in SDCL 58-11-9 in that to collect compensation an insured must be able to show (1) legal entitlement to recover (2) for bodily injuries (3) sustained through the ownership or operation of a motor vehicle by an uninsured motorist. Because it is uncontested that the plaintiff sustained bodily injuries as a result of the operation of a motor vehicle by an uninsured motorist, it is the meaning of the phrase "legally entitled to recover," appearing in both the statute and the policy, upon which this entire action turns. In the motion to dismiss Continental Western asks this Court to construe the phrase "legally entitled to recover" to require a separate trial on the issue of negligence between Baker and Ball, and a resulting judgment of Ball's liability, before binding the insurer to provide the compensation due under the policy. The merits of this argument are best characterized by Professor Widiss, who stated in *A guide to Uninsured Motorist Coverage* § 716 (1969), that:

"[a]lthough it would seem a matter that should be beyond dispute under both the terms of the endorsement and in light of the historical developments leading up to [uninsured motorist] coverage, the right of the insured to sue his own insurer without first bringing an action against the uninsured motorist continues to be raised as an issue ... [even though the] ... reported opinions of the courts almost uniformly support the right of an insured to proceed directly against the insurance company.

Professor Widiss notes that the majority of states reject the argument that a claimant must first secure a determination of fault and damages against the uninsured motorist before bringing a direct action against the insured's carrier. As previously mentioned, this is a question for which

Casualty & Sur. Co., 45 Wis.2d 60, 171 N.W.2d 914 (1969).

no clear controlling precedent exists in this jurisdiction.⁵

* * *

This Court finds the majority rule, as promulgated by numerous state court opinions, to be the most persuasive and reasoned view of the proper balance of responsibilities between insurer and insured under the scheme of uninsured motorist coverage.

* * *

Having determined that the phrase "legally entitled to recover" does not mean that an insured must obtain a judgment against an uninsured prior to proceeding directly against an insurer, it remains for this Court to give construction to the term. Having noted that uninsured motorist protection was enacted for the benefit of the innocent victim of an uninsured motorist's negligence, the phrase should be liberally construed in order to provide that protection. *Lane*, 308 N.W.2d at 508; *Winner v. Ratzlaff*, 211 Kan. 59, 505 P.2d 606, 610 (1973).

Upon consideration of the relevant authority from this and other jurisdictions, and the pertinent public policy arguments, it is the determination of this Court that the words "legally entitled to recover" mean simply that an insured must be able to establish fault on the part of the uninsured motorist which gives rise to damages, and to prove the extent of those damages. *Ratzlaff*, 505 P.2d at 610; *Sumwalt*, n.4, 466 N.E.2d at 546; *Griffin*, n.4, 286 So.2d at 306. This formulation of legal entitlement leaves an insured with a claim against an uninsured motorist with essentially three options for proceeding on the claim. Those options, as outlined in the widely quoted opinion of the Kansas Supreme Court in *Ratzlaff*, are as follows:

[h]e may file an action directly against his uninsured motorist liability carrier without joining the uninsured motorist as a party defendant; he may file an action joining both the insurer and the uninsured motorist as party defendants; or, he may file an action against

⁵ Without intending to be exhaustive of the jurisdictions which have adopted the majority rule, following is a list of cases supporting the view that suit against an uninsured motorist is not a condition precedent to recovery from the victim's insurance carrier: *Everaard v. Hartford Accident & Indem. Co.*, 842 F.2d 1186 (10th Cir.1988); *State Farm Mut. Auto. Ins. Co. v. Baldwin*, 764 F.2d 773 (11th Cir.1985); *State Farm Mut. Auto. Ins. Co. v. Griffin*, 51 Ala.App. 426, 286 So.2d 302 (1973); *Home Ins. Co. v. Williams*, 252 Ark. 1012, 482 S.W.2d 626 (1972); *Allied Fidelity Ins. Co. v. Lamb*, 361 N.E.2d 174 (Ind.App./Dist.1977); *Winner v. Ratzlaff*, 211 Kan.59, 505 P.2d 606 (1973); *Puckett v. Liberty Mut. Ins. Co.*, 477 S.W.2d 811 (Ky.1971); *Booth v. Fireman's Fund Ins. Co.*, 253 La. 521, 218 So.2d 580 (1969); *Preferred Risk Mut. Ins. Co. v. Poole*, 411 F.Supp. 429 (D.N.Miss.1976); *Byrn v. American Universal Ins. Co.*, 548 S.W.2d 186 (Mo.App.1977); *Lane v. State Farm Mut. Auto. Ins. Co.*, 209 Neb. 396, 308 N.W.2d 503 (1981); *Lee v. Allstate Ins. Co.*, 648 F.Supp. 1295 (D.Nev.1986); *Deluca v. Motor Vehicle Accident Indem. Corp.*, 17 N.Y.2d 76, 268 N.Y.S.2d 289, 215 N.E.2d 482 (1966); *Wheless v. St. Paul Fire & Marine Ins. Co.*, 11 N.C.App. 348, 181 S.E.2d 144 (1971); *Sumwalt v. Allstate Ins. Co.*, 12 Ohio St.3d 294, 466 N.E.2d 544 (1984); *Associated Indem. Corp. v. Cannon*, 536 p.2d 920 (Okla.1975); *Grayson v. National Fire Ins. Co.*, 313 F.Supp. 1002 (D.P.R.1970); *Hightower v. Members Mut. Ins. Co.*, 494 S.W.2d 295 (Tex.Civ.App.1973); *Radlein v. Industrial Fire & Casualty Ins. Co.*, 117 Wis.2d 605, 345 N.W.2d 874 (1984).

In reasoning which, in the view of Professor Widiss, "represents a tortured interpretation of the applicable statute and endorsement provisions," Tennessee is the latest to join the list of only four jurisdictions which have adopted the contrary view: *Continental Ins. Co. v. Echols*, 145 Ga.App. 112, 243 S.E.2d 88 (1978); *Park v. Safeco Ins. Co. Of Am.*, 251 S.C. 410, 162 S.E.2d 709 (1968); *Glover v. Tennessee Farmers Mut. Ins. Co.*, Tenn., 225 Tenn. 306, 468 S.W.2d 727 (1971); *O'Brien v. Government Employees Ins. Co.*, 372 F.2d 335 (3d Cir.1967). Widiss at 320 (1980 Supp.).

the uninsured motorist alone without joining the insurer as a party defendant. In each of these options he may litigate all of the issues of liability and damages.

The defendant insurer may interpose as defenses to a claim under uninsured motorist coverage the non-negligence of the uninsured, contributory negligence of the insured, and the non-existence of damages.⁷

This formulation gives effectuation to both the contract of insurance that necessarily exists between an insurer and an insured, and to the underlying legislative policy of mandatory uninsured motorist coverage. This Court does no more than recognize that an insured, pursuant to statute, automatically obtains uninsured motorist coverage as part of the insurance contract, and that by fulfilling the obligation under the contract of paying an appropriate premium, the insured should receive the coverage thus bargained for. Accordingly, an insured ought to be able to expect that the insurer will not subsequently attempt to dodge the duty imposed by the contract, or create unnecessary and unwarranted impediments to the insured's right of recovery. It is therefore:

ORDERED that the defendant's motion to dismiss pursuant to Rule 12(b) and Rule 19 of the Federal Rules of Civil Procedure is DENIED.

IT IS FURTHER ORDERED that the defendant's request for a trial by jury is GRANTED.

⁷ See, Couch at § 45:644 (citing, *McRory v. Allstate Ins. Co.*, 194 So.2d 759 (La.App.1967); *State Farm Mutual Auto Ins. Co. V. Fass*, 243 So.2d 223 (Fla.App.1971); *Gordon v. Phoenix Ins. Co.*, 242 So.2d 485 (Fla.App.1970)).

Kremer v. American Family Mutual Insurance Company

South Dakota Supreme Court
501 N.W.2d 765 (S.D. 1993)

ERICKSON, Circuit Judge.

American Family Insurance (American) appeals an amended declaratory judgment resolving the rights and duties of the parties and a money judgment to its insured Lois Kremer (Kremer) and Robert Kremer. We affirm.

FACTS

Kremer was involved in an automobile accident with Gary P. Schmit (Schmit) on February 13, 1986. She promptly notified her American insurance agent and informed him that Schmit was uninsured. That information was forwarded to American. American's investigator interviewed Kremer on March 5, 1986, and again the information that Schmit was uninsured was furnished to American. American paid certain medical bills, as well as collision loss.

On February 8, 1989, Kremer called American and spoke with a casualty claims specialist who was authorized to settle her suit and specifically requested settlement under the "uninsured motorist" provisions of her American policy. This specialist told her that the claim would be denied because American felt both she and Schmit were negligent. Kremer told him that she would see her own attorney.

On February 13, 1989, Kremer filed a lawsuit against Schmidt for damages resulting from the accident. An American internal memorandum records that at least as early as June 28, 1989, American was well aware of Kremer's action against Schmidt. Additionally, the memo acknowledges that American knew Schmit was uninsured; knew Kremer had been told her "uninsured motorist" claim would not provide coverage; knew Kremer's attorney had asked for and was provided a recap of monies paid by American to prove her damages in the lawsuit; and that the claims specialist had discussed the company's subrogation rights with American's in-house attorney.

In April 1989, Kremer's original attorney, Peter A. Fuller (Fuller), met with Schmit, who was not represented. Schmit was asked to confess judgment and was told that the judgment would not be executed on since Kremer would proceed to obtain "uninsured motorist" benefits from American. Schmit refused to confess judgment.

On October 16, 1989, the date set for a default judgment hearing, one of Kremer's attorneys called American's representative to update information concerning Kremer's medical bills that American had paid. At that hearing, Schmit appeared, unrepresented, and contested the default. Default judgment was granted, and, on November 23, 1989, the default judgment against Schmit was entered.

Fuller purposely waited seventy-eight days after taking the default judgment before notifying American that default judgment had been entered and requesting \$100,000 under the "uninsured motorist" provisions of the policy. The claim was denied.

On March 20, 1990, Kremer brought this declaratory judgment action to declare the rights and responsibilities of the parties under the "uninsured motorist" provisions of the American policy.

Trial before an advisory jury in May 1991, determined that American had sufficient notice of the Kremer/Schmit lawsuit to allow it to protect its interests. Subsequently, the trial court entered findings of fact, conclusions of law and an order adopting the jury's findings. Pursuant to SDCL 21-24-12 the trial court entered a money judgment in the amount of \$100,000 plus interest.

American appeals from that judgment, citing eight issues, three of which deal with the findings of sufficient notice. The remainder deal with the issues of collusion, hearsay testimony, amendment of the pleadings, instruction to the advisory jury, and computation of pre-judgment interest.

I. SUFFICIENCY OF NOTICE AND "CONSENT TO BE BOUND" UNDER THE POLICY PROVISIONS

American argues that the policy provisions regarding notice of lawsuits were not followed, and thus it should not be bound.

At the beginning of the American policy, a general provision entitled "Other Duties" states:
A person *claiming any coverage* of this policy must also:

* * * * *

2. Send us any legal papers *received* relating to any claim or suit. (Emphasis provided).

A more specific policy provision found in "Part III Uninsured Motorists," merely states that a person bringing suit to determine liability against an uninsured motorist must:

1. Name the owner or operator of the vehicle as the defendant.
2. Notify the company of the suit.
3. Receive the company's written consent to be bound by the resulting judgment.

A. SUFFICIENCY OF NOTICE TO AMERICAN OF THE UNDERLYING SUIT

Under South Dakota law, "notice may be either actual or constructive." SDCL 17-1-1 At issue is whether or not American had notice of circumstances sufficient to put a prudent person upon inquiry as to the existence of the Kremer/Schmit lawsuit. SDCL 17-1-4. Both the advisory jury and the trial court agreed that American had sufficient notice.

* * *

American knew as early as March 5, 1986, that Schmit was uninsured. Prior to filing suit, Kremer made an oral claim for "uninsured motorist" coverage to American which was orally refused. American knew she was consulting her own attorney. As early as June 28, 1989, almost five months before default was taken, American had discussed the Kremer/Schmit lawsuit with its local agent. American provided Kremer's attorneys with a recap of medical damages paid under the policy for use in the lawsuit. It also discussed with in-house counsel its subrogation rights if Kremer was to recover.

Based upon these facts, American has not demonstrated that the trial court's findings and conclusions on this issue are clearly erroneous.

B. THE "CONSENT TO BE BOUND" PROVISION

The trial court held that the "consent to be bound" provision of the insurance contract was void

as against public policy.

The legislative intent of an "uninsured motorist" statute is "to protect the insurance consumer, not the policy vender." *Rodman v. State Farm Mutual Automobile Ins. Co.*, 208 N.W.2d 903, 909 (Ia.1973).

The purpose of the uninsured motorist statute is to provide the same insurance protection to the insured party who is injured by the uninsured or unknown motorist that would have been available to him had he been injured as a result of negligence of a motorist covered by the minimum amount of liability insurance.

Clark v. Regent Ins. Co., 270 N.W.2d 26, 29 (S.D.1978).

* * *

The "consent to be bound" provision erects an arbitrary barricade which allows an insurance company to eliminate all claims from accidents involving "uninsured motorists," despite the intent of the statute. While prevention of collusion is a laudable goal, other less arbitrary procedural safeguards protect the company. Notice provisions coupled with the company's intervention rights (SDCL 15-6-24(a)(2)) accomplish the same goal in a less onerous manner. Thus, the "consent to be bound" provision like its predecessor the "consent to be sued" provision is not only unnecessary, but contravenes the "uninsured motorist" statute.

C. WHEN IS IT NECESSARY TO PROVE A MOTORIST IS UNINSURED

American, citing *Griffith v. Farm and City Ins. Co.*, 324 N.W.2d 327 (Ia.1982), and *Ogle v. Long*, 551 So.2d 914 (Ala.1989), argues that in order to recover Kremer must have proven Schmit was uninsured in the original Kremer/Schmit lawsuit. All agree that Kremer did not do so at the original default judgment hearing.

The trial court ruled that proving that Schmit was uninsured was a burden Kremer had to meet as a condition precedent to the declaratory judgment action, not the original tort action. A close reading of *Griffith, supra*, discloses that the necessity of proving that the motorist was uninsured was a requirement only in the action against the insurance company, which was filed before the action against the uninsured motorist. In *Ogle, supra*, evidence of non-insurance became an element of the plaintiff's proof only after the insurance company was allowed to intervene, thus focusing the lawsuit on the insured status of the "uninsured motorist."

Here, the trial court was correct. In the absence of intervention, the plaintiff carries the burden of proving the operator of a vehicle was uninsured as an element of the declaratory judgment action, not the original tort action.

II. EXCLUSION OF EVIDENCE

In response to Kremer's motion in limine, and again at trial, American offered to present evidence which it felt proved there was collusion between attorney Fuller and Schmit, which could have been used to argue that the default judgment was a sham. The trial court excluded this evidence.

In *Wolff, supra*, 472 N.W.2d at 235-236, this Court determined that when an insurer has declined coverage and the insured then settles the case rather than proceeding to trial, bad faith through collusion is a bar to recovery of damages in a subsequent suit brought against the insurance company. "Collusion"

is an agreement, often secret, "between two or more persons, whose interests are apparently conflicting, to make use of the forms and proceedings of the law to defraud a third person." Black's Law Dictionary 331 (Rev'd 4th ed. 1968).

It is virtually undisputed that Fuller met with Schmit in April 1989. Schmit was unrepresented. Fuller advised Schmidt that he (Schmit) could confess judgment; he would suffer no pecuniary loss; his property would not be executed upon; and Kremer would proceed to obtain "uninsured motorist" benefits from American. Apparently, Schmit indicated he would not contest the matter, but unlike *Wolff, supra*, Schmit refused to sign the confession of judgment document. A follow up letter, relating to the motion for default judgment repeated much the same promises. Despite the promises, Schmit appeared unrepresented and, in some manner, unsuccessfully opposed the entry of default judgment.

The issue is not the reasonableness of American's concerns nor the credibility of the evidence. Nor is it Fuller's intent at the time he talked with Schmit. The question presented to this Court is whether this evidence, *if believed by the trier of the fact*, would have shown collusion between Fuller and Schmit. *State v. Boettcher*, 443 N.W.2d 1, 3 (S.D.1989). No collusion has been shown. American has failed to meet its burden of proving that collusion was an appropriate bar to recovery in light of all the circumstances.²

* * *

VI. THE APPROPRIATE INTEREST RATE

The trial court concluded that interest on this judgment should be computed at 15% per annum, pursuant to either SDCL 54-3-4 or SDCL 54-3-5. American contends that interest should be computed at 12% per annum pursuant to SDCL 54-3-5.1.

This is a declaratory action brought to determine the rights and duties of the parties under an insurance contract, which is an "instrument of writing." Therefore, SDCL 54-3-5, which applies in part to interest due "on any instrument of writing," is controlling. The 15% interest rate is correct.

² The dissent brands Attorney Fuller's conduct a "concealment, deception and a planned violation of due process." Such a conclusion is overblown. While not condoning Attorney Fuller's actions, he was caught in that age-old predicament facing lawyers for years. How do you make reasonable efforts to expedite your client's case (particularly when she has limited finances) and be fair to her insurance company (who with little thought concerning due process has summarily denied her uninsured motorist claim and has, in essence abandoned her, unless of course she recovers and then can press their subrogation rights).

In this instance, American Family's protests ring hollow. "Notice" is not synonymous with service of process. American Family wrote the policy and failed to specify "written notice" of lawsuits against "uninsured motorists," which would have been reasonable. (Instead, they styled it a written "consent to be bound"). From the day of the accident, when it was first reported to their agent, and immediately thereafter, independently investigated by their adjuster, American Family had notice that Schmidt was uninsured. Days before the Kremer v. Schmidt lawsuit was commenced, American Family knew Mrs. Kremer had made an oral claim to uninsured motorist benefits under their policy. American Family had denied coverage. For months before the default was taken American Family had knowledge that the lawsuit was filed. During the pendency of the lawsuit, American Family's agents cooperated with, spoke with and discussed the progress of the case with Kremer's attorneys. Additionally, American Family's agents and employees packed up their files and trudged into their lawyer's office and planned what to do if Kremer recovered. Then, American Family made a conscious decision to sit and wait. As in *Wolff, supra*, 472 N.W.2d at 238, American Family "was not prejudiced by the lack of written notice." American Family should have intervened.

The trial court is affirmed on all issues.

MILLER, C.J., and HENDERSON, J., specially concur with writings.
WUEST and SABERS, JJ., dissent.
ERICKSON, Circuit Judge, for AMUNDSON, J., disqualified.
MILLER, Chief Justice (concurring specially).

Despite its most persuasive tenor, I am convinced Justice Sabers' dissent is wrong. It is clear to me that there was adequate evidence at the trial from which the advisory jury could conclude (as it did on a vote of 11-1) that American Family did have notice. Their finding (on a vote of 10-2), that the notice was adequate, is also supported by the record.

* * *

The trial court should be affirmed.

HENDERSON, Justice (specially concurring).

American Family seeks to impose a condition precedent, namely that it did not receive a copy of a Summons and Complaint.

Where an insurance company denies liability because it believes its insured to be at fault rather than the uninsured motorist, a condition precedent (receiving a copy of a Summons and Complaint) is inapplicable. *Childs v. Allstate Ins. Co.*, 237 S.C. 455, 117 S.E.2d 867 (1961). Accord: *Stephens v. State Farm Mutual Automobile Ins. Co.*, 508 F.2d 1363, 1366 (5th Cir.1975), wherein the rationale was as follows:

The rationale behind holding to this particular waiver theory is that a claimant should not be required to approach his insurer, hat in hand, and request consent to settle [or sue] with another when he has already been told, in essence, that the insurer is not concerned, and he is to go his way. It is difficult to see why an insurer should be allowed, on the one hand, to deny liability and thus, in the eyes of the insured, breach his contract and, at the same time, on the other hand, be allowed to insist that the insured honor all his contractual commitments.

Amen, Brother. I agree. An insurance company cannot cavalierly disclaim liability on an uninsured motorist policy and then claim immunity from a later judgment obtained by its abandoned insured. See also, *Aristonico Infante v. Preferred Risk Mut. Ins. Co.*, 364 So.2d 874 (Fla.App.1978); *Shook v. Hertz Corp.*, 349 A.2d 874 (Del.Super.Ct.1975).

Therefore, although the jury and trial court concluded that (1) notice was required and (2) notice was given, my legal posture is different, i.e., American Family was not entitled to any notice. American Family abandoned its insured. My philosophical funny bone is theoretically amused when I note that American Family's first reaction, upon learning of Kremer's suit against Schmidt, was to become concerned over its own subrogation rights (and, you see, there is nothing to subrogate if Kremer was contributorily negligent). Rather than to set about its contractual obligations, it became acutely apprehensive of its corporate coffer, leaving Kremer to fend for herself. In point of fact, American Family, from the inception of this scenario, knew that Gary Schmidt was an uninsured motorist. Knowing this, it rejected Kremer's claim under the policy.

* * *

WUEST, Justice (dissenting).

In my opinion the trial court was clearly erroneous in finding American Family had sufficient notice of the suit against Schmit. Therefore, I vote to reverse.

SABERS, Justice (dissenting).

In my opinion the trial court was clearly erroneous in finding American Family had sufficient notice of the suit against Schmit. Therefore, I vote to reverse.

[photocopy of stamp]

This is a stamp. It is a 29 cent stamp. It is all that was necessary to eliminate the need for this appeal.

This contract of insurance provides in part:

A person claiming *any coverage* of this policy must also:

1. Assist us in any claim or suits;
2. Promptly send us any legal papers received relating to *any claim or suit*[.]

(Emphasis added.) All attorneys Fuller and Gordon had to do was mail a copy of the Schmidt summons and complaint to American to comply with the aforementioned policy provision. Instead, they did almost everything they could to keep American from getting notice and defending the "default" judgment. For their efforts of concealment and deception, we should reverse this case and require a trial instead of affirming a "hidden default judgment."

* * *

In this case, Mrs. Kremer obtained a default judgment in the amount of \$150,000 without an adversarial determination of liability and damages. An uninsured motorist carrier cannot be bound by a default judgment without an adversarial determination of liability and damages. *MFA Mutual Ins. Co. v. Bradshaw*, 245 Ark. 95, 431 S.W.2d 252 (1968). As the Minnesota Court of Appeals noted in *Erickson*:

A significant dispute exists here as to both the issues of liability and damages. The default hearing was marked by a complete absence of the adverse relationship essential to fully and fairly litigate these issues, including the strongly contested issue of comparative negligence. St. Paul has a substantial interest in this action and is entitled to answer Erickson's complaint, asserting any defenses that may exist to the claim.

409 N.W.2d at 888.

American Asks, "[w]hy, if in the spring of 1989 when Mrs. Kremer's attorneys knew that they were going to look for uninsured motorist benefits from American Family, did they not merely send a letter and a copy of the pleadings so that American Family could take appropriate action?" Is it possible they didn't have a stamp? It is apparent that this was not done because every attempt was going to be made to get a judgment, whether by confession of judgment or by default, so that American would have

to pay. It is also apparent that Mrs. Kremer and her attorneys did not want American to be fully informed about the situation! Why not? Because American could have intervened and litigated the case in an adversarial setting.

* * *

We should reverse and remand for a fair trial and an opportunity to defend.

Additional SD Case Law on Coverage for Intentional Acts

NOTE: In the CLE handout, date 11/17/94 which is reproduced in this Supplement, *supra*, there is a portion which deals with "Coverage for Intentional Torts and Punitive Damages." (Found on pages I-9 through I-12).

The following language is from *North Star Mutual Insurance v. Kneen*, 484 N.W.2d 908, 912 (S.D. 1992):

"Initially, we reiterate our holding in *Hawkeye-Security Ins. Co. v. Clifford*, 366 N.W.2d 489 (S.D. 1985). Therein, we stated that an insurer's duty to defend and the duty to indemnify are on a totally independent footing. We held that an insurer's duty to defend was far broader than the duty to indemnify. *Id.* At 490. As noted previously, Patricia alleged two alternative theories as the basis for her claim for damages for injuries inflicted. One theory (negligence) would potentially bring coverage into effect and the other theory, assault and battery (an intentional tort) would be outside of coverage because of the intentional act exclusion of the policy. North Star asserts that the facts are such in the case that no coverage exists under the policy. Therefore, North Star maintains it has no duty to defend. In *Hawkeye-Security*, N.W.2d at 491, this Court adopted the following proposition:

...if it is clear or arguably appears from the face of the pleadings in the action against the insured that the alleged claim, if true, falls within policy coverage, the insurer must defend. The review then ends, even though the pleadings are ambiguous or reveal other claims not covered in the policy, and notwithstanding that extraneous facts indicate the claim is false, groundless or even fraudulent.

Id. At 491-92. (Emphasis supplied). We similarly held in *Bayer v. Employers Reinsurance Corp.*, 383 N.W.2d 858, 860-61 (S.D. 1986).

It is clear that North Star's duty to defend appears from the face of the pleadings. North Star has a duty to defend its insured in the underlying lawsuit because the pleadings regarding negligence, if true, provide a basis for potential liability. The fact that the lawsuit is based on theories brought in the alternative does not relieve North Star of its duty to defend. The South Dakota Rules of Civil Procedure allow a party to set forth two or more statements of a claim alternatively or hypothetically in separate counts. SDCL 15-6-8(e)(2)."

State Farm v. Wertz, 540 N.W.2d 636 (S.D. 1995)

The trial court found the insured intentionally ran his car into a parked semi-truck at 55 mph, seriously injuring his passenger and damaging the semi-truck. The passenger was the insured's girlfriend who was initially restrained from leaving the vehicle when their travels commenced. During the travels, insured told his girlfriend that he would travel to the interstate to find a semi and that he would purposefully collide with it in order to kill both of them. Subsequently, insured's demeanor changed and he was in the process of taking his passenger

home, only to be chased by friends of his girlfriend who were worried about her. Eventually a Brown County deputy sheriff took over the chase and pursued the insured into North Dakota where the insured drove his vehicle into a parked semi-truck. The insurer filed a declaratory judgment action, denying coverage for injuries and damages inflicted upon the passenger and truck by the insured because such were caused by the insured's intentional acts. The trial court found that the insurer was required to defend the claims based on assertions of negligence. The SD Supreme Court reversed in a 4-1 decision, with the three justice majority (Miller, Wuest, and Konenkamp) quoting language from an earlier opinion which stated "mere allegations of negligence in a transparent attempt to trigger insurance coverage by characterizing intentionally tortious conduct as negligent will not persuade [this] court to impose a duty to defend." This opinion also quotes *North Star v. Kneen, supra*, for the continuing proposition that "the duty to defend is much broader than the duty to pay a judgment rendered against the insured."

Justice Sabers concurred with the three justice majority but noted the "situation would be different if the trial court had found that [the insured] was *attempting to evade* his pursuers" as opposed to intentionally causing his vehicle to collide with the parked semi-truck. (Emphasis is original with Justice Sabers.)

Justice Amundson dissented, remarking that the Court should look to the public policy behind South Dakota's financial responsibility law. This was an "accident" and from the viewpoint of the injured passenger there should be coverage for this "accident." Justice Amundson's opinion provides,

"Although this is a case of first impression in South Dakota, numerous other jurisdictions have considered the exact contract language at issue. Consistent with the public policy behind Financial Responsibility Laws like South Dakota's, a number of courts in other jurisdictions have held that "accident" or "caused by accident" should be interpreted from the standpoint of the injured party... *The word 'accident' and the South Dakota Financial Responsibility Law cover intentional acts.* Accepting the injured party's point of view, an 'accident' may result from an intentional act. '[T]he fact that injury is caused by an intentional act does not preclude it from being caused by accident if in that act something unforeseen, unusual and unexpected occurs which produces the result.'" [citing and quoting a Maryland case.]

Stoebner v. SD Farm Bureau, 1999 SD 106 (8/11/99)

Suit against insurer for costs/attorney fees in defending assault claim which arguably came under coverage of policy under theory that insured was acting in self defense. Summary judgment for insurer reversed in 3/2 decision and case remanded to determine the basis for insured's victory – "if...doubt exists, ...such doubts must be resolved in favor of the insured." language by J. Sabers, agreed to by J. Amundson & J. Gilbertson.

American Family Mutual Insurance v. Kostaneski, 2004 SD 114, 688 N.W.2d 410 (10/13/04).

Declaratory Judgment action concerning insurance coverage for loss of vision/permanent eye injury as a result of insured firing a paintball gun "in the general direction of a group of teenagers." Insurer prevailed under "criminal law exclusion." Discussion of public policy

State Farm v. Harbert

In *State Farm v. Harbert*, 2007 SD 107, 741 N.W.2d 228, the SD Supreme Court upheld the trial court's ruling that State Farm had no duty to defend an alienation of affections claim brought against an insured. The insured in this case was a physician in Aberdeen and the policy was a "personal liability umbrella policy." This opinion: 1) holds that an "invasion of privacy" claim is to be considered equivalent to an alienation of affections claim; 2) upholds the insurer's intentional tort exclusion; and 3) holds that it is against public policy in South Dakota for an insurer to provide coverage for conduct in the nature of alienation of affections. This is a unanimous decision with the opinion authored by Circuit Judge Tucker, sitting for Justice Sabers.

Tiffany M. Miller, *Wrestling with Public Policy Underlying Intentional Act Exclusions to Insurance Coverage: Why Such Exclusions Should Warrant Closer Examination*, 51 S.D.L.Rev. 346 (2006)

Generally Accepted Principle:

One can buy as much life insurance as one chooses (so long as the insurers are willing to sell the coverage) and expect full payment to beneficiary(ies) upon death.

Miscellaneous Cases

Reynolds Metals Co. v. Ellis, 202 F.3d 1246 (9th Cir. 2000)
[Plan had paid \$561,145 in medical bills]

Stanley v. Safeco, 747 P.2d 1091 (Wash. 1988)
[holding that severance of spinal cord satisfied severance of foot above the ankle joint]

Bauer v. Kar Products, Inc., 749 P.2d 1385 (Mon. 1988)
[spinal cord severed at T-8, P's doctor testified that for all practical purposes P has lost her legs...held to satisfy policy requirements of "actual severance through or above the wrists or ankle joints"]

Heller v. Equitable Life Assur., 833 F.2d 1253 (7th Cir. 1987)
[discusses at [1] the rule that an insurer can require the insured to take reasonable steps to limit damages by medical treatment, but cannot require the insured to submit to invasive surgery]

Meier v. McCord, 2001 SD 103 (8/8/01) [Unanimous decision by SD Supreme Court reversing trial court for "abuse of discretion" in NOT setting aside a default judgment for Underinsurer. Underinsurer had previously been notified of suit against TF (McCord) but did not respond or intervene until after default judgment entered.]

Law 851
Insurance
Professor Roger M. Baron
Spring, 2015

BOOKS: Martinez & Whelan, Cases, Materials and Problems on General Practice Insurance Law, 6th ed., West Pub. (2010)

Cases and Materials on South Dakota Insurance Law (prepared through Barnes & Noble Bookstore). This book may be purchased ONLY at Barnes & Noble Bookstore on campus. NOTE: This Supplement was designed for Spring 2012 and we will be using this again.

ATTENDANCE POLICY: Each student should strive to be present at each class. Unexcused absences in excess of five (5) may result in the deduction of up to 10 points from the final grade. A student is considered present for class by being present in her seat precisely at the designated start time for the class and remaining there until class is dismissed. Only with express consent by the Professor may a student who attends a partial class be given credit for being present. This means that if a student gets up and leaves the room after class has started, that student will be counted absent even if the student returns. If you need to leave the room for an emergency situation, you should explain that situation to the professor before hand, if possible, or otherwise immediately after class. Do not assume that the professor will overlook the situation. The actual "recording" of the absence in a situation like this usually takes place in the professor's office after class. Students seeking credit for partial class attendance should present their requests to the Professor prior to class, if possible, or as soon as after class as is possible. This rule is designed to bring the matter to the attention of the professor as soon as is possible, contemporaneously with the issue. It is not acceptable for a student to approach the Professor seeking an "excused" absence for a partial class attendance situation which occurred several days earlier.

In lieu of deducting points from the final grade for violations of the attendance policy, a student may, at the Professor's discretion, be dropped from the course. Also a student may be requested by the professor to voluntarily drop the course and, in the event the student does not voluntarily drop the course upon the professor's request, a grade of "F" may, in the Professor's discretion, be assigned to the student.

The matter of class attendance is important. Attendance policies are mandated by the American Bar Association and the Law School Administration. A problematic situation with student attendance is a matter which this professor considers important enough to be revealed to the State Board of Bar Examiners in connection with a student's application for Bar Admission.

STUDENTS LEAVING THE CLASSROOM WHILE CLASS IS IN

SESSION: Unless specifically permitted by prior arrangement with the Professor, a student who leaves the classroom after class has started is NOT permitted to return to the classroom. Furthermore, an early departure from the classroom is recorded as an "absence" and that absence is considered unexcused unless that absence is deemed "excused" in accordance with the Attendance Policy set forth above.

CLASS RECITATION:

Students shall stand when reciting. The task of specific recitations per class may be pre-assigned among a group of students who will be expected to be "super-prepared." This methodology of "pre-assigned" recitations is highly dependent upon class cooperation and will be utilized *only* if student cooperation is maintained throughout the semester. It should be noted that good faith (or rather, lack of good faith) is easily detected by the Professor and no right of unpreparedness is granted to any student by virtue of the Professor's willingness to indulge in "pre-assigned" recitations. The pre-assignment of recitations does not diminish the expectation (and rule of this class) that each student is expected to be fully prepared for each class. If the pre-designated "super-prepared" students are unable to intelligently recite on the material, then students drawn from the class at large will be expected to recite.

RECORD KEEPING:

Each student is expected to keep track of her own individual record of absences and unprepareds. Although official records are maintained by the Professor, each student's totals are computed only at the end of each semester or as may otherwise be required. A "running tally" for each student is not maintained throughout the semester.

PREPARATION:

Every student is expected to be fully prepared for each class, unless that student has reported her state of unpreparedness to the Professor *prior to* the start of the class period. It is permissible for a student to attend class "unprepared" on two occasions provided the student has left a note on the podium at the front of the classroom *prior to* the designated start time for the class. The note should contain the student's name, the date and the fact that the student is unprepared. Excuses for being unprepared are neither necessary nor desired. An example of such a note is as follows:

Maria Jones is unprepared
January 13, 2015

A student who is unprepared and who complies with this rule is permitted to remain in class but is *not permitted* to participate in class discussion. Any student who exceeds the allotted number of unprepareds is subject to a penalty deduction of up to 10 points from the final grade for each such occurrence. Any student who comes to class unprepared and fails to report her unpreparedness prior to the start of class is subject to a penalty deduction of up to 10 points from the final grade.

"Unprepared" is defined to be not only a lack of preparation on the materials assigned, but also such a cursory study of the materials that the student is unable to intelligently discuss the materials when called upon.

In lieu of deducting points from the final grade for violations of this policy, a student may be requested by the professor to drop the course and, in the event the student does not voluntarily drop the course upon the professor's request, a grade of "F" may, in the Professor's discretion, be assigned to the student.

DISCRETIONARY POINTS:

The right to award up to 10 additional favorable discretionary points based on class participation is reserved by the Professor.

FINAL EXAM:

The final exam for this class is scheduled for 8:30 A.M., Tuesday, May 5, 2015.

GRADING:

The grade in this course will be determined 100% by the score attained on the closed book final exam, subject to any penalty deductions, sanctions, and/or discretionary points authorized by the provisions in the syllabus. As specified above, a grade of F may be administratively assigned to a student for violation of the attendance policy or for violation of the class preparation policy. As specified below, a penalty deduction of up to 15 points from the final grade may be assessed as a result of a student's violation of the Laptop Computer usage policy.

LAPTOP COMPUTER USAGE:

The use of laptop computers is a "privilege." A student's right to use a laptop is subject to suspension or revocation. Laptops may be used in the classroom, but usage is limited solely for the purpose of note taking. Students may have the word processing program of their choice open, but only that program. Unless specifically authorized by the Professor, ***laptops may not be used for any other purpose.*** The use of laptops for any reason other than note taking is distracting to other students and diminishes the decorum of the classroom. A student who is found to be using a laptop computer for ***any purpose other than note-taking*** is subject to being denied the use of the laptop for all or a portion of the remaining class sessions. Furthermore a student who is found to be using a laptop computer for any of the purposes which are prohibited may be penalized by a deduction of up to 15 points from the final grade.

CELL PHONES: Cell Phones, including cell phones which are turned off, shall not be brought into the classroom. Students should leave their cell phones in their automobiles or in other secure locations. In the event of extraordinary circumstances or an emergency situation, a student may seek permission by the Professor to bring a cell phone into class. In the event the Professor grants a student permission to bring a cell phone into class, permission shall extend only for that particular class. Permission shall not be granted on an on-going basis, but must be sought prior to each class which the

student seeks permission on the basis of extraordinary circumstances or an emergency situation.

ABOUT YOUR GLOSSARY: It seems that the business of Insurance and the study of Insurance is particularly affected by “terminology.” Simple knowledge of the Insurance “lingo” is important. It is so important that we will take time in class to cover definitions of specific terms. Please note that the authors of the Casebook have supplied a Glossary of Insurance Terms on pp. 852-59. This is useful, but some of the definitions are not very thorough and informative. As we progress through the course, we will take up certain definitions. In that regard, the student is expected to maintain his/her own separate glossary of Insurance terms. Your entries in your own special glossary are recommended to be made as we take up the terms and discuss them in class. Note: we will be sporadically picking up new terms as we progress through the material. We will not undertake to define all the terms before proceeding through the Casebook.

Glossary inspections may be randomly called for during any class period during the semester and failure to produce an up-to-date glossary may result in a deduction of up to 5 points from the final grade.

ASSIGNMENTS:

This class is unusual in that it will be meeting on three consecutive days of the week – Tuesdays, Wednesdays and Thursdays. Assignments will be made on a “weekly” basis. (Recitations will also be allocated to one group for a week at a time.)

First Assignment – for January 8, 2015:

- Read the 1st page of the Supplement
- Read and study the 10 pages attached [these 10 pages are excerpts from Keeton & Widiss]
- Create a special notebook or special location for your personal glossary of Insurance terms [see list of terms provided below]
- Supply the definitions for those terms on the list below that were defined for you in the attached excerpts from Keeton & Widiss
- Read the Preface to the 6th Edition, p. v of Casebook
- Read the first 2 paragraphs, page 1 of Casebook
- Read “What is Insurance,” pp. 4-6 of Casebook

For subsequent classes, assignments will be made by way of group e-mail messages sent to students in the class. Please make certain that your e-mail address is on the group list used by the Professor. (Feel free to include more than one e-mail address on the list.)

Office Hours – Professor Roger M. Baron
Spring 2015

Monday

10:00 A.M. – 10:30 A.M.
3:00 P.M. – 3:30 P.M.

Tuesday

8:30 A.M. – 9:30 A.M.
3:00 P.M. – 3:30 P.M.

Wednesday

10:00 A.M. – 10:30 A.M.
3:00 P.M. – 3:30 P.M.

Thursday

8:30 A.M. – 9:30 A.M.
3:00 P.M. – 3:30 P.M.

Friday

10:00 A.M. – 10:30 A.M.
3:00 P.M. – 3:30 P.M.

E-MAIL:

Please check your e-mail regularly. I rely heavily on the use of e-mail to make assignments and to otherwise communicate with students enrolled in my classes.

Inclusiveness in regard to Learning Environment. The University of South Dakota strives to foster a globally inclusive learning environment where opportunities are provided for diversity to be recognized and respected.

LAW SCHOOL ACADEMIC RULES AND STUDENT POLICIES:

Students are obligated to comply with the Law School's Academic Rules and Student Policies and to observe applicable rules and instructions issued by the faculty. See: Academic Rules & Student Policies <http://link.usd.edu/159>

Freedom in Learning. Under Board of Regents and University policy student academic performance may be evaluated solely on an academic basis, not on opinions or conduct in matters unrelated to academic standards. Students should be free to take reasoned exception to the data or views offered in any course of study and to reserve judgment about matters of opinion, but they are responsible for learning the content of any course of study for which they are enrolled. Students who believe that an academic evaluation reflects prejudiced or capricious consideration of student opinions or conduct unrelated to academic standards should contact the Dean's Office to initiate a review of the evaluation.

Disability Services. Any student who feels s/he may need academic accommodations or access accommodations based on the impact of a documented disability should contact and register with Disability Services during the first week of class or as soon as possible

after diagnosis of a disability. Disability Services is the official office to assist students through the process of disability verification and coordination of appropriate and reasonable accommodations. Students currently registered with Disability Services must obtain a new accommodation memo each semester.

Ernetta L. Fox, Director
Disability Services, Room 119 Service Center
(605) 677-6389
www.usd.edu/ds
dservices@usd.edu

If a student approaches a faculty or staff member and discloses a disability, but does not have documentation from Disability Services, that faculty/staff person has a responsibility to direct the student to Disability Services in compliance with USD policy. As noted above, students with disabilities have the responsibility to follow institutional policies and procedures. Faculty and staff should alert students to those responsibilities if the students are not familiar with them.

Dishonesty. No credit can be given for a dishonest assignment. A student found to have engaged in any form of academic dishonesty may, at the discretion of the instructor, be:

- a. Given a zero for that assignment.
- b. Allowed to rewrite and resubmit the assignment for credit.
- c. Assigned a reduced grade for the course.
- d. Dropped from the course.
- e. Failed in the course

WEATHER: USD Policy concerning Weather and Holding of Classes: See <http://link.usd.edu/111>

INSURANCE TERMS

collateral source rule (a/k/a collateral benefits rule)

premium

pure premium

actuary

risk distribution

reinsurance

self-insurance (a/k/a risk retention)

adverse selection

reciprocal insurance

CDW

surety

all risks policy

block policy

CGL

claims made policy

third party insurance

first party insurance

15-30-5

omnibus clause

McCarran Act (a/k/a McCarran Ferguson Act)

co-insurance

CQV

excepted clauses v. exclusions

floater

incontestability clause

subrogation

loan receipt clause

stacking

surplus lines insurance (surplus lines brokers)

term insurance

umbrella policy

UM coverage

UIM coverage

NAIC

uberrimae fidei

territorial rating

moral hazard clause